

**SUBSTITUTE FOR
SENATE BILL NO. 860**

A bill to amend 1979 PA 94, entitled
"The state school aid act of 1979,"
by amending sections 3, 6, 11, 11a, 11j, 11k, 11m, 11s, 11x, 11aa,
12d, 12e, 15, 18, 18a, 19, 20, 20d, 21b, 21f, 21h, 22a, 22b, 22d,
22k, 22l, 22m, 24, 24a, 25f, 26a, 26b, 26c, 26d, 27a, 27b, 27c, 27j,
27l, 27m, 28, 30d, 31a, 31c, 31d, 31f, 31n, 31aa, 32d, 32n, 32t,
35a, 35e, 35m, 39, 39a, 51a, 51c, 51d, 51e, 51g, 53a, 54, 54d, 56,
61a, 61b, 62, 65, 67, 67f, 74, 81, 94, 94a, 94e, 98, 99, 99h, 101,
104, 104h, 107, 147, 147a, 147b, 147c, 147e, 152a, 152b, 163, 164l,
201, 201f, 201i, 206, 207c, 212, 216e, 217a, 217b, 223, 229a, 230,
236, 236c, 236d, 236j, 236s, 241, 241a, 241b, 241c, 241e, 247, 248,
254, 256, 263, 263b, 264, 268, 269, 270, 270c, 276, 277, 278, 279,
280, 281, and 282 (MCL 388.1603, 388.1606, 388.1611, 388.1611a,



388.1611j, 388.1611k, 388.1611m, 388.1611s, 388.1611x, 388.1611aa, 388.1612d, 388.1612e, 388.1615, 388.1618, 388.1618a, 388.1619, 388.1620, 388.1620d, 388.1621b, 388.1621f, 388.1621h, 388.1622a, 388.1622b, 388.1622d, 388.1622k, 388.1622l, 388.1622m, 388.1624, 388.1624a, 388.1625f, 388.1626a, 388.1626b, 388.1626c, 388.1626d, 388.1627a, 388.1627b, 388.1627c, 388.1627j, 388.1627l, 388.1627m, 388.1628, 388.1630d, 388.1631a, 388.1631c, 388.1631d, 388.1631f, 388.1631n, 388.1631aa, 388.1632d, 388.1632n, 388.1632t, 388.1635a, 388.1635e, 388.1635m, 388.1639, 388.1639a, 388.1651a, 388.1651c, 388.1651d, 388.1651e, 388.1651g, 388.1653a, 388.1654, 388.1654d, 388.1656, 388.1661a, 388.1661b, 388.1662, 388.1665, 388.1667, 388.1667f, 388.1674, 388.1681, 388.1694, 388.1694a, 388.1694e, 388.1698, 388.1699, 388.1699h, 388.1701, 388.1704, 388.1704h, 388.1707, 388.1747, 388.1747a, 388.1747b, 388.1747c, 388.1747e, 388.1752a, 388.1752b, 388.1763, 388.1764l, 388.1801, 388.1801f, 388.1801i, 388.1806, 388.1807c, 388.1812, 388.1816e, 388.1817a, 388.1817b, 388.1823, 388.1829a, 388.1830, 388.1836, 388.1836c, 388.1836d, 388.1836j, 388.1836s, 388.1841, 388.1841a, 388.1841b, 388.1841c, 388.1841e, 388.1847, 388.1848, 388.1854, 388.1856, 388.1863, 388.1863b, 388.1864, 388.1868, 388.1869, 388.1870, 388.1870c, 388.1876, 388.1877, 388.1878, 388.1879, 388.1880, 388.1881, and 388.1882), sections 3, 6, 11, 11a, 11j, 11k, 11m, 11s, 11x, 15, 18, 19, 20, 20d, 21f, 21h, 22a, 22b, 22d, 22k, 22l, 24, 24a, 25f, 26a, 26b, 26c, 26d, 27a, 27b, 27c, 27l, 28, 30d, 31a, 31d, 31f, 31n, 31aa, 32d, 32n, 32t, 35a, 35m, 39, 39a, 51a, 51c, 51d, 51e, 51g, 53a, 54, 54d, 56, 61a, 61b, 62, 65, 67, 67f, 74, 81, 94, 94a, 94e, 98, 99, 99h, 101, 104, 104h, 107, 147, 147a, 147c, 147e, 152a, 152b, 201, 201f, 206, 207c, 212, 216e, 217a, 217b, 229a, 230, 236, 236c, 236d, 236j, 241, 241a, 241b, 241c, 241e, 247,

248, 254, 256, 263, 263b, 264, 268, 269, 270, 270c, 276, 277, 278, 279, 280, 281, and 282 as amended and sections 12e, 31c, 35e, 164l, 201i, and 236s as added by 2025 PA 15, sections 11aa and 27m as added and section 147b as amended by 2023 PA 103, section 18a as amended by 2020 PA 165, section 21b as amended by 2022 PA 144, and sections 27j, 163, and 223 as amended by 2024 PA 120, and by adding sections 23h, 32p, 35o, 35p, 35q, 51i, 54b, 98d, 99o, 99s, 152c, 217d, 217e, 217g, 236k, 275l, 275n, 275o, and 287; and to repeal acts and parts of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 3. (1) "Average daily attendance", for the purposes of
2 complying with federal law, means 92% of the pupils counted in
3 membership on the pupil membership count day, as defined in section
4 6(7).

5 (2) "Board" means the governing body of a district or public
6 school academy.

7 (3) "Center" means the center for educational performance and
8 information created in section 94a.

9 (4) "Community district" means a school district organized
10 under part 5b of the revised school code, MCL 380.381 to 380.396.

11 (5) "Cooperative education program" means a written voluntary
12 agreement between and among districts to provide certain
13 educational programs for pupils in certain groups of districts. The
14 written agreement must be approved by all affected districts at
15 least annually and must specify the educational programs to be
16 provided and the estimated number of pupils from each district who
17 will participate in the educational programs.

18 (6) "Department", except as otherwise provided in this
19 article, means the department of education.



(7) "District" means, except as otherwise specifically provided in this act, a local school district established under the revised school code or, except in sections 6(4), 6(6), 11x, ~~11y~~, 11aa, 12c, 13, 20, 22a, 22p, 31a, 51a(14), 105, 105c, and 166b, a public school academy. Except in section 20, district also includes a community district.

(8) "District of residence", except as otherwise provided in this subsection, means the district in which a pupil's custodial parent or parents or legal guardian resides. For a pupil described in section 24b, the pupil's district of residence is the district in which the pupil enrolls under that section. For a pupil described in section 6(4) (d), the pupil's district of residence is considered to be the district or intermediate district in which the pupil is counted in membership under that section. For a pupil under court jurisdiction who is placed outside the district in which the pupil's custodial parent or parents or legal guardian resides, the pupil's district of residence is considered to be the educating district or educating intermediate district.

(9) "District superintendent" means the superintendent of a district or the chief administrator of a public school academy.

Sec. 6. (1) "Center program" means a program operated by a district or by an intermediate district for special education pupils from several districts in programs for pupils with autism spectrum disorder, pupils with severe cognitive impairment, pupils with moderate cognitive impairment, pupils with severe multiple impairments, pupils with hearing impairment, pupils with visual impairment, and pupils with physical impairment or other health impairment. Programs for pupils with emotional impairment housed in buildings that do not serve regular education pupils also qualify.



1 Unless otherwise approved by the department, a center program
2 either serves all constituent districts within an intermediate
3 district or serves several districts with less than 50% of the
4 pupils residing in the operating district. In addition, special
5 education center program pupils placed part-time in noncenter
6 programs to comply with the least restrictive environment
7 provisions of section 1412 of the individuals with disabilities
8 education act, 20 USC 1412, may be considered center program pupils
9 for pupil accounting purposes for the time scheduled in either a
10 center program or a noncenter program.

11 (2) "District and high school graduation rate" means the
12 annual completion and pupil dropout rate that is calculated by the
13 center pursuant to nationally recognized standards.

14 (3) "District and high school graduation report" means a
15 report of the number of pupils, excluding adult education
16 participants, in the district for the immediately preceding school
17 year, adjusted for those pupils who have transferred into or out of
18 the district or high school, who leave high school with a diploma
19 or other credential of equal status.

20 (4) "Membership", except as otherwise provided in this
21 article, means for a district, a public school academy, or an
22 intermediate district the sum of the product of .90 times the
23 number of full-time equated pupils in grades K to 12 actually
24 enrolled and in regular daily attendance in the district, public
25 school academy, or intermediate district on the pupil membership
26 count day for the current school year, plus the product of .10
27 times the final audited count from the supplemental count day of
28 full-time equated pupils in grades K to 12 actually enrolled and in
29 regular daily attendance in the district, public school academy, or



1 intermediate district for the immediately preceding school year. A
2 district's, public school academy's, or intermediate district's
3 membership is adjusted as provided under section 25e for pupils who
4 enroll after the pupil membership count day in a strict discipline
5 academy operating under sections 1311b to 1311m of the revised
6 school code, MCL 380.1311b to 380.1311m. All pupil counts used in
7 this subsection are as determined by the department and calculated
8 by adding the number of pupils registered for attendance plus
9 pupils received by transfer and minus pupils lost as defined by
10 rules promulgated by the superintendent, and as corrected by a
11 subsequent department audit. The amount of the foundation allowance
12 for a pupil in membership is determined under section 20. In making
13 the calculation of membership, all of the following, as applicable,
14 apply to determining the membership of a district, a public school
15 academy, or an intermediate district:

16 (a) Except as otherwise provided in this subsection, and
17 pursuant to subsection (6), a pupil is counted in membership in the
18 pupil's educating district or districts. Except as otherwise
19 provided in this subsection, an individual pupil must not be
20 counted for more than a total of 1.0 full-time equated membership.

21 (b) If a pupil is educated in a district other than the
22 pupil's district of residence, if the pupil is not being educated
23 as part of a cooperative education program, if the pupil's district
24 of residence does not give the educating district its approval to
25 count the pupil in membership in the educating district, and if the
26 pupil is not covered by an exception specified in subsection (6) to
27 the requirement that the educating district must have the approval
28 of the pupil's district of residence to count the pupil in
29 membership, the pupil is not counted in membership in any district.



1 (c) A special education pupil educated by the intermediate
2 district is counted in membership in the intermediate district.

3 (d) A pupil placed by a court or state agency in an on-grounds
4 program of a juvenile detention facility, a child caring
5 institution, or a mental health institution, or a pupil funded
6 under section 53a, is counted in membership in the district or
7 intermediate district approved by the department to operate the
8 program.

9 (e) A pupil enrolled in the Michigan Schools for the Deaf and
10 Blind is counted in membership in the pupil's intermediate district
11 of residence.

12 (f) A pupil enrolled in a career and technical education
13 program supported by a millage levied over an area larger than a
14 single district or in an area vocational-technical education
15 program established under section 690 of the revised school code,
16 MCL 380.690, is counted in membership only in the pupil's district
17 of residence.

18 (g) A pupil enrolled in a public school academy is counted in
19 membership in the public school academy.

20 (h) For the purposes of this section and section 6a, for a
21 cyber school, as that term is defined in section 551 of the revised
22 school code, MCL 380.551, that is in compliance with section 553a
23 of the revised school code, MCL 380.553a, a pupil's participation
24 in the cyber school's educational program is considered regular
25 daily attendance, and for a district or public school academy, a
26 pupil's participation in a virtual course as that term is defined
27 in section 21f is considered regular daily attendance. Beginning
28 July 1, 2021, this subdivision is subject to section 8c. It is the
29 intent of the legislature that the immediately preceding sentence



1 apply retroactively and is effective July 1, 2021. For the purposes
2 of this subdivision, for a pupil enrolled in a cyber school, all of
3 the following apply with regard to the participation requirement as
4 described in this subdivision:

5 (i) Except as otherwise provided in this subdivision, the pupil
6 shall participate in each scheduled course on pupil membership
7 count day or supplemental count day, as applicable. If the pupil is
8 absent on pupil membership count day or supplemental count day, as
9 applicable, the pupil must attend and participate in class during
10 the next 10 consecutive school days if the absence was unexcused,
11 or during the next 30 calendar days if the absence was excused.

12 (ii) For a pupil who is not learning sequentially, 1 or more of
13 the following must be met on pupil membership count day or
14 supplemental count day, as applicable, for each scheduled course to
15 satisfy the participation requirement under this subdivision:

16 (A) The pupil attended a live lesson from the teacher.

17 (B) The pupil logged into a lesson or lesson activity and the
18 login can be documented.

19 (C) The pupil and teacher engaged in a subject-oriented
20 telephone conversation.

21 (D) There is documentation of an email dialogue between the
22 pupil and teacher.

23 (E) There is documentation of activity or work between the
24 learning coach and pupil.

25 (F) An alternate form of attendance as determined and agreed
26 upon by the cyber school and the pupil membership auditor was met.

27 (iii) For a pupil using sequential learning, the participation
28 requirement under this subdivision is satisfied if either of the
29 following occurs:



(A) Except as otherwise provided in this sub-subparagraph, the pupil and the teacher of record or mentor complete a 2-way interaction for 1 course during the week on which pupil membership count day or supplemental count day, as applicable, occurs, and the 3 consecutive weeks following that week. However, if a school break is scheduled during any of the weeks described in this sub-subparagraph that is 4 or more days in length or instruction has been canceled districtwide during any of the weeks described in this sub-subparagraph for 3 or more school days, the district is not required to ensure that the pupil and the teacher of record or mentor completed a 2-way interaction for that week. As used in this sub-subparagraph:

(I) "2-way interaction" means the communication that occurs between the teacher of record or mentor and pupil, where 1 party initiates communication and a response from the other party follows that communication. Responses as described in this sub-sub-subparagraph must be to the communication initiated by the teacher of record or mentor, and not some other action taken. This interaction may occur through, but is not limited to, means such as email, telephone, instant messaging, or face-to-face conversation. A parent- or legal-guardian-facilitated 2-way interaction is considered a 2-way interaction if the pupil is in any of grades K to 5 and does not yet possess the skills necessary to participate in 2-way interactions unassisted. The interactions described in this sub-sub-subparagraph must relate to a virtual course on the pupil's schedule and pertain to course content or progress.

(II) "Mentor" means a professional employee of the district who monitors the pupil's progress, ensures the pupil has access to needed technology, is available for assistance, and ensures access



1 to the teacher of record. A mentor may also be the teacher of
2 record if the mentor meets the definition of a teacher of record
3 under this sub-subparagraph and the district is the provider for
4 the course.

5 (III) "Teacher of record" means a teacher to whom all of the
6 following apply:

7 (1) The teacher is responsible for providing instruction,
8 determining instructional methods for each pupil, diagnosing
9 learning needs, assessing pupil learning, prescribing intervention
10 strategies and modifying lessons, reporting outcomes, and
11 evaluating the effects of instruction and support strategies. The
12 teacher of record may coordinate the distribution and assignment of
13 the responsibilities described in this sub-sub-sub-subparagraph
14 with other teachers participating in the instructional process for
15 a course.

16 (2) The teacher is certified for the grade level or is working
17 under a valid substitute permit, authorization, or approval issued
18 by the department.

19 (3) The teacher has a personnel identification code provided
20 by the center.

21 (IV) "Week" means a period that starts on Wednesday and ends
22 the following Tuesday.

23 (B) The pupil completes a combination of 1 or more of the
24 following activities for each scheduled course on pupil membership
25 count day or supplemental count day, as applicable:

26 (I) Documented attendance in a virtual course where
27 synchronous, live instruction occurred with the teacher.

28 (II) Documented completion of a course assignment.

29 (III) Documented completion of a course lesson or lesson



1 activity.

2 (IV) Documented pupil access to an ongoing lesson, which does
3 not include a login.

4 (V) Documented physical attendance on pupil membership count
5 day or supplemental count day, as applicable, in each scheduled
6 course, if the pupil will attend at least 50% of the instructional
7 time for each scheduled course on-site, face-to-face with the
8 teacher of record. As used in this sub-sub-subparagraph, "teacher
9 of record" means that term as defined in subparagraph (iii) (A).

10 (iv) For purposes of subparagraph (iii), each scheduled course
11 currently being attempted by the pupil, rather than every course on
12 the pupil's schedule for the entire term, is considered a part of
13 each scheduled course for the pupil.

14 (i) For a new district or public school academy beginning its
15 operation after December 31, 1994, membership for the first 2 full
16 or partial fiscal years of operation is determined as follows:

17 (i) If operations begin before the pupil membership count day
18 for the fiscal year, membership is the average number of full-time
19 equated pupils in grades K to 12 actually enrolled and in regular
20 daily attendance on the pupil membership count day for the current
21 school year and on the supplemental count day for the current
22 school year, as determined by the department and calculated by
23 adding the number of pupils registered for attendance on the pupil
24 membership count day plus pupils received by transfer and minus
25 pupils lost as defined by rules promulgated by the superintendent,
26 and as corrected by a subsequent department audit, plus the final
27 audited count from the supplemental count day for the current
28 school year, and dividing that sum by 2.

29 (ii) If operations begin after the pupil membership count day



1 for the fiscal year and not later than the supplemental count day
2 for the fiscal year, membership is the final audited count of the
3 number of full-time equated pupils in grades K to 12 actually
4 enrolled and in regular daily attendance on the supplemental count
5 day for the current school year.

6 (j) If a district is the authorizing body for a public school
7 academy, then, in the first school year in which pupils are counted
8 in membership on the pupil membership count day in the public
9 school academy, the determination of the district's membership
10 excludes from the district's pupil count for the immediately
11 preceding supplemental count day any pupils who are counted in the
12 public school academy on that first pupil membership count day who
13 were also counted in the district on the immediately preceding
14 supplemental count day.

15 (k) For an extended school year program approved by the
16 superintendent, a pupil enrolled, but not scheduled to be in
17 regular daily attendance, on a pupil membership count day, is
18 counted in membership.

19 (l) To be counted in membership, a pupil must meet the minimum
20 age requirement to be eligible to attend school under section 1147
21 of the revised school code, MCL 380.1147, and must be less than 20
22 years of age on September 1 of the school year except as follows:

23 (i) A special education pupil who is enrolled and receiving
24 instruction in a special education program or service approved by
25 the department, who does not have a high school diploma, and who is
26 less than 26 years of age as of September 1 of the current school
27 year is counted in membership.

28 (ii) A pupil who is determined by the department to meet all of
29 the following may be counted in membership:



1 (A) Is enrolled in a public school academy or an alternative
2 education high school diploma program, that is primarily focused on
3 educating pupils with extreme barriers to education, such as being
4 homeless as that term is defined under 42 USC 11302.

5 (B) Had dropped out of school.

6 (C) Is less than 22 years of age as of September 1 of the
7 current school year.

8 (iii) If a child does not meet the minimum age requirement to be
9 eligible to attend school for that school year under section 1147
10 of the revised school code, MCL 380.1147, but will be 5 years of
11 age not later than December 1 of that school year, the district may
12 count the child in membership for that school year if the parent or
13 legal guardian has notified the district in writing that the parent
14 or legal guardian intends to enroll the child in kindergarten for
15 that school year.

16 (m) An individual who has achieved a high school diploma is
17 not counted in membership **unless the individual is enrolled in a**
18 **state-approved early middle college and at least 1 college course**
19 **is transcribed for high school credit each membership count during**
20 **the individual's fifth year.** An individual who has achieved a high
21 school equivalency certificate is not counted in membership unless
22 the individual is a student with a disability as that term is
23 defined in R 340.1702 of the Michigan Administrative Code. An
24 individual participating in a job training program funded under
25 former section 107a, **as repealed by 2004 PA 351**, or a jobs program
26 funded under former section 107b, administered by the department of
27 labor and economic opportunity, or participating in any successor
28 of either of those 2 programs, is not counted in membership.

29 (n) If a pupil counted in membership in a public school



1 academy is also educated by a district or intermediate district as
2 part of a cooperative education program, the pupil is counted in
3 membership only in the public school academy unless a written
4 agreement signed by all parties designates the party or parties in
5 which the pupil is counted in membership, and the instructional
6 time scheduled for the pupil in the district or intermediate
7 district is included in the full-time equated membership
8 determination under subdivision (q) and section 101. However, for
9 pupils receiving instruction in both a public school academy and in
10 a district or intermediate district but not as a part of a
11 cooperative education program, the following apply:

12 (i) If the public school academy provides instruction for at
13 least 1/2 of the class hours required under section 101, the public
14 school academy receives as its prorated share of the full-time
15 equated membership for each of those pupils an amount equal to 1
16 times the product of the hours of instruction the public school
17 academy provides divided by the number of hours required under
18 section 101 for full-time equivalency, and the remainder of the
19 full-time membership for each of those pupils is allocated to the
20 district or intermediate district providing the remainder of the
21 hours of instruction.

22 (ii) If the public school academy provides instruction for less
23 than 1/2 of the class hours required under section 101, the
24 district or intermediate district providing the remainder of the
25 hours of instruction receives as its prorated share of the full-
26 time equated membership for each of those pupils an amount equal to
27 1 times the product of the hours of instruction the district or
28 intermediate district provides divided by the number of hours
29 required under section 101 for full-time equivalency, and the



1 remainder of the full-time membership for each of those pupils is
2 allocated to the public school academy.

3 (o) An individual less than 16 years of age as of September 1
4 of the current school year who is being educated in an alternative
5 education program is not counted in membership if there are also
6 adult education participants being educated in the same program or
7 classroom.

8 (p) The department shall give a uniform interpretation of
9 full-time and part-time memberships.

10 (q) The number of class hours used to calculate full-time
11 equated memberships must be consistent with section 101. In
12 determining full-time equated memberships for pupils who are
13 enrolled in a postsecondary institution or for pupils engaged in an
14 internship or work experience under section 1279h of the revised
15 school code, MCL 380.1279h, a pupil is not considered to be less
16 than a full-time equated pupil solely because of the effect of the
17 pupil's postsecondary enrollment or engagement in the internship or
18 work experience, including necessary travel time, on the number of
19 class hours provided by the district to the pupil.

20 (r) Full-time equated memberships for pupils in kindergarten
21 are determined by dividing the number of instructional hours
22 scheduled and provided per year per kindergarten pupil by the same
23 number used for determining full-time equated memberships for
24 pupils in grades 1 to 12. However, to the extent allowable under
25 federal law, for a district or public school academy that provides
26 evidence satisfactory to the department that it used federal title
27 I money in the 2 immediately preceding school fiscal years to fund
28 full-time kindergarten, full-time equated memberships for pupils in
29 kindergarten are determined by dividing the number of class hours



1 scheduled and provided per year per kindergarten pupil by a number
2 equal to 1/2 the number used for determining full-time equated
3 memberships for pupils in grades 1 to 12. The change in the
4 counting of full-time equated memberships for pupils in
5 kindergarten that took effect for 2012-2013 is not a mandate.

6 (s) For a district or a public school academy that has pupils
7 enrolled in a grade level that was not offered by the district or
8 public school academy in the immediately preceding school year, the
9 number of pupils enrolled in that grade level to be counted in
10 membership is the average of the number of those pupils enrolled
11 and in regular daily attendance on the pupil membership count day
12 and the supplemental count day of the current school year.

13 Membership is calculated by adding the number of pupils registered
14 for attendance in that grade level on the pupil membership count
15 day plus pupils received by transfer and minus pupils lost as
16 defined by rules promulgated by the superintendent, and as
17 corrected by subsequent department audit, plus the final audited
18 count from the supplemental count day for the current school year,
19 and dividing that sum by 2.

20 (t) A pupil enrolled in a cooperative education program may be
21 counted in membership in the pupil's district of residence with the
22 written approval of all parties to the cooperative agreement.

23 (u) If, as a result of a disciplinary action, a district
24 determines through the district's alternative or disciplinary
25 education program that the best instructional placement for a pupil
26 is in the pupil's home or otherwise apart from the general school
27 population, if that placement is authorized in writing by the
28 district superintendent and district alternative or disciplinary
29 education supervisor, and if the district provides appropriate

1 instruction as described in this subdivision to the pupil at the
2 pupil's home or otherwise apart from the general school population,
3 the district may count the pupil in membership on a pro rata basis,
4 with the proration based on the number of hours of instruction the
5 district actually provides to the pupil divided by the number of
6 hours required under section 101 for full-time equivalency. For the
7 purposes of this subdivision, a district is considered to be
8 providing appropriate instruction if all of the following are met:

9 (i) The district provides at least 2 nonconsecutive hours of
10 instruction per week to the pupil at the pupil's home or otherwise
11 apart from the general school population under the supervision of a
12 certificated teacher.

13 (ii) The district provides instructional materials, resources,
14 and supplies that are comparable to those otherwise provided in the
15 district's alternative education program.

16 (iii) Course content is comparable to that in the district's
17 alternative education program.

18 (iv) Credit earned is awarded to the pupil and placed on the
19 pupil's transcript.

20 (v) If a pupil was enrolled in a public school academy on the
21 pupil membership count day, if the public school academy's contract
22 with its authorizing body is revoked or the public school academy
23 otherwise ceases to operate, and if the pupil enrolls in a district
24 within 45 days after the pupil membership count day, the department
25 shall adjust the district's pupil count for the pupil membership
26 count day to include the pupil in the count.

27 (w) For a public school academy that has been in operation for
28 at least 2 years and that suspended operations for at least 1
29 semester and is resuming operations, membership is the sum of the



product of .90 times the number of full-time equated pupils in grades K to 12 actually enrolled and in regular daily attendance on the first pupil membership count day or supplemental count day, whichever is first, occurring after operations resume, plus the product of .10 times the final audited count from the most recent pupil membership count day or supplemental count day that occurred before suspending operations, as determined by the superintendent.

(x) ~~If a district's membership for a particular fiscal year, as otherwise calculated under this subsection, would be less than 1,550 pupils, the district has 4.5 or fewer pupils per square mile, as determined by the department, and the district does not receive funding under section 22d(2), the district's membership is considered to be the membership figure calculated under this subdivision. If a district educates and counts in its membership pupils in grades 9 to 12 who reside in a contiguous district that does not operate grades 9 to 12 and if 1 or both of the affected districts request the department to use the determination allowed under this sentence, the department shall include the square mileage of both districts in determining the number of pupils per square mile for each of the districts for the purposes of this subdivision. If a district has established a community engagement advisory committee in partnership with the department of treasury, is required to submit a deficit elimination plan or an enhanced deficit elimination plan under section 1220 of the revised school code, MCL 380.1220, and is located in a city with a population between 9,000 and 11,000, as determined by the department, that is in a county with a population between 150,000 and 160,000, as determined by the department, the district's membership is considered to be the~~ **The** membership figure calculated under this



1 ~~subdivision. The membership figure calculated under this~~
2 ~~subdivision~~ **for a district** is the greater of the following:

3 (i) The average of the district's membership for the 3-fiscal-
4 year period ending with that fiscal year, calculated by adding the
5 district's actual membership for each of those 3 fiscal years, as
6 otherwise calculated under this subsection, and dividing the sum of
7 those 3 membership figures by 3.

8 (ii) The district's actual membership for that fiscal year as
9 otherwise calculated under this subsection.

10 (y) Full-time equated memberships for special education pupils
11 who are not enrolled in kindergarten but are enrolled in a
12 classroom program under R 340.1754 of the Michigan Administrative
13 Code are determined by dividing the number of class hours scheduled
14 and provided per year by 450. Full-time equated memberships for
15 special education pupils who are not enrolled in kindergarten but
16 are receiving early childhood special education services under R
17 340.1755 or R 340.1862 of the Michigan Administrative Code are
18 determined by dividing the number of hours of service scheduled and
19 provided per year per pupil by 180.

20 (z) A pupil of a district that begins its school year after
21 Labor Day who is enrolled in an intermediate district program that
22 begins before Labor Day is not considered to be less than a full-
23 time pupil solely due to instructional time scheduled but not
24 attended by the pupil before Labor Day.

25 (aa) For the first year in which a pupil is counted in
26 membership on the pupil membership count day in a middle college
27 program, the membership is the average of the full-time equated
28 membership on the pupil membership count day and on the
29 supplemental count day for the current school year, as determined



1 by the department. If a pupil described in this subdivision was
 2 counted in membership by the operating district on the immediately
 3 preceding supplemental count day, the pupil is excluded from the
 4 district's immediately preceding supplemental count for the
 5 purposes of determining the district's membership.

6 (bb) A district or public school academy that educates a pupil
 7 who attends a United States Olympic Education Center may count the
 8 pupil in membership regardless of whether or not the pupil is a
 9 resident of this state.

10 (cc) A pupil enrolled in a district other than the pupil's
 11 district of residence under section 1148(2) of the revised school
 12 code, MCL 380.1148, is counted in the educating district.

13 (dd) For a pupil enrolled in a dropout recovery program that
 14 meets the requirements of section 23a, the pupil ~~is~~ **must be** counted
 15 as 1/12 of a full-time equated membership for each month that the
 16 district operating the program reports that the pupil was enrolled
 17 in the program and was in full attendance or based on the number of
 18 successfully completed courses by the pupil, with each **successfully**
 19 **completed** course equivalent to 1/12 of a full-time equated
 20 membership. A district may claim more than 1/12 of a full-time
 21 equated membership within a month for an enrolled pupil who was in
 22 full attendance and successfully completed more than 1 required
 23 course. ~~However, if~~ **If** the special membership counting provisions
 24 under this subdivision ~~and the operation of the other membership~~
 25 ~~counting provisions under this subsection~~ result in a pupil being
 26 counted as more than 1.0 FTE in a fiscal year, the ~~payment made for~~
 27 ~~the pupil~~ **entire FTE amount, including any amount in excess of 1.0**
 28 **FTE, must be funded** under sections 22a and 22b. ~~must not be based~~
 29 ~~on~~ **A district may generate** more than 1.0 FTE for ~~that a pupil, and~~



1 ~~any portion of an FTE for that pupil that exceeds 1.0 is instead~~
 2 ~~paid~~ **enrolled in a program** under section ~~25g.~~ **23a.** The district
 3 operating the program shall report to the center the number of
 4 pupils who were enrolled in the program and were in full attendance
 5 for a month not later than 30 days after the end of ~~the~~ **that** month.
 6 A district shall not report a pupil as being in full attendance for
 7 a month unless both of the following are met:

8 (i) A personalized learning plan is in place on or before the
 9 first school day of the month for the first month the pupil
 10 participates in the program.

11 (ii) Either of the following is met:

12 (A) The pupil meets the district's definition under section
 13 23a of satisfactory monthly progress for that month or, if the
 14 pupil does not meet that definition of satisfactory monthly
 15 progress for that month, the pupil did meet that definition of
 16 satisfactory monthly progress in the immediately preceding month
 17 and appropriate interventions, as defined by the district, are
 18 implemented within 10 school days after it is determined that the
 19 pupil does not meet that definition of satisfactory monthly
 20 progress.

21 (B) For the first 2 months that the pupil participates in the
 22 program, the pupil earns 0.25 credit by the end of the second
 23 month. A pupil described in this sub-subparagraph may be
 24 retroactively reported as being in full attendance for the first
 25 month that the pupil participated in the program.

26 (ee) A pupil participating in a virtual course under section
 27 21f is counted in membership in the district enrolling the pupil.

28 (ff) If a public school academy that is not in its first or
 29 second year of operation closes at the end of a school year and



1 does not reopen for the next school year, the department shall
2 adjust the membership count of the district or other public school
3 academy in which a former pupil of the closed public school academy
4 enrolls and is in regular daily attendance for the next school year
5 to ensure that the district or other public school academy receives
6 the same amount of membership aid for the pupil as if the pupil
7 were counted in the district or other public school academy on the
8 supplemental count day of the preceding school year.

9 (gg) If a special education pupil is expelled under section
10 1311 or 1311a of the revised school code, MCL 380.1311 and
11 380.1311a, and is not in attendance on the pupil membership count
12 day because of the expulsion, and if the pupil remains enrolled in
13 the district and resumes regular daily attendance during that
14 school year, the district's membership is adjusted to count the
15 pupil in membership as if the pupil had been in attendance on the
16 pupil membership count day.

17 (hh) A pupil enrolled in a community district is counted in
18 membership in the community district.

19 (ii) A part-time pupil enrolled in a nonpublic school in
20 grades K to 12 in accordance with section 166b must not be counted
21 as more than 0.75 of a full-time equated membership.

22 (jj) A district that borders another state or a public school
23 academy that operates at least grades 9 to 12 and is located within
24 20 miles of a border with another state may count in membership a
25 pupil who is enrolled in a course at a college or university that
26 is located in the bordering state and within 20 miles of the border
27 with this state if all of the following are met:

28 (i) The pupil would meet the definition of an eligible student
29 under the postsecondary enrollment options act, 1996 PA 160, MCL



1 388.511 to 388.524, if the course were an eligible course under
2 that act.

3 (ii) The course in which the pupil is enrolled would meet the
4 definition of an eligible course under the postsecondary enrollment
5 options act, 1996 PA 160, MCL 388.511 to 388.524, if the course
6 were provided by an eligible postsecondary institution under that
7 act.

8 (iii) The department determines that the college or university
9 is an institution that, in the other state, fulfills a function
10 comparable to a state university or community college, as those
11 terms are defined in section 3 of the postsecondary enrollment
12 options act, 1996 PA 160, MCL 388.513, or is an independent
13 nonprofit degree-granting college or university.

14 (iv) The district or public school academy pays for a portion
15 of the pupil's tuition at the college or university in an amount
16 equal to the eligible charges that the district or public school
17 academy would pay to an eligible postsecondary institution under
18 the postsecondary enrollment options act, 1996 PA 160, MCL 388.511
19 to 388.524, as if the course were an eligible course under that
20 act.

21 (v) The district or public school academy awards high school
22 credit to a pupil who successfully completes a course as described
23 in this subdivision.

24 (kk) A pupil enrolled in a middle college program may be
25 counted for more than a total of 1.0 full-time equated membership
26 for any of the school years in which the pupil is enrolled in the
27 middle college program, but the total full-time equated membership
28 for that pupil for all of the school years in which the pupil is
29 enrolled in high school must not be greater than 5.00 full-time



1 equated membership if the pupil is enrolled in more than the
2 minimum number of instructional days and hours required under
3 section 101 and the pupil is expected to complete the 5-year
4 program with both a high school diploma and at least 60
5 transferable college credits or is expected to earn an associate's
6 degree in fewer than 5 years. A pupil who graduates with both a
7 high school diploma and at least 60 transferable college credits or
8 an associate degree at least 1 semester early is considered to have
9 completed the middle college program in fewer than 5 years.

10 (II) If a district's or public school academy's membership for
11 a particular fiscal year, as otherwise calculated under this
12 subsection, includes pupils counted in membership who are enrolled
13 under section 166b, all of the following apply for the purposes of
14 this subdivision:

15 (i) If the district's or public school academy's membership for
16 pupils counted under section 166b equals or exceeds 5% of the
17 district's or public school academy's membership for pupils not
18 counted in membership under section 166b in the immediately
19 preceding fiscal year, then the growth in the district's or public
20 school academy's membership for pupils counted under section 166b
21 must not exceed 10%.

22 (ii) If the district's or public school academy's membership
23 for pupils counted under section 166b is less than 5% of the
24 district's or public school academy's membership for pupils not
25 counted in membership under section 166b in the immediately
26 preceding fiscal year, then the district's or public school
27 academy's membership for pupils counted under section 166b must not
28 exceed the greater of the following:

29 (A) Five percent of the district's or public school academy's



1 membership for pupils not counted in membership under section 166b.

2 (B) Ten percent more than the district's or public school
3 academy's membership for pupils counted under section 166b in the
4 immediately preceding fiscal year.

5 (iii) If 1 or more districts consolidate or are parties to an
6 annexation, then the calculations under subparagraphs (i) and (ii)
7 must be applied to the combined total membership for pupils counted
8 in those districts for the fiscal year immediately preceding the
9 consolidation or annexation.

10 (5) "Public school academy" means that term as defined in
11 section 5 of the revised school code, MCL 380.5.

12 (6) "Pupil" means an individual in membership in a public
13 school. A district must have the approval of the pupil's district
14 of residence to count the pupil in membership, except approval by
15 the pupil's district of residence is not required for any of the
16 following:

17 (a) A nonpublic part-time pupil enrolled in grades K to 12 in
18 accordance with section 166b.

19 (b) A pupil receiving 1/2 or less of the pupil's instruction
20 in a district other than the pupil's district of residence.

21 (c) A pupil enrolled in a public school academy.

22 (d) A pupil enrolled in a district other than the pupil's
23 district of residence if the pupil is enrolled in accordance with
24 section 105 or 105c.

25 (e) A pupil who has made an official written complaint or
26 whose parent or legal guardian has made an official written
27 complaint to law enforcement officials and to school officials of
28 the pupil's district of residence that the pupil has been the
29 victim of a criminal sexual assault or other serious assault, if



1 the official complaint either indicates that the assault occurred
2 at school or that the assault was committed by 1 or more other
3 pupils enrolled in the school the pupil would otherwise attend in
4 the district of residence or by an employee of the district of
5 residence. A person who intentionally makes a false report of a
6 crime to law enforcement officials for the purposes of this
7 subdivision is subject to section 411a of the Michigan penal code,
8 1931 PA 328, MCL 750.411a, which provides criminal penalties for
9 that conduct. As used in this subdivision:

10 (i) "At school" means in a classroom, elsewhere on school
11 premises, on a school bus or other school-related vehicle, or at a
12 school-sponsored activity or event whether or not it is held on
13 school premises.

14 (ii) "Serious assault" means an act that constitutes a felony
15 violation of chapter XI of the Michigan penal code, 1931 PA 328,
16 MCL 750.81 to ~~750.90h~~, **750.90g**, or that constitutes an assault and
17 infliction of serious or aggravated injury under section 81a of the
18 Michigan penal code, 1931 PA 328, MCL 750.81a.

19 (f) A pupil whose district of residence changed after the
20 pupil membership count day and before the supplemental count day
21 and who continues to be enrolled on the supplemental count day as a
22 nonresident in the district in which the pupil was enrolled as a
23 resident on the pupil membership count day of the same school year.

24 (g) A pupil enrolled in an alternative education program
25 operated by a district other than the pupil's district of residence
26 who meets 1 or more of the following:

27 (i) The pupil has been suspended or expelled from the pupil's
28 district of residence for any reason, including, but not limited
29 to, a suspension or expulsion under section 1310, 1311, or 1311a of



1 the revised school code, MCL 380.1310, 380.1311, and 380.1311a.

2 (ii) The pupil had previously dropped out of school.

3 (iii) The pupil is pregnant or is a parent.

4 (iv) The pupil has been referred to the program by a court.

5 (h) A pupil enrolled in the Michigan Virtual School, for the
6 pupil's enrollment in the Michigan Virtual School.

7 (i) A pupil who is the child of a person who works at the
8 district or who is the child of a person who worked at the district
9 as of the time the pupil first enrolled in the district but who no
10 longer works at the district due to a workforce reduction. As used
11 in this subdivision, "child" includes an adopted child, stepchild,
12 or legal ward.

13 (j) An expelled pupil who has been denied reinstatement by the
14 expelling district and is reinstated by another school board under
15 section 1311 or 1311a of the revised school code, MCL 380.1311 and
16 380.1311a.

17 (k) A pupil enrolled in a district other than the pupil's
18 district of residence in a middle college program if the pupil's
19 district of residence and the enrolling district are both
20 constituent districts of the same intermediate district.

21 (l) A pupil enrolled in a district other than the pupil's
22 district of residence who attends a United States Olympic Education
23 Center.

24 (m) A pupil enrolled in a district other than the pupil's
25 district of residence under section 1148(2) of the revised school
26 code, MCL 380.1148.

27 (n) A pupil who enrolls in a district other than the pupil's
28 district of residence as a result of the pupil's school not making
29 adequate yearly progress under the no child left behind act of



1 2001, Public Law 107-110, or the every student succeeds act, Public
2 Law 114-95.

3 However, if a district educates pupils who reside in another
4 district and if the primary instructional site for those pupils is
5 established by the educating district after 2009-2010 and is
6 located within the boundaries of that other district, the educating
7 district must have the approval of that other district to count
8 those pupils in membership.

9 (7) "Pupil membership count day" of a district or intermediate
10 district means:

11 (a) Except as provided in subdivision (b) or (c), either of
12 the following:

13 (i) The first Wednesday in October each school year.

14 (ii) For a district or building in which school is not in
15 session on the Wednesday described in subparagraph (i) due to
16 conditions not within the control of school authorities, with the
17 approval of the superintendent, the immediately following day on
18 which school is in session in the district or building.

19 (b) Except as otherwise provided in subdivision (c), for a
20 district or intermediate district maintaining school during the
21 entire school year, the following days:

22 (i) Fourth Wednesday in July.

23 (ii) First Wednesday in October.

24 (iii) Second Wednesday in February.

25 (iv) Fourth Wednesday in April.

26 (c) If a date listed in subdivision (a) or (b) is on a day of
27 religious or cultural significance, as determined by the district
28 or intermediate district, the immediately following day on which
29 school is in session in the district or building.



(8) "Pupils in grades K to 12 actually enrolled and in regular daily attendance" means, except as otherwise provided in this section, pupils in grades K to 12 in attendance and receiving instruction in all classes for which they are enrolled on the pupil membership count day or the supplemental count day, as applicable. Except as otherwise provided in this section and subsection, a pupil who is absent from any of the classes in which the pupil is enrolled on the pupil membership count day or supplemental count day and who does not attend each of those classes during the 10 consecutive school days immediately following the pupil membership count day or supplemental count day, except for a pupil who has been excused by the district, is not counted as 1.0 full-time equated membership. Except as otherwise provided in this section, a pupil who is excused from attendance on the pupil membership count day or supplemental count day and who fails to attend each of the classes in which the pupil is enrolled within 30 calendar days after the pupil membership count day or supplemental count day is not counted as 1.0 full-time equated membership. Except as otherwise provided in this section, in addition, a pupil who was enrolled and in attendance in a district, intermediate district, or public school academy before the pupil membership count day or supplemental count day of a particular year but was expelled or suspended on the pupil membership count day or supplemental count day is only counted as 1.0 full-time equated membership if the pupil resumed attendance in the district, intermediate district, or public school academy within 45 days after the pupil membership count day or supplemental count day of that particular year. Except as otherwise provided in this section, a pupil not counted as 1.0 full-time equated membership due to an absence from a class is



counted as a prorated membership for the classes the pupil attended. For purposes of this subsection:

(a) "Appropriately placed" means holding a valid Michigan educator credential with the required grade range and discipline or subject area for the assignment, as defined by the superintendent of public instruction.

(b) "Class" means ~~either of the following, as applicable:~~

~~(i) A~~ a period of time in 1 day when pupils and an individual who is appropriately placed under a valid certificate, substitute permit, authorization, or approval issued by the department, are together and instruction is taking place. ~~This subdivision does not apply for the 2024-2025 and 2025-2026 school years.~~

~~(ii) For the 2024-2025 and 2025-2026 school years only, a period of time in 1 day when pupils and a certificated teacher, a teacher engaged to teach under section 1233b of the revised school code, MCL 380.1233b, or an individual working under a valid substitute permit, authorization, or approval issued by the department are together and instruction is taking place.~~

(9) "Rule" means a rule promulgated pursuant to the administrative procedures act of 1969, 1969 PA 306, MCL 24.201 to 24.328.

(10) "The revised school code" means the revised school code, 1976 PA 451, MCL 380.1 to 380.1852.

(11) "School district of the first class", "first class school district", and "district of the first class" mean, for the purposes of this article only, a district that had at least 40,000 pupils in membership for the immediately preceding fiscal year.

(12) "School fiscal year" means a fiscal year that commences July 1 and continues through June 30.



1 (13) "State board" means the state board of education.

2 (14) "Superintendent", unless the context clearly refers to a
3 district or intermediate district superintendent, means the
4 superintendent of public instruction described in section 3 of
5 article VIII of the state constitution of 1963.

6 (15) "Supplemental count day" means the day on which the
7 supplemental pupil count is conducted under section 6a.

8 (16) "Tuition pupil" means a pupil of school age attending
9 school in a district other than the pupil's district of residence
10 for whom tuition may be charged to the district of residence.

11 Tuition pupil does not include a pupil who is a special education
12 pupil, a pupil described in subsection (6)(d) to (n), or a pupil
13 whose parent or guardian voluntarily enrolls the pupil in a
14 district that is not the pupil's district of residence. A pupil's
15 district of residence shall not require a high school tuition
16 pupil, as provided under section 111, to attend another school
17 district after the pupil has been assigned to a school district.

18 (17) "State school aid fund" means the state school aid fund
19 established in section 11 of article IX of the state constitution
20 of 1963.

21 (18) "Taxable value" means, except as otherwise provided in
22 this article, the taxable value of property as determined under
23 section 27a of the general property tax act, 1893 PA 206, MCL
24 211.27a.

25 (19) "Textbook" means a book, electronic book, or other
26 instructional print or electronic resource that is selected and
27 approved by the governing board of a district and that contains a
28 presentation of principles of a subject, or that is a literary work
29 relevant to the study of a subject required for the use of



1 classroom pupils, or another type of course material that forms the
2 basis of classroom instruction.

3 (20) "Total state aid" or "total state school aid", except as
4 otherwise provided in this article, means the total combined amount
5 of all funds due to a district, intermediate district, or other
6 entity under this article.

7 (21) "Weighted pupil membership" means that term as calculated
8 in this subsection. For the purposes of calculations under this
9 subsection, the base weighted pupil membership for a district is 0.
10 All of the following apply to the weighted pupil membership under
11 this subsection:

12 (a) For each full-time English language learner counted in
13 membership in a district in the immediately preceding fiscal year,
14 the weighted pupil membership for that district must be increased
15 as follows:

16 (i) For a full-time equivalent English language learner who was
17 assessed in the immediately preceding fiscal year under the WIDA
18 ACCESS for English language learners or the WIDA Alternate ACCESS
19 with a WIDA ACCESS or WIDA Alternate ACCESS composite score between
20 1.0 and 1.9, as applicable to each assessment, an increase of
21 0.1990. The increase under this subparagraph must be adjusted
22 annually as follows until the increase equals 0.75:

23 (A) For 2027-2028, the weighted pupil membership under this
24 subparagraph must be increased to 0.2384.

25 (B) For 2028-2029, the weighted pupil membership under this
26 subparagraph must be increased to 0.2778.

27 (C) For 2029-2030, the weighted pupil membership under this
28 subparagraph must be increased to 0.3171.

29 (D) For 2030-2031, the weighted pupil membership under this



1 subparagraph must be increased to 0.3565.

2 (E) For 2031-2032, the weighted pupil membership under this
3 subparagraph must be increased to 0.3959.

4 (F) For 2032-2033, the weighted pupil membership under this
5 subparagraph must be increased to 0.4353.

6 (G) For 2033-2034, the weighted pupil membership under this
7 subparagraph must be increased to 0.4746.

8 (H) For 2034-2035, the weighted pupil membership under this
9 subparagraph must be increased to 0.5140.

10 (I) For 2035-2036, the weighted pupil membership under this
11 subparagraph must be increased to 0.5534.

12 (J) For 2036-2037, the weighted pupil membership under this
13 subparagraph must be increased to 0.5928.

14 (K) For 2037-2038, the weighted pupil membership under this
15 subparagraph must be increased to 0.6321.

16 (L) For 2038-2039, the weighted pupil membership under this
17 subparagraph must be increased to 0.6715.

18 (M) For 2039-2040, the weighted pupil membership under this
19 subparagraph must be increased to 0.7109.

20 (N) Beginning in 2040-2041 and every fiscal year thereafter,
21 the weighted pupil membership under this subparagraph must be
22 increased to 0.75.

23 (ii) For a full-time equivalent English language learner who
24 was assessed in the immediately preceding fiscal year under the
25 WIDA ACCESS for English language learners or the WIDA Alternate
26 ACCESS with a WIDA ACCESS or WIDA Alternate ACCESS composite score
27 between 2.0 and 2.9, as applicable to each assessment, an increase
28 of 0.1374. The increase under this subparagraph must be adjusted
29 annually as follows until the increase equals 0.50:

1 (A) For 2027-2028, the weighted pupil membership under this
2 subparagraph must be increased to 0.1636.

3 (B) For 2028-2029, the weighted pupil membership under this
4 subparagraph must be increased to 0.1899.

5 (C) For 2029-2030, the weighted pupil membership under this
6 subparagraph must be increased to 0.2161.

7 (D) For 2030-2031, the weighted pupil membership under this
8 subparagraph must be increased to 0.2424.

9 (E) For 2031-2032, the weighted pupil membership under this
10 subparagraph must be increased to 0.2686.

11 (F) For 2032-2033, the weighted pupil membership under this
12 subparagraph must be increased to 0.2949.

13 (G) For 2033-2034, the weighted pupil membership under this
14 subparagraph must be increased to 0.3211.

15 (H) For 2034-2035, the weighted pupil membership under this
16 subparagraph must be increased to 0.3474.

17 (I) For 2035-2036, the weighted pupil membership under this
18 subparagraph must be increased to 0.3736.

19 (J) For 2036-2037, the weighted pupil membership under this
20 subparagraph must be increased to 0.3999.

21 (K) For 2037-2038, the weighted pupil membership under this
22 subparagraph must be increased to 0.4261.

23 (L) For 2038-2039, the weighted pupil membership under this
24 subparagraph must be increased to 0.4524.

25 (M) For 2039-2040, the weighted pupil membership under this
26 subparagraph must be increased to 0.4786.

27 (N) Beginning in 2040-2041 and every fiscal year thereafter,
28 the weighted pupil membership under this subparagraph must be
29 increased to 0.50.

1 (iii) For a full-time equivalent English language learner who
2 was assessed in the immediately preceding fiscal year under the
3 WIDA ACCESS for English language learners or the WIDA Alternate
4 ACCESS with a WIDA ACCESS or WIDA Alternate ACCESS composite score
5 between 3.0 and 4.7, as applicable to each assessment, an increase
6 of 0.0224. The increase under this subparagraph must be adjusted
7 annually as follows until the increase equals 0.35:

8 (A) For 2027-2028, the weighted pupil membership under this
9 subparagraph must be increased to 0.0464.

10 (B) For 2028-2029, the weighted pupil membership under this
11 subparagraph must be increased to 0.0703.

12 (C) For 2029-2030, the weighted pupil membership under this
13 subparagraph must be increased to 0.0943.

14 (D) For 2030-2031, the weighted pupil membership under this
15 subparagraph must be increased to 0.1183.

16 (E) For 2031-2032, the weighted pupil membership under this
17 subparagraph must be increased to 0.1423.

18 (F) For 2032-2033, the weighted pupil membership under this
19 subparagraph must be increased to 0.1662.

20 (G) For 2033-2034, the weighted pupil membership under this
21 subparagraph must be increased to 0.1902.

22 (H) For 2034-2035, the weighted pupil membership under this
23 subparagraph must be increased to 0.2142.

24 (I) For 2035-2036, the weighted pupil membership under this
25 subparagraph must be increased to 0.2382.

26 (J) For 2036-2037, the weighted pupil membership under this
27 subparagraph must be increased to 0.2621.

28 (K) For 2037-2038, the weighted pupil membership under this
29 subparagraph must be increased to 0.2861.



1 (L) For 2038-2039, the weighted pupil membership under this
2 subparagraph must be increased to 0.3101.

3 (M) For 2039-2040, the weighted pupil membership under this
4 subparagraph must be increased to 0.3341.

5 (N) Beginning in 2040-2041 and every fiscal year thereafter,
6 the weighted pupil membership under this subparagraph must be
7 increased to 0.35.

8 (b) For each economically disadvantaged pupil counted in
9 membership in a district, the weighted pupil membership for that
10 district must be increased as follows:

11 (i) For the purpose of this subparagraph, the department shall
12 determine the number of pupils in membership who are economically
13 disadvantaged as the greatest of the following:

14 (A) The number of membership pupils in the district who are
15 determined to be economically disadvantaged, as reported to the
16 center in the form and manner prescribed by the center not later
17 than the fifth Wednesday after the pupil membership count day of
18 the immediately preceding fiscal year.

19 (B) If the district is in the community eligibility program,
20 the number of pupils determined to be eligible based on the product
21 of the identified student percentage multiplied by the total number
22 of pupils in the district, as reported to the center in the form
23 and manner prescribed by the center not later than the fifth
24 Wednesday after the pupil membership count day of the immediately
25 preceding fiscal year. These calculations must be made at the
26 building level. This sub-subparagraph applies only to an eligible
27 district for the fiscal year immediately following the first fiscal
28 year in which it is in the community eligibility program. As used
29 in this sub-subparagraph, "identified student percentage" means the



1 quotient of the number of pupils in an eligible district who are
2 determined to be economically disadvantaged, as reported to the
3 center in a form and manner prescribed by the center not later than
4 the fifth Wednesday after the pupil membership count day in the
5 fiscal year preceding the first fiscal year in which the eligible
6 district is in the community eligibility program, divided by the
7 total number of pupils counted in an eligible district on the pupil
8 membership count day in the fiscal year preceding the first fiscal
9 year in which the eligible district is in the community eligibility
10 program.

11 (C) If the district began operations as a district after the
12 pupil membership count day of the current fiscal year, the number
13 of membership pupils in the district who are determined to be
14 economically disadvantaged, as reported to the center in the form
15 and manner prescribed by the center not later than the fifth
16 Wednesday after the supplemental count day of the current fiscal
17 year.

18 (D) If, for a particular fiscal year, the number of membership
19 pupils in a district who are determined under sub-subparagraph (A)
20 to be economically disadvantaged or to be eligible based on the
21 identified student percentage varies by more than 20 percentage
22 points from the number of those pupils in the district as
23 calculated under sub-subparagraph (A) for the immediately preceding
24 fiscal year caused by an egregious reporting error by the district,
25 the department may choose to have the calculations under sub-
26 subparagraph (A) instead be made using the number of membership
27 pupils in the district who are determined to be economically
28 disadvantaged, as reported to the center in the form and manner
29 prescribed by the center not later than the fifth Wednesday after



1 the supplemental count day of the immediately preceding fiscal
2 year.

3 (ii) Each district or public school academy must be assigned an
4 opportunity index score each fiscal year, the value of which is the
5 quotient of the number of economically disadvantaged pupils as
6 determined under this subdivision for the district or public school
7 academy and the total number of pupils in the district or public
8 school academy in the immediately preceding fiscal year, multiplied
9 by 100 and rounded up to the nearest whole number. Each district or
10 public school academy must be assigned an opportunity index band as
11 follows:

12 (A) A district with an opportunity index score greater than or
13 equal to 0 but less than 20 must be assigned to band 1 and shall
14 receive an additional weighted pupil membership of at least 0.1994
15 and not more than 0.2051 for each economically disadvantaged pupil.
16 The additional weighted pupil membership under this sub-
17 subparagraph must be an amount equal to the district's opportunity
18 index score minus 1, multiplied by the band adjustment factor
19 applicable to this subdivision, plus 0.1994 multiplied by the
20 number of pupils identified as economically disadvantaged under
21 this sub-subparagraph. The additional weighted pupil membership
22 under this sub-subparagraph must be increased as follows until it
23 reaches between 0.35 and 0.36 per economically disadvantaged pupil:

24 (I) For 2027-2028, a district assigned to band 1 must receive
25 an additional weighted pupil membership of at least 0.2101 and not
26 more than 0.2162 for each economically disadvantaged pupil.

27 (II) For 2028-2029, a district assigned to band 1 must receive
28 an additional weighted pupil membership of at least 0.2209 and not
29 more than 0.2272 for each economically disadvantaged pupil.



1 (III) For 2029-2030, a district assigned to band 1 must
2 receive an additional weighted pupil membership of at least 0.2316
3 and not more than 0.2383 for each economically disadvantaged pupil.

4 (IV) For 2030-2031, a district assigned to band 1 must receive
5 an additional weighted pupil membership of at least 0.2424 and not
6 more than 0.2493 for each economically disadvantaged pupil.

7 (V) For 2031-2032, a district assigned to band 1 must receive
8 an additional weighted pupil membership of at least 0.2531 and not
9 more than 0.2604 for each economically disadvantaged pupil.

10 (VI) For 2032-2033, a district assigned to band 1 must receive
11 an additional weighted pupil membership of at least 0.2638 and not
12 more than 0.2714 for each economically disadvantaged pupil.

13 (VII) For 2033-2034, a district assigned to band 1 must
14 receive an additional weighted pupil membership of at least 0.2746
15 and not more than 0.2825 for each economically disadvantaged pupil.

16 (VIII) For 2034-2035, a district assigned to band 1 must
17 receive an additional weighted pupil membership of at least 0.2853
18 and not more than 0.2935 for each economically disadvantaged pupil.

19 (IX) For 2035-2036, a district assigned to band 1 must receive
20 an additional weighted pupil membership of at least 0.2961 and not
21 more than 0.3046 for each economically disadvantaged pupil.

22 (X) For 2036-2037, a district assigned to band 1 must receive
23 an additional weighted pupil membership of at least 0.3068 and not
24 more than 0.3156 for each economically disadvantaged pupil.

25 (XI) For 2037-2038, a district assigned to band 1 must receive
26 an additional weighted pupil membership of at least 0.3176 and not
27 more than 0.3267 for each economically disadvantaged pupil.

28 (XII) For 2038-2039, a district assigned to band 1 must
29 receive an additional weighted pupil membership of at least 0.3283

1 and not more than 0.3377 for each economically disadvantaged pupil.

2 (XIII) For 2039-2040, a district assigned to band 1 must
3 receive an additional weighted pupil membership of at least 0.3391
4 and not more than 0.3488 for each economically disadvantaged pupil.

5 (XIV) For 2040-2041 and every fiscal year thereafter, a
6 district assigned to band 1 must receive an additional weighted
7 pupil membership of at least 0.35 and not more than 0.36 for each
8 economically disadvantaged pupil.

9 (B) A district with an opportunity index score greater than or
10 equal to 20 but less than 44 must be assigned to band 2 and shall
11 receive an additional weighted pupil membership of at least 0.2051
12 and not more than 0.2136 for each economically disadvantaged pupil.
13 The additional weighted pupil membership under this sub-
14 subparagraph must be an amount equal to the district's opportunity
15 index score minus 20, multiplied by the band adjustment factor
16 applicable to this subdivision, plus 0.2051 multiplied by the
17 number of pupils identified as economically disadvantaged under
18 this sub-subparagraph. The additional weighted pupil membership
19 under this sub-subparagraph must be increased as follows until it
20 reaches between 0.36 and 0.375 per economically disadvantaged
21 pupil:

22 (I) For 2027-2028, a district assigned to band 2 must receive
23 an additional weighted pupil membership of at least 0.2162 and not
24 more than 0.2251 for each economically disadvantaged pupil.

25 (II) For 2028-2029, a district assigned to band 2 must receive
26 an additional weighted pupil membership of at least 0.2272 and not
27 more than 0.2367 for each economically disadvantaged pupil.

28 (III) For 2029-2030, a district assigned to band 2 must
29 receive an additional weighted pupil membership of at least 0.2383

1 and not more than 0.2482 for each economically disadvantaged pupil.

2 (IV) For 2030-2031, a district assigned to band 2 must receive
3 an additional weighted pupil membership of at least 0.2493 and not
4 more than 0.2597 for each economically disadvantaged pupil.

5 (V) For 2031-2032, a district assigned to band 2 must receive
6 an additional weighted pupil membership of at least 0.2604 and not
7 more than 0.2712 for each economically disadvantaged pupil.

8 (VI) For 2032-2033, a district assigned to band 2 must receive
9 an additional weighted pupil membership of at least 0.2714 and not
10 more than 0.2827 for each economically disadvantaged pupil.

11 (VII) For 2033-2034, a district assigned to band 2 must
12 receive an additional weighted pupil membership of at least 0.2825
13 and not more than 0.2942 for each economically disadvantaged pupil.

14 (VIII) For 2034-2035, a district assigned to band 2 must
15 receive an additional weighted pupil membership of at least 0.2935
16 and not more than 0.3057 for each economically disadvantaged pupil.

17 (IX) For 2035-2036, a district assigned to band 2 must receive
18 an additional weighted pupil membership of at least 0.3046 and not
19 more than 0.3172 for each economically disadvantaged pupil.

20 (X) For 2036-2037, a district assigned to band 2 must receive
21 an additional weighted pupil membership of at least 0.3156 and not
22 more than 0.3288 for each economically disadvantaged pupil.

23 (XI) For 2037-2038, a district assigned to band 2 must receive
24 an additional weighted pupil membership of at least 0.3267 and not
25 more than 0.3403 for each economically disadvantaged pupil.

26 (XII) For 2038-2039, a district assigned to band 2 must
27 receive an additional weighted pupil membership of at least 0.3377
28 and not more than 0.3518 for each economically disadvantaged pupil.

29 (XIII) For 2039-2040, a district assigned to band 2 must



1 receive an additional weighted pupil membership of at least 0.3488
2 and not more than 0.3633 for each economically disadvantaged pupil.

3 (XIV) For 2040-2041 and every fiscal year thereafter, a
4 district assigned to band 2 must receive an additional weighted
5 pupil membership of at least 0.36 and not more than 0.375 for each
6 economically disadvantaged pupil.

7 (C) A district with an opportunity index score greater than or
8 equal to 44 but less than 59 must be assigned to band 3 and shall
9 receive an additional weighted pupil membership of at least 0.2136
10 and not more than 0.2223 for each economically disadvantaged pupil.
11 The additional weighted pupil membership under this sub-
12 subparagraph must be an amount equal to the district's opportunity
13 index score minus 44, multiplied by the band adjustment factor
14 applicable to this subdivision, plus 0.2136 multiplied by the
15 number of pupils identified as economically disadvantaged under
16 this sub-subparagraph. The additional weighted pupil membership
17 under this sub-subparagraph must be increased as follows until it
18 reaches between 0.375 and 0.39 per economically disadvantaged
19 pupil:

20 (I) For 2027-2028, a district assigned to band 3 must receive
21 an additional weighted pupil membership of at least 0.2251 and not
22 more than 0.2342 for each economically disadvantaged pupil.

23 (II) For 2028-2029, a district assigned to band 3 must receive
24 an additional weighted pupil membership of at least 0.2367 and not
25 more than 0.2462 for each economically disadvantaged pupil.

26 (III) For 2029-2030, a district assigned to band 3 must
27 receive an additional weighted pupil membership of at least 0.2482
28 and not more than 0.2582 for each economically disadvantaged pupil.

29 (IV) For 2030-2031, a district assigned to band 3 must receive



1 an additional weighted pupil membership of at least 0.2597 and not
2 more than 0.2701 for each economically disadvantaged pupil.

3 (V) For 2031-2032, a district assigned to band 3 must receive
4 an additional weighted pupil membership of at least 0.2712 and not
5 more than 0.2821 for each economically disadvantaged pupil.

6 (VI) For 2032-2033, a district assigned to band 3 must receive
7 an additional weighted pupil membership of at least 0.2827 and not
8 more than 0.2941 for each economically disadvantaged pupil.

9 (VII) For 2033-2034, a district assigned to band 3 must
10 receive an additional weighted pupil membership of at least 0.2942
11 and not more than 0.3061 for each economically disadvantaged pupil.

12 (VIII) For 2034-2035, a district assigned to band 3 must
13 receive an additional weighted pupil membership of at least 0.3057
14 and not more than 0.3180 for each economically disadvantaged pupil.

15 (IX) For 2035-2036, a district assigned to band 3 must receive
16 an additional weighted pupil membership of at least 0.3172 and not
17 more than 0.3300 for each economically disadvantaged pupil.

18 (X) For 2036-2037, a district assigned to band 3 must receive
19 an additional weighted pupil membership of at least 0.3288 and not
20 more than 0.3420 for each economically disadvantaged pupil.

21 (XI) For 2037-2038, a district assigned to band 3 must receive
22 an additional weighted pupil membership of at least 0.3403 and not
23 more than 0.3540 for each economically disadvantaged pupil.

24 (XII) For 2038-2039, a district assigned to band 3 must
25 receive an additional weighted pupil membership of at least 0.3518
26 and not more than 0.3659 for each economically disadvantaged pupil.

27 (XIII) For 2039-2040, a district assigned to band 3 must
28 receive an additional weighted pupil membership of at least 0.3633
29 and not more than 0.3779 for each economically disadvantaged pupil.



(XIV) For 2040-2041 and every fiscal year thereafter, a district assigned to band 3 must receive an additional weighted pupil membership of at least 0.375 and not more than 0.39 for each economically disadvantaged pupil.

(D) A district with an opportunity index score greater than or equal to 59 but less than 73 must be assigned to band 4 and shall receive an additional weighted pupil membership of at least 0.2223 and not more than 0.2393 for each economically disadvantaged pupil. The additional weighted pupil membership under this sub-subparagraph must be an amount equal to the district's opportunity index score minus 59, multiplied by the band adjustment factor applicable to this sub-subparagraph, plus 0.2223 multiplied by the number of pupils identified as economically disadvantaged under this sub-subparagraph. The additional weighted pupil membership under this sub-subparagraph must be increased as follows until it reaches between 0.39 and 0.42 per economically disadvantaged pupil:

(I) For 2027-2028, a district assigned to band 4 must receive an additional weighted pupil membership of at least 0.2342 and not more than 0.2521 for each economically disadvantaged pupil.

(II) For 2028-2029, a district assigned to band 4 must receive an additional weighted pupil membership of at least 0.2462 and not more than 0.2650 for each economically disadvantaged pupil.

(III) For 2029-2030, a district assigned to band 4 must receive an additional weighted pupil membership of at least 0.2582 and not more than 0.2779 for each economically disadvantaged pupil.

(IV) For 2030-2031, a district assigned to band 4 must receive an additional weighted pupil membership of at least 0.2701 and not more than 0.2908 for each economically disadvantaged pupil.

(V) For 2031-2032, a district assigned to band 4 must receive



1 an additional weighted pupil membership of at least 0.2821 and not
2 more than 0.3037 for each economically disadvantaged pupil.

3 (VI) For 2032-2033, a district assigned to band 4 must receive
4 an additional weighted pupil membership of at least 0.2941 and not
5 more than 0.3166 for each economically disadvantaged pupil.

6 (VII) For 2033-2034, a district assigned to band 4 must
7 receive an additional weighted pupil membership of at least 0.3061
8 and not more than 0.3295 for each economically disadvantaged pupil.

9 (VIII) For 2034-2035, a district assigned to band 4 must
10 receive an additional weighted pupil membership of at least 0.3180
11 and not more than 0.3424 for each economically disadvantaged pupil.

12 (IX) For 2035-2036, a district assigned to band 4 must receive
13 an additional weighted pupil membership of at least 0.3300 and not
14 more than 0.3553 for each economically disadvantaged pupil.

15 (X) For 2036-2037, a district assigned to band 4 must receive
16 an additional weighted pupil membership of at least 0.3420 and not
17 more than 0.3682 for each economically disadvantaged pupil.

18 (XI) For 2037-2038, a district assigned to band 4 must receive
19 an additional weighted pupil membership of at least 0.3540 and not
20 more than 0.3811 for each economically disadvantaged pupil.

21 (XII) For 2038-2039, a district assigned to band 4 must
22 receive an additional weighted pupil membership of at least 0.3659
23 and not more than 0.3940 for each economically disadvantaged pupil.

24 (XIII) For 2039-2040, a district assigned to band 4 must
25 receive an additional weighted pupil membership of at least 0.3779
26 and not more than 0.4069 for each economically disadvantaged pupil.

27 (XIV) For 2040-2041 and every fiscal year thereafter, a
28 district assigned to band 3 must receive an additional weighted
29 pupil membership of at least 0.39 and not more than 0.42 for each

1 economically disadvantaged pupil.

2 (E) A district with an opportunity index score greater than or
3 equal to 73 but less than 85 must be assigned to band 5 and shall
4 receive an additional weighted pupil membership of at least 0.2393
5 and not more than 0.2679 for each economically disadvantaged pupil.
6 The additional weighted pupil membership under this sub-
7 subparagraph must be an amount equal to the district's opportunity
8 index score minus 73, multiplied by the band adjustment factor
9 applicable to this sub-subparagraph, plus 0.2393 multiplied by the
10 number of pupils identified as economically disadvantaged under
11 this sub-subparagraph. The additional weighted pupil membership
12 under this sub-subparagraph must be increased as follows until it
13 reaches between 0.42 and 0.47 per economically disadvantaged pupil:

14 (I) For 2027-2028, a district assigned to band 5 must receive
15 an additional weighted pupil membership of at least 0.2521 and not
16 more than 0.2823 for each economically disadvantaged pupil.

17 (II) For 2028-2029, a district assigned to band 5 must receive
18 an additional weighted pupil membership of at least 0.2650 and not
19 more than 0.2967 for each economically disadvantaged pupil.

20 (III) For 2029-2030, a district assigned to band 5 must
21 receive an additional weighted pupil membership of at least 0.2779
22 and not more than 0.3112 for each economically disadvantaged pupil.

23 (IV) For 2030-2031, a district assigned to band 5 must receive
24 an additional weighted pupil membership of at least 0.2908 and not
25 more than 0.3256 for each economically disadvantaged pupil.

26 (V) For 2031-2032, a district assigned to band 5 must receive
27 an additional weighted pupil membership of at least 0.3037 and not
28 more than 0.3400 for each economically disadvantaged pupil.

29 (VI) For 2032-2033, a district assigned to band 5 must receive

1 an additional weighted pupil membership of at least 0.3166 and not
2 more than 0.3544 for each economically disadvantaged pupil.

3 (VII) For 2033-2034, a district assigned to band 5 must
4 receive an additional weighted pupil membership of at least 0.3295
5 and not more than 0.3689 for each economically disadvantaged pupil.

6 (VIII) For 2034-2035, a district assigned to band 5 must
7 receive an additional weighted pupil membership of at least 0.3424
8 and not more than 0.3833 for each economically disadvantaged pupil.

9 (IX) For 2035-2036, a district assigned to band 5 must receive
10 an additional weighted pupil membership of at least 0.3553 and not
11 more than 0.3977 for each economically disadvantaged pupil.

12 (X) For 2036-2037, a district assigned to band 5 must receive
13 an additional weighted pupil membership of at least 0.3682 and not
14 more than 0.4122 for each economically disadvantaged pupil.

15 (XI) For 2037-2038, a district assigned to band 5 must receive
16 an additional weighted pupil membership of at least 0.3811 and not
17 more than 0.4266 for each economically disadvantaged pupil.

18 (XII) For 2038-2039, a district assigned to band 5 must
19 receive an additional weighted pupil membership of at least 0.3940
20 and not more than 0.4410 for each economically disadvantaged pupil.

21 (XIII) For 2039-2040, a district assigned to band 5 must
22 receive an additional weighted pupil membership of at least 0.4069
23 and not more than 0.4555 for each economically disadvantaged pupil.

24 (XIV) For 2040-2041 and every fiscal year thereafter, a
25 district assigned to band 5 must receive an additional weighted
26 pupil membership of at least 0.42 and not more than 0.47 for each
27 economically disadvantaged pupil.

28 (F) A district with an opportunity index score greater than or
29 equal to 85 must be assigned to band 6 and shall receive an

1 additional weighted pupil membership at a rate of 0.2679 for each
2 economically disadvantaged pupil. It is intended that the
3 additional weighted pupil membership under this sub-subparagraph
4 will be increased as follows until it reaches 0.47 per economically
5 disadvantaged pupil:

6 (I) For 2027-2028, a district assigned to band 6 must receive
7 an additional weighted pupil membership of 0.2823 for each
8 economically disadvantaged pupil.

9 (II) For 2028-2029, a district assigned to band 6 must receive
10 an additional weighted pupil membership of 0.2967 for each
11 economically disadvantaged pupil.

12 (III) For 2029-2030, a district assigned to band 6 must
13 receive an additional weighted pupil membership of 0.3112 for each
14 economically disadvantaged pupil.

15 (IV) For 2030-2031, a district assigned to band 6 must receive
16 an additional weighted pupil membership of 0.3256 for each
17 economically disadvantaged pupil.

18 (V) For 2031-2032, a district assigned to band 6 must receive
19 an additional weighted pupil membership of 0.3400 for each
20 economically disadvantaged pupil.

21 (VI) For 2032-2033, a district assigned to band 6 must receive
22 an additional weighted pupil membership of 0.3544 for each
23 economically disadvantaged pupil.

24 (VII) For 2033-2034, a district assigned to band 6 must
25 receive an additional weighted pupil membership of 0.3689 for each
26 economically disadvantaged pupil.

27 (VIII) For 2034-2035, a district assigned to band 6 must
28 receive an additional weighted pupil membership of 0.3833 for each
29 economically disadvantaged pupil.

1 (IX) For 2035-2036, a district assigned to band 6 must receive
2 an additional weighted pupil membership of 0.3977 for each
3 economically disadvantaged pupil.

4 (X) For 2036-2037, a district assigned to band 6 must receive
5 an additional weighted pupil membership of 0.4122 for each
6 economically disadvantaged pupil.

7 (XI) For 2037-2038, a district assigned to band 6 must receive
8 an additional weighted pupil membership of 0.4266 for each
9 economically disadvantaged pupil.

10 (XII) For 2038-2039, a district assigned to band 6 must
11 receive an additional weighted pupil membership of 0.4410 for each
12 economically disadvantaged pupil.

13 (XIII) For 2039-2040, a district assigned to band 6 must
14 receive an additional weighted pupil membership of 0.4555 for each
15 economically disadvantaged pupil.

16 (XIV) For 2040-2041 and every fiscal year thereafter, a
17 district assigned to band 6 must receive an additional weighted
18 pupil membership of 0.47 for each economically disadvantaged pupil.

19 (G) As used in this subparagraph, "band adjustment factor"
20 means an amount equal to the difference between the lowest and
21 highest reimbursement bounds for each band, divided by the number
22 of possible opportunity index scores in that band.

23 (c) To assist the legislature in determining necessary funding
24 levels to support foundation allowance payments for weighted pupil
25 membership calculated in this subsection, each revenue estimating
26 conference conducted under section 367b of the management and
27 budget act, 1984 PA 431, MCL 18.1367b, must include estimated pupil
28 counts necessary to determine a weighted pupil membership under
29 this subsection for the current and subsequent 2 fiscal years.



(d) As used in this subsection:

(i) "Economically disadvantaged" means a pupil who has been determined eligible for free or reduced-price meals as determined under the Richard B. Russell national school lunch act, 42 USC 1751 to 1769j; who is in a household receiving supplemental nutrition assistance program or temporary assistance for needy families assistance; or who is homeless, migrant, or in foster care, as reported to the center.

(ii) "English language learner" means limited English proficient pupils who speak a language other than English as their primary language and have difficulty speaking, reading, writing, or understanding English as reported to the center.

~~Sec. 11. (1) For the fiscal year ending September 30, 2025, there is appropriated for the public schools of this state and certain other state purposes relating to education the sum of \$17,936,546,300.00 from the state school aid fund, the sum of \$78,830,600.00 from the general fund, an amount not to exceed \$41,000,000.00 from the community district education trust fund created under section 12 of the Michigan trust fund act, 2000 PA 489, MCL 12.262, an amount not to exceed \$125,000,000.00 from the school transportation fund created under section 22k, an amount not to exceed \$71,000,000.00 from the enrollment stabilization fund created under section 29, an amount not to exceed \$30,000,000.00 from the school meals reserve fund created under section 30e, an amount not to exceed \$18,000,000.00 from the great start readiness program reserve fund created under section 32e, an amount not to exceed \$481,400,000.00 from the MPSEERS retirement obligation reform reserve fund created under section 147b, and an amount not to exceed \$30,000,000.00 from the educator fellowship public provider~~



~~fund created in section 27d.~~ For the fiscal year ending September 30, 2026, there is appropriated for the public schools of this state and certain other state purposes relating to education the sum of ~~\$18,366,334,700.00~~ **\$18,189,425,300.00** from the state school aid fund, the sum of \$73,151,100.00 from the general fund, an amount not to exceed \$100,000,000.00 from the school consolidation and infrastructure fund created under section 11x, an amount not to exceed \$125,000,000.00 from the school transportation fund created under section 22k, an amount not to exceed \$71,000,000.00 from the enrollment stabilization fund created under section 29, an amount not to exceed \$18,000,000.00 from the great start readiness program reserve fund created under section 32e, an amount not to exceed \$30,000,000.00 from the educator fellowship public provider fund created under section 27d, an amount not to exceed \$97,037,400.00 from the state school aid pupil support reserve fund created under section 22r, and an amount not to exceed \$600,000.00 from the general pupil support reserve fund created under section 22s. **For the fiscal year ending September 30, 2027, there is appropriated for the public schools of this state and certain other state purposes relating to education the sum of \$19,143,728,500.00 from the state school aid fund, the sum of \$50,834,900.00 from the general fund, an amount not to exceed \$125,000,000.00 from the school transportation fund created under section 22k, an amount not to exceed \$130,000,000.00 from the enrollment stabilization fund created under section 29, an amount not to exceed \$18,000,000.00 from the great start readiness program reserve fund created under section 32e, an amount not to exceed \$30,000,000.00 from the educator fellowship public provider fund created under section 27d, an amount not to exceed \$119,037,400.00 from the state school aid**



1 **pupil support reserve fund created under section 22r, and an amount**
2 **not to exceed \$720,000.00 from the general pupil support reserve**
3 **fund created under section 22s.** In addition, all available federal
4 funds are only appropriated as allocated in this article for the
5 fiscal years ending ~~September 30, 2025 and September 30, 2026~~ **and**
6 **September 30, 2027.**

7 (2) The appropriations under this section are allocated as
8 provided in this article. Money appropriated under this section
9 from the general fund must be expended to fund the purposes of this
10 article before the expenditure of money appropriated under this
11 section from the state school aid fund.

12 (3) Any general fund allocations under this article that are
13 not expended by the end of the fiscal year are transferred to the
14 school aid stabilization fund created under section 11a.

15 Sec. 11a. (1) The school aid stabilization fund is created as
16 a separate account within the state school aid fund.

17 (2) The state treasurer may receive money or other assets from
18 any source for deposit into the school aid stabilization fund. The
19 state treasurer shall deposit into the school aid stabilization
20 fund all of the following:

21 (a) Unexpended and unencumbered state school aid fund revenue
22 for a fiscal year that remains in the state school aid fund as of
23 the bookclosing for that fiscal year.

24 (b) Money statutorily dedicated to the school aid
25 stabilization fund.

26 (c) Money appropriated to the school aid stabilization fund.

27 (3) Money available in the school aid stabilization fund may
28 not be expended without a specific appropriation from the school
29 aid stabilization fund. Money in the school aid stabilization fund



1 must be expended only for purposes for which state school aid fund
2 money may be expended.

3 (4) The state treasurer shall direct the investment of the
4 school aid stabilization fund. The state treasurer shall credit to
5 the school aid stabilization fund interest and earnings from fund
6 investments.

7 (5) Money in the school aid stabilization fund at the close of
8 a fiscal year remains in the school aid stabilization fund and does
9 not lapse to the unreserved school aid fund balance or the general
10 fund.

11 (6) If the maximum amount appropriated under section 11 from
12 the state school aid fund for a fiscal year exceeds the amount
13 available for expenditure from the state school aid fund for that
14 fiscal year, there is appropriated from the school aid
15 stabilization fund to the state school aid fund an amount equal to
16 the projected shortfall as determined by the department of
17 treasury, but not to exceed available money in the school aid
18 stabilization fund. If the money in the school aid stabilization
19 fund is insufficient to fully fund an amount equal to the projected
20 shortfall, the state budget director shall notify the legislature
21 as required under section 296(2) and state payments in an amount
22 equal to the remainder of the projected shortfall must be prorated
23 in the manner provided under section 296(3).

24 (7) For ~~2025-2026~~**2026-2027**, in addition to the appropriations
25 in section 11, there is appropriated from the school aid
26 stabilization fund to the state school aid fund the amount
27 necessary to fully fund the allocations under this article.

28 Sec. 11j. From the state school aid fund money appropriated in
29 section 11, there is allocated an amount not to exceed



1 \$23,000,000.00 for ~~2025-2026~~**2026-2027** for payments to the school
 2 loan bond redemption fund in the department of treasury on behalf
 3 of districts and intermediate districts. Notwithstanding section
 4 296 or any other provision of this act, funds allocated under this
 5 section are not subject to proration and must be paid in full.

6 Sec. 11k. For ~~2025-2026~~**2026-2027**, there is appropriated from
 7 the general fund to the school loan revolving fund an amount equal
 8 to the amount of school bond loans assigned to the Michigan finance
 9 authority, not to exceed the total amount of school bond loans held
 10 in reserve as long-term assets. As used in this section, "school
 11 loan revolving fund" means that fund created in section 16c of the
 12 shared credit rating act, 1985 PA 227, MCL 141.1066c.

13 Sec. 11m. From the state school aid fund money appropriated in
 14 section 11, there is allocated for ~~2025-2026~~**2026-2027** an amount
 15 not to exceed \$5,000,000.00 for fiscal year cash-flow borrowing
 16 costs solely related to the state school aid fund established under
 17 section 11 of article IX of the state constitution of 1963.

18 Sec. 11s. (1) From the state school aid fund money
 19 appropriated in section 11, there is allocated \$5,000,000.00 for
 20 ~~2025-2026~~**2026-2027** only and from the general fund money
 21 appropriated in section 11, there is allocated \$3,000,000.00 for
 22 ~~2025-2026~~**2026-2027** only for the purpose of providing services and
 23 programs to children who reside within the boundaries of a district
 24 with the majority of its territory located within the boundaries of
 25 a city for which an executive proclamation of emergency concerning
 26 drinking water is issued in the current or immediately preceding 10
 27 fiscal years under the emergency management act, 1976 PA 390, MCL
 28 30.401 to 30.421, and that has at least 4,500 pupils in membership
 29 for the 2016-2017 fiscal year or has at least 2,600 pupils in



1 membership for a fiscal year after 2016-2017.

2 (2) From the general fund money allocated in subsection (1),
3 there is allocated to a district with the majority of its territory
4 located within the boundaries of a city for which an executive
5 proclamation of emergency concerning drinking water is issued in
6 the current or immediately preceding 10 fiscal years under the
7 emergency management act, 1976 PA 390, MCL 30.401 to 30.421, and
8 that has at least 4,500 pupils in membership for the 2016-2017
9 fiscal year or has at least 2,600 pupils in membership for a fiscal
10 year after 2016-2017, an amount not to exceed \$2,425,000.00 for
11 ~~2025-2026~~**2026-2027** for the purpose of employing school nurses,
12 classroom aides, school social workers, and community health
13 workers; for the provision of behavioral or mental health supports,
14 parental engagement activities, community coordination activities,
15 and other support services; and for purchasing program supplies.
16 The district shall provide a report to the department in a form,
17 manner, and frequency prescribed by the department. The department
18 shall provide a copy of that report to the governor, the house and
19 senate school aid subcommittees, the house and senate fiscal
20 agencies, and the state budget director within 5 days after
21 receipt. The report must provide at least the following
22 information:

23 (a) How many personnel were hired using the funds allocated
24 under this subsection.

25 (b) A description of the services provided to pupils by those
26 personnel.

27 (c) How many pupils received each type of service identified
28 in subdivision (b).

29 (d) Any other information the department considers necessary



1 to ensure that the children described in subsection (1) received
2 appropriate levels and types of services.

3 (3) For ~~2025-2026~~**-2026-2027** only, from the general fund money
4 allocated in subsection (1), there is allocated an amount not to
5 exceed \$575,000.00 for nutritional services to children described
6 in subsection (1).

7 (4) For ~~2025-2026~~**-2026-2027** only, from the state school aid
8 fund money allocated in subsection (1), there is allocated an
9 amount not to exceed \$5,000,000.00 to an intermediate district that
10 has a constituent district described in subsection (2) for
11 interventions and supports for students in grades K to 12 who were
12 impacted by an executive proclamation of emergency described in
13 subsection (1) concerning drinking water. Funds under this
14 subsection must be used for behavioral supports, social workers,
15 counselors, psychologists, nursing services, including, but not
16 limited to, vision and hearing services, transportation services,
17 parental engagement, community coordination, and other support
18 services.

19 (5) Notwithstanding section 17b, the department shall make
20 payments under this section on a schedule determined by the
21 department.

22 Sec. 11x. (1) The school consolidation and infrastructure fund
23 is created as a separate account within the state school aid fund
24 for the purpose of improving student academic outcomes, increasing
25 the efficiency of the state's public education system, and creating
26 a healthy and safe space for students in this state.

27 (2) The state treasurer may receive money or other assets from
28 any source for deposit into the school consolidation and
29 infrastructure fund. The state treasurer shall direct the



1 investment of the school consolidation and infrastructure fund. The
2 state treasurer shall credit to the school consolidation and
3 infrastructure fund interest and earnings from school consolidation
4 and infrastructure fund investments.

5 (3) Money in the school consolidation and infrastructure fund
6 at the close of the fiscal year remains in the school consolidation
7 and infrastructure fund and does not lapse to the state school aid
8 fund or the general fund.

9 (4) The department of treasury is the administrator of the
10 school consolidation and infrastructure fund for auditing purposes.

11 (5) Money available in the school consolidation and
12 infrastructure fund must not be expended without a specific
13 appropriation.

14 (6) From the state school aid fund money appropriated under
15 section 11, there is allocated for 2022-2023 only an amount not to
16 exceed \$5,000,000.00 for grants to districts and intermediate
17 districts to support the cost of a feasibility study or analysis of
18 consolidation or the consolidation of services among 1 or more
19 buildings within a district, among 1 or more districts, or among 1
20 or more intermediate districts. Districts and intermediate
21 districts may apply for a grant under this subsection to the
22 department on a first-come, first-serve basis. The maximum amount
23 of a grant to be distributed under this subsection may not exceed
24 \$250,000.00. Notwithstanding section 17b, the department shall make
25 payments under this subsection on a schedule determined by the
26 department.

27 (7) To be eligible for a grant under subsection (6), a
28 district or intermediate district must demonstrate to the
29 department, in the manner prescribed by the department, that it



1 will conduct a feasibility study or analysis and that all of the
2 following will be met:

3 (a) Within 30 days after completion of the study or analysis,
4 the district or intermediate district will make the results of the
5 study or analysis available to all districts and intermediate
6 districts included in the study or analysis. Within 60 days after
7 the completion of the study or analysis, the district or
8 intermediate district will make the results available on a publicly
9 available website.

10 (b) The study or analysis may include, but is not limited to,
11 consolidation opportunities in the following areas:

12 (i) Financial services, which may include, but is not limited
13 to, the following:

14 (A) Budgeting and staffing.

15 (B) Payroll.

16 (C) Employee benefits.

17 (D) State reporting.

18 (E) Software consolidation to achieve common software
19 throughout the intermediate district.

20 (ii) Human resources, which may include, but is not limited to,
21 the following:

22 (A) Onboarding.

23 (B) Title IX administration.

24 (C) Hiring.

25 (D) Software consolidation to achieve common software
26 throughout the intermediate district.

27 (iii) Information technology, which may include, but is not
28 limited to, the following:

29 (A) Software consolidation to achieve common software



1 throughout the intermediate district.

2 (B) Fiber projects.

3 (C) Cybersecurity.

4 (D) One-to-one device management.

5 (iv) Grant management and reporting, which may include, but is
6 not limited to, the following:

7 (A) Management of all state grant sites and databases.

8 (B) Grant reporting.

9 (v) Cash management, which may include, but is not limited to,
10 the opportunities for intermediate districts and districts to
11 contract on cash flow management to maximize interest earnings.

12 (vi) Debt issuance and management, including at least all of
13 the following:

14 (A) Refunding opportunities.

15 (B) New bond issue analysis.

16 (vii) School facility consolidation.

17 (viii) Consolidation of transportation-related activities.

18 (ix) The physical consolidation of districts.

19 (8) An intermediate district that receives a grant under this
20 section shall meet with its constituent districts located within
21 the intermediate district to discuss the results of the study or
22 analysis and to implement changes where feasible. The application
23 for an intermediate district must include a brief description of
24 how the intermediate district will conduct these meetings.

25 (9) To be eligible for the receipt of funding for
26 infrastructure-related projects appropriated from the school
27 consolidation and infrastructure fund created under this section, a
28 district must allow for the facility condition assessments
29 described in **former** section 11y to be conducted in the district. It



1 is the intent of the legislature that money in the school
2 consolidation and infrastructure fund will not be appropriated for
3 infrastructure projects until the completion of the facility
4 condition assessments described in **former** section 11y.

5 (10) For 2025-2026, \$83,400,000.00 from the school
6 consolidation and infrastructure fund must be deposited into the
7 state school aid fund.

8 Sec. 11aa. (1) From the state school aid fund money
9 appropriated under section 11, there is allocated an amount not to
10 exceed \$20,000,000.00 for 2022-2023 only for the intermediate
11 district or consortium of intermediate districts receiving funding
12 under **former** section 11y for the purposes of including ASHRAE Level
13 II Energy Efficiency Audits or similar audits to the statewide
14 school facilities study under **former** section 11y. These funds may
15 also be utilized for solar feasibility studies or data collection
16 for solar feasibility.

17 (2) The recipient of funding under this section must use the
18 funds in coordination with engineers from architectural,
19 engineering, or construction companies based in this state that are
20 familiar with school construction and energy efficiency audits to
21 perform a systematic assessment for school buildings in this state
22 in which pupils in grades K to 12 are educated and that are
23 operated by a district. Where possible, the inclusion of solar
24 feasibility studies or data collection for solar feasibility may be
25 performed as well.

26 (3) The energy efficiency audit may include, but is not
27 limited to, the following building improvements:

28 (a) The following energy efficiency measures:

29 (i) HVAC upgrades, including geothermal heat pumps.



1 (ii) Lighting upgrades, including LED lights and occupancy
2 sensors.

3 (iii) Building envelope and weatherization.

4 (iv) Appliances and equipment.

5 (v) Building management systems.

6 (b) Solar power systems on or nearby school buildings, school
7 parking lots, and property.

8 (4) All energy efficiency audits and solar feasibility studies
9 or data collection for solar feasibility performed using these
10 funds must be shared with the appropriate school district in the
11 form of individual building reports.

12 (5) As part of the assessment described in this section, the
13 engineers must report to the recipient of funding under this
14 section the outcomes of the energy efficiency audits and, where
15 applicable, solar feasibility studies or data collection for solar
16 feasibility.

17 (6) The recipient of funding under this section must provide a
18 report to the house and senate appropriations subcommittees on
19 school aid, the state budget director, the house and senate fiscal
20 agencies, and the department summarizing the information it
21 receives under this section.

22 (7) Notwithstanding section 17b, the department must make
23 payments under this section by August 1, 2023.

24 Sec. 12d. (1) From the school consolidation and infrastructure
25 fund created under section 11x, there is allocated for 2023-2024
26 only an amount not to exceed \$110,000,000.00 for the purposes of
27 this section.

28 (2) From the amount allocated in subsection (1), there is
29 allocated an amount not to exceed \$75,000,000.00 for grants to



1 districts and intermediate districts to support costs related to
2 internal consolidation within the district or intermediate
3 district. All of the following apply to grants under this
4 subsection:

5 (a) The department shall allow grants for applicants that have
6 already taken actions for internal consolidation within the
7 previous 2 years and grants for applicants that have not yet begun
8 internal consolidation activities.

9 (b) The department shall prioritize applications from
10 districts and intermediate districts that meet any of the following
11 criteria:

12 (i) Are in an opportunity index band, as ~~described in section~~
13 ~~31a,~~ **determined under section 6(21)**, of 3 or higher.

14 (ii) Are an intermediate district for which the percentage of
15 pupils in membership who were determined to be economically
16 disadvantaged in the immediately preceding fiscal year is equal to
17 or greater than the minimum percentage for a district or public
18 school academy to be in an opportunity index band, as ~~described in~~
19 ~~section 31a,~~ **determined under section 6(21)**, of 3 or higher.

20 (iii) Are experiencing declining enrollment.

21 (iv) Have no ability to issue bonds for infrastructure needs,
22 or have made a good-faith effort, as determined by the department,
23 to issue bonds for infrastructure needs.

24 (c) Grants may be used for operational expenses related to
25 internal consolidation and for infrastructure needs. Infrastructure
26 needs may include, but are not limited to, the removal of
27 buildings.

28 (3) From the amount allocated in subsection (1),
29 \$35,000,000.00 is allocated as follows:



1 (a) \$15,000,000.00 to Detroit Public Schools Community
2 District to support the construction of the Cooley High School
3 athletic complex.

4 (b) \$10,000,000.00 to Wayne RESA to support the construction
5 of an academic and professional building in the city of Wayne.

6 (c) \$5,000,000.00 to Beecher Community School District to
7 support the construction of a high school in the district.

8 (d) \$4,000,000.00 to Taylor School District for costs related
9 to a new high school in the district.

10 (e) \$1,000,000.00 to the School District of the City of
11 Hamtramck to support the costs of building infrastructure upgrades
12 and maintenance.

13 (4) Subject to the provisions of this subsection, in addition
14 to the money appropriated in section 11, from the state school aid
15 fund, there is appropriated and allocated for 2025-2026 an amount
16 not to exceed \$4,000,000.00 to Taylor School District for costs
17 related to a new high school in the district or for other
18 infrastructure purposes. The appropriation and allocation under
19 this subsection is contingent on the effective issuance of a
20 directive by the budget director, pursuant to section 451a of the
21 management and budget act, 1984 PA 431, MCL ~~18.451a~~, **18.1451a**, to
22 lapse \$4,000,000.00 of remaining funding from a work project that
23 was established under this section in 2023-2024. The amount
24 allocated under this subsection may not exceed the amount lapsed
25 from the work project referenced in the immediately preceding
26 sentence.

27 (5) Notwithstanding section 17b, the department shall make
28 payments under this section on a schedule determined by the
29 department.



1 Sec. 12e. (1) From the school consolidation and infrastructure
2 fund money appropriated in section 11, there is allocated for 2025-
3 2026 only an amount estimated at \$100,000,000.00 for grants to
4 districts and intermediate districts for infrastructure needs as
5 described in this section.

6 (2) Districts and intermediate districts must apply on a
7 competitive basis for funding in a form and manner determined by
8 the department.

9 (3) If the amount allocated under subsection (1) is
10 insufficient to fully fund awards under this section, there is
11 appropriated from the school consolidation and infrastructure fund
12 described in section 11x the amount necessary to fully fund these
13 awards, or the maximum available in the fund, whichever is less.
14 The state budget director shall provide notification to the house
15 and senate appropriations subcommittees on school aid and the house
16 and senate fiscal agencies regarding any additional appropriation
17 described in this subsection.

18 (4) The department shall prioritize applications from
19 districts and intermediate districts that meet any of the following
20 criteria:

21 (a) Are in an opportunity index band, as ~~described in section~~
22 ~~31a,~~ **determined under section 6(21)**, of 4 or higher.

23 (b) Are an intermediate district for which the percentage of
24 pupils in membership who were determined to be economically
25 disadvantaged in the immediately preceding fiscal year is equal to
26 or greater than the minimum percentage for a district or public
27 school academy to be in an opportunity index band, as ~~described in~~
28 ~~section 31a,~~ **determined under section 6(21)**, of 4 or higher.

29 (c) Have infrastructure needs related to HVAC systems or



1 roofing.

2 (d) Have no ability to issue bonds for infrastructure needs,
3 or have made a good-faith effort, as determined by the department,
4 to issue bonds for infrastructure needs.

5 (5) Funds awarded in subsection (4) may be used only to
6 address infrastructure needs that were identified in the statewide
7 school facilities study issued pursuant to **the former** section 11y.

8 (6) The funds allocated under this section for 2025-2026 are a
9 work project appropriation, and any unexpended funds for 2025-2026
10 are carried forward into 2026-2027. The purpose of the work project
11 is to fund district and intermediate district infrastructure needs.
12 The estimated completion date of the work project is September 30,
13 2030.

14 (7) Notwithstanding section 17b, the department shall make
15 payments under this section on a schedule determined by the
16 department.

17 Sec. 15. (1) If a district or intermediate district fails to
18 receive its proper apportionment, the department, upon satisfactory
19 proof that the district or intermediate district was entitled
20 justly, shall apportion the deficiency in the next apportionment.
21 Subject to subsections (2) and (3), if a district or intermediate
22 district has received more than its proper apportionment, the
23 department, upon satisfactory proof, shall deduct the excess in the
24 next apportionment. Notwithstanding any other provision in this
25 article, state aid overpayments to a district, other than
26 overpayments in payments for special education or special education
27 transportation, may be recovered from any payment made under this
28 article other than a special education or special education
29 transportation payment, from the proceeds of a loan to the district



1 under the emergency municipal loan act, 1980 PA 243, MCL 141.931 to
2 141.942, or from the proceeds of millage levied or pledged under
3 section 1211 of the revised school code, MCL 380.1211. State aid
4 overpayments made in special education or special education
5 transportation payments may be recovered from subsequent special
6 education or special education transportation payments, from the
7 proceeds of a loan to the district under the emergency municipal
8 loan act, 1980 PA 243, MCL 141.931 to 141.942, or from the proceeds
9 of millage levied or pledged under section 1211 of the revised
10 school code, MCL 380.1211.

11 (2) If the result of an audit conducted by or for the
12 department affects the current fiscal year membership, the
13 department shall adjust affected payments in the current fiscal
14 year. A deduction due to an adjustment made as a result of an audit
15 conducted by or for the department, or as a result of information
16 obtained by the department from the district, an intermediate
17 district, the department of treasury, or the office of auditor
18 general, must be deducted from the district's apportionments when
19 the adjustment is finalized. At the request of the district and
20 upon the district presenting evidence satisfactory to the
21 department of the hardship, the department may grant up to an
22 additional 4 years for the adjustment and may advance payments to
23 the district otherwise authorized under this article if the
24 district would otherwise experience a significant hardship in
25 satisfying its financial obligations. However, a district that
26 presented satisfactory evidence of hardship and was undergoing an
27 extended adjustment during 2018-2019 may continue to use the period
28 of extended adjustment as originally granted by the department.

29 (3) If, based on an audit by the department or the



1 department's designee or because of new or updated information
2 received by the department, the department determines that the
3 amount paid to a district or intermediate district under this
4 article for the current fiscal year or a prior fiscal year was
5 incorrect, the department shall make the appropriate deduction or
6 payment in the district's or intermediate district's allocation in
7 the next apportionment after the adjustment is finalized. The
8 department shall calculate the deduction or payment according to
9 the law in effect in the fiscal year in which the incorrect amount
10 was paid. If the district does not receive an allocation for the
11 fiscal year or if the allocation is insufficient to pay the amount
12 of any deduction, the amount of any deduction otherwise applicable
13 must be satisfied from the proceeds of a loan to the district under
14 the emergency municipal loan act, 1980 PA 243, MCL 141.931 to
15 141.942, or from the proceeds of millage levied or pledged under
16 section 1211 of the revised school code, MCL 380.1211, as
17 determined by the department.

18 (4) If the department makes an adjustment under this section
19 based in whole or in part on a membership audit finding that a
20 district or intermediate district employed an educator in violation
21 of certification requirements under the revised school code and
22 rules promulgated by the department, the department shall prorate
23 the adjustment according to the period of noncompliance with the
24 certification requirements.

25 (5) The department may conduct audits, or may direct audits by
26 designee of the department, for the current fiscal year and the
27 immediately preceding fiscal year of all records related to a
28 program for which a district or intermediate district has received
29 funds under this article.



1 (6) Expenditures made by departments under this article that
2 are caused by the write-off of prior year accruals may be funded by
3 revenue from the write-off of prior year accruals.

4 (7) In addition to funds appropriated in section 11 for all
5 programs and services, there is appropriated for ~~2024-2025 and~~
6 2025-2026 **and 2026-2027** for obligations in excess of applicable
7 appropriations an amount equal to the collection of overpayments,
8 but not to exceed amounts available from overpayments.

9 Sec. 18. (1) Except as provided in another section of this
10 article, each district or other entity shall apply the money
11 received by the district or entity under this article to salaries
12 and other compensation of teachers and other employees, tuition,
13 transportation, lighting, heating, ventilation, water service, the
14 purchase of textbooks, other supplies, and any other school
15 operating expenditures defined in section 7. However, not more than
16 20% of the total amount received by a district under sections 22a
17 and 22b or received by an intermediate district under section 81
18 may be transferred by the board to either the capital projects fund
19 or to the debt retirement fund for debt service. A district or
20 other entity shall not apply or take the money for a purpose other
21 than as provided in this section. The department shall determine
22 the reasonableness of expenditures and may withhold from a
23 recipient of funds under this article the apportionment otherwise
24 due upon a violation by the recipient. A district must not be
25 prohibited or limited from using funds appropriated or allocated
26 under this article that are permitted for use for noninstructional
27 services to contract or subcontract with an intermediate district,
28 third party, or vendor for the noninstructional services.

29 (2) ~~A-Subject to subsection (17),~~ a district or intermediate



1 district shall adopt an annual budget in a manner that complies
2 with the uniform budgeting and accounting act, 1968 PA 2, MCL
3 141.421 to 141.440a. Within 15 days after a district board adopts
4 its annual operating budget for the following school fiscal year,
5 or after a district board adopts a subsequent revision to that
6 budget, the district shall make all of the following available
7 through a link on its website homepage, or may make the information
8 available through a link on its intermediate district's website
9 homepage, in a form and manner prescribed by the department:

10 (a) The annual operating budget and subsequent budget
11 revisions.

12 (b) Using data that have already been collected and submitted
13 to the department, a summary of district expenditures for the most
14 recent fiscal year for which they are available, expressed in the
15 following 2 visual displays:

16 (i) A chart of personnel expenditures, broken into the
17 following subcategories:

18 (A) Salaries and wages.

19 (B) Employee benefit costs, including, but not limited to,
20 medical, dental, vision, life, disability, and long-term care
21 benefits.

22 (C) Retirement benefit costs.

23 (D) All other personnel costs.

24 (ii) A chart of all district expenditures, broken into the
25 following subcategories:

26 (A) Instruction.

27 (B) Support services.

28 (C) Business and administration.

29 (D) Operations and maintenance.



1 (c) Links to all of the following:

2 (i) The current collective bargaining agreement for each
3 bargaining unit.

4 (ii) Each health care benefits plan, including, but not limited
5 to, medical, dental, vision, disability, long-term care, or any
6 other type of benefits that would constitute health care services,
7 offered to any bargaining unit or employee in the district.

8 (iii) The audit report of the financial audit conducted under
9 subsection (4) for the most recent fiscal year for which it is
10 available.

11 (iv) The bids required under section 5 of the public employees
12 health benefit act, 2007 PA 106, MCL 124.75.

13 (v) The district's written policy governing procurement of
14 supplies, materials, and equipment.

15 (vi) The district's written policy establishing specific
16 categories of reimbursable expenses, as described in section
17 1254(2) of the revised school code, MCL 380.1254.

18 (vii) Either the district's accounts payable check register for
19 the most recent school fiscal year or a statement of the total
20 amount of expenses incurred by board members or employees of the
21 district that were reimbursed by the district for the most recent
22 school fiscal year.

23 (d) The total salary and a description and cost of each fringe
24 benefit included in the compensation package for the superintendent
25 of the district and for each employee of the district whose salary
26 exceeds \$100,000.00.

27 (e) The annual amount spent on dues paid to associations.

28 (f) The annual amount spent on lobbying or lobbying services.

29 As used in this subdivision, "lobbying" means that term as defined



1 in section 5 of 1978 PA 472, MCL 4.415.

2 (g) Any deficit elimination plan or enhanced deficit
3 elimination plan the district was required to submit under the
4 revised school code.

5 (h) Identification of all credit cards maintained by the
6 district as district credit cards, the identity of all individuals
7 authorized to use each of those credit cards, the credit limit on
8 each credit card, and the dollar limit, if any, for each
9 individual's authorized use of the credit card.

10 (i) Costs incurred for each instance of out-of-state travel by
11 the school administrator of the district that is fully or partially
12 paid for by the district and the details of each of those instances
13 of out-of-state travel, including at least identification of each
14 individual on the trip, destination, and purpose.

15 (3) For the information required under subsection (2) (a),
16 (2) (b) (i), and (2) (c), an intermediate district shall provide the
17 same information in the same manner as required for a district
18 under subsection (2).

19 (4) For the purposes of determining the reasonableness of
20 expenditures, whether a district or intermediate district has
21 received the proper amount of funds under this article, and whether
22 a violation of this article has occurred, all of the following
23 apply:

24 (a) The department shall require that each district and
25 intermediate district have an audit of the district's or
26 intermediate district's financial and pupil accounting records
27 conducted at least annually, and at such other times as determined
28 by the department, at the expense of the district or intermediate
29 district, as applicable. The audits must be performed by a



1 certified public accountant or by the intermediate district
2 superintendent, as may be required by the department, or in the
3 case of a district of the first class by a certified public
4 accountant, the intermediate superintendent, or the auditor general
5 of the city. A district or intermediate district shall retain these
6 records for the current fiscal year and from at least the 3
7 immediately preceding fiscal years.

8 (b) If a district operates in a single building with fewer
9 than 700 full-time equated pupils, if the district has stable
10 membership, and if the error rate of the immediately preceding 2
11 pupil accounting field audits of the district is less than 2%, the
12 district may have a pupil accounting field audit conducted
13 biennially but must continue to have desk audits for each pupil
14 count. The auditor must document compliance with the audit cycle in
15 the pupil auditing manual. As used in this subdivision, "stable
16 membership" means that the district's membership for the current
17 fiscal year varies from the district's membership for the
18 immediately preceding fiscal year by less than 5%.

19 (c) A district's or intermediate district's annual financial
20 audit must include an analysis of the financial and pupil
21 accounting data used as the basis for distribution of state school
22 aid.

23 (d) The pupil and financial accounting records and reports,
24 audits, and management letters are subject to requirements
25 established in the auditing and accounting manuals approved and
26 published by the department.

27 (e) All of the following must be done not later than November
28 1 each year for reporting the prior fiscal year data:

29 (i) A district shall file the annual financial audit reports



1 with the intermediate district and the department. If the issuance
2 of single audits is delayed for the 2024-25 school year due to a
3 late issuance of a Compliance Supplement, the single audit portion
4 of that audit must be filed within 30 days of the issuance of the
5 Compliance Supplement by OMB.

6 (ii) The intermediate district shall file the annual financial
7 audit reports for the intermediate district with the department. If
8 the issuance of single audits is delayed for the 2024-25 school
9 year due to a late issuance of a Compliance Supplement, the single
10 audit portion of that audit must be filed within 30 days of the
11 issuance of the Compliance Supplement by OMB.

12 (iii) The intermediate district shall enter the pupil membership
13 audit reports, known as the audit narrative, for its constituent
14 districts and for the intermediate district, for the pupil
15 membership count day and supplemental count day, in the Michigan
16 student data system.

17 (f) The annual financial audit reports and pupil accounting
18 procedures reports must be available to the public in compliance
19 with the freedom of information act, 1976 PA 442, MCL 15.231 to
20 15.246.

21 (g) Not later than January 31 of each year, the department
22 shall notify the state budget director and the legislative
23 appropriations subcommittees responsible for review of the school
24 aid budget of districts and intermediate districts that have not
25 filed an annual financial audit and pupil accounting procedures
26 report required under this section for the school year ending in
27 the immediately preceding fiscal year.

28 (5) By the first business day in November of each fiscal year,
29 each district and intermediate district shall submit to the center,



1 in a manner prescribed by the center, annual comprehensive
2 financial data consistent with the district's or intermediate
3 district's audited financial statements and consistent with
4 accounting manuals and charts of accounts approved and published by
5 the department. For an intermediate district, the report must also
6 contain the website address where the department can access the
7 report required under section 620 of the revised school code, MCL
8 380.620. The department shall ensure that the prescribed Michigan
9 public school accounting manual chart of accounts includes standard
10 conventions to distinguish expenditures by allowable fund function
11 and object. The functions must include at minimum categories for
12 instruction, pupil support, instructional staff support, general
13 administration, school administration, business administration,
14 transportation, facilities operation and maintenance, facilities
15 acquisition, and debt service; and must include object
16 classifications of salary, benefits, including categories for
17 active employee health expenditures, purchased services, supplies,
18 capital outlay, and other. A district shall report the required
19 level of detail consistent with the manual as part of the
20 comprehensive annual financial report.

21 (6) By the last business day in September of each year, each
22 district and intermediate district shall file with the center the
23 special education actual cost report, known as "SE-4096", on a form
24 and in the manner prescribed by the center. An intermediate
25 district shall certify the audit of a district's report.

26 (7) By not later than 1 week after the last business day in
27 September of each year, each district and intermediate district
28 shall file with the center the audited transportation expenditure
29 report, known as "SE-4094", on a form and in the manner prescribed



1 by the center. An intermediate district shall certify the audit of
2 a district's report.

3 (8) The department shall review its pupil accounting and pupil
4 auditing manuals at least annually and shall periodically update
5 those manuals to reflect changes in this article. Any changes to
6 the pupil accounting manual that are applicable for the school year
7 that begins after March 31 of a fiscal year must be published by
8 not later than March 31 of that fiscal year. However, if
9 legislation is enacted that necessitates adjustments to the pupil
10 accounting manual after March 31 of a fiscal year, and a district
11 incurs a violation of the amended pupil accounting manual in the
12 subsequent fiscal year, the department must notify the district of
13 that violation and allow the district 30 days to correct the
14 violation before the department is allowed to impose financial
15 penalties under this act related to the violation.

16 (9) If a district that is a public school academy purchases
17 property using money received under this article, the public school
18 academy shall retain ownership of the property unless the public
19 school academy sells the property at fair market value.

20 (10) If a district or intermediate district does not comply
21 with subsections (4), (5), (6), (7), and (12), or if the department
22 determines that the financial data required under subsection (5)
23 are not consistent with audited financial statements, the
24 department shall withhold all state school aid due to the district
25 or intermediate district under this article, beginning with the
26 next payment due to the district or intermediate district, until
27 the district or intermediate district complies with subsections
28 (4), (5), (6), (7), and (12). If the district or intermediate
29 district does not comply with subsections (4), (5), (6), (7), and



1 (12) by the end of the fiscal year, the district or intermediate
2 district forfeits the amount withheld.

3 (11) ~~If~~ **Subject to subsection (17), if** a district or
4 intermediate district does not comply with subsection (2), the
5 department may withhold up to 10% of the total state school aid due
6 to the district or intermediate district under this article,
7 beginning with the next payment due to the district or intermediate
8 district, until the district or intermediate district complies with
9 subsection (2). If the district or intermediate district does not
10 comply with subsection (2) by the end of the fiscal year, the
11 district or intermediate district forfeits the amount withheld.

12 (12) By November 1 of each year, if a district or intermediate
13 district offers virtual learning under section 21f, or for a school
14 of excellence that is a cyber school, as defined in section 551 of
15 the revised school code, MCL 380.551, the district or intermediate
16 district shall submit to the department a report that details the
17 per-pupil costs of operating the virtual learning by vendor type
18 and virtual learning model. The report must include information
19 concerning the operation of virtual learning for the immediately
20 preceding school fiscal year, including information concerning
21 summer programming. Information must be collected in a form and
22 manner determined by the department and must be collected in the
23 most efficient manner possible to reduce the administrative burden
24 on reporting entities.

25 (13) By March 31 of each year, the department shall submit to
26 the house and senate appropriations subcommittees on state school
27 aid, the state budget director, and the house and senate fiscal
28 agencies a report summarizing the per-pupil costs by vendor type of
29 virtual courses available under section 21f and virtual courses



1 provided by a school of excellence that is a cyber school, as
2 defined in section 551 of the revised school code, MCL 380.551.

3 (14) As used in subsections (12) and (13), "vendor type" means
4 the following:

5 (a) Virtual courses provided by the Michigan Virtual
6 University.

7 (b) Virtual courses provided by a school of excellence that is
8 a cyber school, as defined in section 551 of the revised school
9 code, MCL 380.551.

10 (c) Virtual courses provided by third party vendors not
11 affiliated with a public school in this state.

12 (d) Virtual courses created and offered by a district or
13 intermediate district.

14 (15) An allocation to a district or another entity under this
15 article is contingent upon the district's or entity's compliance
16 with this section.

17 (16) The department shall annually submit to the senate and
18 house subcommittees on school aid and to the senate and house
19 standing committees on education an itemized list of allocations
20 under this article to any association or consortium consisting of
21 associations in the immediately preceding fiscal year. The report
22 must detail the recipient or recipients, the amount allocated, and
23 the purpose for which the funds were distributed.

24 **(17) If the legislature has not enacted and the governor has**
25 **not approved the general appropriations act for state school aid**
26 **for the fiscal year beginning July 1 of that year before July 1,**
27 **the department shall not withhold funds or impose any penalty under**
28 **subsection (11) against a district or intermediate district for**
29 **failure to comply with subsection (2) until 30 days after the**



1 enactment of the general appropriations act for state school aid
2 for that fiscal year.

3 Sec. 18a. (1) This subsection applies only to grant funds
4 awarded and allotted from appropriations in this article that have
5 not been designated as a work project appropriation under section
6 451a of the management and budget act, 1984 PA 431, MCL 1451a.

7 Except as otherwise provided in this article, grant funds **described**
8 **in this subsection that are** awarded and allotted to a district,
9 intermediate district, or other entity, unless otherwise specified
10 in this article, must be expended by the grant recipient before the
11 end of the fiscal year immediately following the fiscal year in
12 which the funds are received. Except as otherwise provided in this
13 article, if a grant recipient does not expend the funds received
14 under this article before the end of the fiscal year in which the
15 funds are received, the grant recipient shall submit a report to
16 the department not later than November 1 after the fiscal year in
17 which the funds are received indicating whether it expects to
18 expend those funds during the fiscal year in which the report is
19 submitted. Except as otherwise provided in this article, a
20 recipient of a grant shall return any unexpended grant funds to the
21 department in the manner prescribed by the department not later
22 than September 30 after the fiscal year in which the funds are
23 received.

24 (2) This subsection applies only to grant funds awarded and
25 allotted from appropriations in this article that have been
26 designated as a work project appropriation under section 451a of
27 the management and budget act, 1984 PA 431, MCL 18.1451a. Except as
28 otherwise provided in this article, grant funds described in this
29 subsection that are awarded and allotted to a district,



1 intermediate district, or other entity, unless otherwise specified
2 in this article, must be expended by the grant recipient before the
3 end of the fiscal year immediately following the fiscal year in
4 which the work project is closed pursuant to section 451a of the
5 management and budget act, 1984 PA 431, MCL 18.1451a. Except as
6 otherwise provided in this article, a recipient of a grant shall
7 return any unexpended grant funds to the department in the manner
8 prescribed by the department not later than September 30 after the
9 fiscal year in which the work project is closed.

10 Sec. 19. (1) A district or intermediate district shall comply
11 with all applicable reporting requirements specified in state and
12 federal law. Data provided to the center, in a form and manner
13 prescribed by the center, must be aggregated and disaggregated as
14 required by state and federal law. In addition, a district or
15 intermediate district shall cooperate with all measures taken by
16 the center to establish and maintain a statewide P-20 longitudinal
17 data system.

18 (2) Each district shall furnish to the center not later than 5
19 weeks after the pupil membership count day and by the last business
20 day in June of the school fiscal year ending in the fiscal year, in
21 a manner prescribed by the center, the information necessary for
22 the preparation of the district and high school graduation report,
23 information regarding completion of early middle college
24 credentials obtained and postsecondary credits obtained in any
25 college acceleration program, and information necessary for the
26 preparation of the state and federal accountability reports. This
27 information must meet requirements established in the pupil
28 auditing manual approved and published by the department. The
29 center shall calculate an annual graduation and pupil dropout rate



1 for each high school, each district, and this state, in compliance
2 with nationally recognized standards for these calculations. The
3 center shall report all graduation and dropout rates to the senate
4 and house education committees and appropriations committees, the
5 state budget director, and the department not later than 30 days
6 after the publication of the list described in subsection (5).
7 Before reporting these graduation and dropout rates, the department
8 shall allow a school or district to appeal the calculations. The
9 department shall consider and act upon the appeal within 30 days
10 after it is submitted and shall not report these graduation and
11 dropout rates until after all appeals have been considered and
12 decided.

13 (3) By the first business day in December and by the last
14 business day in June of each year, **and within 30 days of any change**
15 **in employment or assignment status related to a criminal act**, a
16 district shall furnish to the center, in a manner prescribed by the
17 center, information related to educational personnel and personnel
18 vacancies as necessary for reporting required by state and federal
19 law. For the purposes of this subsection, the center shall only
20 require districts and intermediate districts to report information
21 that is not already available from the office of retirement
22 services in the department of technology, management, and budget,
23 **including, but not limited to, vacancy start and end dates, reasons**
24 **for the vacancy, and vacancy termination.**

25 (4) If a district or intermediate district fails to meet the
26 requirements of this section, the department shall withhold 5% of
27 the total funds for which the district or intermediate district
28 qualifies under this article until the district or intermediate
29 district complies with this section. If the district or



1 intermediate district does not comply with this section by the end
2 of the fiscal year, the department shall place the amount withheld
3 in an escrow account until the district or intermediate district
4 complies with this section.

5 (5) Before publishing a list of school or district
6 accountability designations as required by the no child left behind
7 act of 2001, Public Law 107-110, or the every student succeeds act,
8 Public Law 114-95, and utilizing data that were certified as
9 accurate and complete after districts and intermediate districts
10 adhered to deadlines, data quality reviews, and correction
11 processes leading to local certification of final student data in
12 subsection (2), the department shall allow a school or district to
13 appeal any calculation errors used in the preparation of
14 accountability metrics. The department shall consider and act upon
15 the appeal within 30 days after it is submitted and shall not
16 publish the list until after all appeals have been considered and
17 decided.

18 (6) The department shall implement statewide standard
19 reporting requirements for education data approved by the
20 department in conjunction with the center. The department shall
21 work with the center, intermediate districts, districts, and other
22 interested stakeholders to implement this policy change. A district
23 or intermediate district shall implement the statewide standard
24 reporting requirements not later than 2017-2018 or when a district
25 or intermediate district updates its education data reporting
26 system, whichever is later.

27 (7) A district or intermediate district shall collect and
28 submit to the center tribal affiliation data for all students and
29 staff and the identification of student participation in federal



1 programs funded under 20 USC 7401 to 7546 and participation in
 2 federal programs funded under the Johnson-O'Malley ~~Supplemental~~
 3 **supplemental** Indian Education Program Modernization Act, ~~education~~
 4 **program modernization act**, Public Law 115-404. The data must be
 5 reported in a form and manner prescribed by the center in
 6 consultation with the federally recognized Indian tribes in this
 7 state and the department in adherence to the department's tribal
 8 consultation policy. A district or intermediate district shall
 9 begin completion of the reporting requirement under this subsection
 10 by not later than the 2024-2025 fiscal year.

11 Sec. 20. (1) For ~~2025-2026,~~ **2026-2027**, the target foundation
 12 allowance is ~~\$10,050.00.~~ **\$10,300.00.**

13 (2) The department shall calculate the amount of each
 14 district's foundation allowance as provided in this section, using
 15 a target foundation allowance in the amount specified in subsection
 16 (1).

17 (3) Except as otherwise provided in this section, the
 18 department shall calculate the amount of a district's foundation
 19 allowance as follows, using in all calculations the total amount of
 20 the district's foundation allowance as calculated before any
 21 proration:

22 (a) For a district that had a foundation allowance for the
 23 immediately preceding fiscal year that was equal to the target
 24 foundation allowance for the immediately preceding fiscal year, the
 25 district receives a foundation allowance in an amount equal to the
 26 target foundation allowance described in subsection (1) for the
 27 current fiscal year.

28 (b) For a district that had a foundation allowance for the
 29 immediately preceding fiscal year that was greater than the target



1 foundation allowance for the immediately preceding fiscal year, the
2 district's foundation allowance is an amount equal to the lesser of
3 (the sum of the district's foundation allowance for the immediately
4 preceding fiscal year plus any per pupil amount calculated under
5 section 20m(2) in the immediately preceding fiscal year plus the
6 increase in the target foundation allowance for the current fiscal
7 year, as compared to the immediately preceding fiscal year) or (the
8 product of the district's foundation allowance for the immediately
9 preceding fiscal year times the percentage increase in the United
10 States Consumer Price Index in the calendar year ending in the
11 immediately preceding fiscal year as reported by the May revenue
12 estimating conference conducted under section 367b of the
13 management and budget act, 1984 PA 431, MCL 18.1367b).

14 (c) For a district that had a foundation allowance in the
15 immediately preceding fiscal year that was less than the target
16 foundation allowance in effect for that fiscal year, the district's
17 foundation allowance is an amount equal to the lesser of (the sum
18 of district's foundation allowance for the immediately preceding
19 fiscal year plus any per pupil amount calculated under section
20 20m(2) in the immediately preceding fiscal year plus the increase
21 in the target foundation allowance for the current fiscal year, as
22 compared to the immediately preceding fiscal year) or (the product
23 of the district's foundation allowance for the immediately
24 preceding fiscal year times the percentage increase in the United
25 States Consumer Price Index in the calendar year ending in the
26 immediately preceding fiscal year as reported by the May revenue
27 estimating conference conducted under section 367b of the
28 management and budget act, 1984 PA 431, MCL 18.1367b).

29 (d) For a district that has a foundation allowance that is not



1 a whole dollar amount, the department shall round the district's
2 foundation allowance up to the nearest whole dollar.

3 (4) Except as otherwise provided in this subsection, the state
4 portion of a district's foundation allowance is an amount equal to
5 the district's foundation allowance or the target foundation
6 allowance for the current fiscal year, whichever is less, minus the
7 local portion of the district's foundation allowance. Except as
8 otherwise provided in this subsection, for a district described in
9 subsection (3)(b) and (c), the state portion of the district's
10 foundation allowance is an amount equal to the target foundation
11 allowance minus the district's foundation allowance supplemental
12 payment per pupil calculated under section 20m and minus the local
13 portion of the district's foundation allowance. For a district that
14 has a millage reduction required under section 31 of article IX of
15 the state constitution of 1963, the department shall calculate the
16 state portion of the district's foundation allowance as if that
17 reduction did not occur. For a receiving district, if school
18 operating taxes continue to be levied on behalf of a dissolved
19 district that has been attached in whole or in part to the
20 receiving district to satisfy debt obligations of the dissolved
21 district under section 12 of the revised school code, MCL 380.12,
22 the taxable value per membership pupil of property in the receiving
23 district used for the purposes of this subsection does not include
24 the taxable value of property within the geographic area of the
25 dissolved district. ~~For~~ **Before the fiscal year ending September 30,**
26 **2027, for** a community district, if school operating taxes continue
27 to be levied by a qualifying school district under section 12b of
28 the revised school code, MCL 380.12b, with the same geographic area
29 as the community district, the taxable value per membership pupil



1 of property in the community district to be used for the purposes
 2 of this subsection does not include the taxable value of property
 3 within the geographic area of the community district. **Beginning**
 4 **with the fiscal year ending September 30, 2027, it is the intent of**
 5 **the legislature that the previous sentence no longer applies and**
 6 **the taxable value per membership pupil of property in the community**
 7 **district used for the purposes of this subsection includes the**
 8 **taxable value of property within the geographic area of the**
 9 **community district on or after July 1, 2026 and thereafter.**

10 (5) The allocation calculated under this section for a pupil
 11 is based on the foundation allowance of the pupil's district of
 12 residence. For a pupil enrolled under section 105 or 105c in a
 13 district other than the pupil's district of residence, the
 14 allocation calculated under this section is based on the lesser of
 15 the foundation allowance of the pupil's district of residence or
 16 the foundation allowance of the educating district. For a pupil in
 17 membership in a K-5, K-6, or K-8 district who is enrolled in
 18 another district in a grade not offered by the pupil's district of
 19 residence, the allocation calculated under this section is based on
 20 the foundation allowance of the educating district if the educating
 21 district's foundation allowance is greater than the foundation
 22 allowance of the pupil's district of residence. The calculation
 23 under this subsection must take into account a district's per-pupil
 24 allocation under section 20m.

25 (6) Except as otherwise provided in this subsection, for
 26 pupils in membership, other than special education pupils, in a
 27 public school academy, the allocation calculated under this section
 28 is an amount per membership pupil other than special education
 29 pupils in the public school academy equal to the target foundation



1 allowance specified in subsection (1), or, for a public school
2 academy that was issued a contract under section 552 of the revised
3 school code, MCL 380.552, to operate as a school of excellence that
4 is a cyber school, ~~\$10,050.00.~~ **\$8,240.00.** Notwithstanding section
5 101, for a public school academy that begins operations after the
6 pupil membership count day, the amount per membership pupil
7 calculated under this subsection must be adjusted by multiplying
8 that amount per membership pupil by the number of hours of pupil
9 instruction provided by the public school academy after it begins
10 operations, as determined by the department, divided by the minimum
11 number of hours of pupil instruction required under section 101(3).
12 The result of this calculation must not exceed the amount per
13 membership pupil otherwise calculated under this subsection.

14 (7) For pupils in membership, other than special education
15 pupils, in a community district, the allocation calculated under
16 this section is an amount per membership pupil other than special
17 education pupils in the community district equal to the foundation
18 allowance of the qualifying school district, as described in
19 section 12b of the revised school code, MCL 380.12b, that is
20 located within the same geographic area as the community district.

21 (8) Subject to subsection (4), for a district that is formed
22 or reconfigured after June 1, 2002 by consolidation of 2 or more
23 districts or by annexation, the resulting district's foundation
24 allowance under this section beginning after the effective date of
25 the consolidation or annexation is the lesser of the sum of the
26 average of the foundation allowances of each of the original or
27 affected districts, calculated as provided in this section,
28 weighted as to the percentage of pupils in total membership in the
29 resulting district who reside in the geographic area of each of the



1 original or affected districts plus \$100.00 or the highest
2 foundation allowance among the original or affected districts. This
3 subsection does not apply to a receiving district unless there is a
4 subsequent consolidation or annexation that affects the district.
5 The calculation under this subsection must take into account a
6 district's per-pupil allocation under section 20m.

7 (9) The department shall round each fraction used in making
8 calculations under this section to the fourth decimal place and
9 shall round the dollar amount of an increase in the target
10 foundation allowance to the nearest whole dollar.

11 (10) State payments related to payment of the foundation
12 allowance for a special education pupil are not calculated under
13 this section but are instead calculated under section 51e.

14 (11) To assist the legislature in determining the target
15 foundation allowance for the subsequent fiscal year, each revenue
16 estimating conference conducted under section 367b of the
17 management and budget act, 1984 PA 431, MCL 18.1367b, must
18 calculate a pupil membership factor, a revenue adjustment factor,
19 and an index as follows:

20 (a) The pupil membership factor is computed by dividing the
21 estimated membership in the school year ending in the current
22 fiscal year, excluding intermediate district membership, by the
23 estimated membership for the school year ending in the subsequent
24 fiscal year, excluding intermediate district membership. If a
25 consensus membership factor is not determined at the revenue
26 estimating conference, the principals of the revenue estimating
27 conference shall report their estimates to the house and senate
28 subcommittees responsible for school aid appropriations not later
29 than 7 days after the conclusion of the revenue conference.



(b) The revenue adjustment factor is computed by dividing the sum of the estimated total state school aid fund revenue for the subsequent fiscal year plus the estimated total state school aid fund revenue for the current fiscal year, adjusted for any change in the rate or base of a tax the proceeds of which are deposited in that fund and excluding money transferred into that fund from the countercyclical budget and economic stabilization fund under the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594, by the sum of the estimated total school aid fund revenue for the current fiscal year plus the estimated total state school aid fund revenue for the immediately preceding fiscal year, adjusted for any change in the rate or base of a tax the proceeds of which are deposited in that fund. If a consensus revenue factor is not determined at the revenue estimating conference, the principals of the revenue estimating conference shall report their estimates to the house and senate subcommittees responsible for school aid appropriations not later than 7 days after the conclusion of the revenue conference.

(c) The index is calculated by multiplying the pupil membership factor by the revenue adjustment factor. If a consensus index is not determined at the revenue estimating conference, the principals of the revenue estimating conference shall report their estimates to the house and senate subcommittees responsible for state school aid appropriations not later than 7 days after the conclusion of the revenue conference.

(12) Payments to districts and public school academies are not made under this section. Rather, the calculations under this section are used to determine the amount of state payments under section 22b.



1 (13) If an amendment to section 2 of article VIII of the state
2 constitution of 1963 allowing state aid to some or all nonpublic
3 schools is approved by the voters of this state, each foundation
4 allowance or per-pupil payment calculation under this section may
5 be reduced.

6 (14) As used in this section:

7 (a) "Certified mills" means the lesser of 18 mills or the
8 number of mills of school operating taxes levied by the district in
9 1993-94.

10 (b) "Current fiscal year" means the fiscal year for which a
11 particular calculation is made.

12 (c) "Dissolved district" means a district that loses its
13 organization, has its territory attached to 1 or more other
14 districts, and is dissolved as provided under section 12 of the
15 revised school code, MCL 380.12.

16 (d) "Immediately preceding fiscal year" means the fiscal year
17 immediately preceding the current fiscal year.

18 (e) "Local portion of the district's foundation allowance"
19 means an amount that is equal to the difference between (the sum of
20 the product of the taxable value per membership pupil of all
21 property in the district that is nonexempt property times the
22 district's certified mills and, for a district with certified mills
23 exceeding 12, the product of the taxable value per membership pupil
24 of property in the district that is commercial personal property
25 times the certified mills minus 12 mills) and (the quotient of the
26 product of the captured assessed valuation under tax increment
27 financing acts times the district's certified mills divided by the
28 district's membership excluding special education pupils).

29 (f) "Membership" means the definition of that term under



1 section 6 as in effect for the particular fiscal year for which a
2 particular calculation is made.

3 (g) "Nonexempt property" means property that is not a
4 principal residence, qualified agricultural property, qualified
5 forest property, supportive housing property, industrial personal
6 property, commercial personal property, or property occupied by a
7 public school academy.

8 (h) "Principal residence", "qualified agricultural property",
9 "qualified forest property", "supportive housing property",
10 "industrial personal property", and "commercial personal property"
11 mean those terms as defined in section 1211 of the revised school
12 code, MCL 380.1211.

13 (i) "Receiving district" means a district to which all or part
14 of the territory of a dissolved district is attached under section
15 12 of the revised school code, MCL 380.12.

16 (j) "School operating purposes" means the purposes included in
17 the operation costs of the district as prescribed in sections 7 and
18 18 and purposes authorized under section 1211 of the revised school
19 code, MCL 380.1211.

20 (k) "School operating taxes" means local ad valorem property
21 taxes levied under section 1211 of the revised school code, MCL
22 380.1211, and retained for school operating purposes.

23 (l) "Tax increment financing acts" means parts 2, 3, 4, and 6
24 of the recodified tax increment financing act, 2018 PA 57, MCL
25 125.4201 to 125.4420 and 125.4602 to 125.4629, or the brownfield
26 redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670.

27 (m) "Taxable value per membership pupil" means taxable value,
28 as certified by the county treasurer and reported to the
29 department, for the calendar year ending in the current state



1 fiscal year divided by the district's membership excluding special
2 education pupils for the school year ending in the current state
3 fiscal year.

4 Sec. 20d. In making the final determination required under
5 former section 20a of a district's combined state and local revenue
6 per membership pupil in 1993-94 and in making calculations under
7 section 20 for ~~2025-2026~~, **2026-2027**, the department and the
8 department of treasury shall comply with all of the following:

9 (a) For a district that had combined state and local revenue
10 per membership pupil in the 1994-95 fiscal year of \$6,500.00 or
11 more and served as a fiscal agent for a state board designated area
12 vocational education center in the 1993-94 school year, total state
13 school aid received by or paid on behalf of the district under this
14 act in 1993-94 excludes payments made under former section 146 and
15 under section 147 on behalf of the district's employees who
16 provided direct services to the area vocational education center.
17 Not later than June 30, 1996, the department shall make an
18 adjustment under this subdivision to the district's combined state
19 and local revenue per membership pupil in the 1994-95 fiscal year
20 and the department of treasury shall make a final certification of
21 the number of mills that may be levied by the district under
22 section 1211 of the revised school code, MCL 380.1211, as a result
23 of the adjustment under this subdivision.

24 (b) If a district had an adjustment made to its 1993-94 total
25 state school aid that excluded payments made under former section
26 146 and under section 147 on behalf of the district's employees who
27 provided direct services for intermediate district center programs
28 operated by the district under former section 51 and sections 51a
29 to 56, if nonresident pupils attending the center programs were



1 included in the district's membership for purposes of calculating
2 the combined state and local revenue per membership pupil for 1993-
3 94, and if there is a signed agreement by all constituent districts
4 of the intermediate district agreeing to an adjustment under this
5 subdivision, the department shall calculate the foundation
6 allowances for 1995-96 and 1996-97 of all districts that had pupils
7 attending the intermediate district center program operated by the
8 district that had the adjustment as if their combined state and
9 local revenue per membership pupil for 1993-94 included resident
10 pupils attending the center program and excluded nonresident pupils
11 attending the center program.

12 Sec. 21b. (1) Subject to subsections (2) and (3), a district
13 shall use funds received under section 22a or 22b to support the
14 attendance of a district pupil who is an eligible student at an
15 eligible postsecondary institution under the postsecondary
16 enrollment options act, 1996 PA 160, MCL 388.511 to 388.524, or
17 under the career and technical preparation act, 2000 PA 258, MCL
18 388.1901 to 388.1913, by paying eligible charges on behalf of the
19 district pupil as required under those acts.

20 (2) A district is not required to pay transportation costs,
21 parking costs, or activity fees on behalf of an eligible student
22 for attendance at an eligible postsecondary institution as
23 described in subsection (1).

24 (3) A district may pay more money to an eligible postsecondary
25 institution on behalf of an eligible student than required under
26 the postsecondary enrollment options act, 1996 PA 160, MCL 388.511
27 to 388.524, or the career and technical preparation act, 2000 PA
28 258, MCL 388.1901 to 388.1913, and may use local school operating
29 revenue for that purpose. An eligible student is responsible for



1 payment of the remainder of the costs associated with ~~his or her~~
 2 **the eligible student's** postsecondary enrollment that exceed the
 3 amount the district is required to pay under the postsecondary
 4 enrollment options act, 1996 PA 160, MCL 388.511 to 388.524, or the
 5 career and technical preparation act, 2000 PA 258, MCL 388.1901 to
 6 388.1913, and that are not paid by the district. As used in this
 7 subsection, "local school operating revenue" means that term as
 8 defined in section 22b.

9 **(4) From the state school aid fund money appropriated in**
 10 **section 11, there is allocated for 2025-2026 an amount not to**
 11 **exceed \$60,000,000.00 to reimburse districts for eligible charges**
 12 **paid on behalf of eligible students to an eligible postsecondary**
 13 **institution.**

14 **(5) To receive funds under subsection (4), a district must**
 15 **provide a report of the district's dual enrollment participation,**
 16 **and eligible charges paid by the district, to the department of**
 17 **lifelong education, advancement, and potential in a form and manner**
 18 **consistent with data reported to the center for school aid**
 19 **purposes. The department of lifelong education, advancement, and**
 20 **potential may require additional information be provided before**
 21 **distributing funds under this section.**

22 **(6) If the allocation under subsection (4) is insufficient to**
 23 **fully fund payments as calculated under subsection (4), the**
 24 **department of lifelong education, advancement, and potential shall**
 25 **prorate payments on an equal percentage basis.**

26 **(7) ~~(4)~~—As used in this section, "eligible charges", "eligible**
 27 **student", and "eligible postsecondary institution" mean those terms**
 28 **as defined in section 3 of the postsecondary enrollment options**
 29 **act, 1996 PA 160, MCL 388.511 to 388.524, or in section 3 of the**



1 career and technical preparation act, 2000 PA 258, MCL 388.1903, as
2 applicable.

3 Sec. 21f. (1) A primary district shall enroll an eligible
4 pupil in virtual courses in accordance with the provisions of this
5 section. A primary district shall not offer a virtual course to an
6 eligible pupil unless the virtual course is published in the
7 primary district's catalog of board-approved courses or in the
8 statewide catalog of virtual courses maintained by the Michigan
9 Virtual University pursuant to section 98. The primary district
10 shall also provide on its publicly accessible website a link to the
11 statewide catalog of virtual courses maintained by the Michigan
12 Virtual University. Unless the pupil is at least age 18 or is an
13 emancipated minor, a pupil must not be enrolled in a course that
14 meets virtually **for more than 6 days in a school year** without the
15 consent of the pupil's parent or legal guardian.

16 (2) Subject to subsection (3), a primary district shall enroll
17 an eligible pupil in up to 2 virtual courses as requested by the
18 pupil during an academic term, semester, or trimester.

19 (3) A pupil may be enrolled in more than 2 virtual courses in
20 a specific academic term, semester, or trimester if both of the
21 following conditions are met:

22 (a) The primary district has determined that it is in the best
23 interest of the pupil.

24 (b) The pupil agrees with the recommendation of the primary
25 district.

26 (4) If the number of applicants eligible for acceptance in a
27 virtual course does not exceed the capacity of the provider to
28 provide the virtual course, the provider shall accept for
29 enrollment all of the applicants eligible for acceptance. If the



1 number of applicants exceeds the provider's capacity to provide the
2 virtual course, the provider shall use a random draw system,
3 subject to the need to abide by state and federal
4 antidiscrimination laws and court orders. A primary district that
5 is also a provider shall determine whether or not it has the
6 capacity to accept applications for enrollment from nonresident
7 applicants in virtual courses and may use that limit as the reason
8 for refusal to enroll a nonresident applicant.

9 (5) A primary district may not establish additional
10 requirements beyond those specified in this subsection that would
11 prohibit a pupil from taking a virtual course. A pupil's primary
12 district may deny the pupil enrollment in a virtual course if any
13 of the following apply, as determined by the district:

14 (a) The pupil is enrolled in any of grades K to 5.

15 (b) The pupil has previously gained the credits that would be
16 provided from the completion of the virtual course.

17 (c) The virtual course is not capable of generating academic
18 credit.

19 (d) The virtual course is inconsistent with the remaining
20 graduation requirements or career interests of the pupil.

21 (e) The pupil has not completed the prerequisite coursework
22 for the requested virtual course or has not demonstrated
23 proficiency in the prerequisite course content.

24 (f) The pupil has failed a previous virtual course in the same
25 subject during the 2 most recent academic years.

26 (g) The virtual course is of insufficient quality or rigor. A
27 primary district that denies a pupil enrollment request for this
28 reason shall enroll the pupil in a virtual course in the same or a
29 similar subject that the primary district determines is of



1 acceptable rigor and quality.

2 (h) The cost of the virtual course exceeds the amount
3 identified in subsection (10), unless the pupil or the pupil's
4 parent or legal guardian agrees to pay the cost that exceeds this
5 amount.

6 (i) The request for a virtual course enrollment did not occur
7 within the same timelines established by the primary district for
8 enrollment and schedule changes for regular courses.

9 (j) The request for a virtual course enrollment was not made
10 in the academic term, semester, trimester, or summer preceding the
11 enrollment. This subdivision does not apply to a request made by a
12 pupil who is newly enrolled in the primary district.

13 (6) If a pupil is denied enrollment in a virtual course by the
14 pupil's primary district, the primary district shall provide
15 written notification to the pupil of the denial, the reason or
16 reasons for the denial under subsection (5), and a description of
17 the appeal process. The pupil may appeal the denial by submitting a
18 letter to the superintendent of the intermediate district in which
19 the pupil's primary district is located. The letter of appeal must
20 include the reason provided by the primary district for not
21 enrolling the pupil and the reason why the pupil is claiming that
22 the enrollment should be approved. The intermediate district
23 superintendent or designee shall respond to the appeal within 5
24 days after it is received. If the intermediate district
25 superintendent or designee determines that the denial of enrollment
26 does not meet 1 or more of the reasons specified in subsection (5),
27 the primary district shall enroll the pupil in the virtual course.

28 (7) To provide a virtual course to an eligible pupil under
29 this section, a provider must do all of the following:



1 (a) Ensure that the virtual course has been published in the
2 pupil's primary district's catalog of board-approved courses or
3 published in the statewide catalog of virtual courses maintained by
4 the Michigan Virtual University.

5 (b) Assign to each pupil a teacher of record and provide the
6 primary district with the personnel identification code assigned by
7 the center for the teacher of record. If the provider is a
8 community college, the virtual course must be taught by an
9 instructor employed by or contracted through the providing
10 community college.

11 (c) Offer the virtual course on an open entry and exit method,
12 or aligned to a semester, trimester, or accelerated academic term
13 format.

14 (d) If the virtual course is offered to eligible pupils in
15 more than 1 district, the following additional requirements must
16 also be met:

17 (i) Provide the Michigan Virtual University with a course
18 syllabus that meets the definition under subsection (14)(g) in a
19 form and manner prescribed by the Michigan Virtual University for
20 inclusion in a statewide catalog of virtual courses.

21 (ii) Not later than October 1 of each fiscal year, provide the
22 Michigan Virtual University with an aggregated count of enrollments
23 for each virtual course the provider delivered to pupils under this
24 section during the immediately preceding school year, and the
25 number of enrollments in which the pupil earned 60% or more of the
26 total course points for each virtual course.

27 (8) To provide a virtual course under this section, a
28 community college shall ensure that each virtual course it provides
29 under this section generates postsecondary credit.



1 (9) For any virtual course a pupil enrolls in under this
2 section, the pupil's primary district must assign to the pupil a
3 mentor and shall supply the provider with the mentor's contact
4 information.

5 (10) For a pupil enrolled in 1 or more virtual courses, the
6 primary district shall use foundation allowance or per-pupil funds
7 calculated under section 20 to pay for the expenses associated with
8 the virtual course or courses. A primary district is not required
9 to pay toward the cost of a virtual course an amount that exceeds
10 6.67% of the target foundation allowance for the current fiscal
11 year as calculated under section 20.

12 (11) A virtual learning pupil has the same rights and access
13 to technology in the pupil's primary district's school facilities
14 as all other pupils enrolled in the pupil's primary district. The
15 department shall establish standards for hardware, software, and
16 internet access for pupils who are enrolled in more than 2 virtual
17 courses under this section in an academic term, semester, or
18 trimester taken at a location other than a school facility.

19 (12) If a pupil successfully completes a virtual course, as
20 determined by the pupil's primary district, the pupil's primary
21 district shall grant appropriate academic credit for completion of
22 the course and shall count that credit toward completion of
23 graduation and subject area requirements. A pupil's school record
24 and transcript must identify the virtual course title as it appears
25 in the virtual course syllabus.

26 (13) The enrollment of a pupil in 1 or more virtual courses
27 must not result in a pupil being counted as more than 1.0 full-time
28 equivalent pupils under this article. The minimum requirements to
29 count the pupil in membership are those established by the pupil



1 accounting manual as it was in effect for the 2015-2016 school year
2 or as subsequently amended by the department if the department
3 notifies the legislature about the proposed amendment at least 60
4 days before the amendment becomes effective.

5 **(14) Subject to the requirements of this subsection, a**
6 **district may provide virtual instruction under this subsection for**
7 **not more than 6 days in a school year. If a district plans to**
8 **provide instruction under this subsection to pupils for more than 6**
9 **days during a school year, the district's plan must be approved by**
10 **the board of the district, and the district must provide notice of**
11 **the plan to impacted pupils and their parents or legal guardians**
12 **before enactment of the plan. Instruction may be provided**
13 **synchronously or asynchronously, as determined by the department.**
14 **Days of instruction under this subsection may be used only for the**
15 **following purposes, as defined by the department:**

16 **(a) A maximum of 3 days may be designated as testing days,**
17 **during which students are released from regular classroom**
18 **instruction to participate in state or federally mandated**
19 **assessments. Days of virtual instruction provided under this**
20 **subdivision are limited to buildings and grade levels impacted by**
21 **assessments.**

22 **(b) A maximum of 3 days of virtual instruction may be provided**
23 **due to conditions not within control of the district, including,**
24 **but not limited to, closures due to snow, ice, or other extreme**
25 **weather events or unforeseen emergencies. Days of virtual**
26 **instruction under this subdivision may be used only after a**
27 **district has exhausted all emergency closure days permitted under**
28 **section 101.**

29 **(15) The department shall promulgate rules for the conditions**



1 under which virtual instruction may be provided under subsection
2 (14) and the manner in which it may be provided.

3 (16) ~~(14)~~—As used in this section:

4 (a) "Instructor" means an individual who is employed by or
5 contracted through a community college.

6 (b) "Mentor" means a professional employee of the primary
7 district who monitors the pupil's progress, ensures the pupil has
8 access to needed technology, is available for assistance, and
9 ensures access to the teacher of record. A mentor may also serve as
10 the teacher of record if the primary district is the provider for
11 the virtual course and the mentor meets the requirements under
12 subdivision (e).

13 (c) "Primary district" means the district that enrolls the
14 pupil and reports the pupil for pupil membership purposes.

15 (d) "Provider" means the district, intermediate district,
16 community college, or other third-party vendor that the primary
17 district pays to provide the virtual course or the Michigan Virtual
18 University if it is providing the virtual course.

19 (e) "Teacher of record" means a teacher who meets all of the
20 following:

21 (i) Is appropriately placed under a valid Michigan teaching
22 certificate or a teaching permit, authorization, or approval issued
23 by the department. As used in this subparagraph, "appropriately
24 placed" means holding a valid Michigan educator credential with the
25 required grade range and discipline or subject area for the
26 assignment, as defined by the superintendent of public instruction.

27 (ii) Is responsible for providing instruction, determining
28 instructional methods for each pupil, diagnosing learning needs,
29 assessing pupil learning, prescribing intervention strategies and



1 modifying lessons, reporting outcomes, and evaluating the effects
2 of instruction and support strategies.

3 (iii) Has a personnel identification code provided by the
4 center.

5 (iv) If the provider is a community college, is an instructor
6 employed by or contracted through the providing community college.

7 (f) "Virtual course" means a course of study that is capable
8 of generating a credit or a grade and that is provided in an
9 interactive learning environment where any portion of the
10 curriculum is delivered using the internet and in which pupils may
11 be separated from their instructor or teacher of record by time or
12 location, or both.

13 (g) "Virtual course syllabus" means a document that includes
14 all of the following:

15 (i) An alignment document detailing how the course meets
16 applicable state standards or, if the state does not have state
17 standards, nationally recognized standards.

18 (ii) The virtual course content outline.

19 (iii) The virtual course required assessments.

20 (iv) The virtual course prerequisites.

21 (v) Expectations for actual instructor or teacher of record
22 contact time with the virtual learning pupil and other
23 communications between a pupil and the instructor or teacher of
24 record.

25 (vi) Academic support available to the virtual learning pupil.

26 (vii) The virtual course learning outcomes and objectives.

27 (viii) The name of the institution or organization providing the
28 virtual content.

29 (ix) The name of the institution or organization providing the



1 instructor or teacher of record.

2 (x) The course titles assigned by the provider and the course
3 titles and course codes from the National Center for Education
4 Statistics (NCES) school codes for the exchange of data (SCED).

5 (xi) The number of eligible pupils that will be accepted by the
6 provider in the virtual course. A primary district that is also the
7 provider may limit the enrollment to those pupils enrolled in the
8 primary district.

9 (xii) The results of the virtual course quality review using
10 the guidelines and model review process published by the Michigan
11 Virtual University.

12 (h) "Virtual learning pupil" means a pupil enrolled in 1 or
13 more virtual courses.

14 Sec. 21h. (1) From the state school aid pupil support reserve
15 fund money appropriated in section 11, there is allocated
16 \$6,137,400.00 for ~~2025-2026~~**2026-2027** for assisting districts
17 assigned by the superintendent to participate in a partnership
18 district agreement to improve student achievement and district
19 financial stability. It is the intent of the legislature that the
20 appropriation in this section will be funded with state school aid
21 pupil support reserve fund money through 2027-2028. The
22 superintendent shall identify any conditions that may be
23 contributing to low academic performance within a district being
24 considered for assignment to a partnership district agreement. The
25 purpose of the partnership district agreement is to identify
26 district needs, develop intervention plans, and partner with
27 public, private, and nonprofit organizations to coordinate
28 resources and improve student achievement. Assignment of a district
29 to a partnership district agreement is made by the superintendent.



(2) A district described in subsection (1) is eligible for funding under this section if the district includes at least 1 school that has been identified as low performing under the approved federal accountability system. A district described in this subsection must do all of the following to be eligible for funding under this section:

(a) Within 90 days of assignment to the partnership district agreement described in this section, complete a comprehensive needs assessment or evaluation in collaboration with an intermediate district, community members, education organizations, and postsecondary institutions, as applicable, that is approved by the superintendent. The comprehensive needs assessment or evaluation must include at least all of the following:

(i) A review of the district's implementation and utilization of a multi-tiered system of supports to ensure that it is used to appropriately inform instruction.

(ii) A review of the district and school building leadership and educator capacity to substantially improve student outcomes.

(iii) A review of classroom, instructional, and operational practices and curriculum to ensure alignment with research-based instructional practices and state curriculum standards.

(b) Develop a district continuous improvement plan that has been approved by the superintendent and that addresses the needs identified in the comprehensive needs assessment or evaluation completed under subdivision (a). The district continuous improvement plan must include at least all of the following:

(i) Specific actions that will be taken by the district and each of its partners to improve student achievement.

(ii) Specific measurable benchmarks that will be met within 18



1 months to improve student achievement and identification of
2 expected student achievement outcomes to be attained within 3 years
3 after assignment to the partnership.

4 (iii) Measurable benchmarks that put pupils on track to meet or
5 exceed grade level proficiency, increase high school graduation
6 rates, reduce class sizes in grades K to 3, and improve attendance
7 rates.

8 (c) Provide access to training for district leadership,
9 including, but not limited to, the superintendent or chief
10 administrator and school board or board of directors members, on
11 areas of education fiscal and policy matters. The department may
12 require training for district leadership and all board members
13 under this subdivision at a rate and frequency needed to support
14 measurable academic outcomes for the district.

15 (3) Upon approval of the district continuous improvement plan
16 developed under subsection (2), the department shall assign a team
17 of individuals with expertise in comprehensive school and district
18 reform to partner with the district, the intermediate district,
19 community organizations, education organizations, and postsecondary
20 institutions identified in the ~~academic and financial operating or~~
21 ~~intervention~~ **district continuous improvement** plan to review the
22 district's use of existing financial resources to ensure that those
23 resources are being used as efficiently and effectively as possible
24 to improve student academic achievement and to ensure district
25 financial stability. The superintendent of public instruction may
26 waive burdensome administrative rules for a partnership district
27 for the duration of the partnership district agreement.

28 (4) Funds allocated under this section, excluding funds
29 allocated under subsection (5), may be used to pay for district



1 expenditures approved by the superintendent to improve student
2 achievement. Funds may be used for professional development for
3 teachers or district or school leadership, increased instructional
4 time, teacher mentors, literacy, numeracy, reducing K-3 class
5 sizes, reducing chronic absenteeism, or other expenditures that
6 directly impact student achievement and cannot be paid from
7 existing district financial resources. Notwithstanding section 17b,
8 the department shall make payments to districts under this section
9 on a schedule determined by the department.

10 (5) From the funds allocated under subsection (1), there is
11 allocated for ~~2025-2026~~**2026-2027** an amount not to exceed
12 \$137,400.00 for the purchase of a data analytics tool to be used by
13 districts described in subsection (1). The superintendent of public
14 instruction shall require districts described in subsection (1) to
15 purchase a data analytics tool funded under this subsection as part
16 of the agreements described in this section.

17 (6) The department shall annually report to the legislature on
18 the activities funded under this section and how those activities
19 impacted student achievement in districts that received funds under
20 this section. To the extent possible, participating districts
21 receiving funding under this section shall participate in the
22 report.

23 ~~(7) In addition to the allocation under subsection (1), from~~
24 ~~the state school aid fund money appropriated in section 11, there~~
25 ~~is allocated an amount not to exceed \$36,000,000.00 to districts~~
26 ~~described in subsection (1) for 2023-2024 only for supplemental~~
27 ~~funding to be used by districts for the purposes of this section in~~
28 ~~equal installments of \$12,000,000.00 in each of the fiscal years~~
29 ~~2023-2024, 2024-2025, and 2025-2026. The funds allocated under this~~



~~subsection for 2023-2024 are a work project appropriation, and any unexpended funds for 2023-2024 are carried forward into 2024-2025. The purpose of the work project is to provide assistance to districts eligible for funding under this section. The estimated completion date of the work project described in this subsection is September 30, 2026.~~

Sec. 22a. (1) From the state school aid fund money appropriated in section 11, ~~there is allocated an amount not to exceed \$3,927,000,000.00 for 2024-2025 and there is allocated an amount not to exceed \$3,785,000,000.00~~ **\$3,711,000,000.00** for 2025-2026 **and there is allocated an amount not to exceed \$3,564,000,000.00 for 2026-2027** for payments to districts and qualifying public school academies to guarantee each district and qualifying public school academy an amount equal to its 1994-95 total state and local per-pupil revenue for school operating purposes under section 11 of article IX of the state constitution of 1963. Pursuant to section 11 of article IX of the state constitution of 1963, this guarantee does not apply to a district in a year in which the district levies a millage rate for school district operating purposes less than it levied in 1994. However, subsection (2) applies to calculating the payments under this section. Funds allocated under this section that are not expended in the fiscal year for which they were allocated, as determined by the department, may be used to supplement the allocations under sections 22b and 51c to fully fund those allocations for the same fiscal year.

(2) To ensure that a district receives an amount equal to the district's 1994-95 total state and local per-pupil revenue for school operating purposes, there is allocated to each district a



1 state portion of the district's 1994-95 foundation allowance in an
2 amount calculated as follows:

3 (a) Except as otherwise provided in this subsection, the state
4 portion of a district's 1994-95 foundation allowance is an amount
5 equal to the district's 1994-95 foundation allowance or \$6,500.00,
6 whichever is less, minus the difference between the sum of the
7 product of the taxable value per membership pupil of all property
8 in the district that is nonexempt property times the district's
9 certified mills and, for a district with certified mills exceeding
10 12, the product of the taxable value per membership pupil of
11 property in the district that is commercial personal property times
12 the certified mills minus 12 mills and the quotient of the ad
13 valorem property tax revenue of the district captured under tax
14 increment financing acts divided by the district's membership. For
15 a district that has a millage reduction required under section 31
16 of article IX of the state constitution of 1963, the department
17 shall calculate the state portion of the district's foundation
18 allowance as if that reduction did not occur. For a receiving
19 district, if school operating taxes are to be levied on behalf of a
20 dissolved district that has been attached in whole or in part to
21 the receiving district to satisfy debt obligations of the dissolved
22 district under section 12 of the revised school code, MCL 380.12,
23 taxable value per membership pupil of all property in the receiving
24 district that is nonexempt property and taxable value per
25 membership pupil of property in the receiving district that is
26 commercial personal property do not include property within the
27 geographic area of the dissolved district; ad valorem property tax
28 revenue of the receiving district captured under tax increment
29 financing acts does not include ad valorem property tax revenue



1 captured within the geographic boundaries of the dissolved district
 2 under tax increment financing acts; and certified mills do not
 3 include the certified mills of the dissolved district. ~~For~~ **Except**
 4 **as otherwise provided in this subdivision, for** a community
 5 district, the department shall reduce the allocation as otherwise
 6 calculated under this section by an amount equal to the amount of
 7 local school operating tax revenue that would otherwise be due to
 8 the community district if not for the operation of section 386 of
 9 the revised school code, MCL 380.386, and the amount of this
 10 reduction is offset by the increase in funding under section
 11 22b(2). **Beginning with the fiscal year ending September 30, 2027,**
 12 **it is the intent of the legislature that the previous sentence no**
 13 **longer applies and the allocation for a community district under**
 14 **this section shall not be reduced by the amount of local school**
 15 **operating tax revenue that would otherwise be due to the community**
 16 **district if not for the operation of section 386 of the revised**
 17 **school code, MCL 380.386, and no offset is provided by increased**
 18 **funding under section 22b(2).**

19 (b) For a district that had a 1994-95 foundation allowance
 20 greater than \$6,500.00, the state payment under this subsection is
 21 the sum of the amount calculated under subdivision (a) plus the
 22 amount calculated under this subdivision. The amount calculated
 23 under this subdivision must be equal to the difference between the
 24 district's 1994-95 foundation allowance minus \$6,500.00 and the
 25 current year hold harmless school operating taxes per pupil. If the
 26 result of the calculation under subdivision (a) is negative, the
 27 negative amount is an offset against any state payment calculated
 28 under this subdivision. If the result of a calculation under this
 29 subdivision is negative, there is not a state payment or a



1 deduction under this subdivision. The taxable values per membership
2 pupil used in the calculations under this subdivision are as
3 adjusted by ad valorem property tax revenue captured under tax
4 increment financing acts divided by the district's membership. For
5 a receiving district, if school operating taxes are to be levied on
6 behalf of a dissolved district that has been attached in whole or
7 in part to the receiving district to satisfy debt obligations of
8 the dissolved district under section 12 of the revised school code,
9 MCL 380.12, ad valorem property tax revenue captured under tax
10 increment financing acts do not include ad valorem property tax
11 revenue captured within the geographic boundaries of the dissolved
12 district under tax increment financing acts.

13 (3) For pupils in membership in a qualifying public school
14 academy, there is allocated under this section to the authorizing
15 body that is the fiscal agent for the qualifying public school
16 academy for forwarding to the qualifying public school academy an
17 amount equal to the 1994-95 per-pupil payment to the qualifying
18 public school academy under section 20.

19 (4) A district or qualifying public school academy may use
20 funds allocated under this section in conjunction with any federal
21 funds for which the district or qualifying public school academy
22 otherwise would be eligible.

23 (5) Except as otherwise provided in this subsection, for a
24 district that is formed or reconfigured after June 1, 2000 by
25 consolidation of 2 or more districts or by annexation, the
26 resulting district's 1994-95 foundation allowance under this
27 section beginning after the effective date of the consolidation or
28 annexation is the average of the 1994-95 foundation allowances of
29 each of the original or affected districts, calculated as provided



in this section, weighted as to the percentage of pupils in total membership in the resulting district in the fiscal year in which the consolidation takes place who reside in the geographic area of each of the original districts. If an affected district's 1994-95 foundation allowance is less than the 1994-95 basic foundation allowance, the amount of that district's 1994-95 foundation allowance is considered for the purpose of calculations under this subsection to be equal to the amount of the 1994-95 basic foundation allowance. This subsection does not apply to a receiving district unless there is a subsequent consolidation or annexation that affects the district.

~~(6) Payments under this section are subject to section 25g.~~

(6) ~~(7)~~ As used in this section:

(a) "1994-95 foundation allowance" means a district's 1994-95 foundation allowance calculated and certified by the department of treasury or the superintendent under former section 20a as enacted in 1993 PA 336 and as amended by 1994 PA 283.

(b) "Certified mills" means the lesser of 18 mills or the number of mills of school operating taxes levied by the district in 1993-94.

(c) "Current fiscal year" means the fiscal year for which a particular calculation is made.

(d) "Current year hold harmless school operating taxes per pupil" means the per-pupil revenue generated by multiplying a district's 1994-95 hold harmless millage by the district's current year taxable value per membership pupil. For a receiving district, if school operating taxes are to be levied on behalf of a dissolved district that has been attached in whole or in part to the receiving district to satisfy debt obligations of the dissolved



1 district under section 12 of the revised school code, MCL 380.12,
2 taxable value per membership pupil does not include the taxable
3 value of property within the geographic area of the dissolved
4 district.

5 (e) "Dissolved district" means a district that loses its
6 organization, has its territory attached to 1 or more other
7 districts, and is dissolved as provided under section 12 of the
8 revised school code, MCL 380.12.

9 (f) "Hold harmless millage" means, for a district with a 1994-
10 95 foundation allowance greater than \$6,500.00, the number of mills
11 by which the exemption from the levy of school operating taxes on a
12 principal residence, qualified agricultural property, qualified
13 forest property, supportive housing property, industrial personal
14 property, commercial personal property, and property occupied by a
15 public school academy could be reduced as provided in section 1211
16 of the revised school code, MCL 380.1211, and the number of mills
17 of school operating taxes that could be levied on all property as
18 provided in section 1211(2) of the revised school code, MCL
19 380.1211, as certified by the department of treasury for the 1994
20 tax year. For a receiving district, if school operating taxes are
21 to be levied on behalf of a dissolved district that has been
22 attached in whole or in part to the receiving district to satisfy
23 debt obligations of the dissolved district under section 12 of the
24 revised school code, MCL 380.12, school operating taxes do not
25 include school operating taxes levied within the geographic area of
26 the dissolved district.

27 (g) "Membership" means the definition of that term under
28 section 6 as in effect for the particular fiscal year for which a
29 particular calculation is made.



1 (h) "Nonexempt property" means property that is not a
2 principal residence, qualified agricultural property, qualified
3 forest property, supportive housing property, industrial personal
4 property, commercial personal property, or property occupied by a
5 public school academy.

6 (i) "Principal residence", "qualified agricultural property",
7 "qualified forest property", "supportive housing property",
8 "industrial personal property", and "commercial personal property"
9 mean those terms as defined in section 1211 of the revised school
10 code, MCL 380.1211.

11 (j) "Qualifying public school academy" means a public school
12 academy that was in operation in the 1994-95 school year and is in
13 operation in the current fiscal year.

14 (k) "Receiving district" means a district to which all or part
15 of the territory of a dissolved district is attached under section
16 12 of the revised school code, MCL 380.12.

17 (l) "School operating taxes" means local ad valorem property
18 taxes levied under section 1211 of the revised school code, MCL
19 380.1211, and retained for school operating purposes as defined in
20 section 20.

21 (m) "Tax increment financing acts" means parts 2, 3, 4, and 6
22 of the recodified tax increment financing act, 2018 PA 57, MCL
23 125.4201 to 125.4420 and 125.4602 to 125.4629, or the brownfield
24 redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670.

25 (n) "Taxable value per membership pupil" means each of the
26 following divided by the district's membership:

27 (i) For the number of mills by which the exemption from the
28 levy of school operating taxes on a principal residence, qualified
29 agricultural property, qualified forest property, supportive



housing property, industrial personal property, commercial personal property, and property occupied by a public school academy may be reduced as provided in section 1211 of the revised school code, MCL 380.1211, the taxable value of principal residence, qualified agricultural property, qualified forest property, supportive housing property, industrial personal property, commercial personal property, and property occupied by a public school academy for the calendar year ending in the current fiscal year. For a receiving district, if school operating taxes are to be levied on behalf of a dissolved district that has been attached in whole or in part to the receiving district to satisfy debt obligations of the dissolved district under section 12 of the revised school code, MCL 380.12, mills do not include mills within the geographic area of the dissolved district.

(ii) For the number of mills of school operating taxes that may be levied on all property as provided in section 1211(2) of the revised school code, MCL 380.1211, the taxable value of all property for the calendar year ending in the current fiscal year. For a receiving district, if school operating taxes are to be levied on behalf of a dissolved district that has been attached in whole or in part to the receiving district to satisfy debt obligations of the dissolved district under section 12 of the revised school code, MCL 380.12, school operating taxes do not include school operating taxes levied within the geographic area of the dissolved district.

Sec. 22b. (1) Except as otherwise provided in this section, for discretionary nonmandated payments to districts under this section, ~~there is allocated for 2024-2025 an amount not to exceed \$6,220,000,000.00 from the state school aid fund and general fund~~



~~appropriations in section 11 and an amount not to exceed~~
~~\$41,000,000.00 from the community district education trust fund~~
~~appropriation in section 11, and there is allocated for 2025-2026~~
~~an amount not to exceed \$6,696,500,000.00~~ **\$6,657,000,000.00** from
the state school aid fund and general fund appropriations in
section 11, **and there is allocated for 2026-2027 an amount not to**
exceed \$6,925,850,000.00 from the state school aid fund and general
fund appropriations in section 11. In addition, there is allocated
for 2025-2026 only an amount not to exceed \$124,000,000.00 from the
state school aid fund appropriation in section 11, ~~. For 2024-2025,~~
~~the amount necessary, estimated at \$77,700,000.00, must be~~
~~deposited from the general fund into the state school aid fund to~~
~~reimburse the state school aid fund for community district~~
~~education trust fund costs in excess of \$41,000,000.00, as required~~
~~under section 12 of the Michigan trust fund act, 2000 PA 489, MCL~~
~~12.262. For 2024-2025 only, if the amount allocated under this~~
~~subsection from the community district education trust fund~~
~~appropriation under section 11 is insufficient to pay for an~~
~~increase under this section, any amount exceeding that allocation~~
~~may be paid from other allocations under this subsection.~~ **and there**
is allocated for 2026-2027 only an amount not to exceed
\$130,000,000.00 from the enrollment stabilization fund
appropriation in section 11. Except for money allocated under this
section from the community district education trust fund
appropriation in section 11, funds allocated under this section
that are not expended in the fiscal year for which they were
allocated, as determined by the department, may be used to
supplement the allocations under sections 22a and 51c to fully fund
those allocations for the same fiscal year.

(2) Subject to subsection ~~(3)~~ **(4)** and section 296, the allocation to a district under ~~this section~~ **subsection (1)** is an amount equal to the sum of the amounts calculated under sections 20, 20m, 51a(2), 51a(3), 51a(11), and 51e, minus the sum of the allocations to the district under sections 22a and 51c. ~~For~~ **Except as otherwise provided in this subsection, for** a community district, the allocation as otherwise calculated under this section is increased by an amount equal to the amount of local school operating tax revenue that would otherwise be due to the community district if not for the operation of section 386 of the revised school code, MCL 380.386, to offset the absence of local school operating revenue in a community district in the funding of the state portion of the foundation allowance under section 20(4). ~~and, for 2024-2025 only, this increase must be paid from the community district education trust fund allocation in subsection (1).~~ **Beginning with the fiscal year ending September 30, 2027, it is the intent of the legislature that the previous sentence no longer applies.**

(3) To receive an allocation under ~~subsection (1)~~, **this section**, each district must do all of the following:

(a) Comply with section 1280b of the revised school code, MCL 380.1280b.

(b) Comply with sections 1278a and 1278b of the revised school code, MCL 380.1278a and 380.1278b.

(c) Furnish data and other information required by state and federal law to the center and the department in the form and manner specified by the center or the department, as applicable.

(d) Comply with section 1230g of the revised school code, MCL 380.1230g.



1 (e) Comply with section 21f.

2 (f) For a district that has entered into a partnership
3 district agreement with the department, comply with section 22p.

4 (g) Comply with section 1280h of the revised school code, MCL
5 380.1280h.

6 (h) Comply with section 1280f of the revised school code, MCL
7 380.1280f. Beginning with the fiscal year ending September 30,
8 2026, if a district is not using a curriculum from the department's
9 evidence-based curriculum list required under section 1280f of the
10 revised school code, MCL 380.1280f, the district must provide a
11 notification to all parents or legal guardians of students in
12 grades K to 5 receiving instruction with that curriculum that
13 includes all of the following:

14 (i) A statement informing parents or legal guardians that the
15 curriculum used by the district is not evidence-based or not
16 aligned to state standards, which could negatively impact student
17 academic outcomes.

18 (ii) A statement explaining why the district is not using a
19 curriculum that is evidence-based or aligned to state standards.

20 (iii) A plan, including a projected timeline, for when a new
21 curriculum will be adopted that is evidence-based and aligned to
22 state standards.

23 (4) In addition to the allocation under subsection (1), and
24 subject to subsection (3) and section 296, from the state school
25 aid fund money appropriated in section 11 there is allocated an
26 amount not to exceed \$1,696,087,600.00 to each district for a
27 weighted foundation payment. As used in this subsection, "weighted
28 foundation payment" is an amount equal to the target foundation
29 allowance multiplied by the weighted pupil membership for the



1 **district.**

2 (5) ~~(4)~~—Districts are encouraged to use funds allocated under
3 this section for the purchase and support of payroll, human
4 resources, and other business function software that is compatible
5 with that of the intermediate district in which the district is
6 located and with other districts located within that intermediate
7 district.

8 (6) ~~(5)~~—From the allocation in subsection (1), the department
9 shall pay up to \$1,000,000.00 in litigation costs incurred by this
10 state related to commercial or industrial property tax appeals,
11 including, but not limited to, appeals of classification, that
12 impact revenues dedicated to the state school aid fund.

13 (7) ~~(6)~~—From the allocation in subsection (1), the department
14 shall pay up to \$1,000,000.00 in litigation costs incurred by this
15 state associated with lawsuits filed by 1 or more districts or
16 intermediate districts against this state. If the allocation under
17 this section is insufficient to fully fund all payments required
18 under this section, the payments under this subsection must be made
19 in full before any proration of remaining payments under this
20 section.

21 (8) ~~(7)~~—It is the intent of the legislature that all
22 constitutional obligations of this state have been fully funded
23 under sections 22a, 31d, 51a, 51c, 51e, and 152a. If a claim is
24 made by an entity receiving funds under this article that
25 challenges the legislative determination of the adequacy of this
26 funding or alleges that there exists an unfunded constitutional
27 requirement, the state budget director may escrow or allocate from
28 the discretionary funds for nonmandated payments under this section
29 the amount as may be necessary to satisfy the claim before making



1 any payments to districts under subsection (2). If funds are
2 escrowed, the escrowed funds are a work project appropriation and
3 the funds are carried forward into the following fiscal year. The
4 purpose of the work project is to provide for any payments that may
5 be awarded to districts as a result of litigation. The work project
6 is completed upon resolution of the litigation.

7 **(9)** ~~(8)~~—If the local claims review board or a court of
8 competent jurisdiction makes a final determination that this state
9 is in violation of section 29 of article IX of the state
10 constitution of 1963 regarding state payments to districts, the
11 state budget director shall use work project funds under subsection
12 ~~(7)~~ **(8)** or allocate from the discretionary funds for nonmandated
13 payments under this section the amount as may be necessary to
14 satisfy the amount owed to districts before making any payments to
15 districts under subsection (2).

16 **(10)** ~~(9)~~—If a claim is made in court that challenges the
17 legislative determination of the adequacy of funding for this
18 state's constitutional obligations or alleges that there exists an
19 unfunded constitutional requirement, any interested party may seek
20 an expedited review of the claim by the local claims review board.
21 If the claim exceeds \$10,000,000.00, this state may remove the
22 action to the court of appeals, and the court of appeals has and
23 shall exercise jurisdiction over the claim.

24 **(11)** ~~(10)~~—If payments resulting from a final determination by
25 the local claims review board or a court of competent jurisdiction
26 that there has been a violation of section 29 of article IX of the
27 state constitution of 1963 exceed the amount allocated for
28 discretionary nonmandated payments under this section, the
29 legislature shall provide for adequate funding for this state's



1 constitutional obligations at its next legislative session.

2 **(12)** ~~(11)~~—If a lawsuit challenging payments made to districts
3 related to costs reimbursed by federal title XIX Medicaid funds is
4 filed against this state, then, for the purpose of addressing
5 potential liability under such a lawsuit, the state budget director
6 may place funds allocated under this section in escrow or allocate
7 money from the funds otherwise allocated under this section, up to
8 a maximum of 50% of the amount allocated in subsection (1). If
9 funds are placed in escrow under this subsection, those funds are a
10 work project appropriation and the funds are carried forward into
11 the following fiscal year. The purpose of the work project is to
12 provide for any payments that may be awarded to districts as a
13 result of the litigation. The work project is completed upon
14 resolution of the litigation. In addition, this state reserves the
15 right to terminate future federal title XIX Medicaid reimbursement
16 payments to districts if the amount or allocation of reimbursed
17 funds is challenged in the lawsuit. As used in this subsection,
18 "title XIX" means title XIX of the social security act, 42 USC 1396
19 to 1396w-6.

20 **(13)** ~~(12)~~—As used in this section:

21 (a) "Dissolved district" means that term as defined in section
22 20.

23 (b) "Local school operating revenue" means school operating
24 taxes levied under section 1211 of the revised school code, MCL
25 380.1211. For a receiving district, if school operating taxes are
26 to be levied on behalf of a dissolved district that has been
27 attached in whole or in part to the receiving district to satisfy
28 debt obligations of the dissolved district under section 12 of the
29 revised school code, MCL 380.12, local school operating revenue



1 does not include school operating taxes levied within the
2 geographic area of the dissolved district.

3 (c) "Receiving district" and "school operating taxes" mean
4 those terms as defined in section 20.

5 (d) **"Weighted pupil membership" means that term as defined in**
6 **section 6.**

7 Sec. 22d. (1) From the state school aid fund money
8 appropriated under section 11, an amount not to exceed
9 ~~\$12,873,100.00~~ **\$13,772,300.00** is allocated for ~~2025-2026~~ **2026-2027**
10 for supplemental payments to rural districts under this section.

11 (2) From the allocation under subsection (1), there is
12 allocated for ~~2025-2026~~ **2026-2027** an amount not to exceed
13 ~~\$3,906,200.00~~ **\$4,179,100.00** for payments under this subsection to
14 eligible districts. A district that meets all of the following is
15 an eligible district under this subsection:

16 (a) Operates grades K to 12.

17 (b) Has fewer than 250 pupils in membership.

18 (c) Each school building operated by the district meets at
19 least 1 of the following:

20 (i) Is located in the Upper Peninsula at least 30 miles from
21 any other public school building.

22 (ii) Is located on an island that is not accessible by bridge.

23 (3) The amount of the additional funding to each eligible
24 district under subsection (2) is determined under a spending plan
25 developed as provided in this subsection and approved by the
26 superintendent of public instruction. The spending plan must be
27 developed cooperatively by the intermediate superintendents of each
28 intermediate district in which an eligible district is located. The
29 intermediate superintendents shall review the financial situation



1 of each eligible district, determine the minimum essential
 2 financial needs of each eligible district, and develop and agree on
 3 a spending plan that distributes the available funding under
 4 subsection (2) to the eligible districts based on those financial
 5 needs. The intermediate superintendents shall submit the spending
 6 plan to the superintendent of public instruction for approval. Upon
 7 approval by the superintendent of public instruction, the amounts
 8 specified for each eligible district under the spending plan are
 9 allocated under subsection (2) and must be paid to the eligible
 10 districts in the same manner as payments under section 22b.

11 (4) Subject to subsection (7), from the allocation in
 12 subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an
 13 amount not to exceed ~~\$8,412,100.00~~**\$8,999,700.00** for payments under
 14 this subsection to districts that have fewer than 10.0 pupils per
 15 square mile, as determined by the department, or that have greater
 16 than 250 square miles.

17 (5) The funds allocated under subsection (4) are allocated as
 18 follows:

19 (a) An amount equal to ~~\$6,373,700.00~~**\$6,818,900.00** is
 20 allocated to districts with fewer than 8.0 pupils per square mile,
 21 as determined by the department, on an equal per-pupil basis.

22 (b) The balance of the funding under subsection (4) is
 23 allocated as follows:

24 (i) For districts with at least 8.0 but fewer than 9.0 pupils
 25 per square mile, as determined by the department, the allocation is
 26 an amount per pupil equal to 75% of the per-pupil amount allocated
 27 to districts under subdivision (a).

28 (ii) For districts with at least 9.0 but fewer than 10.0 pupils
 29 per square mile, as determined by the department, the allocation is



1 an amount per pupil equal to 50% of the per-pupil amount allocated
 2 to districts under subdivision (a).

3 (iii) For districts that have greater than 250 square miles,
 4 have at least 10.0 pupils per square mile, and do not receive
 5 funding under subsection (2), as determined by the department, the
 6 allocation is an amount per pupil equal to 100% of the per-pupil
 7 amount allocated to districts under subdivision (a).

8 (c) If the total funding allocated under subdivision (b) is
 9 insufficient to fully fund payments as calculated under that
 10 subdivision, the department shall prorate payments to districts
 11 under subdivision (b) on an equal per-pupil basis. If funding
 12 allocated under subdivision (b) remains unallocated after making
 13 calculations under that subdivision, the department may provide the
 14 remaining unallocated funding on an equal per-pupil basis to
 15 districts receiving funding under subdivision (b) (i) and (ii).

16 (6) Subject to subsection (7), from the allocation under
 17 subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an
 18 amount not to exceed ~~\$554,800.00~~**\$593,500.00** for payments under
 19 this subsection to districts where each school building operated by
 20 the district is located on an island that is accessible by bridge.

21 (7) A district receiving funds allocated under subsection (2)
 22 is not eligible for funding allocated under subsection (4) or (6).
 23 A district receiving funds allocated under subsection (6) is not
 24 eligible for funding under subsection (2) or (4).

25 Sec. 22k. (1) The school transportation fund is created as a
 26 separate account within the state school aid fund for the purpose
 27 of supporting district transportation costs.

28 (2) The state treasurer may receive money or other assets from
 29 any source for deposit into the school transportation fund. The



1 state treasurer shall direct the investment of the school
 2 transportation fund. The state treasurer shall credit to the school
 3 transportation fund interest and earnings from school
 4 transportation fund investments.

5 (3) Money in the school transportation fund at the close of
 6 the fiscal year remains in the school transportation fund and does
 7 not lapse to the state school aid fund or the general fund.

8 (4) The department of treasury is the administrator of the
 9 school transportation fund for auditing purposes.

10 (5) Money available in the school transportation fund must not
 11 be expended without a specific appropriation.

12 (6) For the fiscal year ending September 30, ~~2026~~**2027** only,
 13 ~~\$130,000,000.00~~**\$150,000,000.00** from the state school aid fund must
 14 be deposited into the school transportation fund.

15 Sec. 22~~l~~. (1) From the school transportation fund money
 16 appropriated under section 11, there is allocated for ~~2025-2026~~
 17 **2026-2027** only an amount not to exceed \$125,000,000.00, **and from**
 18 **the state school aid fund money appropriated under section 11,**
 19 **there is allocated for 2026-2027 only an amount not to exceed**
 20 **\$25,000,000.00** to districts and intermediate districts for
 21 transportation costs. Funding for each district or intermediate
 22 district is as follows:

23 (a) The department must assign each district and intermediate
 24 district to an octile based on the number of riders per square mile
 25 and calculate the median cost per rider for each octile.

26 (b) Funds must be distributed to each district and
 27 intermediate district as follows:

28 (i) An initial amount at the lesser of the octile's median cost
 29 per rider or the actual transportation cost per general education



1 rider at the district or intermediate district.

2 (ii) An additional amount for districts and intermediate
3 districts that have outlier costs per rider that are deemed
4 reasonable, as determined by the department.

5 (c) If funds are insufficient to fully fund payments under
6 this section, payments may be prorated on an equal percentage
7 basis.

8 ~~(2) In addition to the funds allocated under subsection (1),~~
9 ~~from the school transportation fund money appropriated under~~
10 ~~section 11, there is allocated for 2022-2023 only an amount not to~~
11 ~~exceed \$200,000.00 to an intermediate district for a study on~~
12 ~~district transportation costs. The intermediate district receiving~~
13 ~~funds under this subsection must submit a report to the department,~~
14 ~~the state budget director, the house and senate appropriations~~
15 ~~subcommittees on school aid, and the house and senate fiscal~~
16 ~~agencies by February 29, 2024 on the outcomes of the study under~~
17 ~~this subsection. Notwithstanding section 18a, funds allocated under~~
18 ~~this subsection may be available for expenditure until September~~
19 ~~30, 2026. A recipient of funding under this subsection must return~~
20 ~~any unexpended funds to the department in a manner prescribed by~~
21 ~~the department by not later than October 30, 2026.~~

22 (2) ~~(3)~~ To remain eligible for funding under subsection (1),
23 by not later than December 1 of the current fiscal year, a school
24 district must submit, in a form and manner determined by the
25 department, to their intermediate district, and a public school
26 academy must submit, in a form and manner determined by the
27 department, to the intermediate district in which the public school
28 academy is located, the number of nonpublic school students the
29 district expects to transport as required under section 1321 of the



1 revised school code, MCL 380.1321. Intermediate districts shall
 2 submit this information to the department by not later than
 3 February 1.

4 **(3)** ~~(4)~~—The department shall compile the reports provided by
 5 intermediate districts under subsection ~~(3)~~ **(2)** into 1 legislative
 6 report. The department shall provide this report not later than
 7 March 1 of each fiscal year for which funding is allocated under
 8 this section to the house and senate subcommittees responsible for
 9 school aid, the house and senate fiscal agencies, and the state
 10 budget director.

11 **(4)** ~~(5)~~—Notwithstanding section 17b, the department shall make
 12 payments under this section on a schedule determined by the
 13 department.

14 Sec. 22m. (1) From the state school aid fund money
 15 appropriated in section 11, there is allocated for ~~2025-2026~~ **2026-**
 16 **2027** an amount not to exceed \$3,500,000.00 for supporting the
 17 integration of local data systems into the Michigan data hub
 18 network based on common standards and applications that are in
 19 compliance with section 19(6). ~~In addition, from the state school~~
 20 ~~aid fund money appropriated in section 11, there is allocated for~~
 21 ~~2025-2026 only an amount not to exceed \$1,500,000.00 for the~~
 22 ~~purposes of this section.~~

23 (2) An entity that is the fiscal agent for no more than 5
 24 consortia of intermediate districts that previously received
 25 funding from the technology readiness infrastructure grant under
 26 former section 22i for the purpose of establishing regional data
 27 hubs that are part of the Michigan data hub network is eligible for
 28 funding under this section.

29 (3) The center shall work with an advisory committee composed



1 of representatives from intermediate districts within each of the
2 data hub regions to coordinate the activities of the Michigan data
3 hub network.

4 (4) The center, in collaboration with the Michigan data hub
5 network, shall determine the amount of funds distributed under this
6 section to each participating regional data hub within the network,
7 based upon a competitive grant process. The center shall ensure
8 that the entities receiving funding under this section represent
9 geographically diverse areas in this state.

10 (5) Notwithstanding section 17b, the department shall make
11 payments under this section on a schedule determined by the center.

12 (6) To receive funding under this section, a regional data hub
13 must have a governance model that ensures local control of data,
14 data security, and student privacy issues. The integration of data
15 within each of the regional data hubs must provide for the
16 actionable use of data by districts and intermediate districts
17 through common reports and dashboards and for efficiently providing
18 information to meet state and federal reporting purposes.

19 (7) Participation in a data hub region in the Michigan data
20 hub network under this section is voluntary and is not required.

21 (8) Entities receiving funding under this section shall use
22 the funds for all of the following:

23 (a) Creating an infrastructure that effectively manages the
24 movement of data between data systems used by intermediate
25 districts, districts, and other educational organizations in
26 Michigan based on common data standards to improve student
27 achievement.

28 (b) Utilizing the infrastructure to put in place commonly
29 needed integrations, reducing cost and effort to do that work while



1 increasing data accuracy and usability.

2 (c) Promoting the use of a more common set of applications by
3 promoting systems that integrate with the Michigan data hub
4 network.

5 (d) Promoting 100% district adoption of the Michigan data hub
6 network.

7 (e) Ensuring local control of data, data security, and student
8 data privacy.

9 (f) Utilizing the infrastructure to promote the actionable use
10 of data through common reports and dashboards that are consistent
11 statewide.

12 (g) Creating a governance model to facilitate sustainable
13 operations of the infrastructure in the future, including
14 administration, legal agreements, documentation, staffing, hosting,
15 and funding.

16 (h) Evaluating future data initiatives at all levels to
17 determine whether the initiatives can be enhanced by using the
18 standardized environment in the Michigan data hub network.

19 (9) By not later than January 1 of each fiscal year, the
20 center shall prepare a summary report of information provided by
21 each entity that received funds under this section that includes
22 measurable outcomes based on the objectives described under this
23 section and a summary of compiled data from each entity to provide
24 a means to evaluate the effectiveness of the project. The center
25 shall submit the report to the house and senate appropriations
26 subcommittees on school aid and to the house and senate fiscal
27 agencies.

28 **Sec. 23h. (1) From the state school aid fund money**
29 **appropriated in section 11, there is allocated an amount not to**



1 exceed \$12,000,000.00 for 2026-2027 only to an intermediate
2 district in which the combined total number of pupils in membership
3 of all of its constituent districts is the fewest among all
4 intermediate districts in this state for the purpose of this
5 section. Funding must be used by the intermediate district, in
6 partnership with an association that represents intermediate
7 district administrators in this state, for the purposes described
8 in this section.

9 (2) From the state school aid fund money allocated in
10 subsection (1), there is allocated an amount not to exceed
11 \$3,000,000.00 for professional learning opportunities for
12 mathematics educators, including instructional and leadership
13 coaching, designed to strengthen early mathematics content
14 knowledge and instructional practices among pre-K to 5 teachers.
15 Funds allocated under this subsection must be used for the
16 following:

17 (a) Development of local district professional learning
18 systems that incorporate job-embedded educator learning structures,
19 resources to support local district leadership teams, and the
20 intentional integration of the Michigan integrated continuous
21 improvement process, and the MiStrategy Bank.

22 (b) Professional learning for early mathematics specialists,
23 coaches, administrators, and teachers.

24 (c) Implementation of statewide and regional professional
25 learning networks in early mathematics instruction.

26 (d) Development and support of tools to support the
27 implementation at the intermediate district and district levels.

28 (3) From the state school aid fund money allocated in
29 subsection (1), there is allocated an amount not to exceed

1 \$9,000,000.00 to fund early mathematics specialists within
 2 intermediate districts to assist teachers, school leaders, and
 3 intermediate district leaders in implementing research-based
 4 instructional strategies for grade pre-K to 5 students. All of the
 5 following apply to funds allocated under this subsection:

6 (a) To be eligible to receive funds under this subsection, an
 7 intermediate district must apply to the intermediate district
 8 described in subsection (1) in a form and manner determined by the
 9 intermediate district. The application for funds under this
 10 subdivision must provide assurances that the early mathematics
 11 specialists funded under this subsection demonstrate the following:

12 (i) A deep and broad understanding of mathematics content,
 13 including the specialized knowledge needed for teaching.

14 (ii) Expertise in effective instructional and assessment
 15 practices informed by research-based mathematical learning
 16 trajectories.

17 (iii) Knowledge and skills for working with adult learners.

18 (iv) Leadership skills necessary to influence and support
 19 educational efforts to improve mathematics teaching and learning.

20 (b) Funds allocated under this subsection must be awarded as
 21 follows:

22 (i) An equal amount per eligible intermediate district
 23 necessary to support the cost of 1 early mathematics specialist, as
 24 determined by the intermediate district and association described
 25 in subsection (1).

26 (ii) After initial distributions under subparagraph (i), any
 27 remaining funds may be allocated by the intermediate district
 28 described in subsection (1) to eligible intermediate districts for
 29 early mathematics specialists based on regional need, using a

1 rubric developed by the department and the Michigan Association of
2 Intermediate School Administrators Early Mathematics Task Force.

3 (4) By not later than September 1 of each year, the
4 intermediate district and the association described in subsection
5 (1), in consultation with grant recipients, shall submit a report
6 to the chairs of the senate and house appropriations subcommittees
7 on school aid, the chairs of the senate and house standing
8 committees responsible for education legislation, the house and
9 senate fiscal agencies, and the state budget director. The report
10 must include, at a minimum, an assessment of the impact of funds
11 allocated in this section on mathematics instruction and learning
12 at the intermediate district, district, and student level.

13 (5) Notwithstanding section 17b, the department shall make
14 payments under this section on a schedule determined by the
15 department.

16 (6) Notwithstanding section 18a, funds allocated under this
17 section may be available for expenditure until September 30, 2029.
18 A recipient of funding under this section must return any
19 unexpended funds to the department in the manner prescribed by the
20 department by not later than October 30, 2030.

21 Sec. 24. (1) From the state school aid fund money appropriated
22 in section 11, there is allocated for ~~2025-2026~~**2026-2027** an amount
23 not to exceed \$7,650,000.00 for payments to the educating district
24 or intermediate district for educating pupils assigned by a court
25 or the department of health and human services to reside in or to
26 attend a juvenile detention facility or child caring institution
27 licensed by the department of health and human services and
28 approved by the department to provide an on-grounds education
29 program. The amount of the payment under this section to a district



1 or intermediate district is calculated as prescribed under
2 subsection (2).

3 (2) The department shall allocate the total amount allocated
4 under this section by paying to the educating district or
5 intermediate district an amount equal to the lesser of the
6 district's or intermediate district's added cost or the
7 department's approved per-pupil allocation for the district or
8 intermediate district. For the purposes of this subsection:

9 (a) "Added cost" means 100% of the added cost each fiscal year
10 for educating all pupils assigned by a court or the department of
11 health and human services to reside in or to attend a juvenile
12 detention facility or child caring institution licensed by the
13 department of health and human services or the department of
14 licensing and regulatory affairs and approved by the department to
15 provide an on-grounds education program. Added cost is computed by
16 deducting all other revenue received under this article for pupils
17 described in this section from total costs, as approved by the
18 department, in whole or in part, for educating those pupils in the
19 on-grounds education program or in a program approved by the
20 department that is located on property adjacent to a juvenile
21 detention facility or child caring institution. Costs reimbursed by
22 federal funds are not included.

23 (b) "Department's approved per-pupil allocation" for a
24 district or intermediate district is determined by dividing the
25 total amount allocated under this section for a fiscal year by the
26 full-time equated membership total for all pupils approved by the
27 department to be funded under this section for that fiscal year for
28 the district or intermediate district.

29 (3) A district or intermediate district educating pupils



1 described in this section at a residential child caring institution
2 may operate, and receive funding under this section for, a
3 department-approved on-grounds educational program for those pupils
4 that is longer than 181 days, but not longer than 233 days, if the
5 child caring institution was licensed as a child caring institution
6 and offered in 1991-92 an on-grounds educational program that was
7 longer than 181 days but not longer than 233 days and that was
8 operated by a district or intermediate district.

9 (4) Special education pupils funded under section 53a are not
10 funded under this section.

11 Sec. 24a. From the state school aid fund money appropriated in
12 section 11, there is allocated an amount not to exceed
13 \$1,355,700.00 for ~~2025-2026~~**2026-2027** for payments to intermediate
14 districts for pupils who are placed in juvenile justice service
15 facilities operated by the department of health and human services.
16 The amount of the payment to each intermediate district is an
17 amount equal to the state share of those costs that are clearly and
18 directly attributable to the educational programs for pupils placed
19 in facilities described in this section that are located within the
20 intermediate district's boundaries. The intermediate districts
21 receiving payments under this section shall cooperate with the
22 department of health and human services to ensure that all funding
23 allocated under this section is utilized by the intermediate
24 district and department of health and human services for
25 educational programs for pupils described in this section. Pupils
26 described in this section are not eligible to be funded under
27 section 24. However, a program responsibility or other fiscal
28 responsibility associated with these pupils must not be transferred
29 from the department of health and human services to a district or



1 intermediate district unless the district or intermediate district
2 consents to the transfer.

3 Sec. 25f. (1) From the state school aid fund money
4 appropriated in section 11, there is allocated an amount not to
5 exceed \$1,600,000.00 for ~~2025-2026~~**-2026-2027** for payments to strict
6 discipline academies and qualified districts, as provided under
7 this section.

8 (2) To receive funding under this section, a strict discipline
9 academy or qualified district must first comply with section 25e
10 and use the pupil transfer process described in that section for
11 changes in enrollment as prescribed under that section and apply
12 annually for funding under section 24.

13 (3) The total amount allocated to a strict discipline academy
14 or qualified district under this section is equal to the strict
15 discipline academy's or qualified district's pupil membership in
16 the immediately preceding year multiplied by an amount calculated
17 by dividing the total allocation under this section by the total
18 pupil membership for eligible strict discipline academies and
19 qualified districts in the immediately preceding year. However, the
20 sum of the amounts received by a strict discipline academy or
21 qualified district under this section and under section 24 must not
22 exceed the product of the strict discipline academy's or qualified
23 district's per-pupil allocation calculated under section 20
24 multiplied by the strict discipline academy's or qualified
25 district's full-time equated membership. The department shall
26 allocate funds to strict discipline academies and qualified
27 districts under this section on a monthly basis.

28 (4) Special education pupils funded under section 53a are not
29 funded under this section.



(5) The department shall make payments to strict discipline academies and qualified districts under this section according to the payment schedule under section 17b.

(6) For purposes of this section, the pupil membership for the current fiscal year for a qualified district is the actual number of pupils that are in the custody of a county juvenile agency as described in subsection (7) (a).

(7) As used in this section:

(a) "Qualified district" means a public school academy that is not a strict discipline academy that enrolls individuals who are in the custody of a county juvenile agency to which both of the following are applicable:

(i) The agency had custody of individuals who were enrolled in a strict discipline academy in the 2020-2021 school year.

(ii) The strict discipline academy that the individuals described in subparagraph (i) were enrolled in subsequently closed.

(b) "Strict discipline academy" means a public school academy established under sections 1311b to 1311m of the revised school code, MCL 380.1311b to 380.1311m.

Sec. 26a. From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed \$14,000,000.00 for 2025-2026 to reimburse districts and intermediate districts under section 12 of the Michigan renaissance zone act, 1996 PA 376, MCL 125.2692, for taxes levied in ~~2024~~.

2025. From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed \$14,000,000.00 for 2026-2027 to reimburse districts and intermediate districts under section 12 of the Michigan renaissance zone act, 1996 PA 376, MCL 125.2692, for taxes levied in 2026. The department shall pay the



1 allocations by not later than 60 days after the department of
 2 treasury certifies to the department and to the state budget
 3 director that the department of treasury has received all necessary
 4 information to properly determine the amounts due to each eligible
 5 recipient.

6 Sec. 26b. (1) From the state school aid fund money
 7 appropriated in section 11, there is allocated an amount not to
 8 exceed \$5,549,000.00 for ~~2025-2026~~**2026-2027** for payments to
 9 districts, intermediate districts, and community college districts
 10 for the portion of the payment in lieu of taxes obligation that is
 11 attributable to districts, intermediate districts, and community
 12 college districts under section 2154 of the natural resources and
 13 environmental protection act, 1994 PA 451, MCL 324.2154.

14 (2) If the amount appropriated under this section is
 15 insufficient to fully pay obligations under this section, payments
 16 are prorated on an equal basis among all eligible districts,
 17 intermediate districts, and community college districts.

18 Sec. 26c. (1) From the state school aid fund money
 19 appropriated under section 11, ~~there is allocated an amount not to~~
 20 ~~exceed \$37,700,000.00 for 2024-2025 and there is allocated an~~
 21 ~~amount not to exceed \$43,300,000.00 for 2025-2026~~**there is**
 22 **allocated an amount not to exceed \$48,300,000.00 for 2026-2027** to
 23 the promise zone fund created in subsection (3). The funds
 24 allocated under this section reflect the amount of revenue from the
 25 collection of the state education tax captured under section 17 of
 26 the Michigan promise zone authority act, 2008 PA 549, MCL 390.1677.

27 (2) Funds allocated to the promise zone fund under this
 28 section must be used solely for payments to eligible districts and
 29 intermediate districts, in accordance with section 17 of the



1 Michigan promise zone authority act, 2008 PA 549, MCL 390.1677,
2 that have a promise zone development plan approved by the
3 department of treasury under section 7 of the Michigan promise zone
4 authority act, 2008 PA 549, MCL 390.1667. Eligible districts and
5 intermediate districts shall use payments made under this section
6 for reimbursement for qualified educational expenses as that term
7 is defined in section 3 of the Michigan promise zone authority act,
8 2008 PA 549, MCL 390.1663.

9 (3) The promise zone fund is created as a separate account
10 within the state school aid fund to be used solely for the purposes
11 of the Michigan promise zone authority act, 2008 PA 549, MCL
12 390.1661 to 390.1679. All of the following apply to the promise
13 zone fund:

14 (a) The state treasurer shall direct the investment of the
15 promise zone fund. The state treasurer shall credit to the promise
16 zone fund interest and earnings from fund investments.

17 (b) Money in the promise zone fund at the close of a fiscal
18 year remains in the promise zone fund and does not lapse to the
19 general fund.

20 (4) Subject to subsection (2), the state treasurer may make
21 payments from the promise zone fund to eligible districts and
22 intermediate districts under the Michigan promise zone authority
23 act, 2008 PA 549, MCL 390.1661 to 390.1679, to be used for the
24 purposes of a promise zone authority created under that act.

25 (5) Notwithstanding section 17b, the department shall make
26 payments under this section on a schedule determined by the
27 department.

28 Sec. 26d. (1) From the state school aid fund money
29 appropriated under section 11, there is allocated an amount not to



1 exceed ~~\$14,400,000.00~~ **\$19,000,000.00** for 2025-2026 **and an amount**
 2 **not to exceed \$21,800,000.00** for reimbursements to intermediate
 3 districts as required under section 15b of the brownfield
 4 redevelopment financing act, 1996 PA 381, MCL 125.2665b.

5 (2) The amounts reimbursed under subsection (1) must be used
 6 by the intermediate district only for the purposes for which the
 7 property taxes were originally levied.

8 (3) The Michigan strategic fund and the Michigan economic
 9 development corporation shall work with the department of treasury
 10 in identifying the amount of tax revenues that are to be reimbursed
 11 under subsection (1).

12 (4) Notwithstanding section 17b, the department of treasury
 13 shall make payments under this section on a schedule determined by
 14 the department of treasury.

15 Sec. 27a. (1) From the educator fellowship public provider
 16 fund money appropriated in section 11, there is allocated for ~~2025-~~
 17 ~~2026-2026-2027~~ an amount not to exceed \$10,000,000.00, from the
 18 state school aid fund money appropriated in section 11, there is
 19 allocated for ~~2025-2026-2026-2027~~ an amount not to exceed
 20 \$10,000,000.00, and from the general fund money appropriated in
 21 section 11, there is allocated for ~~2025-2026-2026-2027~~ **only** an
 22 amount not to exceed \$5,000,000.00 for the MI future educator
 23 fellowship program. The funds allocated under this section must be
 24 used to offset tuition costs for individuals who are working toward
 25 earning their initial teacher certification. At the close of the
 26 fiscal year, money allocated under this section that is unspent
 27 must be deposited as follows:

28 (a) For state school aid fund money, into the educator
 29 fellowship public provider fund in section 27d.



(b) For general fund money, into the educator fellowship private provider fund in section 27e.

(2) To establish initial eligibility for an award from funding under this section, an individual must meet all of the following conditions by the date of enrollment described in subdivision

~~(b)~~ **(a)** :

~~(a) Have graduated from high school with a diploma or certificate of completion or achieved a high school equivalency certificate.~~

(a) ~~(b)~~ Be admitted to an eligible educator preparation program; be working toward a teacher certification; be enrolled in enough coursework to be considered enrolled full-time during the academic year, as determined by the student's educator preparation program, or the equivalent of full-time participation for individuals enrolled in an alternative certification program, as defined by the department; and, for students at institutions of higher education, be considered at least a junior-level student, as determined by the institution of higher education.

(b) ~~(e)~~ Not have previously earned a teacher certification.

(c) ~~(d)~~ Timely complete a grant application in a form and manner prescribed by the department of lifelong education, advancement, and potential.

(d) ~~(e)~~ Timely file the Free Application for Federal Student Aid for the enrollment period described in subdivision ~~(b)~~ **(a)** .

(e) ~~(f)~~ Timely apply for all available gift aid for the enrollment period described in subdivision ~~(b)~~ **(a)** .

(f) ~~(g)~~ Agree to repay any funds received from funding under this section if the individual does not maintain enrollment in their educator preparation program, the individual does not



1 successfully complete their educator program, or the individual
2 does not complete the work requirement described in subsection (7).

3 **(g)** ~~(h)~~ Have a high school or college grade point average of
4 at least 3.0.

5 **(h)** ~~(i)~~ Be a resident of this state, as determined for
6 purposes of the Free Application for Federal Student Aid.

7 (3) To establish continuing eligibility for an award under
8 this section at an eligible educator preparation program, an
9 individual must meet all of the following conditions:

10 (a) Maintain full-time continuous enrollment in an eligible
11 educator preparation program, as determined by the educator
12 preparation program, or the equivalent of full-time participation
13 for individuals enrolled in an alternative certification program,
14 as defined by the department, excluding any period of time missed
15 due to a medical or other emergency, as determined by the
16 department of lifelong education, advancement, and potential.

17 (b) Maintain satisfactory academic progress, including a grade
18 point average of at least 3.0, in courses provided by the eligible
19 educator preparation program and meet requirements established by
20 the eligible educator preparation program.

21 (c) Participate in relevant academic and career advising
22 programs offered by the eligible educator preparation program.

23 (d) Timely file the Free Application for Federal Student Aid
24 for each academic year in which the individual receives an award
25 from funding under this section.

26 (e) Timely apply for all available gift aid for each academic
27 year in which the individual applies for funding under this
28 section.

29 (f) Maintain residency in this state, as determined for



1 purposes of the Free Application for Federal Student Aid.

2 (4) An award under this section must not exceed \$10,000.00 per
3 academic year or the cost of tuition at the eligible educator
4 preparation program attended, whichever is less. As used in this
5 subsection, the cost of tuition at an educator preparation program
6 that is an institution of higher education is the in-district
7 resident rate plus other required fees, as determined by the
8 department of lifelong education, advancement, and potential; and
9 the cost of tuition at an educator preparation program that is an
10 alternative certification provider is the cost of tuition plus
11 other required fees, as determined by the department of lifelong
12 education, advancement, and potential.

13 (5) Awards under this section must be distributed to eligible
14 educator preparation programs on behalf of an eligible recipient on
15 a timeline determined by the department of lifelong education,
16 advancement, and potential.

17 (6) Pending available funds, applicants may renew their award
18 for up to 3 years, or until program completion, whichever comes
19 first.

20 (7) To be an eligible recipient of fellowship funding under
21 this section, an individual must pledge to work as a certified
22 teacher in a public school or a qualifying public preschool program
23 in this state and must meet 1 of the following work requirements:

24 (a) For a recipient of funding under this section who received
25 an award for 1 academic year, 3 years of work as a certified
26 teacher in a public school or a qualifying public preschool program
27 in this state.

28 (b) For a recipient of funding under this section who received
29 an award for 2 academic years, 4 years of work as a certified



1 teacher in a public school or a qualifying public preschool program
2 in this state.

3 (c) For a recipient of funding under this section who received
4 an award for 3 academic years, 5 years of work as a certified
5 teacher in a public school or a qualifying public preschool program
6 in this state.

7 (d) For a recipient working in a critical needs district, 3
8 years of work as a certified teacher. As used in this subdivision,
9 "critical needs district" means a district with a median household
10 income in the lowest quartile in each prosperity region, as
11 determined by the department.

12 (8) If an award recipient does not maintain enrollment in
13 their educator preparation program as required under subsection
14 (3)(a), does not successfully complete their educator preparation
15 program, or does not meet the work requirement described in
16 subsection (7), any amount received from funds under this section
17 converts to a 0% interest loan that must be repaid to this state
18 within 10 years, plus any deferment period as determined and
19 approved by the department of lifelong education, advancement, and
20 potential. The amount of repayment must be reduced proportionate to
21 the number of years worked in schools or qualifying public
22 preschool programs in this state as a certificated teacher out of 5
23 years. The department of lifelong education, advancement, and
24 potential shall develop guidance to enforce this subsection.

25 (9) An individual may not concurrently receive funding through
26 programs funded under this section and grow your own programs
27 funded under section 27b.

28 (10) If the amount allocated in subsection (1) is insufficient
29 to fully fund awards under this section, there is appropriated from



1 the educator fellowship public provider fund in section 27d or the
2 educator fellowship private provider fund in section 27e, as
3 applicable, the amount necessary to fully fund these programs. The
4 state budget director shall provide notification to the house and
5 senate appropriations subcommittees on K to 12 school aid and the
6 house and senate fiscal agencies for any additional appropriation
7 described under this subsection.

8 (11) Notwithstanding section 17b, the department of lifelong
9 education, advancement, and potential shall make payments under
10 this section on a schedule determined by the department of lifelong
11 education, advancement, and potential.

12 (12) The department of lifelong education, advancement, and
13 potential shall report to the chairpersons of the house
14 appropriations subcommittee on school aid and education and the
15 senate appropriations subcommittee on pre-K to 12 by February 15 of
16 the current fiscal year. The report must include the following:

17 (a) The number and amount of awards granted in the previous
18 fiscal year.

19 (b) The number of recipients in the previous fiscal year that
20 had their awards converted to loans under subsection (8).

21 (13) As used in this section, "eligible educator preparation
22 program" means a public or nonpublic institution of higher
23 education or an alternative route provider that meets all of the
24 following, as applicable:

25 (a) Is approved by the department to offer teacher preparation
26 programming.

27 (b) Enrolls 1 or more future educator fellowship recipients.

28 (c) Has not been deemed as ineligible to receive Michigan
29 achievement scholarship funding under section 248 as a result of



1 exceeding tuition restraint requirements described in section 248.

2 (d) Includes, as part of its required educator preparation
3 coursework, pedagogical methods grounded in the science of reading.
4 If an educator preparation program does not include pedagogical
5 methods grounded in the science of reading, the program may
6 maintain eligibility by providing to the department of lifelong
7 education, advancement, and potential a detailed public plan, in a
8 form and manner determined by the department of lifelong education,
9 advancement, and potential, to comply with section 1531e of the
10 revised school code, MCL 380.1531e, by not later than September 30,
11 2027.

12 Sec. 27b. (1) From the state school aid fund money
13 appropriated in section 11, there is allocated for 2025-2026 only
14 an amount not to exceed \$70,000,000.00 to districts, intermediate
15 districts, and consortia of intermediate districts for grow your
16 own programs and educator development programs as described in this
17 section and subject to subsection (5), and there is allocated for
18 2026-2027 only an amount not to exceed \$25,000,000.00 to districts,
19 intermediate districts, and consortia of intermediate districts for
20 grow your own programs, educator workforce innovation programs, and
21 educator development and retention programs as described in this
22 section.

23 (2) The department shall establish a competitive grant process
24 to distribute funds under this section. A district, intermediate
25 district, or consortium of intermediate districts must apply for
26 funds in a form and manner prescribed by the department. As part of
27 the application described in this subsection, a district,
28 intermediate district, or consortium of intermediate districts must
29 submit the following information and assurances:



1 (a) Demonstrated need for funding in the district,
2 intermediate district, or consortium of intermediate districts or
3 the broader community, including projected workforce needs, and a
4 proposed spending plan on how the funds will be utilized that
5 includes, but is not limited to, **administrative costs**, expected
6 tuition, fees, and books for the program.

7 (b) Number of support staff projected to participate in a
8 program described in this section.

9 (c) The planned activities for programs described in this
10 section.

11 (d) Projected outcomes of programs described in this section,
12 which must include, but are not limited to, the following:

13 (i) Teacher and school leader retention and satisfaction.

14 (ii) Teacher and school leader efficacy.

15 (iii) Anticipated school or district partners, evidenced by
16 signed partnership agreements.

17 **(iv) Beginning in 2026-2027, demonstration of addressing**
18 **projected workforce needs.**

19 (e) Assurances that the programs described in this section
20 will be no cost for participants and that participants will be
21 compensated as an employee for the duration of their training,
22 including a paid residency, fellowship, or student teaching.

23 **(f) Beginning in 2026-2027, assurances that any educator**
24 **preparation program partnering with the district, intermediate**
25 **district, or consortium of intermediate districts to support a grow**
26 **your own program under this section is approved by the department**
27 **for the preparation of teachers in this state.**

28 (3) Recipients of grants under this section must submit
29 performance reports to the department not less than twice per year.



Each report must include the following information:

(a) ~~(i)~~—The number of program participants served and retention in the program or district.

(b) ~~(ii)~~—Qualitative and quantitative participant feedback.

(c) ~~(iii)~~—Evidence of efficacy and progress toward projected outcomes.

(4) The department shall ensure that all performance reports required under subsection (3) are made publicly available on the department's website.

(5) Grant awards under this section must be structured into 3 tiers, as described in subsections (6), ~~(8)~~, **(9)**, and ~~(11)~~. **(12)**, or be used for the purposes described in subsection (17). All programs funded under this section must address a measurable and critical problem related to the health and efficacy of this state's education talent working in Michigan schools and be data- and research-driven, demonstrating effectiveness against intended and measurable outcomes.

(6) ~~Funding~~ **For 2025-2026 only, funding** for tier 1 grant awards must not exceed \$50,000,000.00, unless otherwise directed by the legislature. ~~The~~ **In 2025-2026, the** department shall allocate at least 1 tier 1 grant of not less than \$40,000,000.00. ~~Tier~~ **Subject to subsection (7), tier** 1 grants must sustain or further scale grow your own programs or educator development programs that meet all of the following criteria:

(a) ~~Have~~ **For 2025-2026 only, have** been in operation in this state for at least 5 years, and evaluated for at least 2 years by a rigorous, independent Michigan-based evaluator, and results of the program have been made publicly available.

(b) ~~Have~~ **For 2025-2026 only, have** at least 2 consecutive years



1 of public financial audits of the program with no material
2 findings.

3 (c) ~~Demonstrate~~**For 2025-2026 only, demonstrate** broad
4 geographic reach and investment into teachers and school leaders at
5 every experience level, in partnerships established with not fewer
6 than 15 local education agencies across both urban and rural
7 regions, that extend back to the start of the 2023-2024 school
8 year, bound by written agreements that include data sharing with an
9 independent evaluator for evaluation purposes.

10 (d) ~~Generate~~**For 2025-2026 only, generate** private matching
11 funds.

12 (e) **For 2026-2027, have been in operation at least 3 years.**

13 (f) **For 2026-2027, demonstrate a proven track record of**
14 **success, as evidenced by internal data showing both of the**
15 **following:**

16 (i) **High rates of educator retention within the profession or**
17 **participating districts after program completion.**

18 (ii) **Active and ongoing engagement and partnership with school**
19 **districts in each of the state's intermediate districts.**

20 (g) **For 2026-2027, operate as a statewide program,**
21 **demonstrating the ability to serve a geographically diverse**
22 **population, including both urban and rural areas.**

23 (h) **For 2026-2027, have a demonstrated track record of**
24 **receiving private philanthropic or corporate funding.**

25 (7) **For 2025-2026 only, tier 1 grants under subsection (6) may**
26 **be used to support operating costs associated with teacher**
27 **recruitment, retention, development, innovation, and evaluation**
28 **costs.**

29 (8) ~~(7)~~**Notwithstanding section 18a, funds allocated in 2025-**



1 **2026** for programs described in subsection (6) may be available for
 2 expenditure until September 30, 2029. A recipient of funding for a
 3 program described in subsection (6) must return any unexpended
 4 funds to the department in a manner prescribed by the department by
 5 not later than October 30, 2029.

6 **(9) ~~(8)~~** Tier 2 grants must scale or sustain grow your own
 7 programs or educator development programs that meet all of the
 8 following criteria:

9 (a) ~~Have~~ **For 2025-2026 only, have** been in operation for at
 10 least 3 years.

11 (b) ~~Demonstrate~~ **For 2025-2026 only, demonstrate** promising
 12 internal results, but are not yet supported by an independent
 13 evaluation.

14 (c) ~~Serve~~ **For 2025-2026 only, serve** a geographically diverse
 15 population, including both urban and rural areas.

16 (d) Have a demonstrated track record of receiving private
 17 philanthropic or corporate funding.

18 **(e) For 2026-2027, have been in operation for at least 4**
 19 **years.**

20 **(f) For 2026-2027, serve both K to 12 and the early childhood**
 21 **educator pipelines in a geographically diverse population,**
 22 **including both urban and rural areas.**

23 **(g) For 2026-2027, demonstrate promising internal results and**
 24 **have contracted with a third-party vendor.**

25 **(h) For 2026-2027, have a demonstrated track record of**
 26 **launching grow your own programs with more than 100 participants in**
 27 **geographically diverse areas of the state.**

28 **(i) For 2026-2027, have partnered with at least 6 school**
 29 **districts to adopt innovative staffing models, including strategic**



1 **staffing.**

2 (j) **For 2026-2027, have led at least 1 program that supports**
 3 **updates and improvements to educator preparation programs.**

4 (10) ~~(9) Grant~~ **For 2025-2026 only, grant** awards for programs
 5 described in subsection ~~(8)~~ **(9)** must not exceed \$12,500,000.00 per
 6 year.

7 (11) ~~(10)~~ Notwithstanding section 18a, funds allocated **in**
 8 **2025-2026** for programs described in subsection ~~(8)~~ **(9)** may be
 9 available for expenditure until September 30, 2027. A recipient of
 10 funding **in 2025-2026** for a program described in subsection ~~(8)~~ **(9)**
 11 must return any unexpended funds to the department in a manner
 12 prescribed by the department by not later than October 30, 2027.

13 (12) ~~(11)~~ Tier 3 grants must fund pilot-stage or early-stage
 14 grow your own programs or educator development programs that meet
 15 all of the following criteria:

16 (a) ~~Have~~ **For 2025-2026 only, have** been in operation for fewer
 17 than 2 years.

18 (b) Do not yet have independent evaluation data available.

19 (c) Are limited in scope or geography.

20 (d) Include a documented path to scale or expand the program
 21 to serve more educators or additional districts.

22 (13) ~~(12) Grant~~ **For 2025-2026 only, grant** awards for programs
 23 described in subsection ~~(11)~~ **(12)** must not exceed \$5,000,000.00 per
 24 year.

25 (14) ~~(13)~~ Notwithstanding section 18a, funds allocated **in**
 26 **2025-2026** for programs described in subsection ~~(11)~~ **(12)** may be
 27 available for expenditure until September 30, 2027. A recipient of
 28 funding for a program described in subsection ~~(11)~~ **(12)** must return
 29 any unexpended funds to the department in a manner prescribed by



1 the department by not later than October 30, 2027.

2 (15) Notwithstanding section 18a, funds allocated in 2026-2027
3 for programs described in this section may be available for
4 expenditure for up to 3 fiscal years after the fiscal year in which
5 funds were made available to the program. A recipient of funding
6 for a program under this section must return any unexpended funds
7 to the department in a manner and time frame prescribed by the
8 department.

9 (16) ~~(14)~~ An individual may not concurrently receive funding
10 for programs under this section and programs funded under sections
11 27a and 27c.

12 (17) From the state school aid fund money allocated in
13 subsection (1) for 2026-2027, an amount not to exceed \$3,000,000.00
14 may be awarded by the department for school librarian specialist
15 certification grants. These grants may be awarded to eligible grow
16 your own programs, educator development programs, or other programs
17 that provide a pathway for certified teachers to receive a school
18 librarian specialist (NQ) endorsement from the department. In
19 awarding grants under this subsection, the department shall
20 prioritize awards for applicants serving in schools that have
21 libraries but do not have staff with an NQ endorsement.

22 (18) ~~(15)~~ Notwithstanding section 17b, the department shall
23 make payments under this section by not later than December 15,
24 ~~2025-2026~~.

25 (19) The funds allocated under this section for 2026-2027 are
26 a work project appropriation, and any unexpended funds for 2026-
27 2027 are carried forward into 2027-2028. The purpose of the work
28 project is to continue funding supports for grow your own educator
29 programs. The estimated completion date of the work project is



1 **September 30, 2031.**

2 Sec. 27c. (1) From the state school aid fund money
3 appropriated in section 11, there is allocated \$30,000,000.00 for
4 ~~2025-2026-2026-2027~~ and from the educator fellowship public
5 provider fund money appropriated in section 11, there is allocated
6 \$20,000,000.00 for ~~2025-2026-2026-2027~~ for the MI future educator
7 student teacher stipend program. Except as otherwise provided in
8 this section, the funds allocated under this section must be paid
9 to eligible educator preparation programs for payments to eligible
10 student teachers working in a district. At the close of the fiscal
11 year, state school aid fund money allocated under this section that
12 is unspent must be deposited into the educator fellowship public
13 provider fund in section 27d.

14 (2) An eligible student teacher under this subsection must
15 meet all of the following:

16 (a) The individual must be admitted to an eligible educator
17 preparation program, be working toward a teacher certification, and
18 be participating in required student teaching coursework. As used
19 in this subdivision, "required student teaching coursework" means
20 credit hours, or the program equivalent, required by an eligible
21 educator preparation program for successful completion of the
22 program. This coursework must include regular placement in a
23 district where the student gains real-world, first-hand experience
24 working in a classroom, teaching students, engaging in the day-to-
25 day activities of a certified teacher, and working daily under the
26 guidance of a certified teacher.

27 (b) The individual must timely complete an application in a
28 form and manner prescribed by the department of lifelong education,
29 advancement, and potential. The application must include the



1 district in which the individual is working as a student teacher
2 and must include a certification by the district and the
3 individual's eligible educator preparation program that the student
4 is working as a student teacher. If the individual's eligible
5 educator preparation program is not provided by a public
6 institution of higher education, the district in which the
7 individual is working must also provide an assurance that they will
8 forward any amount received under this section from the department
9 of lifelong education, advancement, and potential for purposes of
10 the program described in this section to the individual's eligible
11 educator preparation program.

12 (c) The individual must not have received a payment from funds
13 under this subsection previously, unless the individual is enrolled
14 in an eligible educator preparation program that requires multiple
15 semesters of student teaching. An individual may receive not more
16 than 2 awards under this section.

17 (d) If an individual is employed by their district as a
18 teacher of record, they are not eligible for payment under this
19 section.

20 (e) An individual that is a current City Year corps member
21 enrolled in an eligible educator preparation program is eligible
22 for payment under this section.

23 (3) The department of lifelong education, advancement, and
24 potential shall pay each eligible educator preparation program an
25 amount not to exceed \$9,600.00 per academic semester for each
26 eligible student teacher working in a district. If the individual's
27 eligible educator preparation program is not provided by a public
28 institution of higher education, the department of lifelong
29 education, advancement, and potential shall pay an amount not to



1 exceed \$9,600.00 per academic semester to the district in which the
2 individual is working as a student teacher, and that district must
3 forward the amount received to the individual's eligible educator
4 preparation program. It is intended that payments under this
5 subsection are made at the beginning of the semester in 1 lump sum
6 for eligible student teachers.

7 (4) Eligible educator preparation programs shall pay funds
8 received under this section, in entirety, to the eligible student
9 teacher.

10 (5) Notwithstanding section 17b, the department of lifelong
11 education, advancement, and potential shall make payments under
12 this section on a schedule determined by the department of lifelong
13 education, advancement, and potential.

14 (6) If the amount allocated in subsection (1) is insufficient
15 to fully fund awards under this section, there is appropriated from
16 the educator fellowship public provider fund in section 27d the
17 amount necessary to fully fund the programs described in this
18 section. The state budget director shall notify the house and
19 senate appropriations subcommittees on K to 12 school aid and the
20 house and senate fiscal agencies of any additional appropriation
21 described in this subsection.

22 (7) As used in this section, "eligible educator preparation
23 program" means an institution of higher education that meets all of
24 the following:

25 (a) Is a public or private institution of higher education in
26 this state.

27 (b) Has an established school of education with an educator
28 preparation program approved by the department.

29 (c) Has not been deemed as ineligible to receive Michigan



1 achievement scholarship funding under section 248 as a result of
2 exceeding tuition restraint requirements described in section 248.

3 (d) Includes, as part of its required educator preparation
4 coursework, pedagogical methods grounded in the science of reading.
5 If an educator preparation program does not meet this standard, the
6 program may maintain eligibility by providing to the department of
7 lifelong education, advancement, and potential a detailed public
8 plan, in a form and manner determined by the department of lifelong
9 education, advancement, and potential, to comply with section 1531e
10 of the revised school code, MCL 380.1531e, by not later than
11 September 30, 2027.

12 Sec. 27j. (1) The student loan repayment assistance reserve
13 fund is created as a separate account within the state school aid
14 fund. ~~to provide supplemental funding for the student loan~~
15 ~~repayment assistance program in section 27k.~~

16 (2) The state treasurer may receive money or other assets from
17 any source for deposit into the student loan repayment assistance
18 reserve fund. The state treasurer shall direct the investment of
19 the student loan repayment assistance reserve fund. The state
20 treasurer shall credit to the student loan repayment assistance
21 reserve fund interest and earnings from student loan repayment
22 assistance reserve fund investments.

23 (3) Money in the student loan repayment assistance reserve
24 fund at the close of the fiscal year ~~remains in the student loan~~
25 ~~repayment assistance reserve fund and does not lapse~~ **lapses** to the
26 state school aid fund.

27 (4) The department of treasury is the administrator of the
28 student loan repayment assistance reserve fund for auditing
29 purposes.



(5) Money available in the student loan repayment assistance reserve fund must not be expended without a specific appropriation.

~~(6) At the close of each fiscal year, unspent funds from state sources allocated in section 27k must be deposited into the student loan repayment assistance reserve fund created in this section.~~

Sec. 27l. (1) From the state school aid fund money appropriated in section 11, there is allocated ~~\$203,000,000.00~~ **\$150,000,000.00** for ~~2024-2025 only~~, and from the ~~MPERS obligation reform reserve fund money appropriated under section 11, there is allocated the remaining balance, estimated at \$147,300,000.00 for 2024-2025~~ **2026-2027** only to districts and intermediate districts for the purposes of this section. The state school aid fund allocation in this section is conditional on the effective issuance of a directive by the state budget director, pursuant to section 451a of the management and budget act, 1984 PA 431, MCL 18.451a, to lapse all remaining funding from a work project that was established under section 27k in 2023-2024. The amount allocated from the state school aid fund under this section may not exceed the amount lapsed from the work project as described in the immediately preceding sentence.

~~(2) The state school aid fund money allocated in subsection (1) is allocated to districts and intermediate districts in an equal amount per pupil. Subject to subsection (3),~~ **(2)**, a district or intermediate district shall use all of the funding allocated under this subsection to increase compensation for educators in the district or intermediate district.

(2) ~~(3)~~—If there are 1 or multiple labor unions representing educators in the district or intermediate district, the district or intermediate district shall bargain any increases in compensation



under subsection ~~(2)~~ **(1)** with those unions. All payments to educators made by districts or intermediate districts with funds allocated under subsection ~~(2)~~ **(1)** shall be in addition to any existing compensation negotiated in a collective bargaining agreement.

~~(4) The MPSERS obligation reform reserve fund money allocated in subsection (1) is allocated for payments to participating entities to offset normal costs associated with retiree health benefits. The amount allocated to each participating entity under this subsection must be based on the participating entity's proportion of the total funding distributed in 2024-2025 under section 147g. Participating entities must use funding distributed under this subsection as an offset for normal costs associated with retiree health benefits.~~

(3) ~~(5)~~ Notwithstanding section 17b, the department shall make payments under this section on a schedule determined by the department.

~~(6) The funds allocated under this section for 2024-2025 are a work project appropriation, and any unexpended funds for 2024-2025 are carried forward into 2025-2026. The purpose of the work project is to increase compensation for educators and offset normal costs associated with retiree health care benefits. The estimated completion date of the work project is September 30, 2026.~~

(4) The funds appropriated under this section for payments to educators are intended as 1-time bonus payments. Pursuant to section 3a(3) of the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1303a, payments under this section are not considered compensation for retirement purposes and are not subject to member or employer contribution requirements under the



1 **Michigan public school employees' retirement system (MPSERS).**

2 (5) ~~(7)~~As used in this section, ÷

3 ~~(a)~~"Educator" includes, but is not limited to, teachers,
4 librarians, speech therapists, language therapists, physical
5 therapists, occupational therapists, school counselors, school
6 social workers, school psychologists, school nurses,
7 paraprofessionals aids, food service workers, custodians, bus
8 drivers, and literacy coaches. Educator also includes any other
9 school employee covered under a collective bargaining agreement.

10 ~~(b) "Participating entity" means a district, intermediate~~
11 ~~district, district library, or community college that is a~~
12 ~~reporting unit of the Michigan public school employees' retirement~~
13 ~~system under the public school employees retirement act of 1979,~~
14 ~~1980 PA 300, MCL 38.1301 to 38.1437, and that reports employees to~~
15 ~~the Michigan public school employees' retirement system for the~~
16 ~~applicable fiscal year.~~

17 Sec. 27m. (1) ~~From the state school aid fund money~~
18 ~~appropriated under section 11, there is allocated for 2023-2024~~
19 ~~only, \$4,000,000.00~~ **Subject to the provisions in this subsection,**
20 **and in addition to the funds appropriated in section 11, from the**
21 **state school aid fund, there is appropriated and allocated an**
22 **amount not to exceed \$2,900,000.00** to districts and intermediate
23 districts to fund financial awards to eligible ~~Michigan~~ teachers
24 who hold National Board Certification. **The appropriation and**
25 **allocation under this subsection is contingent on the effective**
26 **issuance of a directive by the budget director, pursuant to section**
27 **451a of the management and budget act, 1984 PA 431, MCL 18.1451a,**
28 **to lapse the remaining funding from a work project that was**
29 **established under this section in 2023-2024. The amount allocated**



1 under this subsection may not exceed the amount lapsed from the
2 work project referenced in the immediately preceding sentence.

3 (2) A district or intermediate district must apply in a form
4 and manner determined by the department. Awards must be granted as
5 \$4,000.00 to all eligible teachers who hold National Board
6 Certification, and an additional \$6,000.00 for eligible teachers
7 who hold National Board Certification and serve in Title I schools.

8 ~~(3) To be eligible to receive an award, eligible teachers must~~
9 ~~meet the following, as applicable:~~

10 ~~(a) Be employed in classroom teaching at least 50% of the~~
11 ~~teacher's full-time hours, as determined by the district or~~
12 ~~intermediate district.~~

13 ~~(b) To receive an award under subsection (4), hold National~~
14 ~~Board Certification by January 1, 2024.~~

15 ~~(4) Subject to subsection (6), and notwithstanding section~~
16 ~~17b, awards under subsection (2) must be paid to the districts and~~
17 ~~intermediate districts by April 30, 2024.~~

18 ~~(5) If the amount allocated under subsection (1) is~~
19 ~~insufficient to fully make payments to all eligible participants as~~
20 ~~required under subsection (1), the department shall prorate the~~
21 ~~amount paid to districts and intermediate districts to distribute~~
22 ~~to all eligible participants on an equal basis.~~

23 ~~(3) (6) If funding remains after the awards under subsection~~
24 ~~(4) are granted, the~~ **The** department shall grant additional awards
25 under subsection (2) **this section** on a first-come, first-served
26 basis. An eligible teacher may receive more than 1 award under
27 subsection (2), but shall not receive more than 1 award in a single
28 fiscal year.

29 ~~(7) In addition to the funds allocated in subsection (1), an~~



~~amount not to exceed \$1,000,000.00 for 2023-2024 only from the state school aid fund money appropriated in section 11 must be used for eligible teachers to cover National Board for Professional Teaching Standards Certification fees for first-time candidates in Title I schools.~~

~~(8) A district or intermediate district shall apply for funding under subsection (7) in a form and manner determined by the department. The department shall approve applications under subsection (7) on a first-come, first-served basis. Notwithstanding section 17b, awards under subsection (7) must be paid on a schedule determined by the department.~~

(4) ~~(9)~~ The funds allocated under this section for ~~2023-2024~~ **2026-2027** are a work project appropriation, and any unexpended funds for ~~2023-2024~~ **2026-2027** are carried forward into ~~2024-2025~~ **2027-2028**. The purpose of the work project is to enable and encourage teachers to get National Board Certification. The estimated completion date of the work project is September 30, ~~2026~~ **2031**.

(5) The funds appropriated under this section are intended as 1-time bonus payments. Pursuant to section 3a(3) of the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1303a, these payments are not considered compensation for retirement purposes and are not subject to member or employer contribution requirements under the Michigan public school employees' retirement system (MPSERS).

(6) ~~(10)~~ As used in this section, "eligible teacher" includes individuals who hold a valid or expired Michigan teaching certificate and are employed by the district or intermediate district as teachers, including those in teacher leadership roles



1 as a peer assistance and review coach, mentor, or other teacher
 2 support provider if the position does not require a school
 3 administrator certificate.

4 Sec. 28. (1) To recognize differentiated instructional costs
 5 for different types of pupils as well as additional costs to
 6 provide essential services in ~~2025-2026~~, **2026-2027**, the following
 7 sections provide a weighted foundation allocation or an additional
 8 payment of some type in the following amounts, as allocated under
 9 those sections:

10 **(a) Section 22b, weighted foundation payment,**
 11 **\$1,696,087,600.00.**

12 **(b) ~~(a)~~ Section 22d, isolated and rural districts,**
 13 **~~\$12,873,100.00.~~ \$13,772,300.00.**

14 **(c) ~~(b)~~ Section 22l, transportation reimbursement,**
 15 **~~\$125,000,000.00.~~ \$150,000,000.00.**

16 ~~(c) Section 29, declining enrollment, \$71,000,000.00.~~

17 ~~(d) Section 31a, at risk, \$1,293,655,000.00.~~

18 **(d) ~~(e)~~ Section 32d, great start readiness program,**
 19 **~~\$656,217,600.00.~~ \$794,667,600.00.**

20 ~~(f) Section 41, bilingual education for English language~~
 21 ~~learners, \$62,732,600.00.~~

22 **(e) ~~(g)~~ Section 51c, special education, mandated percentages,**
 23 **~~\$1,107,900,000.00.~~ \$1,140,700,000.00.**

24 **(f) ~~(h)~~ Section 54d, early on, ~~\$23,670,700.00.~~ \$25,120,700.00.**

25 **(g) ~~(i)~~ Section 61a, career and technical education, standard**
 26 **reimbursement, ~~\$41,733,800.00.~~ \$44,233,800.00.**

27 ~~(j) Section 61d, career and technical education incentives,~~
 28 ~~\$13,400,000.00.~~

29 **(h) Section 61b, career and technical education, early middle**



1 **college and career and technical education, \$8,868,000.00.**

2 (2) The funding described in subsection (1) is not a separate
3 allocation of any funding but is instead a listing of funding
4 allocated in the sections listed in subsection (1).

5 Sec. 30d. (1) From the state school aid fund money
6 appropriated in section 11, there is allocated an amount not to
7 exceed \$200,000,000.00 for ~~2025-2026, 2026-2027~~, and from the
8 general fund money appropriated in section 11, there is allocated
9 an amount not to exceed \$1,600,000.00 for ~~2025-2026 only~~ **2026-2027**
10 for the purpose of making payments to participating entities to
11 provide free school lunch and breakfast to public school and
12 nonpublic school pupils in grades pre-K to 12.

13 (2) To receive funding under this section, a participating
14 entity must participate in the National School Lunch Program **and**
15 **School Breakfast Program** and must do all of the following:

16 (a) Provide reimbursable breakfasts and reimbursable lunches
17 at no cost to all students for any school breakfast program or
18 school lunch program operated by the participating entity.

19 (b) Submit information regarding the number of reimbursable
20 breakfasts and reimbursable lunches served in a manner prescribed
21 by the department.

22 (c) Maximize federal reimbursement for reimbursable breakfasts
23 and reimbursable lunches by operating under the CEP if the
24 participating entity has an identified student percentage greater
25 than or equal to the minimum requirement to be eligible to
26 participate in the CEP. For purposes of this subdivision, all
27 eligible participating entities must elect CEP on behalf of a
28 single school, a group or groups of schools, or all schools in the
29 participating entity, as applicable, in a manner that maximizes



1 federal reimbursement.

2 (d) Meet all applicable state and federal standards in its
3 school breakfast and lunch programs, as determined by the
4 department.

5 (e) Take all efforts to maximize and implement policies that
6 require parents or guardians to fill out relevant family income
7 information, in a manner prescribed by the department, for the
8 purposes of determining student eligibility for federal free or
9 reduced cost meal reimbursement rates and CEP eligibility
10 determinations.

11 (f) Forgive all school meal debt related to federally
12 reimbursable meals, as determined by the department.

13 (3) Participating entities are encouraged to offer meals that
14 meet students' dietary restrictions, including the provision of
15 gluten-free meals, vegetarian meals, vegan meals, and, upon
16 request, kosher meals, halal meals, and meals meeting any allergy
17 restrictions as confirmed by a doctor's note. Participating
18 entities are encouraged to purchase food from Michigan growers when
19 possible and practical.

20 (4) For each eligible participating entity, the department
21 shall pay an amount equal to the following:

22 (a) The amount equal to the federal rate per student paid per
23 pupil per free breakfast and lunch under the ~~Child Nutrition Act~~
24 **child nutrition act** of 1966, 42 USC 21 1771 to 1793, and the
25 Richard B. Russell ~~National School Lunch Act~~, **national school lunch**
26 **act**, 42 USC 1751 to 1769j, multiplied by the number of breakfasts
27 and lunches provided by the participating entity to students, less
28 the federal revenue received by the participating entity under the
29 school breakfast program and the school lunch program under the



1 ~~Child Nutrition Act~~ **child nutrition act** of 1966, 42 USC 21 1771 to
 2 1793, and the Richard B. Russell ~~National School Lunch Act,~~
 3 **national school lunch act**, 42 USC 1751 to 1769j, and other state
 4 lunch payments received under section 31d.

5 (b) The amount equal to the federal rate per student paid per
 6 pupil per free breakfast and lunch under the ~~Child Nutrition Act~~
 7 **child nutrition act** of 1966, 42 USC 21 1771 to 1793, and the
 8 Richard B. Russell ~~National School Lunch Act,~~ **national school lunch**
 9 **act**, 42 USC 1751 to 1769j, multiplied by the number of breakfasts
 10 and lunches provided by the participating entity, as applicable, to
 11 children participating in the Great Start Readiness Program under
 12 section 32d at the participating entity, less all other federal and
 13 state lunch payments made for those children. For purposes of this
 14 subdivision, compliance with 7 CFR 226.9 is required. The
 15 department shall assign rates of reimbursement pursuant to 7 CFR
 16 226.9, at least annually, on the basis of family size and income
 17 information reported by each eligible participating entity.
 18 Assigned rates of reimbursement must be adjusted annually to
 19 reflect changes in the national average payment rates.

20 (5) Notwithstanding section 17b, the department may make
 21 payments under this section on a schedule determined by the
 22 department.

23 (6) As used in this section:

24 (a) "CEP" means the Community Eligibility Provision under the
 25 Richard B. Russell ~~National School Lunch Act,~~ **national school lunch**
 26 **act**, 42 USC 1751 to 1769j.

27 (b) "Participating entity" means a district, intermediate
 28 district, nonpublic school, or the Michigan Schools for the Deaf
 29 and Blind.



(7) In addition to the appropriations in section 11, if the amount allocated in subsection (1) is insufficient to fully reimburse districts for meals as required in this section, there is appropriated from the school meals reserve fund created in section 30e the amount necessary to fully fund these reimbursements.

Sec. 31a. ~~(1) There is allocated for 2025-2026 an amount not to exceed \$1,336,805,000.00 from the state school aid fund money appropriated in section 11 and an amount not to exceed \$1,500,000.00 from the general fund money appropriated in section 11 for payments to eligible districts and eligible public school academies for the purposes of ensuring that pupils are proficient in English language arts by the end of grade 3, that pupils are proficient in mathematics by the end of grade 8, that pupils are attending school regularly, that high school graduates are career and college ready, and for the purposes under subsections (7), (8), and (23).~~

~~(2) For a district or public school academy to be eligible to receive funding under this section, other than funding under subsection (7), (8), or (23), the district or public school academy, for grades K to 12, must comply with the requirements under section 1280f of the revised school code, MCL 380.1280f, and must use resources to address early literacy and numeracy, and for at least grades K to 12 or, if the district or public school academy does not operate all of grades K to 12, for all of the grades it operates, must implement a multi-tiered system of supports that is an evidence-based framework that uses data driven problem solving to integrate academic and behavioral instruction and that uses intervention delivered to all pupils in varying intensities based on pupil needs. The multi-tiered system of~~



~~supports described in this subsection must provide at least all of the following essential components:~~

~~(a) Team-based leadership.~~

~~(b) A tiered delivery system.~~

~~(c) Selection and implementation of instruction, interventions, and supports.~~

~~(d) A comprehensive screening and assessment system.~~

~~(e) Continuous data-based decision making.~~

~~(3) From the state school aid fund money allocated under subsection (1), there is allocated for 2025-2026 an amount not to exceed \$1,293,655,000.00 to continue a weighted foundation per pupil payment for districts and public school academies enrolling economically disadvantaged pupils. The department shall pay under this subsection to each eligible district or eligible public school academy an amount per pupil equal to a percentage calculated under subsection (4) multiplied by the target foundation allowance for the following, as applicable:~~

~~(a) Except as otherwise provided under subdivision (b), (c), or (d) the greater of the following:~~

~~(i) The number of membership pupils in the district or public school academy who are determined to be economically disadvantaged, as reported to the center in the form and manner prescribed by the center not later than the fifth Wednesday after the pupil membership count day of the immediately preceding fiscal year.~~

~~(ii) If the district or public school academy is in the community eligibility program, the number of pupils determined to be eligible based on the product of the identified student percentage multiplied by the total number of pupils in the district or public school academy, as reported to the center in the form and~~



1 manner prescribed by the center not later than the fifth Wednesday
2 after the pupil membership count day of the immediately preceding
3 fiscal year. These calculations must be made at the building level.
4 This subparagraph only applies to an eligible district or eligible
5 public school academy for the fiscal year immediately following the
6 first fiscal year in which it is in the community eligibility
7 program. As used in this subparagraph, "identified student
8 percentage" means the quotient of the number of pupils in an
9 eligible district or eligible public school academy who are
10 determined to be economically disadvantaged, as reported to the
11 center in a form and manner prescribed by the center, not later
12 than the fifth Wednesday after the pupil membership count day in
13 the fiscal year preceding the first fiscal year in which the
14 eligible district or eligible public school academy is in the
15 community eligibility program, divided by the total number of
16 pupils counted in an eligible district or eligible public school
17 academy on the pupil membership count day in the fiscal year
18 preceding the first fiscal year in which the eligible district or
19 eligible public school academy is in the community eligibility
20 program.

21 (b) If the district or public school academy began operations
22 as a district or public school academy after the pupil membership
23 count day of the immediately preceding school year, the number of
24 membership pupils in the district or public school academy who are
25 determined to be economically disadvantaged, as reported to the
26 center in the form and manner prescribed by the center not later
27 than the fifth Wednesday after the pupil membership count day of
28 the current fiscal year.

29 (c) If the district or public school academy began operations



1 ~~as a district or public school academy after the pupil membership~~
2 ~~count day of the current fiscal year, the number of membership~~
3 ~~pupils in the district or public school academy who are determined~~
4 ~~to be economically disadvantaged, as reported to the center in the~~
5 ~~form and manner prescribed by the center not later than the fifth~~
6 ~~Wednesday after the supplemental count day of the current fiscal~~
7 ~~year.~~

8 ~~(d) If, for a particular fiscal year, the number of membership~~
9 ~~pupils in a district or public school academy who are determined~~
10 ~~under subdivision (a) to be economically disadvantaged or to be~~
11 ~~eligible based on the identified student percentage varies by more~~
12 ~~than 20 percentage points from the number of those pupils in the~~
13 ~~district or public school academy as calculated under subdivision~~
14 ~~(a) for the immediately preceding fiscal year caused by an~~
15 ~~egregious reporting error by the district or public school academy,~~
16 ~~the department may choose to have the calculations under~~
17 ~~subdivision (a) instead be made using the number of membership~~
18 ~~pupils in the district or public school academy who are determined~~
19 ~~to be economically disadvantaged, as reported to the center in the~~
20 ~~form and manner prescribed by the center not later than the fifth~~
21 ~~Wednesday after the supplemental count day of the immediately~~
22 ~~preceding fiscal year.~~

23 ~~(4) Each district or public school academy must be assigned an~~
24 ~~opportunity index score each fiscal year, the value of which is the~~
25 ~~quotient of the number of economically disadvantaged pupils as~~
26 ~~determined under subsection (3) for the district or public school~~
27 ~~academy and the total number of pupils in the district or public~~
28 ~~school academy in the immediately preceding fiscal year, multiplied~~
29 ~~by 100 and rounded up to the nearest whole number. Each district or~~

1 ~~public school academy must be assigned an opportunity index band as~~
2 ~~follows:~~

3 ~~(a) A district or public school academy with an opportunity~~
4 ~~index score greater than or equal to 0 but less than 20 must be~~
5 ~~assigned to band 1 and shall receive reimbursement under subsection~~
6 ~~(3) at a rate of at least 35.0% and less than 36.0%. The~~
7 ~~reimbursement rate under this subdivision must be an amount equal~~
8 ~~to the district's opportunity index score minus 1, multiplied by~~
9 ~~the band adjustment factor applicable to this subdivision, plus~~
10 ~~35.0%.~~

11 ~~(b) A district or public school academy with an opportunity~~
12 ~~index score greater than or equal to 20 but less than 44 must be~~
13 ~~assigned to band 2 and shall receive reimbursement under subsection~~
14 ~~(3) at a rate of at least 36.0% and less than 37.5%. The~~
15 ~~reimbursement rate under this subdivision must be an amount equal~~
16 ~~to the district's opportunity index score minus 20, multiplied by~~
17 ~~the band adjustment factor applicable to this subdivision, plus~~
18 ~~36.0%.~~

19 ~~(c) A district or public school academy with an opportunity~~
20 ~~index score greater than or equal to 44 but less than 59 must be~~
21 ~~assigned to band 3 and shall receive reimbursement under subsection~~
22 ~~(3) at a rate of at least 37.5% and less than 39.0%. The~~
23 ~~reimbursement rate under this subdivision must be an amount equal~~
24 ~~to the district's opportunity index score minus 44, multiplied by~~
25 ~~the band adjustment factor applicable to this subdivision, plus~~
26 ~~37.5%.~~

27 ~~(d) A district or public school academy with an opportunity~~
28 ~~index score greater than or equal to 59 but less than 73 must be~~
29 ~~assigned to band 4 and shall receive reimbursement under subsection~~

~~(3) at a rate of at least 39.0% and less than 42.0%. The reimbursement rate under this subdivision must be an amount equal to the district's opportunity index score minus 59, multiplied by the band adjustment factor applicable to this subdivision, plus 39.0%.~~

~~(e) A district or public school academy with an opportunity index score greater than or equal to 73 but less than 85 must be assigned to band 5 and shall receive reimbursement under subsection (3) at a rate of at least 42.0% and less than 47.0%. The reimbursement rate under this subdivision must be an amount equal to the district's opportunity index score minus 73, multiplied by the band adjustment factor applicable to this subdivision, plus 42.0%.~~

~~(f) A district or public school academy with an opportunity index score greater than or equal to 85 must be assigned to band 6 and shall receive reimbursement under subsection (3) at a rate of 47.0%.~~

~~(g) As used in this subsection, "band adjustment factor" means an amount equal to the difference between the lowest and highest reimbursement bounds for each band, divided by the number of possible opportunity index scores in that band.~~

~~(5) Except as otherwise provided in this section, a district or public school academy receiving funding under this section shall use that money only to provide instructional programs and direct noninstructional services, including, but not limited to, medical, mental health, or counseling services, for at-risk pupils; for school health clinics; and for the purposes of subsection (6), (7), (8), or (23). In addition, a district that is a school district of the first class or a district or public school academy in which at~~

~~1 least 50% of the pupils in membership were determined to be
2 economically disadvantaged in the immediately preceding state
3 fiscal year, as determined and reported as described in subsection
4 (3), may use the funds it receives under this section for school
5 security or school parent liaison personnel. The uses of the funds
6 described in the immediately preceding sentence must align to the
7 needs assessment and the multi-tiered system of supports model and,
8 for funds spent on parent liaison personnel, must connect parents
9 to the school community. A district or public school academy shall
10 not use any of the money received under this section for
11 administrative costs. The instruction or direct noninstructional
12 services provided under this section may be conducted before or
13 after regular school hours or by adding extra school days to the
14 school year.~~

~~15 (6) A district or public school academy that receives funds
16 under this section and that operates a school breakfast program
17 under section 1272a of the revised school code, MCL 380.1272a,
18 shall use from the funds received under this section an amount, not
19 to exceed \$10.00 per pupil for whom the district or public school
20 academy receives funds under this section, necessary to pay for
21 costs associated with the operation of the school breakfast
22 program.~~

~~23 (1) (7)~~ From the state school aid fund money allocated under
24 ~~subsection (1),~~ **appropriated in section 11,** there is allocated for
25 ~~2025-2026~~ **2026-2027** an amount not to exceed \$33,000,000.00, to
26 support primary health care services provided to children and
27 adolescents up to age 21. These funds must be expended in a form
28 and manner determined jointly by the department and the department
29 of health and human services. When making funding decisions for new



adolescent health centers under this subsection, the department and department of health and human services shall prioritize support for primary health care services in unserved and underserved counties as determined by the department of health and human services. An amount equal to 4% of the funds allocated under this subsection must be made available for technical support and coordination services from a nonprofit organization exclusively dedicated to serving adolescent health centers in this state and that has a membership that includes federally qualified health centers, local public health departments, hospital systems, and public school districts. As a requirement of being awarded the funds under this subsection as prescribed under this subsection, a nonprofit organization described in this subsection shall make readily available technical support and coordination services to all child and adolescent health centers in this state.

(2) ~~(8)~~ From the state school aid fund money ~~allocated under subsection (1),~~ **appropriated in section 11**, there is allocated for ~~2025-2026-2026-2027~~ an amount not to exceed \$10,150,000.00 for the state portion of the hearing and vision screenings as described in part 93 of the public health code, 1978 PA 368, MCL 333.9301 to 333.9329, and, from the ~~general~~ **state school aid** fund money ~~allocated under subsection (1),~~ **appropriated in section 11**, there is allocated for ~~2025-2026-2026-2027~~ an amount not to exceed \$1,500,000.00 for the state portion of the dental screenings as described in part 93 of the public health code, 1978 PA 368, MCL 333.9301 to 333.9329. A local public health department shall pay at least 50% of the total cost of the screenings. The frequency of the vision screenings must be as required under R 325.13091 to R 325.13096 of the Michigan Administrative Code and the frequency of



1 the hearing screenings must be as required under R 325.3271 to R
2 325.3276 of the Michigan Administrative Code. Funds must be awarded
3 in a form and manner approved jointly by the department and the
4 department of health and human services.

5 (3) Notwithstanding section 17b, the department shall make
6 payments to eligible entities under this ~~subsection~~ **section** on a
7 schedule determined by the department.

8 ~~(9) Each district or public school academy receiving funds~~
9 ~~under this section shall submit to the department by July 15 of~~
10 ~~each fiscal year a report, in the form and manner prescribed by the~~
11 ~~department, that includes a brief description of each program~~
12 ~~conducted or services performed by the district or public school~~
13 ~~academy using funds under this section, the amount of funds under~~
14 ~~this section allocated to each of those programs or services, the~~
15 ~~total number of at risk pupils served by each of those programs or~~
16 ~~services, and the data necessary for the department and the~~
17 ~~department of health and human services to verify matching funds~~
18 ~~for the temporary assistance for needy families program. In~~
19 ~~prescribing the form and manner of the report, the department shall~~
20 ~~ensure that districts are allowed to expend funds received under~~
21 ~~this section on any activities that are permissible under this~~
22 ~~section. If a district or public school academy does not comply~~
23 ~~with this subsection, the department shall withhold an amount equal~~
24 ~~to the August payment due under this section until the district or~~
25 ~~public school academy complies with this subsection. If the~~
26 ~~district or public school academy does not comply with this~~
27 ~~subsection by the end of the fiscal year, the withheld funds are~~
28 ~~forfeited to the school aid fund.~~

29 ~~(10) To receive funds under this section, a district or public~~



~~1 school academy must allow access for the department or the
2 department's designee to audit all records related to the program
3 for which it receives those funds. The district or public school
4 academy shall reimburse the state for all disallowances found in
5 the audit.~~

~~6 (11) Subject to subsections (6), (7), (8), and (23), for
7 schools in which more than 40% of pupils are identified as at-risk,
8 a district or public school academy may use the funds it receives
9 under this section to implement tier 1, evidence-based practices in
10 schoolwide reforms that are guided by the district's comprehensive
11 needs assessment and are included in the district improvement plan.
12 Schoolwide reforms must include parent and community supports,
13 activities, and services, that may include the pathways to
14 potential program created by the department of health and human
15 services or the communities in schools program. As used in this
16 subsection, "tier 1, evidence-based practices" means research based
17 instruction and classroom interventions that are available to all
18 learners and effectively meet the needs of most pupils.~~

~~19 (12) A district or public school academy that receives funds
20 under this section may use those funds to provide research based
21 professional development and to implement a coaching model that
22 supports the multi-tiered system of supports framework.
23 Professional development may be provided to district and school
24 leadership and teachers and must be aligned to professional
25 learning standards; integrated into district, school building, and
26 classroom practices; and solely related to the following:~~

~~27 (a) Implementing the multi-tiered system of supports required
28 in subsection (2) with fidelity and utilizing the data from that
29 system to inform curriculum and instruction.~~



~~(b) Implementing section 1280f of the revised school code, MCL 380.1280f, as required under subsection (2), with fidelity.~~

~~(13) A district or public school academy that receives funds under subsection (3) may use funds received under subsection (3) for support staff providing services to at-risk pupils.~~

~~(14) A district or public school academy may use up to 60% of the funds it receives under this section for the following purposes:~~

~~(a) Up to 30% to reduce the teacher to pupil ratio in grades K to 3.~~

~~(b) Up to 30% to support retention and recruitment efforts that help reduce staff turnover and vacancies of instructional and support staff if the district or public school academy is assigned to opportunity index band 4, 5, or 6.~~

~~(15) Funds used as described in subsection (14) must align with the needs assessment and the multi-tiered system of supports model. A district or public school academy shall not use any of the money described in subsection (14) for administrative costs or to supplant existing funding, including, but not limited to, maintaining existing salaries or costs. A district or public school academy shall report its intent to use funds described in subsection (14) to the department by not later than November 1 of the current fiscal year.~~

~~(16) A district or public school academy determined to be eligible to use a portion of funds received under subsection (3) for the purposes described in subsection (14) retains the ability to use funding for the purposes described in subsection (14) for the fiscal year in which eligibility was determined plus 2 additional fiscal years beyond that fiscal year.~~



~~(17) Beginning with the fiscal year ending September 30, 2026, and each year thereafter, for a district receiving funding under this section through the opportunity index formula, the district must provide a report to parents or legal guardians that details the amount of funding received under that allocation, how the district distributed that funding in a way to target buildings with the highest needs, and what evidence-based interventions were implemented with those dollars. The report must include a method, including contact information, for parents or legal guardians to provide feedback on the use of these dollars as well as to seek more information about services and interventions available for their children.~~

~~(18) A district or public school academy that receives funds under this section may use up to 10% of the funds received under this section to provide evidence based instruction for pre-kindergarten instructional and noninstructional services to at-risk pupils.~~

~~(19) Except as otherwise provided in this subsection, if necessary, the department shall prorate payments under this section, except payments under subsection (7), (8), or (23), by reducing the amount of the allocation as otherwise calculated under this section by an equal percentage per district. Subject to the availability of funds, if proration is necessary under this subsection, the department must ensure that no district receives an amount less than 11.5% of the target foundation for each economically disadvantaged pupil enrolled in the district.~~

~~(20) If a district is dissolved pursuant to section 12 of the revised school code, MCL 380.12, the intermediate district to which the dissolved district was constituent shall determine the~~



1 ~~estimated number of pupils that are economically disadvantaged and~~
2 ~~that are enrolled in each of the other districts within the~~
3 ~~intermediate district and provide that estimate to the department~~
4 ~~for the purposes of distributing funds under this section within 60~~
5 ~~days after the district is declared dissolved.~~

6 ~~(21) A district or public school academy that receives funds~~
7 ~~under this section may use funds received under this section to~~
8 ~~provide an anti bullying or crisis intervention program.~~

9 ~~(22) The department shall collaborate with the department of~~
10 ~~health and human services to prioritize assigning Pathways to~~
11 ~~Potential success coaches to elementary schools that have a high~~
12 ~~percentage of pupils in grades K to 3 who are not proficient in~~
13 ~~English language arts, based upon state assessments for pupils in~~
14 ~~those grades.~~

15 ~~(23) From the state school aid fund money appropriated under~~
16 ~~section 11, there is allocated for 2023-2024 only an amount not to~~
17 ~~exceed \$10,000,000.00 for an electronic patient data and health~~
18 ~~care analytic system to be made available to each child and~~
19 ~~adolescent health center program. The department of health and~~
20 ~~human services shall collaborate on system implementation with a~~
21 ~~nonprofit organization exclusively dedicated to serving child and~~
22 ~~adolescent health center programs in this state and that has a~~
23 ~~membership that includes federally qualified health centers, local~~
24 ~~public health departments, hospital systems, and public school~~
25 ~~districts, including, but not limited to, technology assessment,~~
26 ~~design, coordination, and system implementation with child and~~
27 ~~adolescent health center programs. Funds appropriated under this~~
28 ~~subsection are a work project appropriation and any unexpended~~
29 ~~funds for 2023-2024 are carried forward into 2024-2025. The purpose~~

~~of the work project is to continue to implement an electronic patient data and health care analytic system. The estimated completion date of the work project is September 30, 2028.~~

~~(24) As used in this section:~~

~~(a) "At-risk pupil" means a pupil in grades pre-K to 12 for whom the district has documentation that the pupil meets any of the following criteria:~~

~~(i) The pupil is economically disadvantaged.~~

~~(ii) The pupil is an English language learner.~~

~~(iii) The pupil is chronically absent as defined by and reported to the center.~~

~~(iv) The pupil is a victim of child abuse or neglect.~~

~~(v) The pupil is a pregnant teenager or teenage parent.~~

~~(vi) The pupil has a family history of school failure, incarceration, or substance abuse.~~

~~(vii) The pupil is an immigrant who has immigrated within the immediately preceding 3 years.~~

~~(viii) The pupil did not complete high school in 4 years and is still continuing in school as identified in the Michigan cohort graduation and dropout report.~~

~~(ix) For pupils for whom the results of the state summative assessment have been received, is a pupil who did not achieve proficiency on the English language arts, mathematics, science, or social studies content area assessment.~~

~~(x) Is a pupil who is at risk of not meeting the district's or public school academy's core academic curricular objectives in English language arts or mathematics, as demonstrated on local assessments.~~

~~(b) "Economically disadvantaged" means a pupil who has been~~



~~determined eligible for free or reduced-price meals as determined under the Richard B. Russell national school lunch act, 42 USC 1751 to 1769j; who is in a household receiving supplemental nutrition assistance program or temporary assistance for needy families assistance; or who is homeless, migrant, or in foster care, as reported to the center.~~

~~(c) "English language learner" means limited English proficient pupils who speak a language other than English as their primary language and have difficulty speaking, reading, writing, or understanding English as reported to the center.~~

Sec. 31c. (1) From the state school aid fund money appropriated in section 11, there is allocated for ~~2025-2026~~ **2026-2027** only an amount not to exceed ~~\$65,000,000.00~~ **\$50,000,000.00** for grants to eligible districts for pilot programs to maintain or establish small classes in grades K to 3 in eligible school buildings in the district.

(2) To be eligible for a grant under subsection (1), a district must have at least 1 eligible school building and must apply to the department in the form and manner prescribed by the department. A district shall include in its application a projected budget for maintaining or establishing small classes in grades K to 3 and shall demonstrate in the projected budget that at least ~~30%~~ **10%** of the funds received by the district under section ~~31a-22b~~ **(4)** will be used to support small classes under this section.

(3) For a school building to be considered an eligible school building under subsection (2), the school building must meet all of the following requirements:

(a) Operate at least 1 of grades K to 3.

(b) Be operated by a district that operates all of grades K to



12 and that receives funds under section ~~31a-22b~~.

(c) Be located in a district that is in an opportunity index band, as ~~described in section 31a,~~ **determined under section 6(21)**, of 4 or higher.

(4) Not more than 25% of the total allocation under this section may be paid to any single district. The department shall make allocations under this section to districts that are geographically diverse, including urban, suburban, and rural districts. ~~Grants issued under this section must be awarded to at least the following districts:~~

~~(a) Muskegon Heights Public School Academy System.~~

~~(b) Benton Harbor Area Schools.~~

~~(c) Flint School District.~~

~~(d) Wayne-Westland Community School District.~~

(5) A district that receives funds under this section shall use the funds to maintain or establish small classes in grades K to 3 in school buildings of the district for which funds are received under this section. The average class size must be not more than 17 pupils per class, with not more than 19 pupils in any particular class. A district that receives funds under this section shall use at least ~~30%~~ **10%** of the funds the district receives for ~~2025-2026~~ **2026-2027** under section ~~31a-22b~~ **(4)** for the purposes of this section.

(6) Funding to districts under this section for ~~2025-2026~~ **2026-2027** is intended to be for the first of 2 years of funding.

(7) The funds allocated in this section **for 2026-2027** are a work project appropriation, and any unexpended funds for ~~2025-2026~~ **2026-2027** are carried forward into ~~2026-2027.~~ **2027-2028**. The purpose of the work project is to lower class sizes in grades K to



1 3. The estimated completion date of the work project is September
2 30, ~~2030~~-**2031**.

3 (8) Notwithstanding section 17b, the department shall make
4 payments under this section on a schedule determined by the
5 department.

6 Sec. 31d. (1) From the state school aid fund money
7 appropriated in section 11, there is allocated an amount not to
8 exceed \$29,553,400.00 for ~~2025-2026~~-**2026-2027** for the purpose of
9 making payments to districts and other eligible entities under this
10 section.

11 (2) The amounts allocated from state sources under this
12 section are used to pay the amount necessary to reimburse districts
13 for 6.0127% of the necessary costs of the state mandated portion of
14 lunch programs provided by those districts. The department shall
15 calculate the amount due to each district under this section using
16 the methods of calculation adopted by the Michigan supreme court in
17 the consolidated cases known as *Durant v State of Michigan*, 456
18 Mich 175 (1997).

19 (3) The payments made under this section include all state
20 payments made to districts so that each district receives at least
21 6.0127% of the necessary costs of operating the state mandated
22 portion of the lunch program in a fiscal year.

23 (4) The payments made under this section to districts and
24 other eligible entities that are not required under section 1272a
25 of the revised school code, MCL 380.1272a, to provide a lunch
26 program must be in an amount not to exceed \$10.00 per eligible
27 pupil plus 5 cents for each free lunch and 2 cents for each reduced
28 price lunch provided, as determined by the department.

29 (5) From the federal funds appropriated in section 11, there



1 is allocated for ~~2025-2026~~**2026-2027** all available federal funding,
 2 estimated at \$901,400,000.00 for child nutrition programs and, for
 3 ~~2025-2026~~**2026-2027**, all available federal funding, estimated at
 4 \$22,000,000.00, for food distribution programs.

5 (6) Notwithstanding section 17b, the department shall make
 6 payments to eligible entities other than districts under this
 7 section on a schedule determined by the department.

8 (7) In purchasing food for a lunch program funded under this
 9 section, a district or other eligible entity shall give preference
 10 to food that is grown or produced by Michigan businesses if it is
 11 competitively priced and of comparable quality.

12 (8) In addition to the appropriations in section 11, if the
 13 amount allocated in subsection (1) is insufficient to fully
 14 reimburse districts for meals as required under this section, there
 15 is appropriated from the school meals reserve fund created under
 16 section 30e the amount necessary to fully fund these
 17 reimbursements.

18 Sec. 31f. (1) From the state school aid fund money
 19 appropriated in section 11, there is allocated an amount not to
 20 exceed \$16,900,000.00 for ~~2025-2026~~**2026-2027** for the purpose of
 21 making payments to districts to reimburse for the cost of providing
 22 breakfast.

23 (2) The funds allocated under this section for school
 24 breakfast programs are made available to all eligible applicant
 25 districts that meet all of the following criteria:

26 (a) The district participates in the federal school breakfast
 27 program and meets all standards as prescribed by 7 CFR parts 210,
 28 220, 225, 226, and 245.

29 (b) Each breakfast eligible for payment meets the federal



standards described in subdivision (a).

(3) The payment for a district under this section is at a per meal rate equal to the lesser of the district's actual cost or 100% of the statewide average cost of a meal served, as determined and approved by the department, less federal reimbursement, participant payments, and state breakfast reimbursements received under section 30d. The department shall determine the statewide average cost using costs as reported in a manner approved by the department for the preceding school year.

(4) Notwithstanding section 17b, the department may make payments under this section pursuant to an agreement with the department.

(5) In purchasing food for a school breakfast program funded under this section, a district shall give preference to food that is grown or produced by Michigan businesses if it is competitively priced and of comparable quality.

(6) In addition to the appropriations in section 11, if the amount allocated in subsection (1) is insufficient to fully reimburse districts for meals as required under this section, there is appropriated from the school meals reserve fund created under section 30e the amount necessary to fully fund these reimbursements.

Sec. 31n. (1) From the state school aid fund money appropriated in section 11, there is allocated for ~~2025-2026~~**2026-****2027** for the purposes of this section an amount not to exceed \$106,545,000.00 and from the general fund money appropriated in section 11, there is allocated for ~~2025-2026~~**2026-2027** for the purposes of this section an amount not to exceed \$1,300,000.00. The department and the department of health and human services shall



1 continue a program to distribute this funding to add licensed
2 behavioral health providers for general education pupils, and
3 recipients of the funds under subsection (6) shall continue to seek
4 federal Medicaid match funding for all eligible mental health and
5 support services.

6 (2) The department and the department of health and human
7 services shall maintain an advisory council for programs funded
8 under this section and any other funding under this act to improve
9 or maintain the mental health of ~~students,~~ **pupils**, except for
10 programs funded under section ~~31a(7) and (8).~~ **31a(1) and (2)**. The
11 advisory council shall define goals for implementation of programs,
12 and shall provide feedback on that implementation. At a minimum,
13 the advisory council shall consist of representatives of state
14 associations representing school health, school mental health,
15 school counseling, education, health care, and other organizations,
16 representatives from the department and the department of health
17 and human services, and a representative from the school safety and
18 mental health commission. The department and department of health
19 and human services, working with the advisory council, shall
20 determine an approach to increase capacity for mental health and
21 support services in schools for general education pupils, and shall
22 determine where that increase in capacity qualifies for federal
23 Medicaid match funding.

24 (3) The advisory council shall develop a fiduciary agent
25 checklist for intermediate districts to facilitate development of a
26 plan to submit to the department and to the department of health
27 and human services. The department and department of health and
28 human services shall determine the requirements and format for
29 intermediate districts to submit a plan for possible funding under



subsection (6). The department shall make applications for funding for this program available to districts and intermediate districts by not later than December 1 of each fiscal year for which funds are allocated under this section and shall award the funding by not later than February 1 of each fiscal year for which funds are allocated under this section.

(4) The department of health and human services shall ~~amend~~ **ensure that** the state Medicaid plan **continues to be written in a way sufficient** to obtain appropriate Medicaid waivers ~~as necessary for the purpose of generating~~ **to generate** additional Medicaid match funding for school mental health and support services for general education pupils, ~~and this expansion is called~~ **through the** Caring for Students (C4S) **expansion**.

(5) From the state school aid fund money allocated under subsection (1), there is allocated for ~~2025-2026~~ **2026-2027** an amount not to exceed \$14,300,000.00 to be distributed to the network of child and adolescent health centers to place a licensed master's level behavioral health provider in schools that do not currently have services available to general education ~~students~~ **pupils**. Child and adolescent health centers that are part of the network described in this subsection shall provide a commitment to maintain services and implement all available federal Medicaid match methodologies. The department of health and human services shall use all existing or additional federal Medicaid match opportunities to maximize funding allocated under this subsection. The department shall provide funds under this subsection to child and adolescent health centers that are part of the network described in this subsection in the same proportion that funding under section ~~31a(7)~~ **31a(1)** is provided to child and adolescent



1 health centers that are part of the network described in this
2 subsection and that are located and operating in those districts. A
3 payment from funding allocated under this subsection must not be
4 paid to an entity that is not part of the network described in this
5 subsection.

6 (6) From the state school aid fund money allocated under
7 subsection (1), there is allocated for ~~2025-2026~~**2026-2027** an
8 amount not to exceed \$87,245,000.00 to be distributed to
9 intermediate districts for the provision of mental health and
10 support services to general education ~~students.~~**pupils.** Recipients
11 of funds under this subsection shall continue to seek federal
12 Medicaid match funding for all eligible mental health and support
13 services. If a district or intermediate district is not able to
14 procure the services of a licensed master's level behavioral health
15 provider, the district or intermediate district shall notify the
16 department and the department of health and human services and, if
17 the department and department of health and human services verify
18 that the district or intermediate district attempted to procure
19 services from a master's level behavioral health provider and was
20 not able to do so, then the district or intermediate district may
21 instead procure services from a provider with less than a master's
22 degree in behavioral health. To be able to use the exemption in the
23 immediately preceding sentence, the district or intermediate
24 district must submit evidence satisfactory to the department and
25 department of health and human services demonstrating that the
26 district or intermediate district took measures to procure the
27 services of a licensed master's level behavioral health provider
28 but was unable to do so, and the department and department of
29 health and human services must be able to verify this evidence.



1 From the first \$56,173,600.00 of the funds allocated under this
 2 subsection, the department shall distribute up to \$1,003,100.00 for
 3 ~~2025-2026-2026-2027~~ to each intermediate district that submits a
 4 plan approved by the department and the department of health and
 5 human services by February 1 of each fiscal year for which funds
 6 are allocated under this section. The department shall distribute
 7 the remaining \$31,071,400.00 of the funds allocated under this
 8 subsection for ~~2025-2026-2026-2027~~ to intermediate districts **that**
 9 **submit a plan approved by the department and the department of**
 10 **health and human services by February 1 of each fiscal year for**
 11 **which funds are allocated under this section** on an equal per-pupil
 12 basis based on the combined total number of pupils in membership in
 13 the intermediate district and its constituent districts, including
 14 public school academies that are considered to be constituent
 15 districts under section 705(7) of the revised school code, MCL
 16 380.705. The department and department of health and human services
 17 shall work cooperatively in providing oversight and assistance to
 18 intermediate districts and shall monitor the program upon
 19 implementation. An intermediate district shall use funds awarded
 20 under this subsection to provide funding to its constituent
 21 districts, including public school academies that are considered to
 22 be constituent districts under section 705(7) of the revised school
 23 code, MCL 380.705, for the provision of mental health and support
 24 services to general education ~~students.~~ **pupils.** In addition to the
 25 criteria identified under subsection (9), an intermediate district
 26 shall consider geography, cost, or other challenges when awarding
 27 funding to its constituent districts. Districts receiving funding
 28 under this subsection are encouraged to provide suicide prevention
 29 and awareness education and counseling.



(7) If funding awarded to an intermediate district remains after funds are provided by the intermediate district to its constituent districts, the intermediate district shall notify the department and department of health and human services and submit evidence satisfactory to the department and department of health and human services demonstrating how it would like to use funds for purposes other than hiring licensed behavioral health providers for general education pupils. With permission from the department and department of health and human services, the intermediate district may hire or contract for experts to provide mental health and support services to general education ~~students~~**pupils** residing within the boundaries of the intermediate district, including, but not limited to, expanding, hiring, or contracting for staff and experts to provide those services directly or to increase access to those services through coordination with outside mental health agencies; the intermediate district may also contract with 1 or more other intermediate districts for coordination and the facilitation of activities related to providing mental health and support services to general education ~~students~~**pupils** residing within the boundaries of the intermediate district; the intermediate district may also use the funds under this section to create or strengthen school-based behavioral health assessment teams that focus on providing age-appropriate interventions, identifying behaviors that suggest a pupil may be struggling with mental health challenges, providing treatment and support of the pupil, and using disciplinary interventions and the criminal justice system as methods of last resort; and the intermediate district may also use the funds under this section to provide evidence-based trainings that support ~~student~~**pupil** mental health.



1 (8) If funding awarded to an intermediate district under this
2 section remains unspent, or if the intermediate district submits an
3 application requesting a lower allocation than the maximum amount
4 permitted, the department, in conjunction with the intermediate
5 district, may reallocate the funds to another intermediate district
6 or other intermediate districts capable of expending the funds
7 before the funding deadline in accordance with this section as if
8 those funds were originally allocated to the intermediate district
9 or intermediate districts to which the funds are being reallocated.

10 (9) A district requesting funds under this section from the
11 intermediate district in which it is located shall submit an
12 application for funding for the provision of mental health and
13 support services to general education pupils. A district receiving
14 funding from the application process described in this subsection
15 shall provide services to nonpublic ~~students~~ **pupils** upon request.
16 An intermediate district shall not discriminate against an
17 application submitted by a public school academy simply on the
18 basis of the applicant being a public school academy. The
19 department shall approve grant applications based on the following
20 criteria:

21 (a) The district's commitment to maintain mental health and
22 support services delivered by licensed providers into future fiscal
23 years.

24 (b) The district's commitment to work with its intermediate
25 district to use funding it receives under this section that is
26 spent by the district for general education pupils toward
27 participation in federal Medicaid match methodologies. A district
28 must provide a local match of at least 20% of the funding allocated
29 to the district under section 31n.



1 (c) The district's commitment to adhere to any local funding
2 requirements determined by the department and the department of
3 health and human services.

4 (d) The extent of the district's existing partnerships with
5 community health care providers or the ability of the district to
6 establish such partnerships.

7 (e) The district's documentation of need, including gaps in
8 current mental health and support services for the general
9 education population.

10 (f) The district's submission of a formal plan of action
11 identifying the number of schools and ~~students~~**pupils** to be served.

12 (g) Whether the district will participate in ongoing
13 trainings.

14 (h) Whether the district will submit an annual report to the
15 state.

16 (i) Whether the district demonstrates a willingness to work
17 with the state to establish program and service delivery
18 benchmarks.

19 (j) Whether the district has developed a school safety plan or
20 is in the process of developing a school safety plan.

21 (k) Any other requirements determined by the department or the
22 department of health and human services.

23 (10) Funding under this section, including any federal
24 Medicaid funds that are generated, must not be used to supplant
25 existing services.

26 (11) Both of the following are allocated to the department of
27 health and human services from the general fund money allocated
28 under subsection (1):

29 (a) For ~~2025-2026~~, **2026-2027**, an amount not to exceed



1 \$1,000,000.00 for the purpose of upgrading technology and systems
2 infrastructure and other administrative requirements to support the
3 programs funded under this section.

4 (b) For ~~2025-2026~~, **2026-2027**, an amount not to exceed
5 \$300,000.00 for the purpose of administering the programs under
6 this section and working on generating additional Medicaid funds as
7 a result of programs funded under this section.

8 (12) From the state school aid fund money allocated under
9 subsection (1), there is allocated for ~~2025-2026~~ **2026-2027** an
10 amount not to exceed \$5,000,000.00 to intermediate districts on an
11 equal per intermediate district basis for the purpose of
12 administering programs funded under this section. Recipients of the
13 funds under this subsection shall continue to seek federal Medicaid
14 match funding for all eligible mental health and support services
15 and participate in all learning collaboratives about C4S required
16 by the department and department of health and human services.

17 (13) The department and the department of health and human
18 services shall work with the advisory council to develop proposed
19 measurements of outcomes and performance. Those measurements must
20 include, at a minimum, the number of pupils served, the number of
21 schools served, and where those pupils and schools were located.
22 The department and the department of health and human services
23 shall compile data necessary to measure outcomes and performance,
24 and districts and intermediate districts receiving funding under
25 this section shall provide data requested by the department and
26 department of health and human services for the measurement of
27 outcomes and performance. The department and department of health
28 and human services shall provide an annual report by not later than
29 December 1 of each year to the house and senate appropriations



subcommittees on school aid and health and human services, to the house and senate fiscal agencies, and to the state budget director. At a minimum, the report must include measurements of outcomes and performance, proposals to increase efficacy and usefulness, proposals to increase performance, and proposals to expand coverage.

(14) A district or intermediate district that receives funding directly or indirectly under this section may carry over any unexpended funds received under this section for up to 2 fiscal years beyond the fiscal year in which the funds were received.

(15) As used in this section, "general education pupil" includes children served under sections 32d and 32t.

Sec. 31aa. (1) From the state school aid fund money appropriated in section 11, there is allocated \$300,000,000.00 for ~~2025-2026-2026-2027~~ only, and from the general fund money ~~appropriated in section 11, there is allocated \$21,000,000.00 for 2025-2026 only,~~ to support school safety and mental health.

(2) From the state school aid fund money allocated in subsection (1), an amount not to exceed ~~\$200,000,000.00, and from the general fund money allocated in subsection (1), an amount not to exceed \$14,000,000.00~~ **\$255,000,000.00** may be used to provide payments to districts, intermediate districts, ~~nonpublic schools,~~ and the Michigan Schools for the Deaf and Blind that opt in and agree to receive funding under this subsection, for activities to improve student mental health and improve student safety. The allowable expenditures of funds under this subsection are as follows:

(a) Hiring or contracting for support staff for student mental health needs, including, but not limited to, school psychologists,



1 social workers, counselors, and school nurses.

2 (b) Purchasing and implementing mental health screening tools.

3 (c) Purchasing a statewide, integrated technology platform
4 that streamlines behavioral health documentation and care
5 coordination.

6 (d) Providing school-based mental health personnel access to
7 consultation with behavioral health clinicians to respond to
8 complex student mental health needs.

9 (e) Purchasing and implementing an online behavioral health
10 tool moderated and led by licensed behavioral health professionals.

11 (f) Hiring or contracting a behavioral health coordinator.

12 (g) Evidence-based trainings to support mental health.

13 (h) Costs associated with collaboration between school
14 employees, families, and community partners to address the
15 academic, behavioral, and social needs of all students through
16 collaborative partnerships, resource coordination, data collection,
17 and data sharing.

18 (i) Costs associated with conducting a systematic school
19 mental health needs assessment and resource mapping that identifies
20 programmatic and systemic needs and helps staff determine
21 priorities and create action plans.

22 (j) Coordination with local law enforcement.

23 (k) Training for school staff on threat assessment.

24 (l) Training for school staff and students on threat response.

25 (m) Training for school staff on crisis communication.

26 (n) Safety infrastructure, including, but not limited to,
27 cameras, door blocks, hardened vestibules, window screening, and
28 technology necessary to operate buzzer systems. This may also
29 include firearm detection software that integrates to existing



1 security cameras to detect and alert school personnel and first
2 responders to visible firearms on school property.

3 (o) Age-appropriate training for students and families on
4 responsible firearm ownership, including safe handling and safe
5 storage of firearms.

6 (p) School resource officers and safety dogs. School resource
7 officers hired under this subsection must be properly licensed and
8 in good standing with the Michigan commission on law enforcement
9 standards, and must be in compliance with all applicable laws.

10 (q) Student Safety Management System, the information
11 technology platform and related services to improve student safety
12 by mitigating cyberbullying, school violence, human trafficking,
13 and self-harm that supports students from grades K to 12.

14 (r) A secure platform, administered by the department of state
15 police, for school officials, emergency responders, and emergency
16 management coordinators to house all school safety-related items,
17 including, but not limited to, EOP templates, EOP guidance,
18 reference documents, and security assessments. The platform should
19 use existing password-protected access control methods schools
20 currently utilize and, to the extent possible, be capable of
21 integrating with existing platforms or technologies used by
22 districts for school safety. Through permissions-based access
23 control, the platform should be able to relay information clearly
24 and in real time to each person or entity necessary to provide a
25 unified response to a safety incident, or to take appropriate
26 action in response to an anticipated disruption to the normal
27 functions of the surrounding community.

28 (s) Emergency infrastructure needs to respond to an immediate
29 threat to the health or safety of students and staff in the



1 district, intermediate district, ~~nonpublic school~~, or the Michigan
2 Schools for the Deaf and Blind. A district, intermediate district,
3 ~~nonpublic school~~, or the Michigan Schools for the Deaf and Blind
4 shall not expend funds for this purpose without first obtaining
5 approval from the department. In making a determination of
6 approval, the department shall, at a minimum, assess whether the
7 district, intermediate district, ~~nonpublic school~~, or the Michigan
8 Schools for the Deaf and Blind is responding to an immediate threat
9 to the health or safety of students and staff, and whether the
10 district, intermediate district, ~~nonpublic school~~, or the Michigan
11 Schools for the Deaf and Blind has other sources of funding that
12 should be utilized first.

13 (t) A contract with a vendor for a comprehensive safety and
14 security assessment or a comprehensive safety and security event
15 assessment in schools operated by the district, intermediate
16 district, ~~nonpublic school~~, or the Michigan Schools for the Deaf
17 and Blind.

18 (u) An emergency response system.

19 (v) Implementing cell phone free school policies. As used in
20 this subdivision, "cell phone free school policy" means a policy
21 that prohibits students from accessing or using a personal
22 communication device capable of telecommunication or digital
23 communication during instructional time, as determined by the
24 school.

25 (3) By not later than December 31 of each fiscal year, from
26 the state school aid fund money allocated in subsection (1), the
27 department shall make payments to districts, intermediate
28 districts, and the Michigan Schools for the Deaf and Blind that opt
29 in and agree to receive funding in an equal amount per pupil based



1 on the total number of pupils in membership in each district,
 2 intermediate district, and the Michigan Schools for the Deaf and
 3 Blind that opts in and agrees to receive funding. ~~By December 31 of~~
 4 ~~each fiscal year, from the general fund money allocated in~~
 5 ~~subsection (2), the department shall make payments to nonpublic~~
 6 ~~schools that opt in and agree to receive funding in an equal amount~~
 7 ~~per pupil based on the total number of pupils in membership in each~~
 8 ~~nonpublic school that opts in and agrees to receive funding, using~~
 9 ~~pupil counts determined by the department. The department shall~~
 10 ~~ensure that the amount per pupil paid to nonpublic schools does not~~
 11 ~~exceed the amount per pupil paid to districts and intermediate~~
 12 ~~districts. Districts, intermediate districts, and the Michigan~~
 13 ~~Schools for the Deaf and Blind, and nonpublic schools may opt in~~
 14 ~~and agree to receive funding in a form and manner determined by the~~
 15 ~~department.~~

16 (4) From the state school aid fund money allocated in
 17 subsection (1), there is allocated an amount not to exceed
 18 ~~\$50,000,000.00, and from the general fund money allocated in~~
 19 ~~subsection (1), there is allocated an amount not to exceed~~
 20 ~~\$3,500,000.00 for competitive grants to districts, intermediate~~
 21 ~~districts, and nonpublic schools for school resource officers and~~
 22 ~~safety dogs. To receive funding under this subsection, a district,~~
 23 ~~intermediate district, or nonpublic school must apply for funding~~
 24 ~~to the department in a form and manner prescribed by the~~
 25 ~~department. The department shall prioritize applicants who include~~
 26 ~~a spending plan to sustain salaries after grant funding has~~
 27 ~~concluded. Recipients of funding under this subsection shall ensure~~
 28 ~~that any school resource officer hired with these funds has~~
 29 ~~completed training by the Michigan commission on law enforcement~~



1 ~~standards.~~\$20,000,000.00 for grants to districts to support the
2 efforts of community violence intervention plans to reduce or
3 prevent youth violence. Both of the following apply to grants
4 described in this subsection:

5 (a) Districts must apply on a competitive basis for funding
6 under this subsection in a form and manner determined by the
7 department. The department shall coordinate with the office of
8 community violence intervention in the department of health and
9 human services to evaluate applications submitted under this
10 subsection. Awards must be granted based on competitive criteria
11 determined by the department and the department of health and human
12 services but must prioritize grants for local district plans that
13 include comprehensive strategies with demonstrated external
14 partnerships to support successful implementation.

15 (b) Districts may use funding received under this subsection
16 to contract with nonprofits, community-based organizations, subject
17 matter experts, or other governmental entities to implement a plan
18 to reduce or prevent youth violence. A plan to reduce or prevent
19 youth violence implemented under this subsection must use evidence-
20 based practices, include mentorship and community engagement
21 strategies, and may include, but is not limited to, increased
22 academic, counseling, health, and wrap-around services to youth.

23 (5) From the state school aid fund money allocated in
24 subsection (1), there is allocated an amount not to exceed
25 ~~\$50,000,000.00 and from the general fund money allocated in~~
26 ~~subsection (1), there is allocated an amount not to exceed~~
27 ~~\$3,500,000.00 for competitive grants to districts, intermediate~~
28 ~~districts, and nonpublic schools to hire or contract for support~~
29 ~~staff for student mental health needs, including, but not limited~~



~~to, school psychologists, social workers, and counselors. To receive funding under this subsection, a district, intermediate district, or nonpublic school must apply for funding to the department in a form and manner prescribed by the department. The department shall prioritize applicants that include a spending plan to sustain salaries after grant funding has concluded.~~

\$25,000,000.00 to districts and intermediate districts that opt in and agree to receive funding on an equal per-pupil basis. All of the following apply to funds received under this subsection:

(a) Districts and intermediate districts that receive funds under this subsection must implement a behavior warning system described in this subdivision. The department shall select a vendor to provide districts and intermediate districts with a computer-based behavior warning system that meets all of the following requirements:

(i) Provides a common way of identifying and collecting early behaviors that could require intervention to prevent abuse, self-harm, or violence in schools. As used in this subparagraph, "early behaviors that require intervention to prevent abuse, self-harm, or violence in schools" includes, but is not limited to, any of the following behaviors:

- (A) Changes in attendance.**
- (B) Changes in academic performance.**
- (C) Changes in emotional response.**
- (D) Withdrawal.**
- (E) The beginning signs of self-harm.**
- (F) Problematic peer interaction.**
- (G) Discipline concerns that could result in any of the following outcomes:**



1 (I) Specific interventions, including mental health or
2 behavioral supports.

3 (II) Academic support.

4 (III) Parent or legal guardian conferences.

5 (IV) Discipline referrals.

6 (V) Other restorative practices.

7 (ii) Utilizes tools to inform any behavioral threat assessment
8 and assessment teams.

9 (iii) Ensures that all information recorded in the computer-
10 based system remains confidential, in accordance with 20 USC 1232g,
11 commonly referred to as the family educational rights and privacy
12 act of 1974, and state law.

13 (b) The vendor selected under subdivision (a) must provide
14 school personnel with training to identify warning signs and how to
15 use the computer-based system described in subdivision (a).

16 (c) Using funds allocated under this subsection, districts
17 shall implement a technology tool capable of screening visitors
18 against national sex offender registries in all states. The
19 technology tool described in this subdivision must provide a badge
20 to the visitor, and must store a picture of the visitor and a
21 record of the visitor's campus destinations. A district shall
22 request that a visitor provide identification before receiving a
23 badge described in this subdivision. However, a district may
24 accommodate a visitor without any form of identification in a way
25 that aligns with district policy and prioritizes the protection of
26 students, teachers, and staff. As used in this subdivision,
27 "visitor" includes any contractor hired by the district.

28 (d) Using funds allocated under this subsection, districts
29 must implement a mobile panic alert system capable of connecting



1 disparate emergency services technologies to ensure real-time
2 coordination between local and state law enforcement and first
3 responder agencies. The system described in this subdivision must
4 integrate with local public safety answering point infrastructure
5 to transmit 9-1-1 calls and mobile activations.

6 (e) Districts and intermediate districts may use funds
7 allocated under this subsection for activities and equipment that
8 further promote cardiac emergency response plan preparedness,
9 including, but not limited to, the purchase and maintenance of
10 automated external defibrillators (AEDs), the purchase of CPR
11 training kits or CPR training for faculty and staff, or the
12 purchase of basic first aid training and educational material.

13 (6) Recipients of funding under this section must provide a
14 final expense report to the department by July 1 of each fiscal
15 year. If the department determines that the eligible recipient has
16 misused the funds allocated under this section, the eligible
17 recipient shall reimburse the department for the amount of state
18 funding misused.

19 (7) The department shall use the information received under
20 subsection (6) to compile a report that includes the number of
21 recipients that have hired school resource officers using funds
22 received under this section and any supporting information provided
23 by the recipients. By not later than August 1 of each year, the
24 department shall provide the report compiled under this subsection
25 to the senate and house appropriations subcommittees on school aid,
26 the senate and house fiscal agencies, the senate and house policy
27 offices, the state budget office, and the Michigan commission on
28 law enforcement standards.

29 (8) Districts receiving funds under this section must



1 coordinate with intermediate districts to avoid duplication of
2 services and to streamline delivery of services to students.

3 (9) To receive funding under this section, a district, an
4 intermediate district, ~~a nonpublic school,~~ or the Michigan Schools
5 for the Deaf and Blind must agree to be subject to a comprehensive
6 investigation ~~, must affirmatively agree to waive any privilege~~
7 ~~that may otherwise protect information from disclosure in the event~~
8 ~~of a mass casualty event, and must agree to comply with a~~
9 ~~comprehensive investigation.~~ **after a mass casualty event, as**
10 **defined in subsection (11).** All of the following apply to a
11 comprehensive investigation described in this subsection:

12 (a) The comprehensive investigation will assess the
13 circumstances surrounding the mass casualty event, including, but
14 not limited to:

- 15 (i) Emergency response effectiveness.
- 16 (ii) Compliance with safety protocols.
- 17 (iii) Communication procedures.
- 18 (iv) Any factors contributing to the incident.

19 (b) The governor shall designate an appropriate person or
20 investigative entity to conduct the comprehensive investigation.
21 This person or investigative entity may include, but is not limited
22 to, state law enforcement agencies, independent review boards, or
23 specially appointed task forces. The person or designated
24 investigative entity has the authority to do all of the following:

- 25 (i) Access relevant records and data from the district.
- 26 (ii) Interview witnesses and district personnel involved.
- 27 (iii) Issue findings and recommendations based on the
28 investigation.

29 (c) The person or investigative entity designated in



subdivision (b) shall prepare a detailed report of its findings and submit the report to the governor and relevant legislative committees within 90 days following the conclusion of the investigation. The report must include recommendations for preventing future incidents and improving school safety protocols.

(10) Funds allocated under subsection (4) for ~~2025-2026-2026-~~
~~2027~~ are a work project appropriation, and any unexpended funds for
~~2025-2026-2026-2027~~ are carried forward into ~~2026-2027-~~**2027-2028**.

The purpose of the work project is to ~~continue providing funding to support districts, intermediate districts, and nonpublic schools in having school resource officers.~~ **support the work of community violence intervention programs in districts and intermediate districts.** The estimated completion date of the work project is September 30, ~~2029-~~**2031**.

~~(11) Funds allocated under subsection (5) for 2025-2026 are a work project appropriation, and any unexpended funds for 2025-2026 are carried forward into 2026-2027. The purpose of the work project is to continue providing funding to support districts, intermediate districts, and nonpublic schools in hiring staff to support student mental health. The estimated completion date of the work project is September 30, 2029.~~

(11) ~~(12)~~ As used in this section:

(a) "Mass casualty event" means ~~any of the following that occur~~ **an incident of targeted violence that occurs** on school grounds or at a school-sponsored event **and that meets all of the following criteria:**

(i) ~~An incident resulting in significant injuries to not fewer than 3 individuals.~~ **The incident involves the use of a lethal weapon. As used in this subparagraph, "lethal weapon" means a**



1 **firearm as defined in 18 USC 921, an explosive or incendiary**
 2 **device, or a weapon defined in section 222 of the Michigan penal**
 3 **code, 1931 PA 328, MCL 750.222.**

4 (ii) ~~An~~ **The incident resulting in fatalities results in at**
 5 **least 1 fatality, or significant bodily injuries to not fewer than**
 6 **2 individuals, excluding the perpetrator.**

7 (iii) ~~An~~ **The incident that exceeds the normal resources for**
 8 **emergency response available in the jurisdiction where the incident**
 9 **takes place.**

10 ~~(iv) An incident that results in a sudden and timely surge of~~
 11 ~~injured individuals necessitating emergency services.~~

12 ~~(b) "Safety dog" means a dog that is contracted by a law~~
 13 ~~enforcement agency of this state, a local unit of government of~~
 14 ~~this state, or a district or an intermediate district and that is~~
 15 ~~trained for detection of firearms, explosives, narcotics, or vape~~
 16 ~~substances.~~ **is the result of a deliberate and malicious act and is**
 17 **not a motor vehicle accident.**

18 (b) **"Motor vehicle accident" means that term as defined in**
 19 **section 503 of the Michigan vehicle code, 1949 PA 300, MCL 257.503.**

20 (c) **"School grounds" means all properties owned or operated by**
 21 **the district, including transportation vehicles owned or operated**
 22 **by the district.**

23 (d) **"School-sponsored event" means any activity organized or**
 24 **sanctioned by the district.**

25 **(12)** ~~(13)~~ **Notwithstanding section 17b, the department shall**
 26 **make payments under this section on a schedule determined by the**
 27 **department.**

28 **Sec. 32d. (1) From the state school aid fund money**
 29 **appropriated in section 11, there is allocated to eligible**



1 intermediate districts and consortia of intermediate districts for
 2 great start readiness programs **and other purposes described in this**
 3 **section** an amount not to exceed ~~\$609,720,000.00 for 2024-2025 and~~
 4 ~~\$638,217,600.00 for 2025-2026. From the general fund money~~
 5 ~~appropriated under section 11, there is allocated \$600,000.00 for~~
 6 ~~2024-2025 and \$350,000.00 for 2025-2026, \$801,667,600.00 for 2026-~~
 7 **2027**, and from the great start readiness reserve fund money
 8 appropriated in section 11, there is allocated \$18,000,000.00 for
 9 ~~2024-2025 and 2025-2026~~ **2026-2027** for the purposes of this section.
 10 ~~For 2024-2025, an intermediate district or consortium shall use~~
 11 ~~funds allocated under this section for great start readiness~~
 12 ~~programs to provide part-day programs, school-day programs, GSRP~~
 13 ~~extended programs, GSRP/Head Start school-day blended programs, or~~
 14 ~~GSRP/Head Start extended blended programs that are comprehensive,~~
 15 ~~free, compensatory classroom programs designed to improve the~~
 16 ~~readiness and subsequent achievement of children who meet the~~
 17 ~~participant eligibility and prioritization guidelines as defined by~~
 18 ~~the department of lifelong education, advancement, and potential.~~
 19 ~~For 2025-2026, an~~ **An** intermediate district or consortium shall use
 20 funds allocated under this section for eligible great start
 21 readiness program options. For a child to be eligible to
 22 participate in a program under this section, the child must be at
 23 least 4, but less than 5, years of age as of September 1 of the
 24 school year in which the program is offered and must meet those
 25 eligibility and prioritization guidelines. After eligible children
 26 who will be 4 years of age as of September 1 are enrolled, a child
 27 who is not 4 years of age as of September 1, but who will be 4
 28 years of age by not later than December 1, is eligible to
 29 participate if both of the following are met:



(a) The child's parent or legal guardian seeks a waiver from the September 1 eligibility date by submitting a request for enrollment in a program to the responsible intermediate district.

(b) The child meets eligibility and prioritization guidelines.

(2) From the state school aid fund money allocated under subsection (1), an amount not to exceed ~~\$597,720,000.00 for 2024-2025~~ and ~~\$626,217,600.00~~ **\$764,667,600.00** for ~~2025-2026~~ **2026-2027** is allocated to intermediate districts or consortia of intermediate districts based on the formula in section 39. An intermediate district or consortium of intermediate districts receiving funding under this section shall act as the fiduciary for the great start readiness programs. An intermediate district or consortium of intermediate districts receiving funding under this section may collaborate with local governments to identify children eligible for programs funded under this section and may contract with local governments to provide services. To be eligible to receive funds allocated under this subsection from an intermediate district or consortium of intermediate districts, a district, a consortium of districts, a local government, or a public or private for-profit or nonprofit legal entity or agency must comply with this section and section 39. ~~For 2024-2025, if, due to the number of GSRP extended program or GSRP/Head Start extended blended program slots awarded, the amount allocated in this subsection is insufficient to award at least the same number of part-day program and school-day program slots as awarded in the immediately preceding fiscal year, there is appropriated from the great start readiness program reserve fund the amount necessary to fully award the same number of part-day program and full-day program slots as awarded in the immediately preceding fiscal year. For 2025-2026, if~~ **If** the amount allocated in



1 this subsection is insufficient to fully fund allocations
 2 calculated under section 39, there is appropriated from the great
 3 start readiness program reserve fund the amount necessary and
 4 available to fully fund those allocations.

5 (3) From the ~~general~~**state school aid** fund money allocated
 6 under subsection ~~(1)~~, ~~there is allocated an amount not to exceed~~
 7 ~~\$600,000.00 for 2024-2025 and an amount not to exceed \$350,000.00~~
 8 ~~for 2025-2026 for~~ **(2), the department of lifelong education,**
 9 **advancement, and potential shall award** a competitive grant to a
 10 **state public university to** continue a longitudinal evaluation of
 11 children who have participated in great start readiness programs.

12 (4) Except as otherwise provided in subsection (5), to be
 13 eligible for funding under this section, a program must prepare
 14 children for success in school through comprehensive part-day
 15 programs, school-day programs, GSRP extended programs, GSRP/Head
 16 Start school-day blended programs, GSRP/Head Start extended blended
 17 programs, or other eligible great start readiness program options
 18 that contain all of the following program components, as determined
 19 by the department of lifelong education, advancement, and
 20 potential:

21 (a) Participation in a collaborative recruitment and
 22 enrollment process to ensure that each child is enrolled in the
 23 program most appropriate to the child's needs and to maximize the
 24 use of federal, state, and local funds. ~~For 2025-2026, as part of~~
 25 ~~this requirement, programs~~ **Programs** receiving funding under this
 26 section must provide current enrollment data, including slots open
 27 for enrollment and slots filled, to the intermediate district or
 28 consortium of intermediate districts from which funding is received
 29 for that program. The enrollment process must ensure that children



1 in families with lower income and children with other risk factors,
2 as determined by the department of lifelong education, advancement,
3 and potential, are enrolled before children with lesser needs.

4 (b) An age-appropriate educational curriculum that is in
5 compliance with the early childhood standards of quality for birth
6 to kindergarten children adopted by the state board, including, at
7 least, the Connect4Learning curriculum.

8 (c) Nutritional services for all program participants
9 supported by federal, state, and local resources as applicable.

10 (d) Physical and dental health and developmental screening
11 services for all program participants.

12 (e) Referral services for families of program participants to
13 community social service agencies, including mental health
14 services, as appropriate.

15 (f) Active and continuous involvement of the parents or
16 guardians of the program participants.

17 (g) A plan to conduct and report annual great start readiness
18 program evaluations and continuous improvement plans using criteria
19 approved by the department of lifelong education, advancement, and
20 potential.

21 (h) Participation in a school readiness advisory committee
22 convened as a workgroup of the great start collaborative that
23 provides for the involvement of classroom teachers, parents or
24 guardians of program participants, and community, volunteer, and
25 social service agencies and organizations, as appropriate. The
26 advisory committee shall annually review and make recommendations
27 regarding the program components listed in this subsection. The
28 advisory committee also shall make recommendations to the great
29 start collaborative regarding other community services designed to



1 improve all children's school readiness.

2 (i) The ongoing articulation of the kindergarten and first
3 grade programs offered by the program provider.

4 (j) Participation in this state's great start to quality
5 process with a level of at least enhancing quality level.

6 (5) To help expand access to great start readiness programs,
7 the department of lifelong education, advancement, and potential
8 may waive the requirements under ~~subsections (4) and (8)(e)~~
9 **subsection (4)** and a program may be eligible for funding under this
10 section for new or expanding programs if the program demonstrates
11 to the satisfaction of the department of lifelong education,
12 advancement, and potential that the program meets all of the
13 following:

14 (a) Is a licensed group or child care center or is a licensed
15 program.

16 (b) Provides the minimum instructional time as required by the
17 department of lifelong education, advancement, and potential.

18 (c) Participates in this state's quality improvement system at
19 a level determined by the department of lifelong education,
20 advancement, and potential.

21 (d) Implements a professional educator preparation plan, as
22 defined by the department of lifelong education, advancement, and
23 potential, for educators not meeting teacher credentialing
24 standards described in subsection (8). ~~or (9).~~

25 (e) Uses a developmentally appropriate curriculum, as
26 determined by the department of lifelong education, advancement,
27 and potential.

28 (f) Conducts a developmental screening and referral process,
29 as determined by the department of lifelong education, advancement,



1 and potential.

2 (g) Commits to participating in program financial review and
3 monitoring, as determined by the department of lifelong education,
4 advancement, and potential.

5 (h) Provides a plan to implement an approved great start
6 readiness program curriculum and meet additional great start
7 readiness program standards, as determined by the department of
8 lifelong education, advancement, and potential.

9 (6) A waiver under subsection (5) may be granted for up to 3
10 years for requirements related to program credentialing and may be
11 granted for up to 2 years for all other requirements, as determined
12 by the department of lifelong education, advancement, and
13 potential.

14 (7) The department of lifelong education, advancement, and
15 potential shall provide a report to the house and senate
16 appropriations subcommittees on school aid, the state budget
17 director, and the house and senate fiscal agencies that summarizes
18 the number and types of exemptions granted under subsection (5) and
19 progress made by programs granted waivers under subsection (5) by
20 September 30 of each fiscal year. It is the intent of the
21 legislature to review the waiver allowability under subsection (5)
22 before the fiscal year ending September 30, 2027.

23 ~~(8) For applications submitted before September 30, 2025, an~~
24 ~~application for funding under this section must provide for the~~
25 ~~following, in a form and manner determined by the department of~~
26 ~~lifelong education, advancement, and potential:~~

27 ~~(a) Ensure either of the following:~~

28 ~~(i) That the applicant complies with all program components~~
29 ~~described in subsection (4).~~



1 ~~(ii) That the applicant meets the requirements of a waiver~~
2 ~~under subsection (5).~~

3 ~~(b) Except as otherwise provided in this subdivision, ensure~~
4 ~~that children participating in an eligible great start readiness~~
5 ~~program for whom the intermediate district is receiving funds under~~
6 ~~this section are children who live with families with a household~~
7 ~~income that is equal to or less than 400% of the federal poverty~~
8 ~~guidelines. If the intermediate district determines that all~~
9 ~~eligible children are being served and that there are no children~~
10 ~~on the waiting list who live with families with a household income~~
11 ~~that is equal to or less than 400% of the federal poverty~~
12 ~~guidelines, the intermediate district may then enroll children who~~
13 ~~live with families with a household income that is greater than~~
14 ~~400% of the federal poverty guidelines. The enrollment process must~~
15 ~~consider income and risk factors, such that children determined~~
16 ~~with higher need are enrolled before children with lesser need. For~~
17 ~~purposes of this subdivision, all age-eligible children served in~~
18 ~~foster care or who are experiencing homelessness or who have~~
19 ~~individualized education programs recommending placement in an~~
20 ~~inclusive preschool setting are considered to live with families~~
21 ~~with household income equal to or less than 400% of the federal~~
22 ~~poverty guidelines regardless of actual family income and are~~
23 ~~prioritized for enrollment within the lowest quintile. The~~
24 ~~department of lifelong education, advancement, and potential shall~~
25 ~~publish the household income thresholds under this subdivision in a~~
26 ~~clear manner on its website and the great start to quality website.~~

27 ~~(c) Except as provided in subsection (5), ensure that the~~
28 ~~applicant only uses qualified personnel for this program, as~~
29 ~~follows:~~



~~(i) Teachers possessing proper training. A lead teacher must have a valid Michigan teaching certificate with an early childhood or lower elementary endorsement or a bachelor's or higher degree in child development or early childhood education with specialization in preschool teaching. However, except as otherwise provided in this subparagraph, if an applicant demonstrates to the department of lifelong education, advancement, and potential that it is unable to fully comply with this subparagraph after making reasonable efforts to comply, teachers or paraprofessionals with at least 5 years of experience as a paraprofessional in a great start readiness program, Head Start, or licensed child care center classroom who have significant but incomplete training in early childhood education or child development may be used if the applicant provides to the department of lifelong education, advancement, and potential, and the department of lifelong education, advancement, and potential approves, a plan for each teacher to come into compliance with the standards in this subparagraph. Individuals may qualify with at least 3 years of experience and significant training in early childhood education or child development, based on the recommendation of the intermediate district after a classroom observation. A teacher's compliance plan must be completed within 3 years of the date of employment. Progress toward completion of the compliance plan consists of at least 2 courses per calendar year.~~

~~(ii) Paraprofessionals possessing proper training in early childhood education, including an associate degree in early childhood education or child development or the equivalent, or a child development associate (CDA) credential. However, if an applicant demonstrates to the department of lifelong education,~~

~~advancement, and potential that it is unable to fully comply with this subparagraph after making reasonable efforts to comply, the applicant may use paraprofessionals who have completed at least 1 course that earns college credit in early childhood education or child development or enroll in a child development associate credential with at least 6 months of verified experience in early education and care, if the applicant provides to the department of lifelong education, advancement, and potential, and the department of lifelong education, advancement, and potential approves, a plan for each paraprofessional to come into compliance with the standards in this subparagraph. A paraprofessional's compliance plan must be completed within 3 years of the date of employment. Progress toward completion of the compliance plan consists of at least 2 courses, 60 clock hours, or an equivalent of training per calendar year.~~

~~(d) Include a program budget that contains only those costs that are not reimbursed or reimbursable by federal funding, that are clearly and directly attributable to the great start readiness program, and that would not be incurred if the program were not being offered. Eligible costs include transportation costs. The program budget must indicate the extent to which these funds will supplement other federal, state, local, or private funds. An applicant shall not use funds received under this section to supplant any federal funds received by the applicant to serve children eligible for a federally funded preschool program that has the capacity to serve those children.~~

~~(8) (9) Beginning in 2025-2026, applications~~ **Applications** for funding under this section must be submitted to the department of lifelong education, advancement, and potential in a form and manner



determined by the department of lifelong education, advancement, and potential. The application must demonstrate, at a minimum, compliance with program requirements described in subsection (4) or (5) and must ensure that recipients will only utilize qualified personnel, as determined by the department of lifelong education, advancement, and potential, for eligible great start readiness program options.

~~(10) For a grant recipient that enrolls pupils in a school-day program or GSRP extended program funded under this section, each child enrolled in the school-day program or GSRP extended program is counted as described in section 39 for purposes of determining the amount of the grant award. This subsection does not apply after September 30, 2025.~~

(9) ~~(11)~~ For a grant recipient that enrolls pupils in an eligible great start readiness program option that blends GSRP and Head Start programming, the grant recipient shall ensure that all Head Start and GSRP policies and regulations are applied to the blended slots, with adherence to the highest standard from either program, to the extent allowable under federal law. A grant recipient may request a waiver from the department of lifelong education, advancement, and potential to align GSRP policies and regulations with Head Start national standards for quality, including ratios, and the department of lifelong education, advancement, and potential may approve the waiver. Not later than March 1 of each year, the department of lifelong education, advancement, and potential will report to the legislature and post on a publicly available website a list by intermediate district or consortium with the number and type of each waiver requested and approved.



1 **(10)** ~~(12)~~ To help expand access to great start readiness
 2 programs, the department of lifelong education, advancement, and
 3 potential may allow great start readiness programs to implement
 4 Head Start national performance standards for quality as an
 5 alternative to great start readiness program policies and
 6 regulations if the great start readiness program demonstrates to
 7 the satisfaction of the department of lifelong education,
 8 advancement, and potential that the great start readiness program
 9 is meeting the requirements of the Head Start national performance
 10 standards.

11 **(11)** ~~(13)~~ ~~Beginning in 2025-2026, an~~ **An** intermediate district
 12 or consortia of intermediate districts receiving funding under this
 13 section must publish, on an easily accessible website, a data
 14 dashboard containing the number of allocations requested from the
 15 state, a list of programs offering great start readiness programs
 16 in their boundaries, and current enrollment data for each
 17 subrecipient, including total slots open for enrollment, slots
 18 filled, and waitlist information, if applicable. A link to this
 19 website must be provided to families on waitlists for any great
 20 start readiness program in their boundaries.

21 **(12)** ~~(14)~~ An intermediate district or consortium of
 22 intermediate districts receiving a grant under this section shall
 23 designate an early childhood coordinator, and may provide services
 24 directly or may contract with 1 or more districts or public or
 25 private for-profit or nonprofit providers that meet all
 26 requirements of subsection (4) ~~, (8), or (9),~~ **or (8)**, as
 27 applicable.

28 **(13)** ~~(15)~~ An intermediate district or consortium of
 29 intermediate districts may retain for administrative services



1 provided by the intermediate district or consortium of intermediate
2 districts an amount not to exceed 4% of the grant amount. Expenses
3 incurred by subrecipients engaged by the intermediate district or
4 consortium of intermediate districts for directly running portions
5 of the program are considered program costs or a contracted program
6 fee for service. Subrecipients operating early childhood programs
7 may include indirect costs, not to exceed the federal de minimis.

8 **(14)** ~~(16)~~—An intermediate district or consortium of
9 intermediate districts may expend not more than 2% of the total
10 grant amount for outreach, recruiting, and public awareness of the
11 program, if the intermediate district or consortium of intermediate
12 districts also participates in related statewide marketing and
13 outreach efforts.

14 ~~(17) Each grant recipient shall enroll children identified~~
15 ~~under subsection (8) (b) according to how far the child's household~~
16 ~~income is below 400% of the federal poverty guidelines by ranking~~
17 ~~each applicant child's household income from lowest to highest and~~
18 ~~dividing the applicant children into quintiles based on how far the~~
19 ~~child's household income is below 400% of the federal poverty~~
20 ~~guidelines, and then enrolling children in the quintile with the~~
21 ~~lowest household income before enrolling children in the quintile~~
22 ~~with the next lowest household income until slots are completely~~
23 ~~filled. If the grant recipient determines that all eligible~~
24 ~~children are being served and that there are no children on the~~
25 ~~waiting list who live with families with a household income that is~~
26 ~~equal to or less than 400% of the federal poverty guidelines, the~~
27 ~~grant recipient may then enroll children who live with families~~
28 ~~with a household income that is greater than 400% of the federal~~
29 ~~poverty guidelines. The enrollment process must consider income and~~



~~risk factors, such that children determined with higher need are enrolled before children with lesser need. For purposes of this subsection, all age-eligible children served in foster care or who are experiencing homelessness or who have individualized education programs recommending placement in an inclusive preschool setting are considered to live with families with household income equal to or less than 400% of the federal poverty guidelines regardless of actual family income and are prioritized for enrollment within the lowest quintile. This subsection does not apply after September 30, 2025.~~

(15) ~~(18)~~ An intermediate district or consortium of intermediate districts receiving a grant under this section shall allow parents of eligible children who are residents of the intermediate district or within the consortium to choose a program operated by or contracted with another intermediate district or consortium of intermediate districts and shall enter into a written agreement regarding payment, in a manner prescribed by the department of lifelong education, advancement, and potential.

(16) ~~(19)~~ An intermediate district or consortium of intermediate districts receiving a grant under this section shall conduct a local process to contract with interested and eligible public and private for-profit and nonprofit community-based providers that meet all requirements of subsection (4) for at least 30% of its total allocation. ~~For 2024-2025, for the purposes of this 30% allocation, an intermediate district or consortium of intermediate districts may count children served by a Head Start grantee or delegate in a GSRP/Head Start school-day blended program, GSRP/Head Start extended blended program, GSRP extended program, and great start readiness school-day program. Children~~



1 served in a program funded ~~only~~ through **only** Head Start are not
 2 counted toward this 30% allocation. ~~Beginning in 2025-2026, the~~ **The**
 3 department of lifelong education, advancement, and potential shall
 4 provide guidance to intermediate districts and consortia of
 5 intermediate districts on counting children served by Head Start
 6 programming for the purposes of this 30% allocation. ~~For 2024-2025,~~
 7 ~~an intermediate district or consortium shall report to the~~
 8 ~~department of lifelong education, advancement, and potential, in a~~
 9 ~~manner prescribed by the department of lifelong education,~~
 10 ~~advancement, and potential, a detailed list of community-based~~
 11 ~~providers by provider type, including private for-profit, private~~
 12 ~~nonprofit, community college or university, Head Start grantee or~~
 13 ~~delegate, and district or intermediate district, and the number and~~
 14 ~~proportion of its total allocation allocated to each provider as~~
 15 ~~subrecipient. Beginning in 2025-2026, an~~ **An** intermediate district
 16 or consortium shall report to the department of lifelong education,
 17 advancement, and potential, in a manner prescribed by the
 18 department of lifelong education, advancement, and potential,
 19 information necessary for the department of lifelong education,
 20 advancement, and potential to determine the intermediate district's
 21 or consortium of intermediate districts' compliance with this
 22 subsection. If the intermediate district or consortium is not able
 23 to contract for at least 30% of its total allocation, the
 24 intermediate district or consortium shall notify the department of
 25 lifelong education, advancement, and potential and, if the
 26 department of lifelong education, advancement, and potential
 27 verifies that the intermediate district or consortium attempted to
 28 contract for at least 30% of its total allocation and was not able
 29 to do so, the intermediate district or consortium may retain and



1 use all of its allocation as provided under this section. To be
2 able to use this exemption, the intermediate district or consortium
3 shall demonstrate to the department of lifelong education,
4 advancement, and potential that the intermediate district or
5 consortium increased the percentage of its total allocation for
6 which it contracts with a community-based provider and the
7 intermediate district or consortium shall submit evidence
8 satisfactory to the department of lifelong education, advancement,
9 and potential, and the department of lifelong education,
10 advancement, and potential must be able to verify this evidence,
11 demonstrating that the intermediate district or consortium took
12 measures to contract for at least 30% of its total allocation as
13 required under this subsection, including, but not limited to, at
14 least all of the following measures:

15 (a) The intermediate district or consortium notified each
16 nonparticipating licensed child care center located in the service
17 area of the intermediate district or consortium regarding the
18 center's eligibility to participate, in a manner prescribed by the
19 department of lifelong education, advancement, and potential.

20 (b) The intermediate district or consortium provided to each
21 nonparticipating licensed child care center located in the service
22 area of the intermediate district or consortium information
23 regarding great start readiness program requirements and a
24 description of the application and selection process for community-
25 based providers.

26 (c) The intermediate district or consortium provided to the
27 public and to participating families a list of community-based
28 great start readiness program subrecipients with a great start to
29 quality level of at least enhancing quality level.



1 **(17)** ~~(20)~~—If an intermediate district or consortium of
 2 intermediate districts receiving a grant under this section fails
 3 to submit satisfactory evidence to demonstrate its effort to
 4 contract for at least 30% of its total allocation, as required
 5 under subsection ~~(19)~~, **(16)**, the department of lifelong education,
 6 advancement, and potential may reduce the allocation to the
 7 intermediate district or consortium by a percentage equal to the
 8 difference between the percentage of an intermediate district's or
 9 consortium's total allocation awarded to community-based providers
 10 and 30% of its total allocation.

11 **(18)** ~~(21)~~—To assist intermediate districts and consortia in
 12 complying with the requirement to contract with community-based
 13 providers, for at least 30% of their total allocation, the
 14 department of lifelong education, advancement, and potential shall
 15 do all of the following:

16 (a) Ensure that a great start resource center or the
 17 department of lifelong education, advancement, and potential
 18 provides each intermediate district or consortium receiving a grant
 19 under this section with the contact information for each licensed
 20 child care center located in the service area of the intermediate
 21 district or consortium by March 1 of each year.

22 ~~(b) Provide, or ensure that an organization with which the~~
 23 ~~department of lifelong education, advancement, and potential~~
 24 ~~contracts provides, a community based provider with a validated~~
 25 ~~great start to quality rating within 90 days of the provider's~~
 26 ~~having submitted a request and self-assessment. This subdivision~~
 27 ~~does not apply after September 30, 2025.~~

28 **(b)** ~~(c)~~—Ensure that all intermediate district, district,
 29 community college or university, Head Start grantee or delegate,

1 private for-profit, and private nonprofit providers are subject to
 2 a single great start to quality continuous quality improvement
 3 system. The continuous quality improvement system must ensure that
 4 regulators process all prospective providers at the same pace on a
 5 first-come, first-served basis and must not allow 1 type of
 6 provider to receive a great start to quality level ahead of any
 7 other type of provider.

8 **(c)** ~~(d)~~—By not later than March 1 of each year, compile the
 9 results of the information reported by each intermediate district
 10 or consortium under subsection ~~(19)~~ **(16)** and report to the
 11 legislature and post on a publicly available website a list by
 12 intermediate district or consortium with the number and percentage
 13 of each intermediate district's or consortium's total allocation
 14 allocated to community-based providers by provider type, including
 15 private for-profit, private nonprofit, community college or
 16 university, Head Start grantee or delegate, and district or
 17 intermediate district.

18 **(d)** ~~(e)~~—Allow intermediate districts and consortia and
 19 eligible community-based providers to utilize materials and
 20 supplies purchased for great start readiness programs within their
 21 facilities for other early care and education activities, in the
 22 following order of priority:

23 (i) Early care and education activities under a federal award.

24 (ii) Early care and education activities under other state
 25 awards.

26 (iii) Early care and education activities under local or
 27 regional awards.

28 **(19)** ~~(22)~~—A recipient of funds under this section shall report
 29 to the center in a form and manner prescribed by the center the



1 information necessary to derive the number of children
2 participating in the program, the number of eligible children not
3 participating in the program and on a waitlist, and the total
4 number of children participating in the program by various
5 demographic groups and eligibility factors necessary to analyze
6 equitable and priority access to services for the purposes of
7 subsection (3).

8 **(20)** ~~(23)~~—As used in this section:

9 (a) "Child care center" means that term as defined in section
10 1 of 1973 PA 116, MCL 722.111.

11 (b) "Eligible great start readiness program options" means a
12 program option that operates on a school-day, part-day, or extended
13 schedule length, as determined by the department of lifelong
14 education, advancement, and potential. The department of lifelong
15 education, advancement, and potential must maintain and publish on
16 its website requirements for each eligible schedule length,
17 including the minimum day length, the minimum number of days per
18 week, and the minimum number of weeks per year. These programs may
19 be blended with Head Start programs, if allowable by federal rules
20 and regulations.

21 (c) "Federal poverty guidelines" means the guidelines
22 published annually in the Federal Register by the United States
23 Department of Health and Human Services under its authority to
24 revise the poverty line under 42 USC 9902.

25 (d) "GSRP extended program" means a program that operates for
26 at least the same length of day as a district's first grade program
27 for a minimum of 5 days per week, 36 weeks per year.

28 (e) "GSRP/Head Start extended blended program" means a program
29 funded under this section and a Head Start program that are



1 combined for an extended program.

2 (f) "GSRP/Head Start school-day blended program" means a part-
3 day program funded under this section and a Head Start program,
4 which are combined for a school-day program.

5 (g) "Licensed child care center" means a child care center
6 that has been issued a license under 1973 PA 116, MCL 722.111 to
7 722.128, to operate a child care center.

8 (h) "Part-day program" means a program that operates at least
9 4 days per week, 30 weeks per year, for at least 3 hours of
10 teacher-child contact time per day but for fewer hours of teacher-
11 child contact time per day than a school-day program.

12 (i) "School-day program" means a program that operates for at
13 least the same length of day as a district's first grade program
14 for a minimum of 4 days per week, 30 weeks per year. A classroom
15 that offers a school-day program must enroll all children for the
16 school day to be considered a school-day program.

17 **(21)** ~~(24)~~ From the state school aid fund money allocated in
18 subsection (1), there is allocated for ~~2024-2025 and 2025-2026~~
19 **2026-2027** an amount not to exceed \$10,000,000.00 and, from the
20 great start readiness program reserve fund money allocated in
21 subsection (1), there is allocated for ~~2024-2025 and 2025-2026~~
22 **2026-2027** an amount not to exceed \$18,000,000.00 for reimbursement
23 of transportation costs for children attending great start
24 readiness programs funded under this section. To receive
25 reimbursement under this subsection, by not later than November 1
26 of each year, a program funded under this section that provides
27 transportation shall submit to the intermediate district that is
28 the fiscal agent for the program a projected transportation budget.
29 The amount of the reimbursement for transportation under this



subsection is no more than the projected transportation budget or \$500.00 multiplied by the number of children funded for the program under this section. If the amount allocated under this subsection is insufficient to fully reimburse the transportation costs for all programs that provide transportation and submit the required information, the department of lifelong education, advancement, and potential shall prorate the reimbursement in an equal amount per child funded. The department of lifelong education, advancement, and potential shall make payments to the intermediate district that is the fiscal agent for each program, and the intermediate district shall then reimburse the program provider for transportation costs as prescribed under this subsection.

~~(22) (25) For 2024-2025, subject to, and from the funds allocated under, subsection (24), the department of lifelong education, advancement, and potential shall reimburse a program for transportation costs related to parent- or guardian-accompanied transportation provided by transportation service companies, buses, or other public transportation services. Beginning in 2025-2026, subject~~ **Subject** to, and from the funds allocated under, subsection ~~(24),~~ **(21)**, the department of lifelong education, advancement, and potential shall allow programs to utilize those funds for costs related to parent- or guardian-provided transportation and for costs related to parent- or guardian-accompanied transportation provided by transportation service companies, buses, or other public transportation services. For payments related to parent- or guardian-provided transportation, the department of lifelong education, advancement, and potential shall develop parameters to ensure dollars are utilized in a way that improves access to eligible great start readiness program options for low-income and



1 geographically isolated families. To be eligible ~~for reimbursement~~
 2 ~~under this subsection in 2024-2025, and~~ to utilize funding under
 3 this subsection, ~~in 2025-2026,~~ a program must submit to the
 4 intermediate district or consortia of intermediate districts all of
 5 the following:

6 (a) The names of families provided with transportation support
 7 along with a documented reason for the need for transportation
 8 support and the type of transportation provided.

9 (b) Financial documentation of actual transportation costs
 10 incurred by the program, including, but not limited to, receipts
 11 and mileage reports, as determined by the department of lifelong
 12 education, advancement, and potential.

13 (c) Any other documentation or information determined
 14 necessary by the department of lifelong education, advancement, and
 15 potential.

16 **(23)** ~~(26)~~—The department of lifelong education, advancement,
 17 and potential shall implement a process to review and approve age-
 18 appropriate comprehensive classroom level quality assessments for
 19 GSRP grantees that support the early childhood standards of quality
 20 for birth to kindergarten children adopted by the state board. The
 21 department of lifelong education, advancement, and potential shall
 22 make available to intermediate districts at least 2 classroom level
 23 quality assessments that have been approved by the department of
 24 lifelong education, advancement, and potential.

25 **(24)** ~~(27)~~—An intermediate district that is a GSRP grantee may
 26 approve the use of a supplemental curriculum that aligns with and
 27 enhances the age-appropriate educational curriculum in the
 28 classroom. If the department of lifelong education, advancement,
 29 and potential objects to the use of a supplemental curriculum



1 approved by an intermediate district, the director of the
 2 department of lifelong education, advancement, and potential shall
 3 establish a review committee independent of the department of
 4 lifelong education, advancement, and potential. The review
 5 committee shall meet within 60 days of the department of lifelong
 6 education, advancement, and potential registering its objection in
 7 writing and provide a final determination on the validity of the
 8 objection within 60 days of the review committee's first meeting.

9 **(25)** ~~(28)~~—The department of lifelong education, advancement,
 10 and potential shall implement a process to evaluate and approve
 11 age-appropriate educational curricula that are in compliance with
 12 the early childhood standards of quality for birth to kindergarten
 13 children adopted by the state board.

14 **(26)** ~~(29)~~—From the state school aid fund money allocated under
 15 subsection (1), there is allocated for ~~2024-2025 and 2025-2026~~
 16 **2026-2027** an amount not to exceed \$2,000,000.00 for payments to
 17 intermediate districts or consortia of intermediate districts for
 18 professional development and training materials for educators in
 19 programs implementing new curricula or child assessment tools
 20 approved for use in the great start readiness program. **Curricula**
 21 **and child assessment tools purchased with funds received under this**
 22 **subsection must be in compliance with early childhood standards of**
 23 **quality for birth to kindergarten children.**

24 **(27)** ~~(30)~~—A great start readiness program, a GSRP extended
 25 program, a GSRP/Head Start school-day blended program, a GSRP/Head
 26 Start extended blended program, or other eligible great start
 27 readiness programs funded under this section are permitted to
 28 utilize AmeriCorps Pre-K Reading Corps members in classrooms
 29 implementing research-based early literacy intervention strategies.



1 **(28)** ~~(31)~~ ~~In addition to the allocation~~ **From the state school**
 2 **aid fund money allocated** under subsection (1), ~~from the state~~
 3 ~~school aid fund money appropriated under section 11,~~ there is
 4 allocated an amount not to exceed \$25,000,000.00 for ~~2024-2025~~ and
 5 ~~an amount not to exceed \$10,000,000.00 for 2025-2026~~ **2026-2027** only
 6 for classroom start up grants to intermediate districts and
 7 consortia of intermediate districts for new or expanding great
 8 start readiness classrooms. All of the following apply to funding
 9 allocated under this subsection:

10 (a) To receive funding under this subsection, intermediate
 11 districts and consortia of intermediate districts must apply for
 12 the funding in a form and manner prescribed by the department of
 13 lifelong education, advancement, and potential.

14 (b) The department of lifelong education, advancement, and
 15 potential shall pay an amount not to exceed \$50,000.00 for each new
 16 or expanded classroom. If funding is insufficient to fully fund all
 17 eligible applicants, the department of lifelong education,
 18 advancement, and potential must prorate the per-classroom amount on
 19 an equal basis. ~~If the allocation is not fully paid in the current~~
 20 ~~fiscal year, the department of lifelong education, advancement, and~~
 21 ~~potential may award any remaining funding from fiscal year 2024-~~
 22 ~~2025 during fiscal year 2025-2026, and may award any remaining~~
 23 ~~funding from fiscal year 2025-2026 during fiscal year 2026-2027 for~~
 24 ~~each new or expanded classroom at an equal amount per classroom,~~
 25 ~~based on remaining available funds, not to exceed \$50,000.00 per~~
 26 ~~classroom.~~

27 (c) Funds received under this subsection by intermediate
 28 districts and consortia of intermediate districts must be paid in
 29 full to the entity operating the classroom and may be used for 1 or



1 more of the following purposes:

2 (i) Costs associated with attracting, recruiting, retaining,
3 and licensing required classroom education personnel to staff new
4 or expanded classrooms.

5 (ii) Supporting facility improvements or purchasing facility
6 space or modular classroom units necessary to provide a safe, high-
7 quality learning environment for children in each new or expanded
8 classroom, and for costs to become a licensed facility such as
9 architectural drawings, permits, and other prelicensure inspection
10 fees.

11 (iii) Outreach material necessary for public awareness that the
12 great start readiness program has openings in the area and for
13 costs associated with enrolling eligible children in new or
14 expanded classrooms.

15 (iv) Supporting costs in each new or expanded classroom
16 associated with improving a provider's great start to quality
17 level.

18 (d) Recipients of funds under this subsection must demonstrate
19 that instructional staff have completed, or are in the process of
20 completing, professional learning in the science of reading. Grant
21 funds may be used to support this professional learning and are
22 intended to ensure new classrooms are well equipped to implement
23 evidence-based early literacy strategies.

24 ~~(e) The funds allocated under this subsection for 2024-2025~~
25 ~~are a work project appropriation, and any unexpended funds for~~
26 ~~2024-2025 do not lapse to the state school aid fund and are carried~~
27 ~~forward into 2025-2026. The purpose of the work project is to~~
28 ~~continue support for new or expanded great start readiness~~
29 ~~classrooms. The estimated completion date of the work project is~~



1 ~~September 30, 2026.~~

2 ~~(f) The funds allocated under this subsection for 2025-2026~~
3 ~~are a work project appropriation, and any unexpended funds for~~
4 ~~2025-2026 do not lapse to the state school aid fund and are carried~~
5 ~~forward into 2026-2027. The purpose of the work project is to~~
6 ~~continue support for new or expanded great start readiness~~
7 ~~classrooms. The estimated completion date of the work project is~~
8 ~~September 30, 2027.~~

9 ~~(e) (g)~~ Notwithstanding section 17b, the department of
10 lifelong education, advancement, and potential shall make payments
11 under this subsection on a schedule determined by the department of
12 lifelong education, advancement, and potential.

13 ~~(32) In addition to the funds allocated in subsection (1),~~
14 ~~there is allocated from the general fund money appropriated under~~
15 ~~section 11 for 2024-2025 only an amount not to exceed \$1,950,000.00~~
16 ~~for an intermediate district or a consortium of intermediate~~
17 ~~districts to partner with the department of lifelong education,~~
18 ~~advancement, and potential and community-based organizations to~~
19 ~~continue implementing statewide outreach and enrollment campaign~~
20 ~~activities to raise awareness about the availability of services~~
21 ~~through the great start readiness program, and to promote~~
22 ~~enrollment.~~

23 ~~(33) The funds allocated under subsection (32) for 2024-2025~~
24 ~~are a work project appropriation, and any unexpended funds for~~
25 ~~2024-2025 are carried forward into 2025-2026. The purpose of the~~
26 ~~work project is to raise awareness of and participation in great~~
27 ~~start readiness programming. The estimated completion date of the~~
28 ~~work project is September 30, 2027.~~

29 ~~(34) Notwithstanding section 17b, the department of lifelong~~



~~education, advancement, and potential shall make payments under subsection (32) on a schedule determined by the department of lifelong education, advancement, and potential.~~

Sec. 32n. (1) From the state school aid fund money appropriated in section 11, there is allocated for ~~2024-2025-2026-2027~~ only an amount not to exceed ~~\$79,000,000.00, \$50,000,000.00,~~ and from the state school aid pupil support reserve fund money appropriated in section 11, there is allocated for 2025-2026 only an amount not to exceed \$75,000,000.00 **and for 2026-2027 only an amount not to exceed \$85,000,000.00** to Clinton County RESA to collaborate with the department of lifelong education, advancement, and potential, for the purposes of this section. ~~It is the intent of the legislature that, for 2026-2027, the allocation from the state school aid pupil support reserve fund money appropriated in section 11 for the purposes described in this section will be \$85,000,000.00.~~ It is the intent of the legislature that, for 2027-2028, the allocation from the state school aid pupil support reserve fund money appropriated in section 11 for the purposes described in this section will be \$100,000,000.00.

(2) From the state school aid fund money allocated in subsection (1), there is allocated for ~~2024-2025-2026-2027~~ only an amount not to exceed ~~\$57,000,000.00, \$50,000,000.00,~~ and from the state school aid pupil support reserve fund money allocated in subsection (1), there is allocated for ~~2025-2026-2026-2027~~ only an amount not to exceed ~~\$75,000,000.00 \$85,000,000.00~~ for a grant program for eligible applicants to expand access to quality, affordable programming before and after the school day or during the summer for young people. The department of lifelong education, advancement, and potential shall establish competitive grant



1 criteria for the program described in this subsection. To be
2 eligible for a grant under this ~~subsection~~, **section**, the applicant
3 must meet, at a minimum, all of the following criteria:

4 (a) Serve children in any of grades K to 12.

5 (b) Be a community-based organization that is exempt from
6 federal income tax under section 501(c)(3) of the internal revenue
7 code, 26 USC 501, an institution of higher education, a public
8 library, a local government, or an intermediate district.

9 (c) Provide before-school, after-school, before-and-after-
10 school, or summer school programming to children described in
11 subdivision (a). These programs must be used to support expanded
12 learning opportunities, including, but not limited to, mentoring,
13 leadership, community engagement, agriculture, visual and
14 performing arts, literacy, science, technology, engineering,
15 mathematics, health and wellness, recreation, financial literacy,
16 physical fitness, career and college exploration, youth voice, 21st
17 century skills, conflict resolution, and social engagement
18 programming.

19 (d) Address **not fewer than 3** measurable goals, including, but
20 not limited to, improved school attendance, academic outcomes,
21 improved attitudes toward school, improved positive behaviors,
22 skill development and retention, higher education aspirations, and
23 improved family engagement and include activities linked to
24 research or quality practices.

25 (e) Be 1 of the following:

26 (i) A licensed child care organization.

27 (ii) An entity that has an active application to be a licensed
28 child care organization.

29 (iii) An exempt entity.



(f) For entities meeting eligibility requirements under subdivision (e) (ii) and (iii), demonstrate in a form and manner determined by the department that all of the following are in place for staff working with youth:

(i) Background checks through the Central Registry Clearance and the Internet Criminal History Access Tool.

(ii) First aid and cardiopulmonary resuscitation (CPR) training.

(iii) Health and Safety Training Courses for Child Care Providers, Modules A, B, and C.

(3) The department of lifelong education, advancement, and potential shall establish a competitive grant process for awarding funding under subsection (2). The department of lifelong education, advancement, and potential shall develop the form and manner for applying for the grants. The application must include a request for information on the applicant's outreach to children, youth, and families who are eligible for free or reduced-price meals under the Richard B. Russell national school lunch act, 42 USC 1751 to 1769j. The application must be open for not less than 30 calendar days. ~~Except as otherwise provided in this subsection, at~~ **At** least 30 days before the application is opened, the department of lifelong education, advancement, and potential must publish on its public website the criteria that will be used in evaluating the application that must include, but are not limited to, priorities under subsection (5). ~~For 2025-2026 only, the department of lifelong education, advancement, and potential, is not required to publish the evaluation criteria at least 30 days before the application is opened.~~

(4) Subject to subsection ~~(9)~~, **(8)**, in determining award



1 amounts under subsection (2), the department of lifelong education,
2 advancement, and potential shall, to the extent practicable, ensure
3 that eligible entities in all geographic regions of this state are
4 represented in the distribution of grant funding under subsection
5 (2).

6 (5) Subject to subsection ~~(9)~~, **(8)**, the department of lifelong
7 education, advancement, and potential shall prioritize the
8 distribution of grant funding under subsection (2) based on, at a
9 minimum, the following:

10 (a) An applicant's demonstrated need.

11 (b) The percentage of low-income families in the geographic
12 area being served. Prioritization must be determined by the average
13 percentage of pupils in the district who are eligible for free and
14 reduced-priced meals as determined under the Richard B. Russell
15 national school lunch act, 42 USC 1751 to 1769j, where eligible
16 entities will provide before-and-after-school or summer school
17 programs.

18 (c) Whether the application provides services for the full
19 school year.

20 (d) The applicant's track record for providing quality,
21 affordable before-and-after-school or summer school services.

22 (e) Whether an applicant serving children in any of grades K
23 to 8 is a licensed child care organization, is an entity that has
24 an active application to be a licensed child care organization, or
25 has implemented the Michigan Out-of-School Time Standards of
26 Quality if the applicant is an exempt entity and, beginning in
27 2025-2026, serves at least 15 school-age youth at a single location
28 in grades K to 12.

29 (6) ~~Subject to subsection (7), an~~ **An** eligible entity that



1 receives grant funding under subsection (2) shall use the funding
 2 only to provide before-school, after-school, before-and-after-
 3 school, or summer school programming to children described in
 4 subsection (2)(a). The programming offered under subsection (2)
 5 must meet all of the following:

6 (a) For programming that is offered by a licensed child care
 7 organization, be provided to children and youth in a manner in
 8 which the children are physically present at the building or
 9 location for which the licensed child care organization received
 10 its license under 1973 PA 116, MCL 722.111 to 722.128, or, for
 11 programming that is offered by an exempt entity serving grades K to
 12 12, be provided to children and youth in a manner in which the
 13 children and youth are physically present at a building or location
 14 designated by the exempt entity.

15 (b) Provide educational programming in core subject areas,
 16 including, but not limited to, mathematics, reading, and science.

17 (c) Provide data to evaluate the program in a form and manner
 18 as prescribed by the department of lifelong education, advancement,
 19 and potential.

20 ~~(7) For 2024-2025 only, and subject to subsections (4) and~~
 21 ~~(5), up to 2% of funding allocated under subsection (2) must be~~
 22 ~~allocated to a nonprofit entity with experience serving youth~~
 23 ~~serving organizations to provide start-up grants and capacity~~
 24 ~~building, professional development, and technical assistance for~~
 25 ~~implementation of high-quality, evidence-based out-of-school time~~
 26 ~~learning opportunities.~~

27 **(7)** ~~(8) Beginning in 2025-2026, all~~ **All** of the following apply
 28 to funding allocated under this section:

29 (a) An amount not to exceed 0.25% of the funding allocated



1 under subsection (2) or \$250,000.00, whichever is greater, may be
2 retained by Clinton County RESA for administrative costs.

3 (b) An amount not to exceed \$500,000.00 of the funding
4 allocated under subsection (2) must be allocated by Clinton County
5 RESA, as directed by the department of lifelong education,
6 advancement, and potential, and in collaboration with the center
7 and the Michigan afterschool partnership as needed, to provide
8 statewide evaluation activities of eligible youth served, their
9 families, and programs funded under this section. This evaluation
10 must allow for a comparative analysis between program youth and
11 their peers in grades K to 12.

12 (c) An amount not to exceed 1.5% of the funding allocated
13 under subsection (2) must be allocated by Clinton County RESA, as
14 directed by the department of lifelong education, advancement, and
15 potential, and in collaboration with the Michigan afterschool
16 partnership, to provide statewide out-of-school time activities and
17 supports including, but not limited to, capacity building
18 initiatives, professional development, and technical assistance to
19 increase the likelihood for implementation of high quality,
20 evidence-based, out-of-school time learning opportunities by
21 eligible entities under subsections (4) and (5).

22 **(8)** ~~+(9)~~—The department of lifelong education, advancement, and
23 potential shall award not less than 60% of the funding under
24 subsection (2) to community-based organizations.

25 **(9)** ~~+(10)~~—Notwithstanding section 17b, the department of
26 lifelong education, advancement, and potential shall make payments
27 under this section in full upon grant award. Grantees that do not
28 comply with reporting requirements, fail to provide the services
29 proposed in their grant application, or close during the grant



1 period may be required to repay the funding they received under
 2 this section to the department of lifelong education, advancement,
 3 and potential.

4 **(10)** ~~(11)~~—The department of lifelong education, advancement,
 5 and potential, in collaboration with the Michigan Afterschool
 6 Partnership, shall convene an advisory committee to review the
 7 program components listed within this section and make
 8 recommendations to the department of lifelong education,
 9 advancement, and potential for changes on the program described in
 10 this section. The advisory committee shall meet at a schedule set
 11 by the department of lifelong education, advancement, and
 12 potential, or at least quarterly. The advisory committee shall
 13 provide for the involvement of, but not limited to, community-based
 14 organizations, regional intermediaries, district administrators,
 15 youth, parents, and representatives from the business and
 16 philanthropic communities, as appropriate.

17 ~~(12) From the state school aid fund money allocated in~~
 18 ~~subsection (1), Clinton County RESA shall allocate \$22,000,000.00~~
 19 ~~in 2024-2025 only to recipients under this subsection as follows:~~

20 ~~(a) \$4,000,000.00 to support the efforts of FFA.~~

21 ~~(b) \$4,000,000.00 to the Boys and Girls Club of Southeastern~~
 22 ~~Michigan in Detroit to expand programming. Programming expansion~~
 23 ~~includes, but is not limited to, construction or remodeling of~~
 24 ~~facilities to allow for new or extended programs.~~

25 ~~(c) \$4,000,000.00 to the HYPE Athletics Center in Dearborn~~
 26 ~~Heights to provide programming that may include, but is not limited~~
 27 ~~to, science, technology, engineering, arts, and mathematics (STEAM)-~~
 28 ~~programs; literacy and reading programs; after-school programs;~~
 29 ~~youth fitness and athletic programs; and mental health and~~



1 ~~behavioral health services.~~

2 ~~(d) \$1,500,000.00 to Brilliant Detroit to support delivery of~~
3 ~~high-dosage neighborhood-based tutoring and direct noninstructional~~
4 ~~services for at-risk pupils who are 3 to 12 years of age. Funding~~
5 ~~under this subdivision is intended to ensure that pupils are~~
6 ~~proficient in English language arts by the end of grade 3 and~~
7 ~~proficient in mathematics by the end of grade 8, that all~~
8 ~~participants are kindergarten ready, and that pupils are prepared~~
9 ~~to attend school regularly. As used in this subdivision, "at-risk~~
10 ~~pupil" means that term as defined in section 31a.~~

11 ~~(e) \$1,200,000.00 to the State Alliance of Michigan YMCAs to~~
12 ~~provide students in grades 6 to 12 with hands-on civics and model-~~
13 ~~government programs that offer statewide engagement with peers~~
14 ~~across this state for the purpose of expanding those students'~~
15 ~~opportunities to improve their social studies knowledge, thinking~~
16 ~~skills, and intellectual processes and dispositions required for~~
17 ~~active engagement in fulfilling responsibilities of civic~~
18 ~~participation.~~

19 ~~(f) \$1,000,000.00 to the Downtown Boxing Gym in Detroit to~~
20 ~~expand programming. Programming expansion includes, but is not~~
21 ~~limited to, construction or remodeling of facilities to allow for~~
22 ~~new or extended programs.~~

23 ~~(g) \$1,000,000.00 to support the operations of the Flint~~
24 ~~Center for Educational Excellence.~~

25 ~~(h) \$800,000.00 to the Detroit Opera for educational~~
26 ~~programming for grades pre-K to 12, including field trips, summer~~
27 ~~camps, and other learning opportunities. The funds allocated under~~
28 ~~this subdivision are a work project appropriation, and any~~
29 ~~unexpended funds for 2024-2025 are carried forward into 2025-2026.~~



1 ~~The purpose of the work project is to support the Detroit Opera~~
2 ~~educational programming as described in this subdivision. The~~
3 ~~estimated completion date of the work project is September 30,~~
4 ~~2028.~~

5 ~~(i) \$500,000.00 to Special Olympics Michigan, a nonprofit~~
6 ~~organization organized under the laws of this state that is exempt~~
7 ~~from federal income tax under section 501(c)(3) of the internal~~
8 ~~revenue code of 1986, 26 USC 501, that has a mission statement to~~
9 ~~provide year-round sports training and athletic competition for~~
10 ~~children and adults with intellectual disabilities. Funding under~~
11 ~~this subdivision must be used by the organization to expand the~~
12 ~~organization's programming.~~

13 ~~(j) \$500,000.00 to the Horatio Williams Foundation to support~~
14 ~~efforts to provide college preparation services, math leagues,~~
15 ~~sports programming, and literacy services in Detroit.~~

16 ~~(k) \$500,000.00 to Friends of the Children, a nonprofit~~
17 ~~organization that employs salaried professional mentors who support~~
18 ~~youth and their families from grades K to 12. The salaried~~
19 ~~professional mentorship program in this subdivision must employ a~~
20 ~~2-generational approach to supporting youth in and outside of the~~
21 ~~classroom, particularly in reading and math comprehension; support~~
22 ~~students and their families by connecting them to concrete supports~~
23 ~~like education and employment pathways, housing, utility~~
24 ~~assistance, and food security; and be located in a city with a~~
25 ~~population greater than 600,000 in a county with a population~~
26 ~~greater than 1,500,000 according to the most recent federal~~
27 ~~decennial census.~~

28 ~~(l) \$500,000.00 to the Detroit Police Athletic League to~~
29 ~~support operations and programming including, but not limited to,~~



~~athletic programs and youth enrichment programs.~~

~~(m) \$500,000.00 to the Detroit Science Center, a nonprofit organization that is tax-exempt under section 501(c)(3) of the internal revenue code of 1986, 26 USC 501, and located in a city with a population greater than 600,000 in a county with a population greater than 1,700,000 according to the most recent federal decennial census. Funds under this subdivision must be used by the nonprofit organization to expand the nonprofit organization's mission of providing opportunities for students to discover, explore, and appreciate science, technology, engineering, and mathematics in a creative, dynamic learning environment.~~

~~(n) \$2,000,000.00 to buildOn Detroit to expand the Service Learning Program for high school students.~~

~~(13) For 2024-2025 only, recipients of grants under subsection (12) may not apply for funding under subsection (2).~~

~~(14) Funds allocated under subsection (12) for 2024-2025 are a work project appropriation, and any unexpended funds for 2024-2025 are carried forward into 2025-2026. The purpose of the work project is to provide additional support to out-of-school time programs. The estimated completion date of the work project is September 30, 2026.~~

(11) Subject to subsection (2), the department of lifelong education, advancement, and potential shall establish and implement a multi-tiered grant funding structure within its competitive grant process to account for statewide or regional grant applications, as well as midsize grants serving 6 to 14 program sites and smaller grants serving 1 to 5 program sites.

(12) ~~(15)~~As used in this section:

(a) "An entity that has an active application to be a licensed



1 child care organization" means an entity that has an active
2 application to be a licensed child care organization under 1973 PA
3 116, MCL 722.111 to 722.128, and will be a licensed child care
4 organization before the entity provides services for which a child
5 care organization is required to be licensed under 1973 PA 116, MCL
6 722.111 to 722.128.

7 (b) "Child care organization" means that term as defined in
8 section 1 of 1973 PA 116, MCL 722.111.

9 (c) "Exempt entity" means an entity described in section
10 1(1)(i) to (v) of 1973 PA 116, MCL 722.111.

11 (d) "Licensed child care organization" means a child care
12 organization that has been issued a license under 1973 PA 116, MCL
13 722.111 to 722.128, to operate a child care organization.

14 (e) "School-age" means a child who is eligible to attend a
15 grade of kindergarten or higher, but is less than 13 years of age.
16 A child is considered to be school age on the first day of the
17 school year in which the child is eligible under section 1 of 1973
18 PA 116, MCL 722.111.

19 (f) **"Statewide or regional grant" means a grant to 2 or more**
20 **entities, community-based organizations, statewide network**
21 **affiliations, or any combination of those entities working together**
22 **with the objective of serving more than 2,000 children across at**
23 **least 15 program sites statewide, or to serve more than 2,000**
24 **children across at least 15 program sites within a publicly defined**
25 **boundary region, and that have a demonstrated track record of**
26 **success in providing or organizing a statewide or regional system**
27 **of out-of-school time programs. If an applicant applies for a**
28 **statewide or regional grant, the applicant and the program sites**
29 **included on their application may not appear on any other grant**



1 application submitted for funding under subsection (2).

2 Sec. 32p. (1) From the state school aid fund money
3 appropriated in section 11, there is allocated an amount not to
4 exceed \$30,000,000.00 for 2026-2027 to intermediate districts or
5 consortia of intermediate districts to support evidence-based early
6 childhood system building as described in this section.

7 (2) From the state school aid fund money allocated in
8 subsection (1), there is allocated an amount not to exceed
9 \$15,900,000.00 to intermediate districts for the purpose of
10 coordinating early childhood services to support the goals and
11 outcomes under subsections (3), (5), (7), and (8) and to provide
12 supports for early childhood programs for children prenatal through
13 age 5. The funding provided to each intermediate district under
14 this section is determined by the distribution formula established
15 by the department of lifelong education, advancement, and potential
16 for the former Great Start collaboratives. To receive funding under
17 this section, each intermediate district must provide an
18 application to the department of lifelong education, advancement,
19 and potential, by a date determined by the department of lifelong
20 education, advancement, and potential, indicating the strategies
21 planned to be provided and how the strategies align with the Help
22 Me Grow National Fidelity Assessment.

23 (3) Each intermediate district or consortium of intermediate
24 districts that receives funding under this section shall convene a
25 Help Me Grow collaborative that includes an active partnership with
26 families and multiple community-based organizations. Each
27 intermediate district is required to employ at least a 0.8 FTE Help
28 Me Grow lead responsible for local system building activities and
29 at least a 0.5 FTE care coordinator for each intermediate district



1 region. The goal of each Help Me Grow collaborative is to ensure
2 the coordination and expansion of local early childhood systems and
3 programs that achieve the following outcomes:

4 (a) Improve family access, leadership, and engagement.

5 (b) Enhance child development, learning, and well-being.

6 (c) Create strong, efficient community systems.

7 (4) The responsibilities of the intermediate district Help Me
8 Grow lead described in subsection (3) include at least the
9 following:

10 (a) Facilitating local Help Me Grow collaboratives and
11 demonstrating growth toward fidelity to the Help Me Grow model by
12 implementing the following 4 core components of the model and its
13 key activities as indicated by the Help Me Grow National Fidelity
14 Assessment:

15 (i) Centralized access point.

16 (ii) Family and community outreach.

17 (iii) Child health provider outreach.

18 (iv) Data collection and analysis.

19 (b) Ensuring that local early childhood initiatives are data
20 driven and reflect the needs of the community, including literacy,
21 home visiting, and other early childhood programs.

22 (c) Completing the annual Help Me Grow National Fidelity
23 Assessment and tracking relevant data, including referrals,
24 systems-building activities, outreach efforts, developmental
25 screenings, and barriers, to demonstrate progress and inform
26 continuous improvement.

27 (d) Providing universal access to developmental screening for
28 children birth through age 5.

29 (e) Ensuring the local intermediate district has a dedicated



1 care coordinator to support families in the community, either by
2 hiring locally, collaborating amongst intermediate districts, or
3 contracting with Help Me Grow Michigan. The care coordinator shall
4 have sufficient time dedicated to provide all of the following:

5 (i) Regular support of a public telephone line during work
6 hours to answer family questions.

7 (ii) Follow-up on universal developmental screenings and
8 referrals to appropriate early childhood programs and services.

9 (iii) Data tracking to ensure referrals from Help Me Grow
10 successfully connect to early childhood services.

11 (iv) Coordinated cross-sector supports to ensure that families
12 are seamlessly connected to the full scope of services within the
13 intermediate district region.

14 (5) From the state school aid fund money allocated in
15 subsection (1), there is allocated an amount not to exceed
16 \$7,200,000.00 for the purpose of providing family support services,
17 including, but not limited to, home visiting, to at-risk children
18 and their families. From the funds allocated in this subsection,
19 \$3,500,000.00 must be distributed to intermediate districts that
20 were awarded funds under former section 32p(4) in 2024-2025 to
21 provide home visits. Any remaining funds must be distributed
22 equally to all other intermediate districts. The family support
23 services described in this subsection must be conducted as part of
24 a locally coordinated, family-centered, evidence-based, data-driven
25 strategic plan that is approved by the department of lifelong
26 education, advancement, and potential and aligned with the Help Me
27 Grow National Fidelity Assessment. The goals of the family support
28 services funded under this subsection are to improve school
29 readiness using evidence-based methods, including a focus on



1 developmentally appropriate outcomes for early literacy, to improve
2 positive parenting practices, and to improve family economic self-
3 sufficiency while reducing the impact of high-risk factors through
4 community resources and referrals. The department of lifelong
5 education, advancement, and potential shall coordinate the goals of
6 the strategic plans approved under this subsection with other state
7 agency home visit programs in a way that strengthens Michigan's
8 home visiting infrastructure and maximizes federal funds available
9 for the purposes of at-risk family support services. The
10 coordination among departments and agencies is intended to avoid
11 duplication of state services and spending, and should emphasize
12 efficient delivery of family support services.

13 (6) At a date determined by the department of lifelong
14 education, advancement, and potential each year, each intermediate
15 district shall provide a report to Help Me Grow Michigan detailing
16 the strategies implemented during the immediately preceding year,
17 data on families served, and progress toward model fidelity based
18 upon the Help Me Grow National Fidelity Assessment. Help Me Grow
19 Michigan shall provide a completed copy of the statewide report to
20 the department of lifelong education, advancement, and potential,
21 who will submit a summary, including progress made toward the goals
22 and outcomes described in subsections (3), (5), (7), and (8), to
23 the house and senate appropriations subcommittees on school aid and
24 to the house and senate fiscal agencies by not later than March 31
25 of each year.

26 (7) From the state school aid fund money allocated in
27 subsection (1), there is allocated an amount not to exceed
28 \$4,000,000.00 to improve literacy outcomes and advance school
29 readiness for children prenatal through age 5 by implementing



1 evidence-based practices through Help Me Grow collaboratives that
2 engage families in education on reading aloud with their children,
3 reading frequency, and other developmentally appropriate and
4 evidence-based reading improvement techniques on a recurring basis.
5 A Help Me Grow collaborative may only use the funding to implement
6 family engagement practices that have an evidence base showing
7 improvement in early literacy outcomes with children prenatal
8 through age 5. Family engagements may occur through Early On
9 visits, evidence-based home visits, and Reach Out and Read well-
10 child visits. Early childhood and medical professionals who engage
11 with the child's family must have participated in evidence-based
12 training or coaching on the literacy strategies implemented. A Help
13 Me Grow collaborative that receives funds under this subsection
14 must report to the state data collected during these family
15 engagements, including at least the type of engagement, frequency
16 of engagement, coaching or training model, and outcome data. The
17 formula described in subsection (1) must be used to allocate funds
18 to intermediate districts under this subsection. If funding under
19 this subsection is insufficient to enroll all interested families
20 in the service, each intermediate district must prioritize
21 enrollment to those families with the highest levels of economic
22 need. If an intermediate district will not fully use funding
23 received under this subsection, those funds must be returned to the
24 department of lifelong education, advancement, and potential for
25 redistribution for the purposes under this subsection.

26 (8) From the funds allocated in subsection (1), there is
27 allocated an amount not to exceed \$1,500,000.00 to intermediate
28 districts in a manner determined by the department of lifelong
29 education, advancement, and potential, to support MiFamily



1 Engagement Regional Centers. To be eligible for funds awarded under
2 this subsection, intermediate districts must partner with an entity
3 with expertise in family leadership, as determined by the
4 department of lifelong education, advancement, and potential.

5 (9) An intermediate district or consortium of intermediate
6 districts that receives funding under this section may carry over
7 any unexpended funds received under this section into the next
8 fiscal year and may expend those unused funds through June 30 of
9 the next fiscal year.

10 (10) From the state school aid fund money allocated in
11 subsection (1), there is allocated an amount not to exceed
12 \$50,000.00 to Oakland Schools to provide strategic leadership to
13 the department of lifelong education, advancement, and potential
14 and Help Me Grow Michigan. Oakland Schools may retain not more than
15 5% of the funding received under this section for administrative
16 purposes and shall use remaining funding to support expansion and
17 enhancement of Help Me Grow.

18 (11) From the state school aid fund money allocated in
19 subsection (1), there is allocated an amount not to exceed
20 \$1,350,000.00 to Clinton County RESA as fiscal agent and partner
21 for Help Me Grow Michigan to provide statewide leadership, a
22 central access point, technical assistance, community outreach, and
23 administrative support. Statewide strategic leadership will be
24 supported as described in subsection (10). Clinton County RESA may
25 retain not more than 5% of the funding received under this section
26 for administrative purposes and shall use remaining funding to
27 support expansion and enhancement of Help Me Grow.

28 (12) Notwithstanding section 17b, the department of lifelong
29 education, advancement, and potential shall make payments under



1 **this section on a schedule determined by the department of lifelong**
 2 **education, advancement, and potential.**

3 Sec. 32t. (1) From the state school aid fund money
 4 appropriated in section 11, there is allocated for ~~2025-2026~~ **2026-**
 5 **2027** only an amount not to exceed ~~\$25,000,000.00~~ **\$11,000,000.00** to
 6 Clinton County RESA (CCRESA) ~~for~~ **to continue** phase 2 of a preschool
 7 pilot program to provide services to 3-year-old children. Eligible
 8 children are those whose age is less than 4 years on September 1
 9 and greater than or equal to 3 years on December 1 of the current
 10 school year and whose family income is at or below 250% of the
 11 federal poverty level, with priority given to families with lower
 12 incomes. Additional factors such as developmental delay, language
 13 barriers, or challenging behaviors may also be considered for
 14 eligibility. These services must be designed for children who are
 15 age 3 and must be similar to the services provided through the
 16 great start readiness program. The program described in this
 17 section must be administered by CCRESA Strong Beginnings
 18 Implementation Team under the direction of the department of
 19 lifelong education, advancement, and potential, with assessment,
 20 data, and collection analysis for the program being provided by
 21 Michigan State University.

22 ~~(2) The department of lifelong education, advancement, and~~
 23 ~~potential must pay the funding under this section to Clinton County~~
 24 ~~RESA in installments over 2 years. The department of lifelong~~
 25 ~~education, advancement, and potential shall determine the amount to~~
 26 ~~be used in each year.~~

27 **(2)** ~~(3)~~ This section is intended to ~~provide planning for and~~
 28 ~~implement~~ **continue** phase 2 of the pilot preschool program for 3-
 29 year-old children. The second phase of the pilot will examine



1 variations of the current program, such as part-day, 5-day-per-
 2 week, multiage grouping with the great start readiness program, and
 3 inclusion.

4 **(3)** ~~(4)~~—In order to evaluate the outcomes and impact of strong
 5 beginnings, Clinton County RESA and Michigan State University shall
 6 compare outcomes for children who attend strong beginnings and the
 7 great start readiness program with:

8 (a) Outcomes for children who attend the great start readiness
 9 program only.

10 (b) Outcomes for children who did not attend either program.

11 **(4)** ~~(5)~~—Data used for the purpose of comparisons under
 12 subsection ~~(4)~~—**(3)** must include, at a minimum, strong beginnings
 13 waitlist data, strong beginnings child assessment data, the great
 14 start readiness program child assessment data, kindergarten
 15 attendance data, and elementary standardized testing data.

16 **(5)** ~~(6)~~—At the end of phase 2, Clinton County RESA shall
 17 provide a report to the department of lifelong education,
 18 advancement, and potential detailing all of the following:

19 (a) How the phase 2 pilot was conducted.

20 (b) Demographics of the children served.

21 (c) Outcomes achieved.

22 (d) Scope of expansion, including successes and challenges the
 23 pilot faced and how the implementation team responded.

24 (e) An updated model, including phase 2 variations, this state
 25 could use to scale the program statewide, if funding were
 26 available.

27 **(6)** ~~(7)~~—The funds allocated under this section for ~~2025–2026~~
 28 **2026–2027** are a work project appropriation, and any unexpended
 29 funds for ~~2025–2026–2026–2027~~ are carried forward into ~~2026–2027~~.



1 **2027-2028.** The purpose of the work project is to expand phase 1 of
 2 the pilot to additional classrooms and initiate phase 2 of the
 3 pilot. The estimated completion date of the work project is
 4 September 30, ~~2029-2030~~.

5 (7) ~~(8)~~ Notwithstanding section 17b, the department of
 6 lifelong education, advancement, and potential shall make payments
 7 under this section on a schedule determined by the department of
 8 lifelong education, advancement, and potential.

9 Sec. 35a. (1) From the appropriations in section 11, there is
 10 allocated ~~for 2024-2025 an amount not to exceed \$82,900,000.00 and~~
 11 ~~for 2025-2026 an amount not to exceed \$52,000,000.00~~ **for 2026-2027**
 12 **an amount not to exceed \$102,500,000.00** from the state school aid
 13 fund for the purposes of this section. It is the intent of the
 14 legislature that, for ~~2026-2027~~, **2027-2028**, the allocation from the
 15 state school aid fund money appropriated in section 11 for the
 16 purposes described in this section will be ~~\$42,000,000.00~~.
 17 ~~Excluding staff or contracted employees funded under subsection~~
 18 ~~(8), the \$52,500,000.00. The~~ superintendent shall designate staff
 19 or contracted employees funded under this section as critical
 20 shortage. By not later than December 31 of each fiscal year in
 21 which funding is allocated under this section, the superintendent
 22 of public instruction shall do both of the following:

23 (a) Report in person to the house and senate appropriations
 24 subcommittees on school aid regarding progress on early literacy
 25 and be available for questioning as prescribed through a process
 26 developed by the chairs of the house and senate appropriations
 27 subcommittees on school aid.

28 (b) Submit a written report to the house and senate
 29 appropriations subcommittees on school aid regarding progress on



1 early literacy. ~~Beginning in 2025-2026, the~~ **The** report described in
 2 this subdivision must include the number of literacy coaches
 3 supported by funding provided under subsection ~~(4)~~, **(2)**, including
 4 the number of coaches supported in each intermediate district, and
 5 the percentage of supported coaches that have received, or are in
 6 the process of receiving, professional learning by the approved
 7 provider described in subsection ~~(11)~~. **(5)**.

8 ~~(2) A district that receives funds under subsection (5) may~~
 9 ~~spend up to 5% of those funds for professional development for~~
 10 ~~educators in a department-approved research-based training program~~
 11 ~~related to current state literacy standards for pupils in grades~~
 12 ~~pre-K to 5. The professional development must also include training~~
 13 ~~in the use of screening and diagnostic tools, progress monitoring,~~
 14 ~~and intervention methods used to address barriers to learning and~~
 15 ~~delays in learning that are diagnosed through the use of these~~
 16 ~~tools.~~

17 ~~(3) A district that receives funds under subsection (5) may~~
 18 ~~use up to 5% of those funds to administer department-approved~~
 19 ~~screening and diagnostic tools to monitor the development of early~~
 20 ~~literacy and early reading skills, and risk factors for word-level~~
 21 ~~reading difficulties of pupils in grades pre-K to 5 and to support~~
 22 ~~evidence-based professional learning described in subsection (11)~~
 23 ~~for educators in administering and using screening, progress~~
 24 ~~monitoring, and diagnostic assessment data to inform instruction~~
 25 ~~through prevention and intervention in a multi-tiered system of~~
 26 ~~supports framework. A department-approved screening and diagnostic~~
 27 ~~tool administered by a district using funding under this section~~
 28 ~~must include all of the following components: phonemic awareness,~~
 29 ~~phonics, fluency, rapid automatized naming (RAN), and~~

~~comprehension. Further, all of the following sub-skills must be assessed within each of these components:~~

~~(a) Phonemic awareness – segmentation, blending, and sound manipulation (deletion and substitution).~~

~~(b) Phonics – decoding (reading) and encoding (spelling).~~

~~(c) Fluency.~~

~~(d) Comprehension – making meaning of text.~~

(2) ~~(4)~~ From the allocation under subsection (1), there is allocated an amount not to exceed ~~\$42,000,000.00~~ **\$52,500,000.00** for ~~2024-2025 and 2025-2026~~ **2026-2027** for the purpose of providing early literacy coaches at intermediate districts to assist teachers in developing and implementing instructional strategies for pupils in grades pre-K to 5 so that pupils are reading at grade level by the end of grade 3. All of the following apply to funding under this subsection:

(a) The department shall develop an application process consistent with the provisions of this subsection. An application must provide assurances that literacy coaches funded under this subsection are knowledgeable about at least the following:

(i) Current state literacy standards for pupils in grades pre-K to 3.

(ii) Implementing an instructional delivery model based on frequent use of formative, screening, and diagnostic tools, known as a multi-tiered system of supports, to determine individual progress for pupils in grades pre-K to 5 so that pupils are reading at grade level by the end of grade 3.

(iii) The use of data from diagnostic tools to determine the necessary additional supports and interventions needed by individual pupils in grades pre-K to 5 to read at grade level.



(b) From the allocation under this subsection, the department shall award grants to intermediate districts for the support of early literacy coaches. The department shall provide this funding in the following manner:

(i) The department shall award each intermediate district grant funding to support the cost of ~~2-4~~ early literacy coaches in an equal amount per early literacy coach, not to exceed \$125,000.00.

(ii) After distribution of the grant funding under subparagraph (i), the department shall distribute ~~the remainder of grant funding~~ for additional early literacy coaches in an amount not to exceed \$125,000.00 per early literacy coach. ~~The number of funded early literacy coaches for each intermediate district is~~ **The department shall ensure that each intermediate district receives funding for at least 1 additional literacy coach compared to the number of coaches funded under this section in 2025-2026.**

(iii) **If funding under this subsection remains available after the distributions in subparagraphs (i) and (ii), the department shall distribute the remaining funds** based on the percentage of the total statewide number of pupils in grades K to 3 who meet the income eligibility standards for the federal free and reduced-price lunch programs who are enrolled in districts in the intermediate district. **Funds may be distributed under this section only after the department ensures that no intermediate district receives funding for fewer literacy coaches in 2026-2027 compared to the number of coaches for which the intermediate district received funding in 2025-2026.**

(c) If an intermediate district that receives funding under this subsection uses an assessment tool that screens for characteristics of dyslexia, the intermediate district shall use



1 the assessment results from that assessment tool to identify pupils
2 who demonstrate characteristics of dyslexia.

3 (d) All literacy coaches funded under this subsection must
4 have already received, or be making progress toward receiving,
5 professional learning by the approved provider described in
6 subsection ~~(11)~~. **(5)** .

7 (e) To be eligible to receive funding under this subsection,
8 an intermediate district must provide the department with a list by
9 September 1 of the immediately preceding fiscal year containing
10 contact information for all literacy coaches funded under this
11 subsection, in a form and manner determined by the department. An
12 intermediate district shall communicate any personnel changes and
13 changes to contact information for literacy coaches funded under
14 this subsection to the department within 30 days of the personnel
15 change or change in contact information.

16 ~~(5) From the allocation under subsection (1), there is~~
17 ~~allocated an amount not to exceed \$19,900,000.00 for 2024-2025 to~~
18 ~~districts that provide additional instructional time to those~~
19 ~~pupils in grades pre-K to 5 who have been identified by using~~
20 ~~department-approved screening and diagnostic tools as needing~~
21 ~~additional supports and interventions to read at grade level by the~~
22 ~~end of grade 3. Additional instructional time may be provided~~
23 ~~before, during, and after regular school hours or as part of a~~
24 ~~year-round balanced school calendar. All of the following apply to~~
25 ~~funding under this subsection:~~

26 ~~(a) To be eligible to receive funding, a district must~~
27 ~~demonstrate to the satisfaction of the department that the district~~
28 ~~has done all of the following:~~

29 ~~(i) Implemented a multi-tiered system of supports instructional~~



~~delivery model that is an evidence-based model that uses data-driven problem solving to integrate academic and behavioral instruction and that uses intervention delivered to all pupils in varying intensities based on pupil needs. The multi-tiered system of supports must provide at least all of the following essential components:~~

~~(A) Team-based leadership.~~

~~(B) A tiered delivery system.~~

~~(C) Selection and implementation of instruction, interventions, and supports.~~

~~(D) A comprehensive screening and assessment system.~~

~~(E) Continuous data-based decision making.~~

~~(ii) Used department-approved research-based diagnostic tools to identify individual pupils in need of additional instructional time.~~

~~(iii) Used a reading instruction method that focuses on the 5 fundamental building blocks of reading: phonics, phonemic awareness, fluency, vocabulary, and comprehension and content knowledge.~~

~~(iv) Provided teachers of pupils in grades pre-K to 5 with research-based professional development in diagnostic data interpretation.~~

~~(v) Complied with the requirements under section 1280f of the revised school code, MCL 380.1280f.~~

~~(b) The department shall distribute funding allocated under this subsection to eligible districts on an equal per first grade-pupil basis.~~

~~(c) If the funds allocated under this subsection are insufficient to fully fund the payments under this subsection,~~



~~payments under this subsection are prorated on an equal per-pupil basis based on grade 1 pupils.~~

~~(6) By not later than September 1 of each year, a district that receives funding under subsection (5) in conjunction with the Michigan student data system, if possible, shall provide to the department a report that includes at least both of the following, in a form and manner prescribed by the department:~~

~~(a) For pupils in grades pre-K to 5, the teachers, pupils, schools, and grades served with funds under this section and the categories of services provided.~~

~~(b) For pupils in grades pre-K to 5, pupil proficiency and growth data that allows analysis both in the aggregate and by each of the following subgroups, as applicable:~~

~~(i) School.~~

~~(ii) Grade level.~~

~~(iii) Gender.~~

~~(iv) Race.~~

~~(v) Ethnicity.~~

~~(vi) Economically disadvantaged status.~~

~~(vii) Disability.~~

~~(viii) Pupils identified as having reading deficiencies.~~

~~(7) From the allocation under subsection (1), there is allocated an amount not to exceed \$6,000,000.00 for 2024-2025 to an intermediate district in which the combined total number of pupils in membership of all of its constituent districts is the fewest among all intermediate districts. All of the following apply to the funding under this subsection:~~

~~(a) Funding under this subsection must be used by the intermediate district, in partnership with an association that~~



~~represents intermediate district administrators in this state, to implement all of the following:~~

~~(i) Literacy essentials teacher and principal training modules.~~

~~(ii) Face-to-face and online professional learning of literacy essentials teacher and principal training modules for literacy coaches, principals, and teachers.~~

~~(iii) The placement of regional lead literacy coaches to facilitate professional learning for early literacy coaches. These regional lead literacy coaches shall provide support for new literacy coaches, building teachers, and administrators and shall facilitate regional data collection to evaluate the effectiveness of statewide literacy coaches funded under this section.~~

~~(iv) Provide \$500,000.00 from this subsection for literacy training, modeling, coaching, and feedback for district principals or chief administrators, as applicable. The training described in this subparagraph must use the pre-K and K to 3 essential instructional practices in literacy created by the general education leadership network as the framework for all training provided under this subparagraph.~~

~~(v) Job-embedded professional learning opportunities for mathematics teachers through mathematics instructional coaching. Funding must be used for professional learning for coaches, professional developers, administrators, and teachers; coaching for early mathematics educators; the development of statewide and regional professional learning networks in mathematics instructions; and the development and support of digital professional learning modules.~~

~~(b) By not later than September 1 of each year, the intermediate district described in this subsection, in consultation~~



~~with grant recipients, shall submit a report to the chairs of the senate and house appropriations subcommittees on school aid, the chairs of the senate and house standing committees responsible for education legislation, the house and senate fiscal agencies, and the state budget director. The report described under this subdivision must include student achievement results in English language arts and mathematics and survey results with feedback from parents and teachers regarding the initiatives implemented under this subsection.~~

~~(c) Up to 2% of funds allocated under this subsection may be used by the association representing intermediate district administrators that is in partnership with the intermediate district specified in this subsection to administer this subsection.~~

~~(8) From the allocation under subsection (1), the department shall allocate the amount of \$5,000,000.00 for 2024-2025 only to an intermediate district or a consortium of intermediate districts to partner with the Michigan Education Corps for the PreK Reading Corps, the K3 Reading Corps, and the Math Corps. An intermediate district or a consortium of intermediate districts receiving funding under this subsection must forward the amount received under this subsection to the Michigan Education Corps for statewide services. As conditions of receiving funding from an intermediate district or a consortium of intermediate districts, all of the following apply to funding received by the Michigan Education Corps under this subsection:~~

~~(a) By September 1 of the current fiscal year, the Michigan Education Corps shall provide a report concerning its use of the funding to the senate and house appropriations subcommittees on~~



~~school aid, the senate and house fiscal agencies, and the senate and house caucus policy offices on outcomes and performance measures of the Michigan Education Corps, including, but not limited to, the degree to which the Michigan Education Corps' replication of the PreK Reading Corps, the K3 Reading Corps, and the Math Corps programs is demonstrating sufficient efficacy and impact. The report must include data pertaining to at least all of the following:~~

~~(i) The current impact of the programs on this state in terms of numbers of children and schools receiving support. This portion of the report must specify the number of children tutored, including dosage and completion, and the demographics of those children.~~

~~(ii) Whether the assessments and interventions are implemented with fidelity. This portion of the report must include details on the total number of assessments and interventions completed and the range, mean, and standard deviation.~~

~~(iii) Whether the literacy or math improvement of children participating in the programs is consistent with expectations. This portion of the report must detail at least all of the following:~~

~~(A) Growth rate by grade or age level, in comparison to targeted growth rate.~~

~~(B) Average linear growth rates.~~

~~(C) Exit rates.~~

~~(D) Percentage of children who exit who also meet or exceed spring benchmarks.~~

~~(iv) The impact of the programs on organizations and stakeholders, including, but not limited to, school administrators, internal coaches, and AmeriCorps members.~~



~~(b) If the department determines that the Michigan Education Corps has misused the funds allocated under this subsection, the Michigan Education Corps shall reimburse this state for the amount of state funding misused.~~

~~(c) An intermediate district or a consortium of intermediate districts may not reserve any portion of the allocation provided under this subsection for an evaluation of the Michigan Education Corps, the Michigan Education Corps' funding, or the Michigan Education Corps' programming unless agreed to in writing by the Michigan Education Corps. An intermediate district or a consortium of intermediate districts shall award the entire amount allocated under this subsection to the Michigan Education Corps and shall not condition the forwarding of this funding on the implementation of an independent evaluation.~~

(f) The department shall develop a coaching evaluation framework to be implemented in alignment to the literacy coaching model described in section 1280f of the revised school code, MCL 388.1280f.

(g) All literacy coaches funded under this subsection must comply with the requirements described in section 35o.

(3) ~~(9)~~ If a district or intermediate district expends any funding received under subsection ~~(4)~~ or ~~(5)~~ **(2)** for professional development in research-based effective reading instruction, the district or intermediate district shall select a professional development program from the list described in subdivision (a). All of the following apply to the requirement under this subsection:

(a) The department shall issue a request for proposals for professional development programs in research-based effective reading instruction to develop an initial approved list of



1 professional development programs in research-based effective
 2 reading instruction. The department shall make the initial approved
 3 list public and shall determine if it will, on a rolling basis,
 4 approve any new proposals submitted for addition to its initial
 5 approved list.

6 (b) To be included as an approved professional development
 7 program in research-based effective reading instruction under
 8 subdivision (a), an applicant must demonstrate to the department in
 9 writing the program's competency in all of the following topics:

10 (i) Understanding of phonemic awareness, phonics, fluency,
 11 vocabulary, and comprehension.

12 (ii) Appropriate use of assessments and differentiated
 13 instruction.

14 (iii) Selection of appropriate instructional materials.

15 (iv) Application of research-based instructional practices.

16 (c) As used in this subsection, "effective reading
 17 instruction" means reading instruction scientifically proven to
 18 result in improvement in pupil reading skills.

19 **(4)** ~~(10)~~ From the allocation under subsection (1), there is
 20 allocated an amount not to exceed ~~\$10,000,000.00~~ **\$50,000,000.00** for
 21 ~~2024-2025 and 2025-2026~~ **2026-2027** only to an intermediate district
 22 identified by the department for the provision of professional
 23 learning by the approved provider described in subsection ~~(11)~~,
 24 ~~first to educators in pre-K, kindergarten, and grade 1 next to~~
 25 ~~educators in grade 2 and grade 3; and then to additional elementary~~
 26 ~~school educators and pre-K to grade 12 certificated special~~
 27 ~~education personnel with endorsements in learning disabilities,~~
 28 ~~emotional impairments, or speech and language impairments.~~ **(5) to**
 29 **pre-K to grade 5 educators, special education educators, and**



1 administrators overseeing these individuals. Funding allocated
 2 under this subsection must be distributed over a 5-year period. The
 3 funds allocated under this subsection are a work project
 4 appropriation, and any unexpended funds for 2026-2027 are carried
 5 forward into 2027-2028. The purpose of the work project is to
 6 continue the provision of professional learning as described in
 7 this subsection and subsection (5). The estimated completion date
 8 of the work project is September 30, 2031. For purposes of this
 9 subsection, the approved provider **described in subsection (5)** must
 10 establish and manage professional learning opportunities that are
 11 open to all school personnel described in this subsection. ~~as~~
 12 follows:

13 ~~(a) The approved provider must first open voluntary enrollment~~
 14 ~~for any pre-K through grade 3 teacher on a first-come, first-served~~
 15 ~~basis, with voluntary enrollment prioritized for pre-K,~~
 16 ~~kindergarten, and grade 1 teachers. The approved provider shall~~
 17 ~~then open voluntary enrollment for the remaining school personnel~~
 18 ~~described in this subsection.~~

19 ~~(b) The approved provider must maintain open enrollment until~~
 20 ~~all funds are expended.~~

21 **(5)** ~~(11)~~ For the provision of professional learning to the
 22 school personnel described in subsection ~~(10)~~, **(4)**, LETRS is the
 23 approved provider of professional learning as long as LETRS
 24 continues to meet all of the following:

25 (a) Be offered through a system of training that provides
 26 educators with the knowledge base to effectively implement any
 27 class-wide, supplemental, or intervention reading approach and to
 28 determine why some students struggle with reading, writing,
 29 spelling, and language.



1 (b) Provide training activities that direct educators to
2 implement effective reading and spelling instruction supported by
3 scientifically based research and foster a direct explicit
4 instructional sequence that uses techniques to support teachers'
5 independence in using their newly-learned skills with students in
6 the classroom.

7 (c) Include integrated components for educators and
8 administrators in pre-K to grade 3 with embedded evaluation or
9 assessment of knowledge. Evaluation or assessment of knowledge
10 under this subdivision must incorporate evaluations of learning
11 throughout each unit and include a summative assessment that must
12 be completed to demonstrate successful course completion.

13 (d) Build teacher content knowledge and pedagogical knowledge
14 of the critical components of literacy including how the brain
15 learns to read, phonological and phonemic awareness; letter
16 knowledge; phonics; advanced phonics; vocabulary and oral language;
17 fluency; comprehension; spelling and writing; and the organization
18 of language.

19 (e) Support educators in understanding how to effectively use
20 screening, progress monitoring, and diagnostic assessment data to
21 improve literacy outcomes through prevention and intervention for
22 reading difficulties in a multi-tiered system of supports. The
23 multi-tiered system of supports must include at least all of the
24 following essential components:

25 (i) Team-based leadership.

26 (ii) A tiered delivery system.

27 (iii) Selection and implementation of instruction,
28 interventions, and supports.

29 (iv) A comprehensive screening and assessment system.



1 (v) Continuous data-based decision making.

2 ~~(12) Notwithstanding section 17b, the department shall make~~
3 ~~payments made under subsections (7) and (8) on a schedule~~
4 ~~determined by the department.~~

5 (f) On a quarterly basis, report all of the following
6 information to the department, in a form and manner prescribed by
7 the department:

8 (i) The total number of individuals who have completed the
9 required professional learning, organized by role group.

10 (ii) The total number of individuals who are enrolled in the
11 professional learning, organized by role group.

12 (iii) The total number of individuals who enrolled but withdrew
13 from the professional learning prior to completion, organized by
14 role group.

15 (iv) The total number of individuals who enrolled but
16 transferred to a different cohort prior to completion, organized by
17 role group.

18 (v) The cost per individual to enroll in the professional
19 learning.

20 (vi) The total grant funds expended for all individuals who
21 completed or enrolled in the professional learning during the
22 quarter reported.

23 (vii) The total unused grant funds for the quarter reported.

24 (viii) The strategies and technical assistance provided to
25 support participant completion.

26 (6) ~~(13)~~ As used in this section:

27 (a) "Dyslexia" means both of the following:

28 (i) A specific learning disorder that is neurobiological in
29 origin and characterized by difficulties with accurate or fluent



1 word recognition and by poor spelling and decoding abilities that
2 typically result from a deficit in the phonological component of
3 language that is often unexpected in relation to other cognitive
4 abilities and the provision of effective classroom instruction.

5 (ii) A specific learning disorder that may include secondary
6 consequences, such as problems in reading comprehension and a
7 reduced reading experience that can impede the growth of vocabulary
8 and background knowledge and lead to social, emotional, and
9 behavioral difficulties.

10 (b) "Evidence-based" means an activity, program, process,
11 service, strategy, or intervention that demonstrates statistically
12 significant effects on improving pupil outcomes or other relevant
13 outcomes and that meets at least both of the following:

14 (i) At least 1 of the following:

15 (A) Is based on strong evidence from at least 1 well-designed
16 and well-implemented experimental study.

17 (B) Is based on moderate evidence from at least 1 well-
18 designed and well-implemented quasi-experimental study.

19 (C) Is based on promising evidence from at least 1 well-
20 designed and well-implemented correlational study with statistical
21 controls for selection bias.

22 (D) Demonstrates a rationale based on high-quality research
23 findings or positive evaluation that the activity, program,
24 process, service, strategy, or intervention is likely to improve
25 pupil outcomes or other relevant outcomes.

26 (ii) Includes ongoing efforts to examine the effects of the
27 activity, program, process, service, strategy, or intervention.

28 (c) "Explicit" means direct and deliberate instruction through
29 continuous pupil-teacher interaction that includes teacher



1 modeling, guided practice, and independent practice.

2 (d) "Fluency" means the ability to read with speed, accuracy,
3 and proper expression.

4 (e) "Multi-tiered system of supports" means a comprehensive
5 framework that includes 3 distinct tiers of instructional support
6 and is composed of a collection of evidence-based strategies
7 designed to meet the individual needs and assets of a whole pupil
8 at all achievement levels.

9 (f) "Phonemic awareness" means the conscious awareness of all
10 of the following:

11 (i) Individual speech sounds, including, but not limited to,
12 consonants and vowels, in spoken syllables.

13 (ii) The ability to consciously manipulate through, including,
14 but not limited to, matching, blending, segmenting, deleting, or
15 substituting, individual speech sounds described in subparagraph
16 (i).

17 (iii) All levels of the speech sound system, including, but not
18 limited to, word boundaries, rhyme recognition, stress patterns,
19 syllables, onset-rime units, and phonemes.

20 (g) "Phonological" means relating to the system of contrastive
21 relationships among the speech sounds that constitute the
22 fundamental components of a language.

23 (h) "Progress monitoring" means the assessing of students'
24 academic performance, quantifying students' rates of improvement or
25 progress toward goals, and determining how students are responding
26 to instruction.

27 (i) "Rapid automatized naming (RAN)" means a task that
28 measures how quickly individuals can name objects; pictures;
29 colors; or symbols, including letters and digits, aloud, which can



1 predict later reading abilities for preliterate children.

2 Sec. 35e. ~~(1) From the state school aid fund money~~
3 ~~appropriated in section 11, there is allocated for 2025-2026 only~~
4 ~~an amount not to exceed \$250,000.00 to Wayne State University to~~
5 ~~study this state's public school library programs.~~

6 ~~(2) Wayne State University shall convene a committee to~~
7 ~~conduct the study described in this section. The committee must~~
8 ~~consist of 1 member from each of the following organizations:~~

9 ~~(a) The department.~~

10 ~~(b) The Library of Michigan.~~

11 ~~(c) The Michigan Association of School Librarians.~~

12 ~~(d) The Michigan senate.~~

13 ~~(e) The Michigan house of representatives.~~

14 ~~(f) The Michigan Education Association.~~

15 ~~(g) The Michigan chapter of the American Federation of~~
16 ~~Teachers.~~

17 ~~(h) The Michigan Association of Superintendents and~~
18 ~~Administrators.~~

19 ~~(i) A Michigan research university.~~

20 ~~(3) The committee described in subsection (2) shall conduct a~~
21 ~~study to investigate at least all of the following issues:~~

22 ~~(a) How many schools in each district have a school library.~~

23 ~~(b) What hours school libraries are open each week for~~
24 ~~students and faculty to use.~~

25 ~~(c) What full-time equivalency of certified school librarians~~
26 ~~are employed at each building.~~

27 ~~(d) The ratio of students per certified school librarian.~~

28 ~~(e) What full-time equivalency of paraprofessional or other~~
29 ~~staff are employed in the school library and the credentialing of~~



1 ~~these staff, if any.~~

2 ~~(f) How school libraries are scheduled.~~

3 ~~(g) How many hours each week school librarians provide direct~~
4 ~~library-related instruction to students.~~

5 ~~(h) The technology available for students to access library~~
6 ~~resources and lessons.~~

7 ~~(i) The size and age of the collection in each school library,~~
8 ~~and the extent of digital materials available for students to~~
9 ~~access.~~

10 ~~(j) Current funding per student for school library materials.~~

11 ~~(k) Any other matters that the committee considers relevant to~~
12 ~~the fulfillment of its mission to determine the status of school~~
13 ~~library programs in this state.~~

14 ~~(4) The department shall provide staff and other resources as~~
15 ~~the committee described in subsection (2) considers appropriate,~~
16 ~~including contracting with a researcher. Appropriate costs must be~~
17 ~~determined by the department, and the committee described in~~
18 ~~subsection (2) shall reimburse the department for costs related to~~
19 ~~this subsection.~~

20 ~~(5) The committee described in subsection (2) may conduct~~
21 ~~public hearings to gather information, and may sponsor statewide or~~
22 ~~regional conferences involving educators, students, or the public~~
23 ~~at large.~~

24 ~~(6) The committee described in subsection (2) shall provide a~~
25 ~~report to the house and senate appropriations subcommittees on~~
26 ~~school aid, the state budget director, the house and senate fiscal~~
27 ~~agencies, and the department by not later than December 31, 2026.~~
28 ~~The report must create a long-term plan for this state's school~~
29 ~~library programs that may include the adoption of guidelines for~~



~~school library facilities, budget, staffing, collection development, and curriculum standards for school library programs. The final report and recommendations must include drafts of legislation necessary to carry those recommendations into effect.~~

~~(7) Notwithstanding section 17b, the department shall make payments under this section on a schedule determined by the department.~~

(1) From the state school aid fund money appropriated in section 11, there is allocated for 2026-2027 \$21,000,000.00 to districts in an equal amount per pupil to support school libraries.

(2) A recipient of funding under this section shall use the funds only for the salaries and benefits of certified school librarians, electronic or material resources for school libraries, or furniture, equipment, or supplies for school libraries.

Sec. 35m. (1) From the state school aid fund money appropriated in section 11, there is allocated for ~~2025-2026~~ **2026-2027** only an amount not to exceed ~~\$64,400,000.00~~ **\$100,000,000.00** for the purposes described in this section, including payments to improve educational outcomes in literacy. **The department shall award funding allocated for 2026-2027 under this section in a quantity and magnitude such that the allocation in this subsection is distributed over 2 fiscal years.**

(2) The department shall continue the committee for literacy achievement that includes representatives of higher education and early childhood literacy educators who have expertise in literacy instruction and research. The committee shall exist until at least September 2029. The department shall appoint the members of the committee for literacy achievement. The department shall develop a process to identify and assemble experts for the committee. The



1 primary focus of the committee is to recommend tools and strategies
2 with the goal of increasing student academic outcomes in the area
3 of literacy. The committee is encouraged to collaborate with the
4 Michigan Education Research Institute or other entities with
5 similar expertise on the subject of literacy. The department shall
6 determine the size and benchmarks of the committee. The committee
7 shall do all of the following:

8 (a) Critically evaluate early literacy series and materials.
9 The committee shall evaluate with research-based outcomes, using
10 the committee's expertise in the field of literacy. The committee
11 shall assign grade tiers to the series based on the series'
12 likelihood to increase student literacy outcomes. Priority must be
13 given to series that already have a demonstrated history of
14 increasing student outcomes. The committee may perform an
15 evaluation under this subdivision based on submissions from a
16 vendor, but must independently verify the validity of information
17 provided by the vendor. The committee is also strongly encouraged
18 to evaluate available materials not submitted to the department by
19 a vendor.

20 (b) Critically evaluate literacy professional development. The
21 committee shall evaluate with research-based outcomes, using the
22 committee's expertise in the field of literacy. The committee shall
23 assign grade tiers to the professional development based on the
24 professional development's likelihood to increase student literacy
25 outcomes. Priority must be given to professional development that
26 already has a demonstrated history of increasing student outcomes.
27 The committee may perform an evaluation under this subdivision
28 based on submissions from a vendor, but must independently verify
29 the validity of information provided by the vendor. The committee



1 is also strongly encouraged to evaluate available materials not
2 submitted to the department by a vendor.

3 (c) Critically evaluate other applicable literacy tools or
4 services the committee determines to have a high likelihood or
5 demonstrated history of increasing student literacy outcomes. The
6 committee may perform an evaluation under this subdivision based on
7 submissions from a vendor, but must independently verify the
8 validity of information provided by the vendor. The committee is
9 also strongly encouraged to evaluate available materials not
10 submitted to the department by a vendor.

11 (d) Create, maintain, and post annually on a publicly
12 available website a rankings list of all early literacy series and
13 other items the committee has evaluated. This includes items from
14 each part of the rankings list, items evaluated in the 2024-2025
15 school year, and any subsequent items evaluated going forward. The
16 committee shall denote on the list whether major changes have been
17 made to an early literacy series or other item on the list since
18 the early literacy series or other item was evaluated by the
19 committee and if the early literacy series or other item has not
20 been evaluated since the last ranking. The rankings list created in
21 this subdivision must align with the list of evidence-based tier 1,
22 classwide elementary reading curricula and materials that are
23 aligned with science of reading methods that research has shown to
24 improve literacy outcomes and help pupils achieve reading
25 proficiency as required under section 1280f of the revised school
26 code, MCL 380.1280f.

27 (3) An individual on the committee shall recuse themselves
28 from evaluating early literacy series and other items that the
29 individual has helped create, that the individual would benefit



1 from financially, or for which the individual has any other
2 conflict of interest.

3 (4) From the funds allocated in subsection (1), the department
4 shall make payments to districts and intermediate districts in an
5 amount determined by the department. The department shall not make
6 payments under this subsection until it has critically evaluated as
7 many early literacy series and other items from subsection (2) as
8 possible. Payments under this subsection must **begin to** be made
9 during the current fiscal year to support district implementation
10 in ~~2026-2027.~~ **2027-2028**. The department shall use the rankings list
11 described in subsection (2) as the basis for how funding is
12 allocated in subsection (1) to districts and intermediate
13 districts. Districts and intermediate districts using higher-ranked
14 literacy tools that are proven to increase student outcomes shall
15 receive more funding than districts and intermediate districts
16 utilizing lower-ranked literacy tools in both the base award and
17 the per-pupil awards described in this subsection. The department
18 may determine that some districts and intermediate districts will
19 not receive funding under this section based on the effectiveness
20 of the early literacy series or other items being utilized by the
21 district or intermediate district. The department shall award
22 funding under this section using the following methodology:

23 (a) A base award equal to the amount necessary for the
24 district or intermediate district to implement the chosen early
25 literacy series or other item. The department may place a cap on
26 the total award per district, intermediate district, or early
27 literacy series or other item and may choose not to award funding
28 if the early literacy series or other item is determined to be
29 ineffective or is determined to be less effective than other



1 choices.

2 (b) A tiered per-pupil award based on the number of pupils in
3 membership at the district and intermediate district. The tiered
4 per-pupil award must provide a higher per-pupil payment to
5 districts and intermediate districts using higher-ranked early
6 literacy series or other items as determined under subsection (2).
7 The department may choose not to award funding if the early
8 literacy series or other item is determined to be ineffective or is
9 determined to be less effective than other choices.

10 (5) From the funding allocated in subsection (1), the
11 department may pay an annual stipend of up to \$8,000.00 for each
12 member of the committee for literacy achievement who is employed by
13 or at a public institution of higher education, a district, or an
14 intermediate district. A stipend must be commensurate with the
15 committee member's contribution to the committee. Funding must be
16 paid to the public institution of higher education, the district,
17 or the intermediate district where the committee member is
18 employed, and the public institution of higher education, the
19 district, or the intermediate district must then use funding
20 received to award the stipend directly to the individual committee
21 member. A committee member who is not employed by or at a public
22 institution of higher education, a district, or an intermediate
23 district is not eligible to receive a stipend under this
24 subsection.

25 (6) To be eligible for funding under this section, a district
26 or intermediate district must apply in a form and manner determined
27 by the department. As a condition of receiving the funding, the
28 district or intermediate district must agree to provide to the
29 department information twice a year, on or before May 1 and October



1 1, on the early literacy series and other items used for the
 2 previous and current school years, and the early literacy series
 3 and other items to be used for the next school year. The early
 4 literacy series and other items used by districts and intermediate
 5 districts must be added to the annual rankings required under
 6 subsection (2).

7 (7) Except as otherwise provided in this section and
 8 notwithstanding section 17b, the department shall make payments
 9 under this section on a schedule determined by the department.

10 (8) Funds allocated under subsection (1) for ~~2025-2026-2026-~~
 11 **2027** are a work project appropriation, and any unexpended funds for
 12 ~~2025-2026-2026-2027~~ are carried forward into ~~2026-2027.~~ **2027-2028.**
 13 The purpose of the work project is to improve literacy
 14 instructional practices. The estimated completion date of the work
 15 project is September 30, 2029.

16 ~~(9) In addition to the allocation under subsection (1), from~~
 17 ~~the state school aid fund money appropriated in section 11, there~~
 18 ~~is allocated an amount not to exceed \$4,000,000.00 for 2025-2026~~
 19 ~~only to an intermediate district in which the combined total number~~
 20 ~~of pupils in membership of all of its constituent districts is the~~
 21 ~~fewest among all intermediate districts in this state. All of the~~
 22 ~~following apply to the funding under this subsection:~~

23 ~~(a) Funding under this subsection must be used by the~~
 24 ~~intermediate district, in partnership with an association that~~
 25 ~~represents intermediate district administrators in this state, to~~
 26 ~~implement all of the following:~~

27 ~~(i) Literacy essentials teacher and principal training modules.~~
 28 ~~(ii) Face to face and online professional learning on literacy~~
 29 ~~essentials teacher and principal training modules for literacy~~



1 ~~coaches, principals, and teachers.~~

2 ~~(iii) The placement of regional lead literacy coaches to~~
3 ~~facilitate professional learning for early literacy coaches.~~
4 ~~Regional lead literacy coaches described in this subparagraph shall~~
5 ~~provide support for new literacy coaches, building teachers, and~~
6 ~~administrators, and shall facilitate regional data collection to~~
7 ~~evaluate the effectiveness of statewide literacy coaches funded~~
8 ~~under this section.~~

9 ~~(iv) A provision of \$500,000.00 under this subsection for~~
10 ~~literacy training, modeling, coaching, and feedback for district~~
11 ~~principals or chief administrators, as applicable. The training~~
12 ~~described in this subparagraph must use the pre-K and K to 3~~
13 ~~essential instructional practices in literacy created by the~~
14 ~~general education leadership network as the framework for all~~
15 ~~training provided under this subparagraph.~~

16 ~~(b) By not later than September 1 of each year, the~~
17 ~~intermediate district described in this subsection, in consultation~~
18 ~~with grant recipients, shall submit a report to the chairs of the~~
19 ~~senate and house appropriations subcommittees on school aid, the~~
20 ~~chairs of the senate and house standing committees responsible for~~
21 ~~education legislation, the house and senate fiscal agencies, and~~
22 ~~the state budget director. The report described in this subdivision~~
23 ~~must include student achievement results in English language arts~~
24 ~~and survey results with feedback from parents and teachers~~
25 ~~regarding the initiatives implemented under this subsection.~~

26 ~~(c) Up to 2% of funds allocated under this subsection may be~~
27 ~~used by the association representing intermediate district~~
28 ~~administrators that is in partnership with the intermediate~~
29 ~~district specified in this subsection to administer this~~



1 subsection.

2 ~~(10) In addition to the allocation under subsection (1), from~~
3 ~~the state school aid fund money appropriated in section 11, there~~
4 ~~is allocated an amount not to exceed \$1,600,000.00 for 2025-2026 to~~
5 ~~expand the implementation of the literacy and social, emotional,~~
6 ~~and behavioral components of a multi-tiered system of supports,~~
7 ~~including positive behavioral interventions and supports, using the~~
8 ~~Michigan Multi-Tiered System of Supports Technical Assistance~~
9 ~~Center. Both of the following apply to funds allocated under this~~
10 ~~subsection:~~

11 ~~(a) The department shall use funds allocated under this~~
12 ~~subsection, through an intermediate district, for the purpose of~~
13 ~~expanding the statewide expertise, technical assistance, and~~
14 ~~implementation of the multi-tiered system of supports, dyslexia~~
15 ~~expertise, and evidence-based instructional practices grounded in~~
16 ~~the science of reading using the Michigan Multi-Tiered System of~~
17 ~~Supports Technical Assistance Center, a nationally recognized~~
18 ~~program. In addition, the department shall identify an intermediate~~
19 ~~district to act as a fiscal agent for these funds.~~

20 ~~(b) Up to 2% of funds allocated under this subsection may be~~
21 ~~used by the intermediate district serving as the fiscal agent for~~
22 ~~these funds to administer this subsection.~~

23 **Sec. 35o. (1) From the state school aid fund money**
24 **appropriated in section 11, there is allocated an amount not to**
25 **exceed \$6,000,000.00 for 2026-2027 to an intermediate district in**
26 **which the combined total number of pupils in membership of all of**
27 **its constituent districts is the fewest among all intermediate**
28 **districts in this state to improve literacy instruction in**
29 **alignment with the science of reading and section 1280f of the**



1 revised school code, MCL 380.1280f.

2 (2) Funding under this subsection must be used by the
3 intermediate district described in subsection (1), in partnership
4 with an association that represents intermediate district
5 administrators in this state, to do all of the following:

6 (a) Maintain, and update as necessary based on research, the
7 state's literacy essentials and disciplinary literacy essentials
8 for grades pre-K to 12, including teacher and principal training
9 modules and materials.

10 (b) Lead face-to-face and online professional learning on the
11 state's literacy essentials and disciplinary literacy essentials
12 for grades preK-12 for literacy coaches, principals, and teachers.

13 (c) Lead face-to-face and online professional learning for
14 school and district administrators and leadership teams about
15 leading systems that support effective literacy instruction in all
16 classrooms.

17 (d) Facilitate a statewide network of literacy coaches that
18 ensures consistent use of evidence-based literacy practices
19 including monthly communities of practice, regular coaching
20 intensives, and an annual institute. In addition to completing
21 training from the approved provider of professional learning
22 described in section 35a(5), all literacy coaches funded under
23 section 35a(2) must do all of the following, as applicable:

24 (i) Participate in the statewide coaching network described in
25 this subdivision.

26 (ii) Participate in at least 1 coaching intensive.

27 (iii) Attend the annual institute.

28 (iv) Complete the literacy essentials and coaching modules.

29 (v) For literacy coaches who are new to the network, attend a



1 new coach kickoff.

2 (e) Place regional lead literacy coaches to facilitate
3 professional learning for literacy coaches. Regional lead literacy
4 coaches described in this subdivision shall provide support for
5 literacy coaches, teachers, and administrators, and shall
6 facilitate regional data collection to evaluate the effectiveness
7 of statewide literacy coaches funded under this section.

8 (f) Meet monthly with the department and the department of
9 lifelong education, advancement, and potential to align efforts and
10 achieve statewide goals to train every educator in the science of
11 reading.

12 (3) By not later than September 1 of each year, the
13 intermediate district described in subsection (1), in consultation
14 with grant recipients, shall submit a report to the chairs of the
15 senate and house appropriations subcommittees on school aid, the
16 chairs of the senate and house standing committees responsible for
17 education legislation, the house and senate fiscal agencies, the
18 state budget director, and the directors of the departments of
19 education and lifelong education, advancement, and potential. The
20 report described in this subdivision must include coaching cycle
21 data by intermediate district, statewide student achievement
22 results in English language arts, and survey results with feedback
23 from teachers and administrators regarding the initiatives
24 implemented under this section.

25 (4) Up to 2% of funds allocated under this section may be used
26 by the association representing intermediate district
27 administrators that is in partnership with the intermediate
28 district as described in subsection (1) to administer this section.

29 Sec. 35p. (1) From the state school aid fund money



1 appropriated in section 11, there is allocated for 2026-2027 only
2 an amount not to exceed \$50,000,000.00 to implement high-impact
3 tutoring programs through eligible tutoring partners in eligible
4 districts.

5 (2) Eligible tutoring partners shall apply for funding in a
6 form and manner determined by the department. An application for
7 funding described in this subsection must include at least all of
8 the following:

9 (a) An identification of a district or intermediate district
10 that will serve as a fiscal agent for awarded funds.

11 (b) A list of district partners that will be recipients of
12 high-impact tutoring from the eligible tutoring partner, including
13 a letter of support from each district that affirms their
14 commitment to ensure alignment with tier 1 instruction,
15 implementation fidelity, including, but not limited to, student
16 usage and frequency, and participation in data sharing and training
17 necessary to maximize outcomes.

18 (c) Projections for the number of students who will be served,
19 broken down by partner district.

20 (d) A description of the efficacious nature of the eligible
21 tutoring partner's program, including the ability of the eligible
22 tutoring partner to hit certain benchmarks and goals, based on
23 evidence.

24 (e) A plan for how the eligible tutoring partner will target
25 high-impact tutoring for the highest need student populations based
26 on some or all of the following criteria:

27 (i) Statewide assessment data.

28 (ii) Screeners or formative assessment scores.

29 (iii) Economically disadvantaged status.



1 (iv) Special education status.

2 (v) English language learner status.

3 (f) A planned budget for the high-impact tutoring program
4 provided, including the total dollars necessary to serve the
5 identified student population and an estimate of the percentage of
6 awarded dollars that would be directly deployed for high-impact
7 tutoring.

8 (g) A commitment to provide periodic reporting to each
9 district served and to the department, in a form and manner
10 determined by the department, to ensure funds are being spent in
11 accordance with this section.

12 (h) A commitment to return any or all funds awarded if the
13 department determines dollars are used in a way that violates this
14 section.

15 (i) Any additional information required by the department to
16 make informed decisions on awarding competitive grants under this
17 section and to ensure financial stewardship awarded dollars.

18 (3) The department shall award grants to applicants on a
19 competitive basis, using at least all of the following in making
20 award determinations:

21 (a) The cost effectiveness of the application based on the
22 number of students projected to be served, the total requested
23 budget, and the demonstrated outcome capacity of the high-impact
24 tutoring program.

25 (b) The reasonability that the eligible tutoring partner will
26 be able to meet the stated outcome benchmarks.

27 (c) Other criteria, as determined by the department, to ensure
28 grants are awarded to the most impactful applicants.

29 (4) If the amount allocated in subsection (1) is not



1 sufficient to fully fund all eligible tutoring partners that apply
2 for funding, the department must prioritize grant awards to
3 districts with the lowest levels of literacy proficiency, as
4 determined by student scores on the Michigan student test of
5 educational progress (M-STEP).

6 (5) The department may approve applications from eligible
7 tutoring partners that offer innovative ways to reach students at a
8 lower cost by waiving elements of high-impact tutoring described in
9 subsection (11). This must include, but is not limited to, offering
10 virtual programs. In such cases, the eligible tutoring partner
11 submitting the application must provide evidence of program impact
12 and implement an outcomes-based contract model.

13 (6) It is the intent of the legislature that the work
14 associated with the grant application, oversight, and
15 administration of awards under this section be performed primarily
16 by the eligible tutoring partner and not by districts that have
17 agreed to receive high-impact tutoring.

18 (7) If a district or intermediate district agrees to receive
19 high-impact tutoring from an eligible tutoring partner, the
20 district or intermediate district must do all of the following:

21 (a) Work with the eligible tutoring partner to identify
22 students that would benefit from the program. The district or
23 intermediate district must communicate with parents or legal
24 guardians of identified students to describe the available program,
25 outline possible student outcomes, and encourage student
26 participation.

27 (b) To the extent possible, integrate the high-impact tutoring
28 program with the district's Michigan Integrated Continuous
29 Improvement Process (MICIP) plan.



1 (c) If the district or intermediate district is the fiscal
2 agent for the eligible tutoring partner, except as otherwise
3 provided in this subdivision, forward the amount awarded to the
4 tutoring partner. The designated fiscal agent may retain up to 0.5%
5 of the funding awarded to the tutoring partner for administrative
6 purposes.

7 (8) All of the following apply to the funds allocated under
8 this section:

9 (a) The department shall make award determinations and
10 notifications by not later than January 15, 2027.

11 (b) The department shall make initial payments to identified
12 fiscal agents by no later than March 1, 2027. Identified fiscal
13 agents shall forward funding to eligible tutoring partners by not
14 later than March 15, 2027.

15 (c) Eligible tutoring partners shall begin deploying services
16 in recipient districts and intermediate districts before the end of
17 the 2026-2027 school year.

18 (9) The funds allocated under this section for 2026-2027 are a
19 work project appropriation, and any unexpended funds for 2026-2027
20 are carried forward into 2027-2028. The purpose of the work project
21 is to provide high-impact tutoring through eligible tutoring
22 partners. The estimated completion date of the work project is
23 September 30, 2031.

24 (10) From the allocation in subsection (1), there is allocated
25 \$600,000.00 to the Clinton County Regional Educational Service
26 Agency to work with the Michigan Association of Intermediate School
27 Administrators (MAISA), to do all of the following:

28 (a) Provide a report on high-impact tutoring programs
29 implemented with the funding allocated under subsection (1).



1 (b) Develop and provide technical assistance to districts in
2 selecting high-impact tutoring strategies and integrating these
3 strategies into district Michigan Integrated Continuous Improvement
4 Process (MICIP) plans. Developing and providing technical
5 assistance may include the design, review, and integration of
6 eligible tutoring programs within the MiStrategyBank.

7 (c) Collect, aggregate, and report data in collaboration with
8 the MAISA Michigan Collaborative Hub. An amount not to exceed
9 \$300,000.00 of the funds allocated under this subsection may be
10 used for this purpose.

11 (d) Provide an annual report of the impact of high-impact
12 tutoring programs to the office of the governor, the senate and
13 house education committees, the senate and house appropriations
14 subcommittees on school aid, and the state budget director.

15 (11) As used in this section:

16 (a) "Eligible tutoring partner" means a tutoring provider,
17 including, but not limited to, a tutoring provider created by for-
18 profit vendors, nonprofit vendors, intermediate districts,
19 districts, and the Michigan Schools for the Deaf and Blind, that
20 provides high-impact tutoring and meets at least 1 of the
21 following:

22 (i) Is included on the ProvenTutoring list maintained by the
23 Center for Research and Reform in Education at Johns Hopkins
24 University.

25 (ii) Has a Tutoring Program Design Badge as awarded by the
26 National Student Support Accelerator, a program of the SCALE
27 Initiative at Stanford University.

28 (iii) Is a vetted high-impact tutoring program included in the
29 MiStrategyBank. If necessary, the Michigan Association of



1 Intermediate School Administrators may convene a committee to
2 review tutoring programs for inclusion in the MiStrategyBank.

3 (b) "High-impact tutoring" means, except as otherwise provided
4 in this section, in-person tutoring that meets all of the
5 following:

6 (i) Occurs during the school day.

7 (ii) Is individualized, with tutor ratios not higher than 1:4.

8 (iii) Provides intensive support with a minimum of 2 sessions
9 per week.

10 (iv) Uses a structured, evidence-based curriculum designed for
11 tutoring, with formative assessments to track progress.

12 (v) Uses trained tutors.

13 Sec. 35q. (1) By not later than March 1, 2027, the department,
14 in collaboration with the department of lifelong education,
15 advancement, and potential, and the center, shall publish to a
16 publicly accessible location on its website and shall update
17 periodically thereafter, as new data becomes available, a literacy
18 achievement and opportunity transparency dashboard that includes at
19 least the following:

20 (a) The percentage of children in this state with access to
21 free, full-day prekindergarten opportunities.

22 (b) The percentage of pre-K to grade 5 educators in this state
23 who are trained in the science of reading.

24 (c) The percentage of pre-K to grade 5 classrooms in this
25 state using curriculum and assessments aligned with the science of
26 reading.

27 (d) The percentage of parents and legal guardians in this
28 state receiving clear communication from their school about their
29 child's reading action plans and the ability to get extra support



1 as needed.

2 (e) Literacy-related results, including multiyear trend data,
3 from the following state assessments:

4 (i) The grade 3 Michigan student test of educational progress
5 (M-STEP) .

6 (ii) The grade 7 Michigan student test of educational progress
7 (M-STEP) .

8 (iii) The SAT.

9 (iv) The National Assessment of Educational Progress (NAEP) .

10 (f) Additional metrics that help the public and policymakers
11 track statewide literacy progress.

12 (g) A summary of activities the state is taking to improve
13 literacy outcomes.

14 (2) The data published under subsection (1) must be
15 disaggregated by district and school demographics where possible.

16 Sec. 39. (1) An eligible applicant receiving funds under
17 section 32d shall submit an application, in a form and manner
18 prescribed by the department of lifelong education, advancement,
19 and potential, by a date specified by the department of lifelong
20 education, advancement, and potential in the immediately preceding
21 fiscal year. An eligible applicant is not required to amend the
22 applicant's current accounting cycle or adopt this state's fiscal
23 year accounting cycle in accounting for financial transactions
24 under this section. The application must include all of the
25 following:

26 (a) The estimated total number of age-eligible children in the
27 community, as provided to the applicant by the department of
28 lifelong education, advancement, and potential utilizing the most
29 recent population data available from the American Community Survey



1 conducted by the United States Census Bureau. The department of
2 lifelong education, advancement, and potential shall ensure that it
3 provides updated American Community Survey population data at least
4 once every 3 years.

5 (b) The estimated number of age-eligible children in the
6 community who are being served exclusively by Head Start programs
7 operating in the community.

8 (c) The number of children whom the applicant will have the
9 capacity to serve in each eligible great start readiness program
10 option who meet the age-eligible criteria of section 32d.

11 (2) The great start readiness target foundation amount for
12 ~~2025-2026~~ **2026-2027** is ~~\$10,650.00.~~ **\$11,290.00.**

13 (3) After notification of funding allocations, an applicant
14 receiving funds under section 32d shall also submit an
15 implementation plan for approval, in a form and manner prescribed
16 by the department of lifelong education, advancement, and
17 potential, by a date specified by the department of lifelong
18 education, advancement, and potential, that details how the
19 applicant complies with the program components established by the
20 department of lifelong education, advancement, and potential under
21 section 32d.

22 (4) Subject to subsection (5), the initial allocation to each
23 eligible applicant under section 32d is equal to the sum of the
24 following:

25 (a) The number of children in the current school year served
26 in a program determined by the department of lifelong education,
27 advancement, and potential to be a school-day program multiplied by
28 the great start readiness target foundation.

29 (b) The number of children in the current school year served



1 in a program determined by the department of lifelong education,
2 advancement, and potential to be a part-day program or a school-day
3 blended with Head Start multiplied by the great start readiness
4 target foundation divided by 2.

5 (c) The total number of children in the current school year
6 served in a program determined by the department of lifelong
7 education, advancement, and potential to be an extended program
8 multiplied by the great start readiness target foundation
9 multiplied by 1.2.

10 (d) The number of children in the current school year served
11 in a program determined by the department of lifelong education,
12 advancement, and potential to be an extended program blended with
13 Head Start or a part-day extended program multiplied by the great
14 start readiness target foundation multiplied by 0.6.

15 (5) Subject to subsection (6), if the calculations under
16 subsection (4) result in a total allocation exceeding the amount
17 available as allocated or appropriated under section 32d(2),
18 initial allocations to each eligible applicant under section 32d
19 are calculated as the sum of the following:

20 (a) An amount equal to the calculations described in
21 subsection (4) but using for those calculations the lesser of the
22 number of children served in the immediately preceding fiscal year
23 or the number of children the applicant has the capacity to serve
24 in the current fiscal year instead of the number of children served
25 in the current fiscal year.

26 (b) An amount equal to the remaining available dollars after
27 calculations in subdivision (a) distributed proportionately to
28 eligible applicants where calculations under subdivision (a) are
29 less than the amount originally calculated under subsection (4).



(6) If the calculations under subsection (5) result in a total allocation exceeding the amount available as allocated or appropriated under section 32d(2), the initial allocation to each eligible applicant is the amount calculated under subsection (4) prorated on an equal percentage basis.

(7) If, taking into account the total amount to be allocated to the applicant as calculated under this section, an applicant determines that it is able to include additional eligible children in the great start readiness program without additional funds under section 32d, the applicant may include additional eligible children but does not receive additional funding under section 32d for those children.

(8) The department of lifelong education, advancement, and potential shall review the program components under section 32d and under this section at least biennially. The department of lifelong education, advancement, and potential also shall convene a committee of internal and external stakeholders at least once every 5 years to ensure that the funding structure under this section reflects current system needs under section 32d.

Sec. 39a. (1) From the federal funds appropriated in section 11, there is allocated for ~~2025-2026~~**2026-2027** to districts, intermediate districts, and other eligible entities all available federal funding, estimated at \$824,700,000.00, for the federal programs under the no child left behind act of 2001, Public Law 107-110, or the every student succeeds act, Public Law 114-95. These funds are allocated as follows:

(a) An amount estimated at \$1,200,000.00 for ~~2025-2026~~**2026-2027** to provide students with drug- and violence-prevention programs and to implement strategies to improve school safety,



1 funded from DED-OESE, drug-free schools and communities funds.

2 (b) An amount estimated at \$100,000,000.00 for 2025-2026 for
3 the purpose of preparing, training, and recruiting high-quality
4 teachers and class size reduction, funded from DED-OESE, improving
5 teacher quality funds.

6 (c) An amount estimated at \$13,000,000.00 for ~~2025-2026-2026-~~
7 **2027** for programs to teach English to limited English proficient
8 (LEP) children, funded from DED-OESE, language acquisition state
9 grant funds.

10 (d) An amount estimated at \$2,800,000.00 for ~~2025-2026-2026-~~
11 **2027** for rural and low-income schools, funded from DED-OESE, rural
12 and low income school funds.

13 (e) An amount estimated at \$585,000,000.00 for ~~2025-2026-2026-~~
14 **2027** to provide supplemental programs to enable educationally
15 disadvantaged children to meet challenging academic standards,
16 funded from DED-OESE, title I, disadvantaged children funds.

17 (f) An amount estimated at \$9,200,000.00 for ~~2025-2026-2026-~~
18 **2027** for the purpose of identifying and serving migrant children,
19 funded from DED-OESE, title I, migrant education funds.

20 (g) An amount estimated at \$40,400,000.00 for ~~2025-2026-2026-~~
21 **2027** for the purpose of providing high-quality extended learning
22 opportunities, after school and during the summer, for children in
23 low-performing schools, funded from DED-OESE, twenty-first century
24 community learning center funds.

25 (h) An amount estimated at \$14,000,000.00 for ~~2025-2026-2026-~~
26 **2027** to help support local school improvement efforts, funded from
27 DED-OESE, title I, local school improvement grants.

28 (i) An amount estimated at \$55,000,000.00 for ~~2025-2026-2026-~~
29 **2027** to improve the academic achievement of students, funded from



1 DED-OESE, title IV, student support and academic enrichment grants.

2 (j) An amount estimated at \$3,100,000.00 for ~~2025-2026~~**2026-**
3 **2027** for literacy programs that advance literacy skills for
4 students from birth through grade 12, including, but not limited
5 to, English-proficient students and students with disabilities,
6 funded from DED-OESE, striving readers comprehensive literacy
7 program.

8 (k) An amount estimated at \$1,000,000.00 for ~~2025-2026~~**2026-**
9 **2027** for grants to support and demonstrate innovative partnerships
10 to train school-based mental health service providers, funded from
11 DED-OESE, mental health service professional demonstration grant
12 program.

13 (2) From the federal funds appropriated in section 11, there
14 is allocated to districts, intermediate districts, and other
15 eligible entities all available federal funding, estimated at
16 \$66,415,000.00 for ~~2025-2026~~**2026-2027** for the following programs
17 that are funded by federal grants:

18 (a) An amount estimated at \$3,000,000.00 for ~~2025-2026~~**2026-**
19 **2027** to provide services to homeless children and youth, funded
20 from DED-OVAE, homeless children and youth funds.

21 (b) An amount estimated at \$30,000,000.00 for ~~2025-2026~~**2026-**
22 **2027** for providing career and technical education services to
23 pupils, funded from DED-OVAE, basic grants to states.

24 (c) An amount estimated at \$14,000,000.00 for ~~2025-2026~~**2026-**
25 **2027** for the Michigan charter school subgrant program, funded from
26 DED-OII, public charter schools program funds.

27 (d) An amount estimated at \$17,700,000.00 for ~~2025-2026~~**2026-**
28 **2027** for the purpose of promoting and expanding high-quality
29 preschool services, funded from HHS-OCC, preschool development



1 funds.

2 (e) An amount estimated at \$1,715,000.00 for ~~2025-2026-2026-~~
3 **2027** for the purpose of addressing priority substance abuse
4 treatment, prevention, and mental health needs, funded from HHS-
5 SAMHSA.

6 (3) The department, or, for subsections (1)(g) and (2)(d), the
7 department of lifelong education, advancement, and potential, shall
8 distribute all federal funds allocated under this section in
9 accordance with federal law and with flexibility provisions
10 outlined in Public Law 107-116, and in the education flexibility
11 partnership act of 1999, Public Law 106-25. Notwithstanding section
12 17b, the department or the department of lifelong education,
13 advancement, and potential, as applicable, shall make payments of
14 federal funds to districts, intermediate districts, and other
15 eligible entities under this section on a schedule determined by
16 the department.

17 (4) For the purposes of applying for federal grants
18 appropriated under this article, the department, or, for
19 subsections (1)(g) and (2)(d), the department of lifelong
20 education, advancement, and potential, shall allow an intermediate
21 district to submit a consortium application on behalf of 2 or more
22 districts with the agreement of those districts as appropriate
23 according to federal rules and guidelines.

24 (5) For the purposes of funding federal title I grants under
25 this article, in addition to any other federal grants for which the
26 strict discipline academy is eligible, the department, or, for
27 subsections (1)(g) and (2)(d), the department of lifelong
28 education, advancement, and potential, shall allocate to a strict
29 discipline academy out of title I, part A an amount equal to what



1 the strict discipline academy would have received if included and
 2 calculated under title I, part D, or what it would receive under
 3 the formula allocation under title I, part A, whichever is greater.

4 (6) As used in this section:

5 (a) "DED" means the United States Department of Education.

6 (b) "DED-OESE" means the DED Office of Elementary and
 7 Secondary Education.

8 (c) "DED-OII" means the DED Office of Innovation and
 9 Improvement.

10 (d) "DED-OVAE" means the DED Office of Vocational and Adult
 11 Education.

12 (e) "HHS" means the United States Department of Health and
 13 Human Services.

14 (f) "HHS-OCC" means the HHS Office of Child Care.

15 (g) "HHS-SAMHSA" means the HHS Substance Abuse and Mental
 16 Health Services Project.

17 Sec. 51a. (1) From the state school aid fund money in section
 18 11, there is allocated ~~an amount not to exceed \$2,028,696,100.00~~
 19 ~~for 2024-2025 and there is allocated an amount not to exceed~~
 20 ~~\$2,219,596,100.00~~ **\$2,126,096,100.00** for 2025-2026 ~~from~~ **and there is**
 21 **allocated an amount not to exceed \$2,280,137,500.00 for 2026-2027.**
 22 **From** state sources and all available federal funding under sections
 23 1411 to 1419 of part B of the individuals with disabilities
 24 education act, 20 USC 1411 to 1419, **there is allocated an amount**
 25 ~~estimated at \$450,000,000.00 for 2024-2025 and \$500,000,000.00 for~~
 26 ~~2025-2026~~ **and \$500,000,000.00 for 2026-2027**, plus any carryover
 27 federal funds from previous year appropriations. The allocations
 28 under this subsection are for the purpose of reimbursing districts
 29 and intermediate districts for special education programs,



services, and special education personnel as prescribed in article 3 of the revised school code, MCL 380.1701 to 380.1761; net tuition payments made by intermediate districts to the Michigan Schools for the Deaf and Blind; and special education programs and services for pupils who are eligible for special education programs and services according to statute or rule. For meeting the costs of special education programs and services not reimbursed under this article, a district or intermediate district may use money in general funds or special education funds, not otherwise restricted, or contributions from districts to intermediate districts, tuition payments, gifts and contributions from individuals or other entities, or federal funds that may be available for this purpose, as determined by the intermediate district plan prepared under article 3 of the revised school code, MCL 380.1701 to 380.1761. Notwithstanding section 17b, the department shall make payments of federal funds to districts, intermediate districts, and other eligible entities under this section on a schedule determined by the department.

(2) From the funds allocated under subsection (1), there is allocated the amount necessary, estimated at ~~\$441,400,000.00 for 2024-2025 and \$492,400,000.00~~ **\$457,800,000.00 for 2025-2026 and \$495,100,000.00 for 2026-2027**, for payments toward reimbursing districts and intermediate districts for 28.6138% of total approved costs of special education, excluding costs reimbursed under section 53a, and 70.4165% of total approved costs of special education transportation.

(3) If the department determines that the amount allocated for a fiscal year to a district or intermediate district under subsection (2) is insufficient to fulfill the specified percentages



1 in subsection (2), the department shall pay the shortfall to the
2 district or intermediate district during the fiscal year beginning
3 on the October 1 following the determination. If the department
4 determines that the amount allocated for a fiscal year to a
5 district or intermediate district under subsection (2) exceeds the
6 sum of the amount necessary to fulfill the specified percentages in
7 subsection (2), the department shall deduct the amount of the
8 excess from the district's or intermediate district's payments
9 under this article for the fiscal year beginning on the October 1
10 following the determination.

11 (4) State funds are allocated on a total approved cost basis.
12 Federal funds are allocated under applicable federal requirements.

13 (5) From the amount allocated in subsection (1), there is
14 allocated an amount not to exceed \$3,200,000.00 for ~~2024-2025 and~~
15 ~~2025-2026~~ **and 2026-2027** to reimburse 100% of the net increase in
16 necessary costs incurred by a district or intermediate district in
17 implementing the revisions in the administrative rules for special
18 education that became effective on July 1, 1987. As used in this
19 subsection, "net increase in necessary costs" means the necessary
20 additional costs incurred solely because of new or revised
21 requirements in the administrative rules minus cost savings
22 permitted in implementing the revised rules. The department shall
23 determine net increase in necessary costs in a manner specified by
24 the department.

25 (6) For purposes of this section and sections 51b to 58, all
26 of the following apply:

27 (a) "Total approved costs of special education" are determined
28 in a manner specified by the department and may include indirect
29 costs, but must not exceed 115% of approved direct costs for



1 section 52 and section 53a programs. The total approved costs
2 include salary and other compensation for all approved special
3 education personnel for the program, including payments for Social
4 Security and Medicare and public school employee retirement system
5 contributions. The total approved costs do not include salaries or
6 other compensation paid to administrative personnel who are not
7 special education personnel as that term is defined in section 6 of
8 the revised school code, MCL 380.6. Costs reimbursed by federal
9 funds, other than those federal funds included in the allocation
10 made under this article, are not included. Special education
11 approved personnel not utilized full time in the evaluation of
12 students or in the delivery of special education programs,
13 ancillary, and other related services are reimbursed under this
14 section only for that portion of time actually spent providing
15 these programs and services, with the exception of special
16 education programs and services provided to youth placed in child
17 caring institutions or juvenile detention programs approved by the
18 department to provide an on-grounds education program.

19 (b) Reimbursement for ancillary and other related services, as
20 that term is defined by R 340.1701c of the Michigan Administrative
21 Code, is not provided when those services are covered by and
22 available through private group health insurance carriers or
23 federal reimbursed program sources unless the department and
24 district or intermediate district agree otherwise and that
25 agreement is approved by the state budget director. Expenses, other
26 than the incidental expense of filing, must not be borne by the
27 parent. In addition, the filing of claims must not delay the
28 education of a pupil. A district or intermediate district is
29 responsible for payment of a deductible amount and for an advance



1 payment required until the time a claim is paid.

2 (c) If an intermediate district purchases a special education
3 pupil transportation service from a constituent district that was
4 previously purchased from a private entity; if the purchase from
5 the constituent district is at a lower cost, adjusted for changes
6 in fuel costs; and if the cost shift from the intermediate district
7 to the constituent does not result in any net change in the revenue
8 the constituent district receives from payments under sections 22b
9 and 51c, then upon application by the intermediate district, the
10 department shall direct the intermediate district to continue to
11 report the cost associated with the specific identified special
12 education pupil transportation service and shall adjust the costs
13 reported by the constituent district to remove the cost associated
14 with that specific service.

15 (7) A pupil who is enrolled in a full-time special education
16 program conducted or administered by an intermediate district or a
17 pupil who is enrolled in the Michigan Schools for the Deaf and
18 Blind is not included in the membership count of a district, but is
19 counted in membership in the intermediate district of residence.

20 (8) Special education personnel transferred from 1 district to
21 another to implement the revised school code are entitled to the
22 rights, benefits, and tenure to which the individual would
23 otherwise be entitled had that individual been employed by the
24 receiving district originally.

25 (9) If a district or intermediate district uses money received
26 under this section for a purpose other than the purpose or purposes
27 for which the money is allocated, the department may require the
28 district or intermediate district to refund the amount of money
29 received. The department shall deposit money that is refunded in



1 the state treasury to the credit of the state school aid fund.

2 (10) From the funds allocated in subsection (1), there is
 3 allocated the amount necessary, estimated at ~~\$1,600,000.00 for~~
 4 ~~2024-2025 and estimated at \$1,600,000.00~~ **\$1,900,000.00** for 2025-
 5 2026 **and estimated at \$1,900,000.00 for 2026-2027**, to pay the
 6 foundation allowances for pupils described in this subsection. The
 7 department shall calculate the allocation to a district under this
 8 subsection by multiplying the number of pupils described in this
 9 subsection who are counted in membership in the district times the
 10 sum of the foundation allowance under section 20 of the pupil's
 11 district of residence, plus the amount of the district's per-pupil
 12 allocation under section 20m, not to exceed the target foundation
 13 allowance for the current fiscal year, or, for a pupil described in
 14 this subsection who is counted in membership in a district that is
 15 a public school academy, times an amount equal to the amount per
 16 membership pupil under section 20(6). The department shall
 17 calculate the allocation to an intermediate district under this
 18 subsection in the same manner as for a district, using the
 19 foundation allowance under section 20 of the pupil's district of
 20 residence not to exceed the target foundation allowance for the
 21 current fiscal year and that district's per-pupil allocation under
 22 section 20m. This subsection applies to all of the following
 23 pupils:

24 (a) Pupils described in section 53a.

25 (b) Pupils counted in membership in an intermediate district
 26 who are not special education pupils and are served by the
 27 intermediate district in a juvenile detention or child caring
 28 facility.

29 (c) Pupils with an emotional impairment counted in membership



1 by an intermediate district and provided educational services by
2 the department of health and human services.

3 (11) If it is determined that funds allocated under subsection
4 (2) or (10) or under section 51c will not be expended, funds up to
5 the amount necessary and available may be used to supplement the
6 allocations under subsection (2) or (10) or under section 51c to
7 fully fund those allocations. After payments under subsections (2)
8 and (10) and section 51c, the department shall expend the remaining
9 funds from the allocation in subsection (1) in the following order:

10 (a) One hundred percent of the reimbursement required under
11 section 53a.

12 (b) One hundred percent of the reimbursement required under
13 subsection (5).

14 (c) One hundred percent of the payment required under section
15 54.

16 (d) One hundred percent of the payments under section 56.

17 (12) The allocations under subsections (2) and (10) are
18 allocations to intermediate districts only and are not allocations
19 to districts, but instead are calculations used only to determine
20 the state payments under section 22b.

21 (13) If a public school academy that is not a cyber school, as
22 that term is defined in section 551 of the revised school code, MCL
23 380.551, enrolls under this section a pupil who resides outside of
24 the intermediate district in which the public school academy is
25 located and who is eligible for special education programs and
26 services according to statute or rule, or who is a child with a
27 disability, as that term is defined under the individuals with
28 disabilities education act, Public Law 108-446, the intermediate
29 district in which the public school academy is located and the



1 public school academy shall enter into a written agreement with the
2 intermediate district in which the pupil resides for the purpose of
3 providing the pupil with a free appropriate public education, and
4 the written agreement must include at least an agreement on the
5 responsibility for the payment of the added costs of special
6 education programs and services for the pupil. If the public school
7 academy that enrolls the pupil does not enter into an agreement
8 under this subsection, the public school academy shall not charge
9 the pupil's resident intermediate district or the intermediate
10 district in which the public school academy is located the added
11 costs of special education programs and services for the pupil, and
12 the public school academy is not eligible for any payouts based on
13 the funding formula outlined in the resident or nonresident
14 intermediate district's plan. If a pupil is not enrolled in a
15 public school academy under this subsection, the provision of
16 special education programs and services and the payment of the
17 added costs of special education programs and services for a pupil
18 described in this subsection are the responsibility of the district
19 and intermediate district in which the pupil resides.

20 (14) For the purpose of receiving its federal allocation under
21 part B of the individuals with disabilities education act, Public
22 Law 108-446, a public school academy that is a cyber school, as
23 that term is defined in section 551 of the revised school code, MCL
24 380.551, and is in compliance with section 553a of the revised
25 school code, MCL 380.553a, directly receives the federal allocation
26 under part B of the individuals with disabilities education act,
27 Public Law 108-446, from the intermediate district in which the
28 cyber school is located, as the subrecipient. If the intermediate
29 district does not distribute the funds described in this subsection



1 to the cyber school by the part B application due date of July 1,
 2 the department may distribute the funds described in this
 3 subsection directly to the cyber school according to the formula
 4 prescribed in 34 CFR 300.705 and 34 CFR 300.816. Beginning July 1,
 5 2021, this subsection is subject to section 8c. It is the intent of
 6 the legislature that the immediately preceding sentence apply
 7 retroactively and is effective July 1, 2021.

8 (15) For a public school academy that is a cyber school, as
 9 that term is defined in section 551 of the revised school code, MCL
 10 380.551, and is in compliance with section 553a of the revised
 11 school code, MCL 380.553a, that enrolls a pupil under this section,
 12 the intermediate district in which the cyber school is located
 13 shall ensure that the cyber school complies with sections 1701a,
 14 1703, 1704, 1751, 1752, 1756, and 1757 of the revised school code,
 15 MCL 380.1701a, 380.1703, 380.1704, 380.1751, 380.1752, 380.1756,
 16 and 380.1757; applicable rules; and the individuals with
 17 disabilities education act, Public Law 108-446. Beginning July 1,
 18 2021, this subsection is subject to section 8c. It is the intent of
 19 the legislature that the immediately preceding sentence apply
 20 retroactively and is effective July 1, 2021.

21 (16) For the purposes of this section, the department or the
 22 center shall only require a district or intermediate district to
 23 report information that is not already available from the financial
 24 information database maintained by the center.

25 Sec. 51c. As required by the court in the consolidated cases
 26 known as *Durant v State of Michigan*, 456 Mich 175 (1997), from the
 27 allocation under section 51a(1), there is allocated for ~~2024-2025~~
 28 ~~and for 2025-2026~~ **and for 2026-2027** the amount necessary, estimated
 29 at ~~\$993,100,000.00 for 2024-2025 and \$1,107,900,000.00~~



1 **\$1,055,000,000.00** for 2025-2026 **and \$1,140,700,000.00 for 2026-**
 2 **2027**, for payments to reimburse districts for 28.6138% of total
 3 approved costs of special education excluding costs reimbursed
 4 under section 53a, and 70.4165% of total approved costs of special
 5 education transportation. Funds allocated under this section that
 6 are not expended in the fiscal year for which they were allocated,
 7 as determined by the department, may be used to supplement the
 8 allocations under sections 22a and 22b to fully fund those
 9 allocations for the same fiscal year.

10 Sec. 51d. (1) From the federal funds appropriated in section
 11 11, there is allocated for ~~2025-2026~~**-2026-2027** all available
 12 federal funding, estimated at \$83,000,000.00, for special education
 13 programs and services that are funded by federal grants. The
 14 department shall distribute all federal funds allocated under this
 15 section in accordance with federal law. Notwithstanding section
 16 17b, the department shall make payments of federal funds to
 17 districts, intermediate districts, and other eligible entities
 18 under this section on a schedule determined by the department.

19 (2) From the federal funds allocated under subsection (1), the
 20 following amounts are allocated:

21 (a) For ~~2025-2026~~**, -2026-2027**, an amount estimated at
 22 \$14,000,000.00 for handicapped infants and toddlers, funded from
 23 DED-OSERS, handicapped infants and toddlers funds.

24 (b) For ~~2025-2026~~**, -2026-2027**, an amount estimated at
 25 \$14,000,000.00 for preschool grants under Public Law 94-142, funded
 26 from DED-OSERS, handicapped preschool incentive funds.

27 (c) For ~~2025-2026~~**, -2026-2027**, an amount estimated at
 28 \$55,000,000.00 for special education programs funded by DED-OSERS,
 29 handicapped program, individuals with disabilities act funds.



(3) As used in this section, "DED-OSERS" means the United States Department of Education Office of Special Education and Rehabilitative Services.

Sec. 51e. (1) From the allocation under section 51a(1), there is allocated for the amount necessary, estimated at ~~\$503,000,000.00 for 2024-2025 and \$528,100,000.00~~ **\$521,800,000.00 for 2025-2026 and \$535,000,000.00 for 2026-2027**, for payments to districts and intermediate districts for 100% of foundation allowance costs associated with special education pupils.

(2) The department shall calculate the amount allocated to a district under this section by multiplying the district's special education pupil membership, excluding pupils described in section 51a(11), times 100% of the foundation allowance under section 20 of the pupil's district of residence, plus 100% of the amount of the district's per-pupil allocation under section 20m, not to exceed 100% of the target foundation allowance for the current fiscal year, or, for a special education pupil in membership in a district that is a public school academy, times an amount equal to 100% of the amount per membership pupil calculated under section 20(6). For an intermediate district, the amount allocated under this subsection is an amount per special education membership pupil, excluding pupils described in section 51a(11), and is calculated in the same manner as for a district, using 100% of the foundation allowance under section 20 of the pupil's district of residence, not to exceed 100% of the target foundation allowance for the current fiscal year, and 100% of that district's per-pupil allocation under section 20m.

Sec. 51g. From the general fund money appropriated in section 11, \$3,000,000.00 is allocated for ~~2025-2026~~ **2026-2027** to an



1 association for administrators of special education services to
 2 develop content for use by special education students, teachers,
 3 and others. Any content that is developed as described in this
 4 section must be accessible throughout this state. Funds received by
 5 an association under this section may be used to support the
 6 development of assessment tools to measure the needs of students
 7 with special education needs in remote learning environments and
 8 the effectiveness of various educational methods and tools, in
 9 collaboration with the department. Funds under this section may
 10 also be utilized to identify any available federal funds for
 11 research related to special education in remote learning.

12 **Sec. 51i. (1) It is the intent of the legislature that,**
 13 **beginning in the fiscal year ending September 30, 2028, a weighted**
 14 **special education funding formula be implemented to recognize the**
 15 **higher costs associated with certain student needs.**

16 **(2) It is the intent of the legislature that a weighted**
 17 **special education funding formula described in subsection (1) be**
 18 **implemented in a way to work toward the following target weights**
 19 **for payments to districts and intermediate districts for identified**
 20 **special education students:**

- 21 **(a) Speech and language impairment, 1.1.**
- 22 **(b) Specific learning disability, 1.1.**
- 23 **(c) Other health impairment multiplied, 1.8.**
- 24 **(d) Physical impairment multiplied, 3.1.**
- 25 **(e) Severe multiple impairments, 3.1.**
- 26 **(f) Cognitive impairment, 3.1.**
- 27 **(g) Deaf or hard of hearing multiplied, 3.1.**
- 28 **(h) Deaf-blindness, 3.1.**
- 29 **(i) Emotional impairment multiplied, 3.8.**

1 (j) Visual impairment, 3.8.

2 (k) Early childhood developmental delays, 3.8.

3 (l) Autism spectrum disorder, 3.8.

4 (m) Traumatic brain injury, 3.8.

5 (3) It is the intent of the legislature that payments to
6 districts and intermediate districts under the formula described in
7 this section be adjusted to take into account available federal
8 revenue and local revenue generating capacity of recipient
9 districts and intermediate districts.

10 Sec. 53a. (1) For districts, reimbursement for pupils
11 described in subsection (2) is 100% of the total approved costs of
12 operating special education programs and services approved by the
13 department and included in the intermediate district plan adopted
14 under article 3 of the revised school code, MCL 380.1701 to
15 380.1761, minus the district's foundation allowance calculated
16 under section 20 and minus the district's per-pupil allocation
17 under section 20m. For intermediate districts, the department shall
18 calculate reimbursement for pupils described in subsection (2) in
19 the same manner as for a district, using the foundation allowance
20 under section 20 of the pupil's district of residence, not to
21 exceed the target foundation allowance under section 20 for the
22 current fiscal year plus the amount of the district's per-pupil
23 allocation under section 20m.

24 (2) Reimbursement under subsection (1) is for the following
25 special education pupils:

26 (a) Pupils assigned to a district or intermediate district
27 through the community placement program of the courts or a state
28 agency, if the pupil was a resident of another intermediate
29 district at the time the pupil came under the jurisdiction of the



1 court or a state agency.

2 (b) Pupils who are residents of institutions operated by the
3 department of health and human services.

4 (c) Pupils who are former residents of department of community
5 health institutions for the developmentally disabled who are placed
6 in community settings other than the pupil's home.

7 (d) Pupils enrolled in a department-approved on-grounds
8 educational program longer than 180 days, but not longer than 233
9 days, at a residential child care institution, if the child care
10 institution offered in 1991-92 an on-grounds educational program
11 longer than 180 days but not longer than 233 days.

12 (e) Pupils placed in a district by a parent for the purpose of
13 seeking a suitable home, if the parent does not reside in the same
14 intermediate district as the district in which the pupil is placed.

15 (3) Only those costs that are clearly and directly
16 attributable to educational programs for pupils described in
17 subsection (2), and that would not have been incurred if the pupils
18 were not being educated in a district or intermediate district, are
19 reimbursable under this section.

20 (4) The costs of transportation are funded under this section
21 and are not reimbursed under section 58.

22 (5) The department shall not allocate more than \$10,500,000.00
23 of the allocation for ~~2025-2026~~**2026-2027** in section 51a(1) under
24 this section.

25 Sec. 54. Each intermediate district receives an amount per
26 pupil for each pupil in attendance at the Michigan Schools for the
27 Deaf and Blind. The amount is proportionate to the total
28 instructional cost at each school. The department shall not
29 allocate more than ~~\$1,688,000.00~~**\$4,529,400.00** of the allocation



1 for ~~2025-2026~~ **2026-2027** in section 51a(1) under this section.

2 **Sec. 54b.** From the state school aid fund money appropriated in
3 section 11, there is allocated an amount not to exceed
4 \$1,600,000.00 for 2026-2027 to expand the implementation of the
5 literacy and social, emotional, and behavioral components of a
6 multi-tiered system of supports, including positive behavioral
7 interventions and supports, using the Michigan Multi-Tiered System
8 of Supports Technical Assistance Center. All of the following apply
9 to funds allocated under this section:

10 (a) The department shall use funds allocated under this
11 section, through an intermediate district, for the purpose of
12 expanding the statewide expertise, technical assistance, and
13 implementation of the multi-tiered system of supports, dyslexia
14 expertise, and evidence-based instructional practices grounded in
15 the science of reading using the Michigan Multi-Tiered System of
16 Supports Technical Assistance Center. The department shall identify
17 an intermediate district to act as a fiscal agent for funds
18 allocated under this section.

19 (b) The department shall provide a report each year to the
20 state budget director, the house and senate appropriations
21 subcommittees on school aid, and the house and senate fiscal
22 agencies that details the following:

23 (i) The progress being made by districts in implementing multi-
24 tiered systems of supports.

25 (ii) The progress being made by districts in providing reading
26 intervention services described in section 1280f of the revised
27 school code, MCL 380.1280f, for pupils in grades K to 12.

28 (iii) Other information the department determines would be
29 useful to understand the status of districts' implementation of



1 **effective multi-tiered systems of supports and reading intervention**
2 **programs.**

3 (c) Up to 2% of funds allocated under this section may be used
4 by the intermediate district serving as the fiscal agent for these
5 funds to administer this section.

6 Sec. 54d. (1) From the state school aid fund money
7 appropriated in section 11, there is allocated an amount not to
8 exceed ~~\$23,670,700.00~~ **\$25,120,700.00** for ~~2025-2026~~ **2026-2027** to
9 intermediate districts for the purpose of providing state early on
10 services programs for children from birth to 3 years of age with a
11 developmental delay or a disability, or both, and their families,
12 as described in the early on Michigan state plan, as approved by
13 the department of lifelong education, advancement, and potential.

14 (2) To be eligible to receive grant funding under this
15 section, each intermediate district must apply in a form and manner
16 determined by the department of lifelong education, advancement,
17 and potential.

18 (3) The grant funding allocated under this section must be
19 used to increase early on services and resources available to
20 children that demonstrate developmental delays to help prepare them
21 for success as they enter school. State early on services include
22 evaluating and providing early intervention services for eligible
23 infants and toddlers and their families to address developmental
24 delays, including those affecting physical, cognitive,
25 communication, adaptive, social, or emotional development. Grant
26 funds must not be used to supplant existing services that are
27 currently being provided.

28 (4) The department of lifelong education, advancement, and
29 potential shall distribute the funds allocated under subsection (1)



1 to intermediate districts according to the department of lifelong
 2 education, advancement, and potential's early on funding formula
 3 utilized to distribute the federal award to Michigan under part C
 4 of the individuals with disabilities education act, Public Law 108-
 5 446. Funds received under this section must not supplant existing
 6 funds or resources allocated for early on early intervention
 7 services. An intermediate district receiving funds under this
 8 section shall maximize the capture of Medicaid funds to support
 9 early on early intervention services to the extent possible.

10 (5) Each intermediate district that receives funds under this
 11 section shall report data and other information to the department
 12 of lifelong education, advancement, and potential in a form,
 13 manner, and frequency prescribed by the department of lifelong
 14 education, advancement, and potential to allow for monitoring and
 15 evaluation of the program and to ensure that the children described
 16 in subsection (1) received appropriate levels and types of services
 17 delivered by qualified personnel, based on the individual needs of
 18 the children and their families.

19 (6) Notwithstanding section 17b, the department of lifelong
 20 education, advancement, and potential shall make payments under
 21 this section on a schedule determined by the department of lifelong
 22 education, advancement, and potential.

23 (7) Grant funds awarded and allocated to an intermediate
 24 district under this section must be expended by the grant recipient
 25 before June 30 of the fiscal year immediately following the fiscal
 26 year in which the funds were received.

27 Sec. 56. (1) For the purposes of this section:

28 ~~(a) "Membership" means for a particular fiscal year the total~~
 29 ~~membership of the intermediate district and the districts~~



~~constituent to the intermediate district, except that if a district has elected not to come under part 30 of the revised school code, MCL 380.1711 to 380.1741, membership of the district is not included in the membership of the intermediate district.~~

(a) "Capped local special education property tax revenue" means the amount of revenue that would be received if an intermediate district levied the maximum millage rate permitted for that intermediate district under section 1724a of the revised school code, MCL 380.1724a, capped at the statewide average special education millage rate.

(b) "Membership" means for a particular fiscal year the total membership of the intermediate district and the districts constituent to the intermediate district, except that if a district has elected not to come under part 30 of the revised school code, MCL 380.1711 to 380.1741, membership of the district is not included in the membership of the intermediate district.

(c) ~~(b)~~ "Millage levied" means the millage levied in the immediately preceding fiscal year for special education under part 30 of the revised school code, MCL 380.1711 to 380.1741. ~~including a levy for debt service obligations.~~

(d) "Special education head count" means, for a particular fiscal year, the total special education head count of an intermediate district and the districts constituent to the intermediate district from the fall pupil membership count day of the immediately preceding year, except that if a district has elected not to come under part 30 of the revised school code, MCL 380.1711 to 380.1741, special education head count of the district is not included in the special education head count of the intermediate district.



(e) "Statewide average special education millage rate" means the statewide levy amount divided by the statewide taxable value.

(f) "Statewide average taxable value per unreimbursed costs" means the statewide taxable value divided by the statewide unreimbursed costs.

(g) ~~(e)~~ "Taxable value" means the total taxable value of the districts constituent to an intermediate district **in the immediately preceding fiscal year**, except that if a district has elected not to come under part 30 of the revised school code, MCL 380.1711 to 380.1741, taxable value of the district is not included in the taxable value of the intermediate district. **Taxable value also includes both of the following:**

(i) The value of personal property exempt under the local community stabilization authority act, 2014 PA 86, MCL 123.1341 to 123.1362, and reimbursed to the intermediate district under section 17 of the local community stabilization authority act, 2014 PA 86, MCL 123.1357.

(ii) Tax increment property captured by a brownfield redevelopment authority under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670, and reimbursed to the intermediate district under section 15b of the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2665b.

(h) "Unreimbursed costs" means the sum of costs reported on the SE-4094 and SE-4096 reports for all districts in the intermediate district, less the amount of reimbursement received under section 51c, and less the capped local special education property tax revenue.

(2) From the allocation under section 51a(1), there is allocated an amount not to exceed ~~\$40,008,100.00 for 2024-2025 and~~



1 \$40,008,100.00 for 2025-2026 **and \$89,208,100.00 for 2026-2027 for**
 2 **payments** to reimburse intermediate districts levying millages for
 3 special education under part 30 of the revised school code, MCL
 4 380.1711 to 380.1741. The purpose, use, and expenditure of the
 5 reimbursement are limited as if the funds were generated by these
 6 millages and governed by the intermediate district plan adopted
 7 under article 3 of the revised school code, MCL 380.1701 to
 8 380.1761. As a condition of receiving funds under this section, an
 9 intermediate district distributing any portion of special education
 10 millage funds to its constituent districts must submit for
 11 departmental approval and implement a distribution plan.

12 ~~(3) Except as otherwise provided in this subsection,~~
 13 ~~reimbursement for those millages levied in 2023-2024 is made in~~
 14 ~~2024-2025 at an amount per 2023-2024 membership pupil computed by~~
 15 ~~subtracting from \$260,200.00 the 2023-2024 taxable value behind~~
 16 ~~each membership pupil and multiplying the resulting difference by~~
 17 ~~the 2023-2024 millage levied, and then subtracting from that amount~~
 18 ~~the 2023-2024 local community stabilization share revenue for~~
 19 ~~special education purposes and 2023-2024 tax increment revenues~~
 20 ~~captured by a brownfield redevelopment authority created under the~~
 21 ~~brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651~~
 22 ~~to 125.2670, behind each membership pupil for reimbursement of~~
 23 ~~personal property exemption loss under the local community~~
 24 ~~stabilization authority act, 2014 PA 86, MCL 123.1341 to 123.1362,~~
 25 ~~and reimbursements paid under section 26d for tax increment~~
 26 ~~revenues captured by a brownfield redevelopment authority under the~~
 27 ~~brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651~~
 28 ~~to 125.2670. For the purposes of the calculation described in the~~
 29 ~~previous sentence only, for an intermediate district receiving~~



~~funds under this section and section 62, reimbursements paid under section 26d must be multiplied by the ratio of special education millage levied, as defined in this section, and the sum of special education millage levied and vocational-technical education millage levied, as defined in section 62. Reimbursement in 2024-2025 for an intermediate district whose 2017-2018 allocation was affected by the operation of subsection (5) is an amount equal to 102.5% of the 2017-2018 allocation to that intermediate district.~~

(3) ~~(4)~~ Except as otherwise provided in this subsection, reimbursement for those millages levied in 2024-2025 is made in 2025-2026 at an amount per 2024-2025 membership pupil computed by subtracting from ~~\$278,500.00~~ **\$278,700.00** the 2024-2025 taxable value behind each membership pupil and multiplying the resulting difference by the 2024-2025 millage levied, and then subtracting from that amount the 2024-2025 local community stabilization share revenue for special education purposes and 2024-2025 tax increment revenues captured by a brownfield redevelopment authority created under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670, behind each membership pupil for reimbursement of personal property exemption loss under the local community stabilization authority act, 2014 PA 86, MCL 123.1341 to 123.1362, and reimbursements paid under section 26d for tax increment revenues captured by a brownfield redevelopment authority under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670. For the purposes of the calculation described in the previous sentence only, for an intermediate district receiving funds under this section and section 62, reimbursements paid under section 26d must be multiplied by the ratio of special education millage levied, as defined in this section, and the sum



1 of special education millage levied and vocational-technical
 2 education millage levied, as defined in section 62. Reimbursement
 3 in 2025-2026 for an intermediate district whose 2017-2018
 4 allocation was affected by the operation of subsection (5) is an
 5 amount equal to 102.5% of the 2017-2018 allocation to that
 6 intermediate district.

7 **(4) ~~(5) The~~ For 2025-2026, the** department shall ensure that
 8 the amount paid to a single intermediate district under subsection
 9 (2) does not exceed 62.9% of the total amount allocated under
 10 subsection (2).

11 **(5) ~~(6) The~~ For 2025-2026, the** department shall ensure that
 12 the amount paid to a single intermediate district under subsection
 13 (2) is not less than 75% of the amount allocated to the
 14 intermediate district under subsection (2) for the immediately
 15 preceding fiscal year.

16 **(6) ~~(7) From~~ For 2025-2026, from** the allocation under section
 17 51a(1), there is allocated an amount not to exceed \$34,200,000.00
 18 ~~for 2024-2025 and 2025-2026~~ to provide payments to intermediate
 19 districts levying millages for special education under part 30 of
 20 the revised school code, MCL 380.1711 to 380.1741. The purpose,
 21 use, and expenditure of the payments under this subsection are
 22 limited as if the funds were generated by these millages and
 23 governed by the intermediate district plan adopted under article 3
 24 of the revised school code, MCL 380.1701 to 380.1761. The
 25 department shall provide a payment under this subsection to each
 26 intermediate district described in this subsection as follows:

27 (a) ~~For 2024-2025 and 2025-2026~~, except as otherwise provided
 28 in this subsection, for an intermediate district with a 3-year
 29 average special education millage revenue per pupil in the



1 immediately preceding fiscal year that is less than \$251.00 and
2 that is levying at least 46.2% but less than 60.0% of its maximum
3 millage rate allowed under section 1724a of the revised school
4 code, MCL 380.1724a, an amount computed by subtracting from \$251.00
5 the 3-year average special education millage revenue per pupil in
6 the immediately preceding fiscal year and, only if the millage
7 levied by the intermediate district is less than 1, multiplying
8 that amount by the number of mills levied divided by 1, and then
9 multiplying that amount by the 3-year average membership in the
10 immediately preceding fiscal year, and then subtracting from that
11 amount the amount allocated under subsection (2) for the current
12 fiscal year. If the calculation under this subdivision results in
13 an amount below zero, there is no payment under this subdivision.

14 (b) For ~~2024-2025 and 2025-2026~~, except as otherwise provided
15 in this subsection, for an intermediate district with a 3-year
16 average special education millage revenue per pupil in the
17 immediately preceding fiscal year that is less than \$296.00 and
18 that is levying at least 60.0% of its maximum millage rate allowed
19 under section 1724a of the revised school code, MCL 380.1724a, an
20 amount computed by subtracting from \$296.00 the 3-year average
21 special education millage revenue per pupil in the immediately
22 preceding fiscal year, and, only if the millage levied by the
23 intermediate district is less than 1, multiplying that amount by
24 the number of mills levied divided by 1, and then multiplying that
25 amount by the 3-year average membership in the immediately
26 preceding fiscal year, and then subtracting from that amount the
27 amount allocated under subsection (2) for the current fiscal year.
28 If the calculation under this subdivision results in an amount
29 below zero, there is no payment under this subdivision.



1 **(7)** ~~(8) After~~ **For 2025-2026, after** making allocations to
 2 eligible intermediate districts under subsections (3) ~~, (4), and~~
 3 ~~(7), (6)~~, if funds remain unallocated from the allocations under
 4 subsections (2) and ~~(7), (6)~~, the department must allocate
 5 remaining funds to intermediate districts proportional to the
 6 amounts allocated to intermediate districts under ~~subsections~~
 7 **subsection (3). and (4).**

8 **(8)** ~~(9)~~ As used in subsection ~~(7) ÷ (6)~~:

9 (a) "3-year average membership" means the 3-year average pupil
 10 membership for each of the 3 most recent fiscal years.

11 (b) "3-year average special education millage revenue per
 12 pupil" means the 3-year average taxable value per mill levied
 13 behind each membership pupil for each of the 3 most recent fiscal
 14 years multiplied by the millage levied in the most recent fiscal
 15 year.

16 **(9) Beginning in 2026-2027, the department shall provide**
 17 **payments under subsection (2) to each intermediate district**
 18 **described in this subsection as follows:**

19 (a) The department shall first calculate a reimbursement for
 20 those millages levied in the immediately preceding fiscal year at
 21 an amount per special education head count by subtracting the
 22 intermediate district's taxable value per special education head
 23 count from the statewide average taxable value per special
 24 education head count, and multiplying the resulting difference by
 25 the immediately preceding fiscal year millage rate levied, capped
 26 at the statewide average special education millage rate.

27 (b) The department shall then calculate a reimbursement for
 28 unreimbursed costs by subtracting the quotient of the intermediate
 29 district's taxable value and the statewide average taxable value



1 per unreimbursed costs from the intermediate district's
2 unreimbursed costs.

3 (c) The calculation under subdivision (a) must be greater than
4 \$0.00 for an intermediate district to receive reimbursement under
5 this subsection. For an intermediate district whose calculation
6 under subdivision (a) is less than or equal to \$0.00, the amount in
7 subdivision (b) is \$0.00 for purposes of the calculation in
8 subdivision (d).

9 (d) The department shall then calculate the average of the
10 amounts calculated under subdivisions (a) and (b) for each
11 intermediate district. For the purpose of the calculation under
12 this subdivision, calculations in subdivision (a) or (b) that
13 result in negative totals are treated as \$0.00.

14 (e) The amount reimbursed under subsection (2) is the 3-year
15 average of the amount calculated under subdivision (d) for the 3
16 most recent fiscal years.

17 (10) If total payments calculated under subsection (9) exceed
18 the amount allocated in subsection (2), the department must prorate
19 the payments on an equal percentage basis.

20 (11) In addition to the funds allocated under subsection (2),
21 from the state school aid pupil support reserve fund money
22 appropriated in section 11, there is allocated an amount not to
23 exceed \$11,000,000.00 for 2026-2027 only to intermediate districts
24 described in this section. For any intermediate district where the
25 calculation under subsection (9) results in a number that is less
26 than the amount the intermediate district received under this
27 section in 2025-2026, the department shall make an additional
28 payment to that intermediate district in an amount equal to 100% of
29 the difference between the current year payment and the total



1 **payment received in 2025-2026. If the total payments calculated**
2 **under this subsection exceed the amount allocated under this**
3 **subsection, the department must prorate payments on an equal**
4 **percentage basis.**

5 Sec. 61a. (1) From the state school aid fund money
6 appropriated in section 11, there is allocated an amount not to
7 exceed ~~\$41,733,800.00~~ **\$44,233,800.00** for ~~2025-2026~~ **2026-2027** to
8 reimburse on an added cost basis districts, except for a district
9 that served as the fiscal agent for a vocational education
10 consortium in the 1993-94 school year and that has a foundation
11 allowance as calculated under section 20 greater than the target
12 foundation allowance under that section, and secondary area
13 vocational-technical education centers for secondary-level career
14 and technical education programs according to rules approved by the
15 superintendent. Applications for participation in the programs must
16 be submitted in the form prescribed by the department. The
17 department shall determine the added cost for each career and
18 technical education program area. The department shall prioritize
19 the allocation of added cost funds based on the capital and program
20 expenditures needed to operate the career and technical education
21 programs provided; the number of pupils enrolled; the advancement
22 of pupils through the instructional program; the existence of an
23 articulation agreement with at least 1 postsecondary institution
24 that provides pupils with opportunities to earn postsecondary
25 credit during the pupil's participation in the career and technical
26 education program and transfers those credits to the postsecondary
27 institution upon completion of the career and technical education
28 program; and the program rank in student placement, job openings,
29 and wages, and shall ensure that the allocation does not exceed 75%



1 of the added cost of any program. Notwithstanding any rule or
2 department determination to the contrary, when determining a
3 district's allocation or the formula for making allocations under
4 this section, the department shall include the participation of
5 pupils in grade 9 in all of those determinations and in all
6 portions of the formula. With the approval of the department, the
7 board of a district maintaining a secondary career and technical
8 education program may offer the program for the period from the
9 close of the school year until September 1. The program shall use
10 existing facilities and must be operated as prescribed by rules
11 promulgated by the superintendent.

12 (2) Except for a district that served as the fiscal agent for
13 a vocational education consortium in the 1993-94 school year, the
14 department shall reimburse districts and intermediate districts for
15 local career and technical education administration, shared time
16 career and technical education administration, and career education
17 planning district career and technical education administration.
18 The superintendent shall adopt guidelines for the definition of
19 what constitutes administration and shall make reimbursement
20 pursuant to those guidelines. The department shall not distribute
21 more than \$800,000.00 of the allocation in subsection (1) under
22 this subsection.

23 (3) A career and technical education program funded under this
24 section may provide an opportunity for participants who are
25 eligible to be funded under section 107 to enroll in the career and
26 technical education program funded under this section if the
27 participation does not occur during regular school hours.

28 Sec. 61b. (1) From the state school aid fund money
29 appropriated under section 11, there is allocated for ~~2025-2026~~



1 **2026-2027** an amount not to exceed ~~\$8,368,000.00~~ **\$8,868,000.00** for
 2 CTE early middle college and CTE dual enrollment programs
 3 authorized under this section and for planning grants for the
 4 development or expansion of CTE early middle college programs. The
 5 purpose of these programs is to increase the number of Michigan
 6 residents with high-quality degrees or credentials, and to increase
 7 the number of students who are college and career ready upon high
 8 school graduation.

9 (2) From the funds allocated under subsection (1), the
 10 department shall allocate an amount as determined under this
 11 subsection to each intermediate district serving as a fiscal agent
 12 for state-approved CTE early middle college and CTE dual enrollment
 13 programs in each of the career education planning districts
 14 identified by the department. An intermediate district shall not
 15 use more than 5% of the funds allocated under this subsection for
 16 administrative costs for serving as the fiscal agent.

17 (3) To be an eligible fiscal agent, an intermediate district
 18 must agree to do all of the following in a form and manner
 19 determined by the department:

20 (a) Distribute funds to eligible CTE early middle college and
 21 CTE dual enrollment programs in a career education planning
 22 district as described in this section.

23 (b) Collaborate with the career and educational advisory
 24 council in the workforce development board service delivery area to
 25 develop 1 regional strategic plan under subsection (4) that aligns
 26 CTE programs and services into an efficient and effective delivery
 27 system for high school students. The department will align career
 28 education planning districts, workforce development board service
 29 delivery areas, and intermediate districts for the purpose of



1 creating 1 regional strategic plan for each workforce development
2 board service delivery area.

3 (c) Implement a regional process to rank career clusters in
4 the workforce development board service delivery area as described
5 under subsection (4). Regional processes must be approved by the
6 department before the ranking of career clusters.

7 (d) Report CTE early middle college and CTE dual enrollment
8 program and student data and information as prescribed by the
9 department and the center.

10 (e) The local education agency responsible for student
11 reporting in the Michigan student data system (MSDS) will report
12 the total number of college credits the student earned, at the time
13 of high school graduation, as determined by the department and the
14 center.

15 (f) The local education agency will report each award outcome
16 in the Michigan student data system (MSDS) that the CTE early
17 middle college student attained. For purposes of this subsection,
18 an on-track CTE early middle college graduate is a graduate who
19 obtained their high school diploma and at least 1 of the following:

20 (i) An associate degree.

21 (ii) 60 transferable college credits.

22 (iii) Professional certification.

23 (iv) A Michigan Early Middle College Association certificate.

24 (v) Participation in a registered apprenticeship.

25 (4) A regional strategic plan must be approved by the career
26 and educational advisory council before submission to the
27 department. A regional strategic plan must include, but is not
28 limited to, the following:

29 (a) An identification of regional employer need based on a



1 ranking of all career clusters in the workforce development board
2 service delivery area ranked by 10-year projections of annual job
3 openings and median wage for each standard occupational code in
4 each career cluster as obtained from the United States Bureau of
5 Labor Statistics. Standard occupational codes within high-ranking
6 clusters also may be further ranked by median wage and annual job
7 openings. The career and educational advisory council located in
8 the workforce development board service delivery area shall review
9 the rankings and modify them if necessary to accurately reflect
10 employer demand for talent in the workforce development board
11 service delivery area. A career and educational advisory council
12 shall document that it has conducted this review and certify that
13 it is accurate. These career cluster rankings must be determined
14 and updated once every 4 years.

15 (b) An identification of educational entities in the workforce
16 development board service delivery area that will provide eligible
17 CTE early middle college and CTE dual enrollment programs including
18 districts, intermediate districts, postsecondary institutions, and
19 noncredit occupational training programs leading to an industry-
20 recognized credential.

21 (c) A strategy to inform parents and students of CTE early
22 middle college and CTE dual enrollment programs in the workforce
23 development board service delivery area.

24 (d) Any other requirements as defined by the department.

25 (5) An eligible CTE program is a program that meets all of the
26 following:

27 (a) Has been identified in the highest 5 career cluster
28 rankings in any of the 16 workforce development board service
29 delivery area strategic plans jointly approved by the department of



1 labor and economic opportunity and the department.

2 (b) Has a coherent sequence of courses in a specific career
3 cluster that will allow a student to earn a high school diploma and
4 achieve at least 1 of the following:

5 (i) For CTE early middle college, outcomes as defined in
6 subsection (3) (f).

7 (ii) For CTE dual enrollment, 1 of the following:

8 (A) An associate degree.

9 (B) An industry-recognized technical certification approved by
10 the department of labor and economic opportunity.

11 (C) Up to 60 transferable college credits.

12 (D) Participation in a registered apprenticeship, pre-
13 apprenticeship, or apprentice readiness program.

14 (c) Is aligned with the Michigan merit curriculum.

15 (d) Has an articulation or a college credit agreement with at
16 least 1 postsecondary institution that provides students with
17 opportunities to receive postsecondary credits during the student's
18 participation in the CTE early middle college or CTE dual
19 enrollment program and transfers those credits to the postsecondary
20 institution upon completion of the CTE early middle college or CTE
21 dual enrollment program.

22 (e) Provides instruction that is supervised, directed, or
23 coordinated by an appropriately certificated CTE teacher or, for
24 concurrent enrollment courses, a postsecondary faculty member.

25 (f) Provides for highly integrated student support services
26 that include at least the following:

27 (i) Teachers as academic advisors.

28 (ii) Supervised course selection.

29 (iii) Monitoring of student progress and completion.



(iv) Career planning services provided by a local one-stop service center as described in the Michigan works one-stop service center system act, 2006 PA 491, MCL 408.111 to 408.135, or by a high school counselor or advisor.

(g) Has courses that are taught on a college campus, are college courses offered at the high school and taught by college faculty, or are courses taught in combination with online instruction.

(6) The department shall distribute funds to eligible CTE early middle college and CTE dual enrollment programs as follows:

(a) The department shall determine statewide average CTE costs per pupil for each CIP code program by calculating statewide average costs for each CIP code program for the 3 most recent fiscal years.

(b) The distribution to each eligible CTE early middle college or CTE dual enrollment program is the product of 50% of CTE costs per pupil times the pupil enrollment of each eligible CTE early middle college or CTE dual enrollment program in the immediately preceding school year.

(7) To receive funds under this section, a CTE early middle college or CTE dual enrollment program shall furnish to the intermediate district that is the fiscal agent identified in subsection (2), in a form and manner determined by the department, all information needed to administer this program and meet federal reporting requirements; shall allow the department or the department's designee to review all records related to the program for which it receives funds; and shall reimburse the state for all disallowances found in the review, as determined by the department.

(8) There is allocated for ~~2025-2026~~**2026-2027** from the funds



1 under subsection (1) an amount not to exceed \$500,000.00 from the
2 state school aid fund allocation for grants to intermediate
3 districts or consortia of intermediate districts for the purpose of
4 planning for new or expanded early middle college programs.
5 Applications for grants must be submitted in a form and manner
6 determined by the department. The amount of a grant under this
7 subsection must not exceed \$50,000.00. To be eligible for a grant
8 under this subsection, an intermediate district or consortia of
9 intermediate districts must provide matching funds equal to the
10 grant received under this subsection. Notwithstanding section 17b,
11 the department shall make payments under this subsection in the
12 manner determined by the department.

13 (9) Funds distributed under this section may be used to fund
14 program expenditures that would otherwise be paid from foundation
15 allowances. A program receiving funding under section 61a may
16 receive funding under this section for allowable costs that exceed
17 the reimbursement the program received under section 61a. The
18 combined payments received by a program under section 61a and this
19 section must not exceed the total allowable costs of the program. A
20 program provider shall not use more than 5% of the funds allocated
21 under this section to the program for administrative costs.

22 (10) If the allocation under subsection (1) is insufficient to
23 fully fund payments as otherwise calculated under this section, the
24 department shall prorate payments under this section on an equal
25 percentage basis, using for that proration calculation payments
26 made for CTE dual enrollment programs only.

27 (11) If pupils enrolled in a career cluster in an eligible CTE
28 early middle college or CTE dual enrollment program qualify to be
29 reimbursed under this section, those pupils continue to qualify for

1 reimbursement until graduation, even if the career cluster is no
2 longer identified as being in the highest 5 career cluster
3 rankings.

4 (12) As used in this section:

5 (a) "Allowable costs" means those costs directly attributable
6 to the program as jointly determined by the department of labor and
7 economic opportunity and the department.

8 (b) "Career and educational advisory council" means an
9 advisory council to the local workforce development boards located
10 in a workforce development board service delivery area consisting
11 of educational, employer, labor, and parent representatives.

12 (c) "CIP" means classification of instructional programs.

13 (d) "CTE" means career and technical education programs.

14 (e) "CTE dual enrollment program" means a 4-year high school
15 program of postsecondary courses offered by eligible postsecondary
16 educational institutions that leads to an industry-recognized
17 certification or degree.

18 (f) "Early middle college program" means a 5-year high school
19 program.

20 (g) "Eligible postsecondary educational institution" means
21 that term as defined in section 3 of the career and technical
22 preparation act, 2000 PA 258, MCL 388.1903.

23 Sec. 62. (1) For the purposes of this section:

24 (a) "Membership" means for a particular fiscal year the total
25 membership of the intermediate district and the districts
26 constituent to the intermediate district or the total membership of
27 the area vocational-technical program, except that if a district
28 has elected not to come under sections 681 to 690 of the revised
29 school code, MCL 380.681 to 380.690, the membership of that



1 district are not included in the membership of the intermediate
2 district. However, the membership of a district that has elected
3 not to come under sections 681 to 690 of the revised school code,
4 MCL 380.681 to 380.690, is included in the membership of the
5 intermediate district if the district meets both of the following:

6 (i) The district operates the area vocational-technical
7 education program pursuant to a contract with the intermediate
8 district.

9 (ii) The district contributes an annual amount to the operation
10 of the program that is commensurate with the revenue that would
11 have been raised for operation of the program if millage were
12 levied in the district for the program under sections 681 to 690 of
13 the revised school code, MCL 380.681 to 380.690.

14 (b) "Millage levied" means the millage levied for area
15 vocational-technical education under sections 681 to 690 of the
16 revised school code, MCL 380.681 to 380.690, including a levy for
17 debt service obligations incurred as the result of borrowing for
18 capital outlay projects and in meeting capital projects fund
19 requirements of area vocational-technical education.

20 (c) "Taxable value" means the total taxable value of the
21 districts constituent to an intermediate district or area
22 vocational-technical education program, except that if a district
23 has elected not to come under sections 681 to 690 of the revised
24 school code, MCL 380.681 to 380.690, the taxable value of that
25 district is not included in the taxable value of the intermediate
26 district. However, the taxable value of a district that has elected
27 not to come under sections 681 to 690 of the revised school code,
28 MCL 380.681 to 380.690, is included in the taxable value of the
29 intermediate district if the district meets both of the following:



1 (i) The district operates the area vocational-technical
 2 education program pursuant to a contract with the intermediate
 3 district.

4 (ii) The district contributes an annual amount to the operation
 5 of the program that is commensurate with the revenue that would
 6 have been raised for operation of the program if millage were
 7 levied in the district for the program under sections 681 to 690 of
 8 the revised school code, MCL 380.681 to 380.690.

9 (2) From the state school aid fund money appropriated in
 10 section 11, there is allocated an amount not to exceed
 11 \$9,190,000.00 each fiscal year for 2024-2025 and 2025-2026 to
 12 reimburse intermediate districts and area vocational-technical
 13 education programs established under section 690(3) of the revised
 14 school code, MCL 380.690, levying millages for area vocational-
 15 technical education under sections 681 to 690 of the revised school
 16 code, MCL 380.681 to 380.690. The purpose, use, and expenditure of
 17 the reimbursement are limited as if the funds were generated by
 18 those millages.

19 ~~(3) Reimbursement for those millages levied in 2023-2024 is~~
 20 ~~made in 2024-2025 at an amount per 2023-2024 membership pupil~~
 21 ~~computed by subtracting from \$269,800.00 the 2023-2024 taxable~~
 22 ~~value behind each membership pupil and multiplying the resulting~~
 23 ~~difference by the 2023-2024 millage levied, and then subtracting~~
 24 ~~from that amount the 2023-2024 local community stabilization share~~
 25 ~~revenue for area vocational technical education and 2023-2024 tax~~
 26 ~~increment revenues captured by a brownfield redevelopment authority~~
 27 ~~created under the brownfield redevelopment financing act, 1996 PA~~
 28 ~~381, MCL 125.2651 to 125.2670, behind each membership pupil for~~
 29 ~~reimbursement of personal property exemption loss under the local~~



~~community stabilization authority act, 2014 PA 86, MCL 123.1341 to 123.1362, and reimbursements paid under section 26d for tax increment revenues captured by a brownfield redevelopment authority under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670. For the purposes of the calculation described in the previous sentence only, for an intermediate district receiving funds under this section and section 56, reimbursements paid under section 26d must be multiplied by the ratio of vocational-technical education millage levied, as defined in this section, and the sum of vocational-technical education millage levied and special education.~~

(3) ~~(4)~~ Reimbursement for those millages levied in 2024-2025 is made in 2025-2026 at an amount per 2024-2025 membership pupil computed by subtracting from ~~\$287,400.00~~ **\$288,300.00** the 2024-2025 taxable value behind each membership pupil and multiplying the resulting difference by the 2024-2025 millage levied, and then subtracting from that amount the 2024-2025 local community stabilization share revenue for area vocational technical education and 2024-2025 tax increment revenues captured by a brownfield redevelopment authority created under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670, behind each membership pupil for reimbursement of personal property exemption loss under the local community stabilization authority act, 2014 PA 86, MCL 123.1341 to 123.1362, and reimbursements paid under section 26d for tax increment revenues captured by a brownfield redevelopment authority under the brownfield redevelopment financing act, 1996 PA 381, MCL 125.2651 to 125.2670. For the purposes of the calculation described in the previous sentence only, for an intermediate district receiving funds under this



1 section and section 56, reimbursements paid under section 26d must
2 be multiplied by the ratio of vocational-technical education
3 millage levied, as defined in this section, and the sum of
4 vocational-technical education millage levied and special education
5 millage levied, as defined in section 56.

6 (4) Reimbursement for those millages levied in 2025-2026 is
7 made in 2026-2027 at an amount per 2025-2026 membership pupil
8 computed by subtracting from \$303,500.00 the 2025-2026 taxable
9 value behind each membership pupil and multiplying the resulting
10 difference by the 2025-2026 millage levied, and then subtracting
11 from that amount the 2025-2026 local community stabilization share
12 revenue for area vocational technical education and 2025-2026 tax
13 increment revenues captured by a brownfield redevelopment authority
14 created under the brownfield redevelopment financing act, 1996 PA
15 381, MCL 125.2651 to 125.2670, behind each membership pupil for
16 reimbursement of personal property exemption loss under the local
17 community stabilization authority act, 2014 PA 86, MCL 123.1341 to
18 123.1362, and reimbursements paid under section 26d for tax
19 increment revenues captured by a brownfield redevelopment authority
20 under the brownfield redevelopment financing act, 1996 PA 381, MCL
21 125.2651 to 125.2670. For the purposes of the calculation described
22 in the previous sentence only, for an intermediate district
23 receiving funds under this section and section 56, reimbursements
24 paid under section 26d must be multiplied by the ratio of
25 vocational-technical education millage levied, as defined in this
26 section, and the sum of vocational-technical education millage
27 levied and special education millage levied, as defined in section
28 56.

29 (5) The department shall ensure that the amount paid to a



1 single intermediate district under this section does not exceed
2 38.4% of the total amount allocated under subsection (2).

3 (6) The department shall ensure that the amount paid to a
4 single intermediate district under this section is not less than
5 75% of the amount allocated to the intermediate district under this
6 section for the immediately preceding fiscal year.

7 Sec. 65. (1) From the state school aid pupil support reserve
8 fund money appropriated in section 11, there is allocated an amount
9 not to exceed \$900,000.00 for ~~2025-2026~~**2026-2027** only for a pre-
10 college engineering K to 12 educational program that is focused on
11 the development of a diverse future Michigan workforce, that serves
12 multiple communities within southeast Michigan, that enrolls pupils
13 from multiple districts, and that received funds appropriated for
14 this purpose in the appropriations act that provided the Michigan
15 strategic fund budget for 2014-2015. It is the intent of the
16 legislature that the appropriation under this section will be
17 funded with state school aid pupil support reserve fund money
18 through 2027-2028.

19 (2) To be eligible for funding under this section, a program
20 must have the ability to expose pupils to, and motivate and prepare
21 pupils for, science, technology, engineering, and mathematics
22 careers and postsecondary education with special attention given to
23 groups of pupils who are at-risk and underrepresented in technical
24 professions and careers.

25 Sec. 67. (1) From the general fund money appropriated in
26 section 11, there is allocated an amount not to exceed
27 \$3,000,000.00 for ~~2025-2026~~**2026-2027** for college access programs.
28 The programs funded under this section are intended to inform
29 students of college and career options, to provide resources



1 intended to increase the number of pupils who are adequately
2 prepared with the information needed to make informed decisions on
3 college and career, support adult learners, support college
4 completion, and support workforce and employer engagement. The
5 funds appropriated under this section are intended to be used to
6 increase the number of Michigan residents with high-quality degrees
7 or credentials. Funds appropriated under this section must not be
8 used to supplant funding for counselors already funded by
9 districts.

10 (2) The department of lifelong education, advancement, and
11 potential shall administer funds allocated under this section in
12 collaboration with the Michigan college access network. These funds
13 may be used for any of the following purposes:

14 (a) Michigan college access network operations, programming,
15 and services to local college access networks.

16 (b) Local college access networks, which are community-based
17 college access/success partnerships committed to increasing the
18 college participation and completion rates within geographically
19 defined communities through a coordinated strategy.

20 (c) The Michigan college advising program, a program intended
21 to place trained, recently graduated college advisors in high
22 schools that serve significant numbers of low-income and first-
23 generation college-going pupils. State funds used for this purpose
24 may not exceed 33% of the total funds available under this
25 subsection.

26 (d) Subgrants of up to \$5,000.00 to districts with
27 comprehensive high schools that establish a college access team and
28 implement specific strategies to create a college-going culture in
29 a high school in a form and manner approved by the Michigan college



1 access network and the department of lifelong education,
2 advancement, and potential.

3 (e) The Michigan college access portal, an online one-stop
4 portal to help pupils and families plan and apply for college.

5 (f) Public awareness and outreach campaigns to encourage low-
6 income and first-generation college-going pupils to take necessary
7 steps toward college and to assist pupils and families in
8 completing a timely and accurate free application for federal
9 student aid.

10 (g) Subgrants to postsecondary institutions to recruit, hire,
11 and train college student mentors and college advisors to assist
12 high school pupils in navigating the postsecondary planning and
13 enrollment process.

14 (3) For the purposes of this section, "college" means any
15 postsecondary educational opportunity that leads to a career,
16 including, but not limited to, a postsecondary degree, industry-
17 recognized technical certification, or registered apprenticeship.

18 Sec. 67f. (1) From the state school aid pupil support reserve
19 fund money appropriated in section 11, there is allocated for ~~2025-~~
20 ~~2026-2026-2027~~ only an amount not to exceed \$10,000,000.00 for
21 districts to improve FAFSA completion rates. It is the intent of
22 the legislature that the appropriation under this section will be
23 funded with state school aid pupil support reserve fund money
24 through 2027-2028.

25 (2) To be eligible to receive funding under this section, each
26 district must apply in a form and manner determined by the
27 department of lifelong education, advancement, and potential. ~~The~~
28 ~~department of lifelong education, advancement, and potential shall~~
29 ~~make the application available by not later than November 1, 2025.~~



1 ~~A district shall apply for funding to the department of lifelong~~
2 ~~education, advancement, and potential by not later than December 1,~~
3 ~~2025.~~ In the application, the department of lifelong education,
4 advancement, and potential shall only require a district to certify
5 that it will do both of the following:

6 (a) Except as otherwise provided in subsection (3), require
7 all students to complete the FAFSA to graduate from high school.

8 (b) Use funds received under this section for participation in
9 and implementation of activities that are known to drive FAFSA
10 completion, as determined by the department of lifelong education,
11 advancement, and potential, in collaboration with the Michigan
12 College Access Network.

13 (3) A district shall exempt a student from the requirement to
14 complete the FAFSA if any of the following are met:

15 (a) The student's parent or legal guardian, or the student if
16 the student is 18 years of age or older, is an emancipated minor,
17 or is an unaccompanied youth, has submitted a parental waiver to
18 the district exempting the student from completing the FAFSA. The
19 parental waiver described in this subdivision must be obtained
20 through a standard form developed by the department of lifelong
21 education, advancement, and potential.

22 (b) The student is unable to complete the FAFSA because of
23 privacy concerns.

24 (c) All of the following are met:

25 (i) After a good-faith effort, the student's parent or legal
26 guardian refuses to sign the parental waiver, is unresponsive, or
27 cannot sign the parental waiver.

28 (ii) The student is unable to complete the FAFSA as an
29 independent student.



(iii) The student agrees to opt out of completing the FAFSA.

(iv) Other than the requirements in subsection (2), the student is on track to graduate.

(v) A school administrator of the student's high school demonstrates to the board that good-faith efforts have been made to assist the student or the student's parent or legal guardian in completing the FAFSA or obtaining a parental waiver.

(vi) The board ensures compliance with 42 USC 11432(g)(6)(A).

(4) The department of lifelong education, advancement, and potential may use past participation in the FAFSA Completion Challenge under this section as a factor in determining district eligibility.

(5) ~~(4) By not later than January 31, 2026, the~~ The department of lifelong education, advancement, and potential shall pay each eligible district an equal amount per pupil multiplied by the number of pupils enrolled and attending grade 12 in the district. Initial payments must be made by not later than January 31, 2027.

(6) ~~(5)~~ Notwithstanding section 17b, the department of lifelong education, advancement, and potential shall make payments under this section on a schedule determined by the department of lifelong education, advancement, and potential.

(7) Notwithstanding section 18a, funds allocated under this section may be available for expenditure until September 30, 2029. A recipient of funding under this section must return any unexpended funds to the department in the manner prescribed by the department by not later than October 30, 2030.

(8) ~~(6)~~ As used in the ~~this~~ section, "FAFSA" means the free application for federal student aid form.

Sec. 74. (1) From the state school aid fund money appropriated



1 in section 11, there is allocated an amount not to exceed
 2 ~~\$3,949,900.00~~ **\$4,003,100.00** for ~~2025-2026~~ **2026-2027** for the
 3 purposes of this section.

4 (2) From the allocation in subsection (1), there is allocated
 5 for ~~2025-2026~~ **2026-2027** the amount necessary for payments to state
 6 supported colleges or universities and intermediate districts
 7 providing school bus driver safety instruction under section 51 of
 8 the pupil transportation act, 1990 PA 187, MCL 257.1851. The
 9 department shall make payments in an amount determined by the
 10 department not to exceed the actual cost of instruction and driver
 11 compensation for each public or nonpublic school bus driver
 12 attending a course of instruction. For the purpose of computing
 13 compensation, the hourly rate allowed each school bus driver must
 14 not exceed the hourly rate received for driving a school bus. The
 15 department shall make reimbursement compensating the driver during
 16 the course of instruction to the college or university or
 17 intermediate district providing the course of instruction.

18 (3) From the allocation in subsection (1), there is allocated
 19 for ~~2025-2026~~ **2026-2027** the amount necessary to pay the reasonable
 20 costs of nonspecial education auxiliary services transportation
 21 provided under section 1323 of the revised school code, MCL
 22 380.1323. Districts funded under this subsection do not receive
 23 funding under any other section of this article for nonspecial
 24 education auxiliary services transportation.

25 (4) From the funds allocated in subsection (1), there is
 26 allocated an amount not to exceed ~~\$1,924,900.00~~ **\$1,978,100.00** for
 27 ~~2025-2026~~ **2026-2027** for the inspection of school buses and pupil
 28 transportation vehicles by the department of state police as
 29 required under section 715a of the Michigan vehicle code, 1949 PA



300, MCL 257.715a, and section 39 of the pupil transportation act, 1990 PA 187, MCL 257.1839. The department of state police shall prepare a statement of costs and submit it to the department and to an intermediate district serving as fiduciary in a time and manner determined jointly by the department and the department of state police. Upon review and approval of the statement of cost, the department shall forward to the designated intermediate district serving as fiduciary the amount detailed on the statement within 45 days after receipt of the statement. The designated intermediate district fiduciary shall make payment in the amount specified on the statement to the department of state police within 45 days after receipt of the statement. The total reimbursement of costs under this subsection must not exceed the amount allocated under this subsection. Notwithstanding section 17b, the department shall make payments to eligible entities under this subsection on a schedule prescribed by the department.

Sec. 81. (1) From the state school aid fund money appropriated in section 11, there is allocated for ~~2025-2026~~**2026-2027** to intermediate districts the sum necessary, but not to exceed ~~\$83,157,700.00,~~**\$85,355,700.00,** to provide state aid to intermediate districts under this section.

(2) The amount allocated under this section to each intermediate school district for the current fiscal year is equal to the allocation for the immediately preceding fiscal year plus an equal percentage increase for all intermediate school districts. An intermediate district shall use funding provided under this section to comply with requirements of this article and the revised school code that are applicable to intermediate districts, and for which funding is not provided elsewhere in this article, and to provide

1 technical assistance to districts as authorized by the intermediate
2 school board.

3 (3) Intermediate districts receiving funds under this section
4 shall collaborate with the department to develop expanded
5 professional development opportunities for teachers to update and
6 expand their knowledge and skills needed to support the Michigan
7 merit curriculum.

8 (4) From the allocation in subsection (1), there is allocated
9 to an intermediate district, formed by the consolidation or
10 annexation of 2 or more intermediate districts or the attachment of
11 a total intermediate district to another intermediate district or
12 the annexation of all of the constituent K to 12 districts of a
13 previously existing intermediate district which has disorganized,
14 an additional allotment of \$3,500.00 each fiscal year for each
15 intermediate district included in the new intermediate district for
16 3 years following consolidation, annexation, or attachment.

17 (5) To receive funding under this section, an intermediate
18 district shall do all of the following:

19 (a) Demonstrate to the satisfaction of the department that the
20 intermediate district employs at least 1 person who is trained in
21 pupil accounting and auditing procedures, rules, and regulations.

22 (b) Demonstrate to the satisfaction of the department that the
23 intermediate district employs at least 1 person who is trained in
24 rules, regulations, and district reporting procedures for the
25 individual-level student data that serves as the basis for the
26 calculation of the district and high school graduation and dropout
27 rates.

28 (c) Comply with sections 1278a and 1278b of the revised school
29 code, MCL 380.1278a and 380.1278b.



1 (d) Furnish data and other information required by state and
2 federal law to the center and the department in the form and manner
3 specified by the center or the department, as applicable.

4 (e) Comply with section 1230g of the revised school code, MCL
5 380.1230g.

6 (f) Ensure that all districts located within the intermediate
7 district's geographic boundaries have equitable access to the
8 intermediate district's coordination activities and services,
9 intermediate district-wide or regional meetings, regularly
10 scheduled superintendent meetings, programming, events, email
11 distribution lists, listservs, or other coordination or
12 collaboration activities organized by or hosted in the intermediate
13 district. In ensuring that all districts located within the
14 geographic boundaries of the intermediate district have equitable
15 access to the services, meetings, programming, events, email
16 distribution lists, listservs, or activities, the intermediate
17 district shall ensure that districts that are public school
18 academies and that are located within the intermediate district's
19 geographic boundaries are not excluded from the services, meetings,
20 programming, events, email distribution lists, listservs, or
21 activities organized by or hosted in the intermediate district if
22 districts that are not public school academies and that are located
23 within the geographic boundaries of the intermediate district are
24 not excluded.

25 Sec. 94. (1) From the general fund money appropriated in
26 section 11, there is allocated to the department for ~~2025-2026~~
27 **2026-2027** an amount not to exceed \$2,600,000.00 for efforts to
28 increase the number of pupils who participate and succeed in
29 advanced placement and international baccalaureate programs, and to



1 support the college-level examination program (CLEP). It is the
2 intent of the legislature that, for ~~2026-2027~~, **2027-2028**, the
3 allocation from the general fund money appropriated in section 11
4 for purposes described in this section will be \$1,200,000.00.

5 (2) From the funds allocated under this section, the
6 department shall award funds to cover all or part of the costs of
7 advanced placement test fees or international baccalaureate test
8 fees and international baccalaureate registration fees for low-
9 income pupils who take an advanced placement or an international
10 baccalaureate test and CLEP fees for low-income pupils who take a
11 CLEP test.

12 (3) The department shall only award funds under this section
13 if the department determines that all of the following criteria are
14 met:

15 (a) Each pupil for whom payment is made meets eligibility
16 requirements of the federal advanced placement test fee program
17 under the no child left behind act of 2001, Public Law 107-110, or
18 the every student succeeds act, Public Law 114-95, as applicable.

19 (b) The tests are administered by the college board, the
20 international baccalaureate organization, or another test provider
21 approved by the department.

22 (c) The pupil for whom payment is made pays at least \$5.00
23 toward the cost of each test for which payment is made.

24 (4) If funds remain after the awards granted in subsection
25 (2), the department shall award funds to reimburse a portion of the
26 costs associated with the provision of advanced placement (AP),
27 international baccalaureate (IB), or college-level examination
28 program (CLEP) exams for students whose family income exceeds low-
29 income status as determined by the department.



1 (5) The department shall establish procedures for awarding
2 funds under this section.

3 (6) Notwithstanding section 17b, the department shall make
4 payments under this section on a schedule determined by the
5 department.

6 Sec. 94a. (1) There is created within the state budget office
7 in the department of technology, management, and budget the center
8 for educational performance and information. The center shall do
9 all of the following:

10 (a) Coordinate the collection of all data required by state
11 and federal law from districts, intermediate districts, and
12 postsecondary institutions.

13 (b) Create, maintain, and enhance this state's P-20
14 longitudinal data system and ensure that it meets the requirements
15 of subsection (4).

16 (c) Collect data in the most efficient manner possible to
17 reduce the administrative burden on reporting entities, including,
18 but not limited to, electronic transcript services.

19 (d) Create, maintain, and enhance this state's web-based
20 educational portal to provide information to school leaders,
21 teachers, researchers, and the public in compliance with all
22 federal and state privacy laws. Data must include, but are not
23 limited to, all of the following:

24 (i) Data sets that link teachers to student information,
25 allowing districts to assess individual teacher impact on student
26 performance and consider student growth factors in teacher and
27 principal evaluation systems.

28 (ii) Data access or, if practical, data sets, provided for
29 regional data hubs that, in combination with local data, can



1 improve teaching and learning in the classroom.

2 (iii) Research-ready data sets for researchers to perform
3 research that advances this state's educational performance.

4 (e) Provide data in a useful manner to allow state and local
5 policymakers to make informed policy decisions.

6 (f) Provide public reports to the residents of this state to
7 allow them to assess allocation of resources and the return on
8 their investment in the education system of this state.

9 (g) Other functions as assigned by the state budget director.

10 (2) Each state department, officer, or agency that collects
11 information from districts, intermediate districts, or
12 postsecondary institutions as required under state or federal law
13 shall make arrangements with the center to ensure that the state
14 department, officer, or agency is in compliance with subsection
15 (1). This subsection does not apply to information collected by the
16 department of treasury under the uniform budgeting and accounting
17 act, 1968 PA 2, MCL 141.421 to 141.440a; the revised municipal
18 finance act, 2001 PA 34, MCL 141.2101 to 141.2821; the school bond
19 qualification, approval, and loan act, 2005 PA 92, MCL 388.1921 to
20 388.1939; or section 1351a of the revised school code, MCL
21 380.1351a.

22 (3) The center may enter into any interlocal agreements
23 necessary to fulfill its functions.

24 (4) The center shall ensure that the P-20 longitudinal data
25 system required under subsection (1)(b) meets all of the following:

26 (a) Includes data at the individual student level from
27 preschool through postsecondary education and into the workforce.

28 (b) Supports interoperability by using standard data
29 structures, data formats, and data definitions to ensure linkage



1 and connectivity in a manner that facilitates the exchange of data
 2 among agencies and institutions within the state and between
 3 states.

4 (c) Enables the matching of individual teacher and student
 5 records so that an individual student may be matched with those
 6 teachers providing instruction to that student.

7 (d) Enables the matching of individual teachers with
 8 information about their certification and the institutions that
 9 prepared and recommended those teachers for state certification.

10 (e) Enables data to be easily generated for continuous
 11 improvement and ~~decision-making,~~ **decision** including timely
 12 reporting to parents, teachers, and school leaders on student
 13 achievement.

14 (f) Ensures the reasonable quality, validity, and reliability
 15 of data contained in the system.

16 (g) Provides this state with the ability to meet federal and
 17 state reporting requirements.

18 (h) For data elements related to preschool through grade 12
 19 and postsecondary, meets all of the following:

20 (i) Contains a unique statewide student identifier that does
 21 not permit a student to be individually identified by users of the
 22 system, except as allowed by federal and state law.

23 (ii) Contains student-level enrollment, demographic, and
 24 program participation information, including data associated with
 25 students who have been identified as having an affiliation to 1 or
 26 more federally recognized Indian tribes and student participation
 27 in federal programs funded under 20 USC 7401 to 7546 and
 28 participation in federal programs funded under the Johnson-O'Malley
 29 ~~Supplemental-supplemental~~ Indian Education Program Modernization



~~Act,~~ **education program modernization act**, Public Law 115-404. Any reports or data access related specifically to tribal affiliation must be done through ongoing consultation with the federally recognized tribes in the state with the expectation that the center, the department, and the tribes will work iteratively toward meaningful reports, access, and use of these records to improve shared education interests and outcomes.

(iii) Contains student-level information about the points at which students exit, transfer in, transfer out, drop out, or complete education programs.

(iv) Has the capacity to communicate with higher education data systems.

(i) For data elements related to preschool through grade 12 only, meets all of the following:

(i) Contains yearly test records of individual students for assessments approved by DED-OESE for accountability purposes under section 1111(b) of the elementary and secondary education act of 1965, 20 USC 6311, including information on individual students not tested, by grade and subject.

(ii) Contains student-level transcript information, including information on courses completed and grades earned.

(iii) Contains student-level college readiness test scores.

(j) For data elements related to postsecondary education only:

(i) Contains data that provide information regarding the extent to which individual students transition successfully from secondary school to postsecondary education, including, but not limited to, all of the following:

(A) Enrollment in remedial coursework.

(B) Completion of 1 year's worth of college credit applicable



1 to a degree within 2 years of enrollment.

2 (ii) Contains data that provide other information determined
3 necessary to address alignment and adequate preparation for success
4 in postsecondary education.

5 (5) From the general fund money appropriated in section 11,
6 there is allocated an amount not to exceed ~~\$19,364,700.00~~
7 **\$19,548,500.00** for ~~2025-2026-2026-2027~~ to the department of
8 technology, management, and budget to support the operations of the
9 center. In addition, from the federal funds appropriated in section
10 11, there is allocated for ~~2025-2026-2026-2027~~ the amount
11 necessary, estimated at ~~\$2,193,500.00, \$193,500.00~~, to support the
12 operations of the center and to establish a P-20 longitudinal data
13 system necessary for state and federal reporting purposes. The
14 center shall cooperate with the department to ensure that this
15 state is in compliance with federal law and is maximizing
16 opportunities for increased federal funding to improve education in
17 this state.

18 (6) From the funds allocated in subsection (5), the center may
19 use an amount determined by the center for competitive grants for
20 ~~2025-2026-2026-2027~~ to support collaborative efforts on the P-20
21 longitudinal data system. All of the following apply to grants
22 awarded under this subsection:

23 (a) The center shall award competitive grants to eligible
24 intermediate districts or a consortium of intermediate districts
25 based on criteria established by the center.

26 (b) Activities funded under the grant must support the P-20
27 longitudinal data system portal and may include portal hosting,
28 hardware and software acquisition, maintenance, enhancements, user
29 support and related materials, and professional learning tools and



1 activities aimed at improving the utility of the P-20 longitudinal
2 data system.

3 (c) An applicant that received a grant under this subsection
4 for the immediately preceding fiscal year has priority for funding
5 under this section. However, after 3 fiscal years of continuous
6 funding, an applicant is required to compete openly with new
7 applicants.

8 (7) Funds allocated under this section that are not expended
9 in the fiscal year in which they were allocated may be carried
10 forward to a subsequent fiscal year and are appropriated for the
11 purposes for which the funds were originally allocated.

12 (8) The center may bill departments as necessary to fulfill
13 reporting requirements of state and federal law. The center may
14 also enter into agreements to supply custom data, analysis, and
15 reporting to other principal executive departments, state agencies,
16 local units of government, and other individuals and organizations.
17 The center may receive and expend funds in addition to those
18 authorized in subsection (5) to cover the costs associated with
19 salaries, benefits, supplies, materials, and equipment necessary to
20 provide such data, analysis, and reporting services.

21 (9) As used in this section, "DED-OESE" means the United
22 States Department of Education Office of Elementary and Secondary
23 Education.

24 Sec. 94e. (1) From the state school aid fund money
25 appropriated under section 11, there is allocated for ~~2025-2026~~
26 **2026-2027** only an amount not to exceed \$1,000,000.00 for support of
27 the Michigan Education Research Institute.

28 (2) Funding allocated under this section must be distributed
29 to the University of Michigan's Michigan Education Data Center and



1 Michigan State University's Education Policy Innovation Center for
2 the purpose of working collaboratively with the department, the
3 department of lifelong education, advancement, and potential, and
4 the center to build and maintain a research ready dataset, and to
5 conduct research of critical importance to the state's education
6 goals.

7 (3) The Michigan Education Research Institute shall use funds
8 received under this section for the purpose of expanding on
9 research that includes, but is not limited to, all the following:

10 (a) Educator shortage.

11 (b) Early literacy initiative outcomes.

12 (c) Early childhood development programming outcomes.

13 (4) Notwithstanding section 17b, the department shall make
14 payments under this section on a schedule determined by the
15 department.

16 Sec. 98. (1) From the general fund money appropriated in
17 section 11, there is allocated an amount not to exceed
18 \$9,800,000.00 for ~~2025-2026~~**2026-2027 only** for the purposes
19 described in this section. The Michigan Virtual University shall
20 provide a report to the legislature not later than November 1 of
21 each fiscal year for which funding is allocated under this section
22 that includes its mission, its plans, and proposed benchmarks it
23 must meet, including a plan to achieve the organizational
24 priorities identified in this section, to receive full funding for
25 the next fiscal year for which funding is allocated under this
26 section. By not later than March 1 of each fiscal year for which
27 funding is allocated under this section, the Michigan Virtual
28 University shall provide an update to the house and senate
29 appropriations subcommittees on school aid to show the progress



1 being made to meet the benchmarks identified.

2 (2) The Michigan Virtual University shall operate the Michigan
3 Virtual Learning Research Institute. The Michigan Virtual Learning
4 Research Institute shall do all of the following:

5 (a) Support and accelerate innovation in education through the
6 following activities:

7 (i) Test, evaluate, and recommend as appropriate new
8 technology-based instructional tools and resources.

9 (ii) Research, design, and recommend virtual education delivery
10 models for use by pupils and teachers that include age-appropriate
11 multimedia instructional content.

12 (iii) Research, develop, and recommend annually to the
13 department criteria by which cyber schools and virtual course
14 providers should be monitored and evaluated to ensure a quality
15 education for their pupils.

16 (iv) Based on pupil completion and performance data reported to
17 the department or the center from cyber schools and other virtual
18 course providers operating in this state, analyze the effectiveness
19 of virtual learning delivery models in preparing pupils to be
20 college- and career-ready and publish a report that highlights
21 enrollment totals, completion rates, and the overall impact on
22 pupils. The Michigan Virtual Learning Research Institute shall
23 submit the report to the house and senate appropriations
24 subcommittees on school aid, the state budget director, the house
25 and senate fiscal agencies, the department, districts, and
26 intermediate districts by not later than March 31 of each fiscal
27 year for which funding is allocated under this section.

28 (v) Provide an extensive professional development program to
29 at least 30,000 educational personnel, including teachers, school



1 administrators, and school board members, that focuses on the
2 effective integration of virtual learning into curricula and
3 instruction. The Michigan Virtual Learning Research Institute is
4 encouraged to work with the MiSTEM council described in section 99s
5 to coordinate professional development of teachers in applicable
6 fields. In addition, the Michigan Virtual Learning Research
7 Institute and external stakeholders are encouraged to coordinate
8 with the department for professional development in this state,
9 including professional development for employees in child care
10 facilities, early childhood facilities, and after-school programs.
11 By not later than December 1 of each fiscal year for which funding
12 is allocated under this section, the Michigan Virtual Learning
13 Research Institute shall submit a report to the house and senate
14 appropriations subcommittees on school aid, the state budget
15 director, the house and senate fiscal agencies, and the department
16 on the number of teachers, school administrators, and school board
17 members who have received professional development services from
18 the Michigan Virtual University. The report must also include both
19 of the following:

20 (A) The identification of barriers and other opportunities to
21 encourage the adoption of virtual learning in the public education
22 system.

23 (B) A link to, and explanation of, the Michigan Virtual
24 University's online course standards for professional development
25 programming. The standards described in this sub-subparagraph must
26 inform learners how to file a complaint about course content and
27 detail the steps that will be taken for the review and resolution
28 of complaints.

29 (vi) Identify and share best practices for planning,



1 implementing, and evaluating virtual and blended education delivery
2 models with intermediate districts, districts, and public school
3 academies to accelerate the adoption of innovative education
4 delivery models statewide.

5 (b) Provide leadership for this state's system of virtual
6 learning education by doing the following activities:

7 (i) Develop and report policy recommendations to the governor
8 and the legislature that accelerate the expansion of effective
9 virtual learning in this state's schools.

10 (ii) Provide a clearinghouse for research reports, academic
11 studies, evaluations, and other information related to virtual
12 learning.

13 (iii) Promote and distribute the most current instructional
14 design standards and guidelines for virtual teaching.

15 (iv) In collaboration with the department and interested
16 colleges and universities in this state, support implementation and
17 improvements related to effective virtual learning instruction.

18 (v) Pursue public/private partnerships that include districts
19 to study and implement competency-based technology-rich virtual
20 learning models.

21 (vi) Create a statewide network of school-based mentors serving
22 as liaisons between pupils, virtual instructors, parents, and
23 school staff, as provided by the department or the center, and
24 provide mentors with research-based training and technical
25 assistance designed to help more pupils be successful virtual
26 learners.

27 (vii) Convene focus groups and conduct annual surveys of
28 teachers, administrators, pupils, parents, and others to identify
29 barriers and opportunities related to virtual learning.



1 (viii) Produce an annual consumer awareness report for schools
2 and parents about effective virtual education providers and
3 education delivery models, performance data, cost structures, and
4 research trends.

5 (ix) Provide an internet-based platform that educators can use
6 to create student-centric learning tools and resources for sharing
7 in the state's open educational resource repository and facilitate
8 a user network that assists educators in using the content creation
9 platform and state repository for open educational resources. As
10 part of this initiative, the Michigan Virtual University shall work
11 collaboratively with districts and intermediate districts to
12 establish a plan to make available virtual resources that align to
13 Michigan's K to 12 curriculum standards for use by students,
14 educators, and parents.

15 (x) Create and maintain a public statewide catalog of virtual
16 learning courses being offered by all public schools and community
17 colleges in this state. The Michigan Virtual Learning Research
18 Institute shall identify and develop a list of nationally
19 recognized best practices for virtual learning and use this list to
20 support reviews of virtual course vendors, courses, and
21 instructional practices. The Michigan Virtual Learning Research
22 Institute shall also provide a mechanism for intermediate districts
23 to use the identified best practices to review content offered by
24 constituent districts. The Michigan Virtual Learning Research
25 Institute shall review the virtual course offerings of the Michigan
26 Virtual University, and make the results from these reviews
27 available to the public as part of the statewide catalog. The
28 Michigan Virtual Learning Research Institute shall ensure that the
29 statewide catalog is made available to the public on the Michigan



1 Virtual University website and shall allow the ability to link it
2 to each district's website as provided for in section 21f. The
3 statewide catalog must also contain all of the following:

4 (A) The number of enrollments in each virtual course in the
5 immediately preceding school year.

6 (B) The number of enrollments that earned 60% or more of the
7 total course points for each virtual course in the immediately
8 preceding school year.

9 (C) The pass rate for each virtual course.

10 (xi) Support registration, payment services, and transcript
11 functionality for the statewide catalog and train key stakeholders
12 on how to use new features.

13 (xii) Collaborate with key stakeholders to examine district
14 level accountability and teacher effectiveness issues related to
15 virtual learning under section 21f and make findings and
16 recommendations publicly available.

17 (xiii) Provide a report on the activities of the Michigan
18 Virtual Learning Research Institute.

19 (3) To further enhance its expertise and leadership in virtual
20 learning, the Michigan Virtual University shall continue to operate
21 the Michigan Virtual School as a statewide laboratory and quality
22 model of instruction by implementing virtual and blended learning
23 solutions for Michigan schools in accordance with the following
24 parameters:

25 (a) The Michigan Virtual School must maintain its
26 accreditation status from recognized national and international
27 accrediting entities.

28 (b) The Michigan Virtual University shall use no more than
29 \$1,000,000.00 of the amount allocated under this section to



1 subsidize the cost paid by districts for virtual courses.

2 (c) In providing educators responsible for the teaching of
3 virtual courses as provided for in this section, the Michigan
4 Virtual School shall follow the requirements to request and assess,
5 and the department of state police shall provide, a criminal
6 history check and criminal records check under sections 1230 and
7 1230a of the revised school code, MCL 380.1230 and 380.1230a, in
8 the same manner as if the Michigan Virtual School were a school
9 district under those sections.

10 (4) From the funds allocated under subsection (1), the
11 Michigan Virtual University shall support the expansion of new
12 online and blended educator professional development programs.

13 (5) From the funds allocated under subsection (1), the
14 Michigan Virtual University shall operate a comprehensive statewide
15 laboratory designed to function as a hub for cutting-edge research,
16 the identification and dissemination of best practices, rigorous
17 experimentation, policy formulation, and proactive efforts to
18 enhance awareness about the responsible utilization of artificial
19 intelligence in schools.

20 (6) If the course offerings are included in the statewide
21 catalog of virtual courses under subsection (2)(b)(x), the Michigan
22 Virtual School operated by the Michigan Virtual University may
23 offer virtual course offerings, including, but not limited to, all
24 of the following:

25 (a) Information technology courses.

26 (b) College level equivalent courses, as that term is defined
27 in section 1471 of the revised school code, MCL 380.1471.

28 (c) Courses and dual enrollment opportunities.

29 (d) Programs and services for at-risk pupils.



1 (e) High school equivalency test preparation courses for
2 adjudicated youth.

3 (f) Special interest courses.

4 (g) Professional development programs for teachers, school
5 administrators, other school employees, and school board members.

6 (7) If a home-schooled or nonpublic school student is a
7 resident of a district that subscribes to services provided by the
8 Michigan Virtual School, the student may use the services provided
9 by the Michigan Virtual School to the district without charge to
10 the student beyond what is charged to a district pupil using the
11 same services.

12 (8) By not later than December 1 of each fiscal year for which
13 funding is allocated under this section, the Michigan Virtual
14 University shall provide a report to the house and senate
15 appropriations subcommittees on school aid, the state budget
16 director, the house and senate fiscal agencies, and the department
17 that includes at least all of the following information related to
18 the Michigan Virtual School for the preceding fiscal year:

19 (a) A list of the districts served by the Michigan Virtual
20 School.

21 (b) A list of virtual course titles available to districts.

22 (c) The total number of virtual course enrollments and
23 information on registrations and completions by course.

24 (d) The overall course completion rate percentage.

25 (9) In addition to the information listed in subsection (8),
26 the report under subsection (8) must also include a plan to serve
27 at least 600 schools with courses from the Michigan Virtual School
28 or with content available through the internet-based platform
29 identified in subsection (2) (b) (ix).



1 (10) The governor may appoint an advisory group for the
2 Michigan Virtual Learning Research Institute established under
3 subsection (2). The members of the advisory group serve at the
4 pleasure of the governor and without compensation. The purpose of
5 the advisory group is to make recommendations to the governor, the
6 legislature, and the president and board of the Michigan Virtual
7 University that will accelerate innovation in this state's
8 education system in a manner that will prepare elementary and
9 secondary students to be career and college ready and that will
10 promote the goal of increasing the percentage of residents of this
11 state with high-quality degrees and credentials to at least 60% by
12 2030.

13 (11) By not later than November 1 of each fiscal year for
14 which funding is allocated under this section, the Michigan Virtual
15 University shall submit to the house and senate appropriations
16 subcommittees on school aid, the state budget director, and the
17 house and senate fiscal agencies a detailed budget for that fiscal
18 year that includes a breakdown on its projected costs to deliver
19 virtual educational services to districts and a summary of the
20 anticipated fees to be paid by districts for those services. By not
21 later than March 1 each fiscal year for which funding is allocated
22 under this section, the Michigan Virtual University shall submit to
23 the house and senate appropriations subcommittees on school aid,
24 the state budget director, and the house and senate fiscal agencies
25 a breakdown on its actual costs to deliver virtual educational
26 services to districts and a summary of the actual fees paid by
27 districts for those services based on audited financial statements
28 for the immediately preceding fiscal year.

29 (12) As used in this section:



1 (a) "Blended learning" means a hybrid instructional delivery
2 model where pupils are provided content, instruction, and
3 assessment, in part at a supervised educational facility away from
4 home where the pupil and a teacher with a valid Michigan teaching
5 certificate are in the same physical location and in part through
6 internet-connected learning environments with some degree of pupil
7 control over time, location, and pace of instruction.

8 (b) "Cyber school" means a full-time instructional program of
9 virtual courses for pupils that may or may not require attendance
10 at a physical school location.

11 (c) "Virtual course" means a course of study that is capable
12 of generating a credit or a grade and that is provided in an
13 interactive learning environment in which the majority of the
14 curriculum is delivered using the internet and in which pupils are
15 separated from their instructor or teacher of record by time or
16 location, or both.

17 **Sec. 98d. (1) From the state school aid fund money**
18 **appropriated under section 11, there is allocated for 2026-2027**
19 **only an amount not to exceed \$3,000,000.00 to Northern Michigan**
20 **University to support the MLC as described in this section.**
21 **Northern Michigan University shall not retain any portion of the**
22 **funding received under this section for administrative purposes and**
23 **shall provide funding to support the MLC. All of the following**
24 **apply to the MLC:**

25 (a) The MLC must expand literacy programming aligned with this
26 state's pre-K to 12 educational standards over the air, online, and
27 in communities.

28 (b) The MLC shall provide over-the-air broadcasts 24 hours
29 each day for 7 days each week of quality instructional content that



1 is aligned with this state's pre-K to 12 educational standards.
2 Over-the-air broadcasts as described in this subdivision must be
3 streamed live and must be archived for on-demand viewing on a
4 companion website, along with additional learning materials
5 relevant to lessons.

6 (c) The MLC must be managed and operated by DPTV, and DPTV
7 shall assume all risk, liability, and responsibility for the MLC in
8 accordance with regulations by the United States Federal
9 Communications Commission, PBS broadcast standards, and standard
10 nonprofit business standards. DPTV shall serve as the fiduciary
11 agent and service manager for the MLC. The MLC shall originate from
12 a central operations center that is responsible for providing the
13 infrastructure, content, and engagement of the MLC in partnership
14 with this state's educational leadership organizations.

15 (d) The MLC shall require that DPTV provide technology,
16 funding, staff training, and central management of the MLC to
17 station partners to insert additional channels into each station's
18 broadcast streams and to support staffing and engagement as
19 outlined in a memorandum of understanding among the stations.

20 (e) The MLC shall require that DPTV partner with at least 5
21 other Michigan public television stations, including, but not
22 limited to, WKAR, WGVU, WDCQ, WCMU, and WNMU, to deliver the over-
23 the-air MLC broadcasts described in this section and to support
24 engagement with local educators. Stations described in this
25 subdivision must be able to use the infrastructure provided by the
26 MLC to develop their own local content that best serves their
27 communities.

28 (2) By not later than February 1, 2028, the MLC shall provide
29 a report to the house and senate appropriations subcommittees



1 responsible for school aid, the house and senate fiscal agencies,
 2 and the state budget director detailing the MLC's compliance with
 3 ensuring that conditions listed under subsection (1) were met.

4 (3) Notwithstanding section 17b, the department shall make
 5 payments under this section by not later than December 1, 2026.

6 (4) As used in this section:

7 (a) "DPTV" means Detroit Public Television.

8 (b) "MLC" means the Michigan Learning Channel.

9 Sec. 99. ~~(1) From the state school aid fund money appropriated~~
 10 ~~in section 11, there is allocated an amount not to exceed~~
 11 ~~\$500,000.00 for 2023-2024 only to Kentwood Public Schools and Oak~~
 12 ~~Park Schools for a plant-based school meals pilot grant program.~~
 13 ~~Grants shall be used for developing and implementing plant-based~~
 14 ~~meal options in school cafeterias, training school food service~~
 15 ~~staff in the preparation of plant-based meals, and purchasing~~
 16 ~~necessary kitchen equipment to facilitate the preparation of plant-~~
 17 ~~based meals. Recipients of grants under this program shall submit a~~
 18 ~~report to the department detailing the use of funds and the impact~~
 19 ~~of the program on student meal choices and environmental~~
 20 ~~sustainability.~~

21 ~~(2) From the general fund money appropriated in section 11,~~
 22 ~~there is allocated an amount not to exceed \$500,000.00 for 2024-~~
 23 ~~2025 only for a virtual reality youth peace literacy initiative~~
 24 ~~pilot program.~~

25 ~~(3) From the general fund money appropriated in section 11,~~
 26 ~~there is allocated an amount not to exceed \$1,000,000.00 for 2024-~~
 27 ~~2025 only to the American Lightweight Materials Manufacturing~~
 28 ~~Innovation Institute, in partnership with the Michigan~~
 29 ~~Manufacturers Association, Amatrol, and the ATS LAB Midwest. Funds~~



1 ~~received under this subsection must be used to provide high schools~~
2 ~~and intermediate districts in this state with competency-based,~~
3 ~~technology infused talent development programs that provide~~
4 ~~curricula, e-learning, hands-on e-learning systems, curricula-~~
5 ~~specific training equipment, installation, orientation, teacher~~
6 ~~training, industry-recognized skill certifications, and connections~~
7 ~~to local manufacturers for students in high schools and~~
8 ~~intermediate districts in this state.~~

9 ~~(4) From the state school aid fund money appropriated in~~
10 ~~section 11, there is allocated an amount not to exceed~~
11 ~~\$2,500,000.00 for 2024-2025 only to the Dearborn City School~~
12 ~~District for costs to expand the career and technical education~~
13 ~~program for the district, including, but not limited to, expansion~~
14 ~~of a cybersecurity certificate program. Costs in this subsection~~
15 ~~may include both operational and capital costs.~~

16 ~~(5) From the state school aid fund money appropriated in~~
17 ~~section 11, there is allocated an amount not to exceed~~
18 ~~\$1,500,000.00 for 2024-2025 only to the Dearborn City School~~
19 ~~District to support the construction of outdoor classrooms and~~
20 ~~other green space for Salina Intermediate School in the Dearborn~~
21 ~~City School District.~~

22 ~~(6) From the state school aid fund money appropriated in~~
23 ~~section 11, there is allocated an amount not to exceed~~
24 ~~\$2,000,000.00 for 2024-2025 only to the School District of the City~~
25 ~~of Harper Woods to support the costs for construction and operation~~
26 ~~of the daily life skills training center, an educational and skills~~
27 ~~development program with individualized training to improve a~~
28 ~~child's abilities to independently perform routine daily activities~~
29 ~~and effectively use community resources.~~



~~(7) From the state school aid fund money appropriated in section 11, there is allocated an amount not to exceed \$2,500,000.00 for 2024-2025 only to the Lansing Public School District for development and infrastructure improvements.~~

~~(8) From the state school aid fund money appropriated in section 11, there is allocated for 2024-2025 only an amount not to exceed \$700,000.00 to Clintondale Community Schools for safety and security upgrades.~~

~~(9) From the general fund money appropriated in section 11, there is allocated for 2024-2025 only an amount not to exceed \$500,000.00 to the city of Algonac in St. Clair County to support asbestos remediation and redevelopment in a former school building.~~

~~(10) From the state school aid fund money appropriated in section 11, there is allocated for 2024-2025 only an amount not to exceed \$700,000.00 to South Lyon Community Schools for student mental health services.~~

~~(11) From the state school aid fund money appropriated in section 11, there is allocated for 2024-2025 only an amount not to exceed \$200,000.00 to Farmington Public School District for high-intensity tutoring.~~

~~(12) From the general fund money appropriated in section 11, there is allocated for 2024-2025 only an amount not to exceed \$2,100,000.00 to the Marygrove Conservancy for the creation of the Marygrove Film School.~~

~~(13) From the general fund money appropriated in section 11, there is allocated for 2024-2025 only an amount not to exceed \$2,900,000.00, and from the state school aid fund money appropriated in section 11, there is allocated for 2024-2025 only an amount not to exceed \$3,100,000.00 to Rudyard Area Schools for~~



1 ~~infrastructure.~~

2 ~~(14) From the general fund money appropriated in section 11,~~
 3 ~~there is allocated for 2024-2025 only an amount not to exceed~~
 4 ~~\$250,000.00 to Brookview Montessori School for structural updates,~~
 5 ~~including, but not limited to, electrical and HVAC.~~

6 ~~(15) From the general fund money appropriated in section 11,~~
 7 ~~there is allocated for 2024-2025 only an amount not to exceed~~
 8 ~~\$100,000.00 for Okemos Public Montessori at Central for district~~
 9 ~~lead abatement.~~

10 ~~(16) From the general fund money appropriated in section 11,~~
 11 ~~there is allocated for 2024-2025 only an amount not to exceed~~
 12 ~~\$500,000.00 to Wellspring Detroit to support the academic and youth~~
 13 ~~development program.~~

14 ~~(17) From the state school aid fund money appropriated in~~
 15 ~~section 11, there is allocated for 2024-2025 only an amount not to~~
 16 ~~exceed \$500,000.00 to a district or intermediate district to~~
 17 ~~support the implementation of the MI Student Voice Perception~~
 18 ~~Survey.~~

19 ~~(18) From the general fund money appropriated in section 11,~~
 20 ~~there is allocated for 2024-2025 only an amount not to exceed~~
 21 ~~\$3,700,000.00 to the recipients identified in this subsection to~~
 22 ~~support capital costs to increase safety of student pedestrians.~~

23 ~~(a) A recipient of a grant under this subsection shall use the~~
 24 ~~funds to increase the safety of student pedestrians through capital~~
 25 ~~improvements. A grant recipient may enter into agreements with~~
 26 ~~other units of local government to complete eligible projects.~~
 27 ~~Improvements may include, but are not limited to, all of the~~
 28 ~~following:~~

29 ~~(i) Signage and painting for crosswalks.~~

~~(ii) Installing or repairing sidewalks.~~

~~(iii) Adding turning lanes.~~

~~(iv) Installing or repairing traffic signal lights.~~

~~(b) From the allocation in this subsection, \$3,000,000.00 is allocated to Macomb Township in Macomb County for road, signal, and pedestrian crossing improvements at the intersection of 21 Mile Road and Heydenreich Road. The purpose of the improvements is to increase safety for student pedestrians at nearby schools.~~

~~(c) From the allocation in this subsection, \$250,000.00 is allocated to the Woodhaven-Brownstown School District to construct sidewalks to connect nearby residential areas to schools in the district.~~

~~(d) From the allocation in this subsection, \$450,000.00 is allocated to the Village of Brooklyn to partner with the Columbia Charter School District and Columbia Charter Township to improve student pedestrian safety.~~

~~(e) The funds allocated under this subsection for 2024-2025 are a work project appropriation, and any unexpended funds for 2024-2025 are carried forward into 2025-2026. The purpose of the work project is to continue to provide support for capital costs to increase safety of student pedestrians. The estimated completion date of the work project is September 30, 2029.~~

~~(19) From the state school aid fund money appropriated in section 11, there is allocated for 2024-2025 only an amount not to exceed \$7,000,000.00 to Detroit Public Schools Community District to offset the cost of relocating the Davis Aerospace Technical High School to the Coleman A. Young International Airport. Notwithstanding section 18a, funds allocated under this subsection may be available for expenditure until September 30, 2027. A~~



1 ~~recipient of funding under this subsection must return any~~
2 ~~unexpended funds to the department in a manner prescribed by the~~
3 ~~department by not later than October 30, 2027.~~

4 ~~(20) From the state school aid fund money appropriated in~~
5 ~~section 11, there is allocated for 2024-2025 only an amount not to~~
6 ~~exceed \$1,200,000.00 to Grand Rapids Public Schools to supplement~~
7 ~~funding for the school meals program in section 30d.~~

8 ~~(21) From the state school aid fund money appropriated in~~
9 ~~section 11, there is allocated for 2024-2025 only \$750,000.00 to~~
10 ~~Livonia Public Schools to support the Thrive Track - Healthy Living~~
11 ~~Skills for Independence program.~~

12 ~~(22) From the state school aid fund money appropriated in~~
13 ~~section 11, there is allocated for 2024-2025 only \$450,000.00 to~~
14 ~~Grosse Pointe Public Schools for technology costs.~~

15 ~~(23) From the state school aid fund money appropriated in~~
16 ~~section 11, there is allocated for 2024-2025 only \$1,000,000.00 to~~
17 ~~a district or intermediate district to partner with the Arab~~
18 ~~Community Center for Economic and Social Services (ACCESS) in~~
19 ~~Dearborn to rehabilitate and expand the ACCESS Innovation Center.~~

20 ~~(24) From the state school aid fund money appropriated in~~
21 ~~section 11, there is allocated for 2024-2025 only \$1,200,000.00 to~~
22 ~~Lansing Public School District to support renovation of the Don~~
23 ~~Johnson Fieldhouse and expansion of the Lansing Student Development~~
24 ~~Program.~~

25 ~~(25) From the state school aid fund money appropriated in~~
26 ~~section 11, there is allocated for 2024-2025 only \$1,000,000.00 to~~
27 ~~Clintondale Community Schools for expenses for school buildings~~
28 ~~related to flood damage.~~

29 ~~(26) From the state school aid fund money appropriated in~~



~~section 11, there is allocated for 2024-2025 only \$3,000,000.00 to an intermediate district to partner with the Michigan Regional Council of Carpenters and Millwrights, an entity located in the city of Detroit, for the schools to tools program, which exposes middle and high school students to the building trades and to apprenticeship opportunities.~~

~~(27) From the state school aid fund money appropriated in section 11, there is allocated for 2024-2025 only \$12,000,000.00 to an intermediate district to partner with the Sam Beauford Woodworking Institute, a 501(c)(3) entity located in the city of Adrian, to support the expansion of education opportunities.~~

~~(28) From the state school aid fund money appropriated in section 11, there is allocated \$245,000.00 for 2024-2025 only to Mid Peninsula School District for improvements to a heating, ventilation, and air conditioning system.~~

~~(29) The funds allocated under this section for 2024-2025 are a work project appropriation, and any unexpended funds for 2024-2025 are carried forward into 2025-2026. The purpose of the work project is to complete projects described in this section. The estimated completion date of the work project is September 30, 2026.~~

~~(30)~~ **\$53,000,000.00 for 2026-2027 only for district supports and pilot programs.** Notwithstanding section 17b, the department shall make payments under this section on a schedule determined by the department.

Sec. 99h. (1) From the state school aid pupil support reserve fund money appropriated in section 11, there is allocated an amount not to exceed ~~\$5,000,000.00~~ **\$6,000,000.00** for ~~2025-2026~~ **2026-2027** only for competitive grants to districts and intermediate



1 districts, and from the general pupil support reserve fund money
2 appropriated in section 11, there is allocated ~~\$600,000.00~~
3 **\$720,000.00** for ~~2025-2026-2026-2027~~ only for competitive grants to
4 nonpublic schools, that provide pupils in grades pre-K to 12 with
5 expanded opportunities to improve mathematics, science, computer
6 science, and technology skills by participating in robotics
7 competition programs hosted by program providers including, but not
8 limited to, FIRST (for inspiration and recognition of science and
9 technology) Robotics, including FIRST Lego League - Discover,
10 Explore, and Challenge, FIRST Tech challenge, and FIRST Robotics
11 competition, LTU Robofest, MATE (Marine Advanced Technical
12 Education), REC (Robotics Education Competition) Foundation, Square
13 One Education Network, VEX, and other providers approved by the
14 department. It is the intent of the legislature that the
15 appropriations under this section will be funded with state school
16 aid pupil support reserve fund money and general pupil support
17 reserve fund money through 2027-2028. All approved providers shall
18 make all programs available to students in this state regardless of
19 geographical location. Programs funded under this section are
20 intended to increase the number of pupils demonstrating proficiency
21 in science and mathematics on the state assessments and to increase
22 the number of pupils who are college- and career-ready upon high
23 school graduation. Notwithstanding section 17b, the department
24 shall make grant payments to districts, nonpublic schools, and
25 intermediate districts under this section on a schedule determined
26 by the department. The department shall set maximum grant awards
27 for each different level of programming and competition in a manner
28 that both maximizes the number of teams that will be able to
29 receive funds and expands the geographical distribution of teams.



1 Districts and intermediate districts that receive funds under this
2 section must provide relevant student participation information, as
3 determined by the department, to program and competition providers
4 described in this section. For a district or intermediate district
5 to count a program competition provider for purposes of payments
6 under this section, the program and competition providers must
7 agree to aggregate data received by districts and intermediate
8 districts and provide this information to the department in a form
9 and manner determined by the department.

10 (2) The department shall do all of the following for purposes
11 of this section:

12 (a) Both of the following by not later than 60 days after the
13 state school aid appropriations bill for the current fiscal year is
14 enacted into law or October 1 of the current fiscal year, whichever
15 is later:

16 (i) Open applications for funding under this section to all
17 districts, nonpublic schools, and intermediate districts.

18 (ii) Publish a list of approved programs and vendors for
19 purposes of this section in a manner that is accessible to all
20 applicants. To obtain approval under this subparagraph, a program
21 or vendor must submit to the department registration information,
22 including any fees; pledge that it will post this information on
23 its website; and, by not later than January 1 of the current fiscal
24 year, submit this information to the department for publication on
25 the department's website.

26 (b) By not later than 60 days after applications are opened as
27 described in subdivision (a), close applications under this
28 section.

29 (c) By not later than 60 days after applications are closed as



1 described in subdivision (b), make all determinations concerning
2 funding under this section.

3 (d) By not later than July 1 of the current fiscal year,
4 publish a document listing the requirements for becoming an
5 approved program or vendor under subdivision (a).

6 (3) Except as otherwise provided under this subsection, if
7 funding under this section is insufficient to fulfill all funding
8 requests by qualified applicants under this section, the department
9 shall prorate the total funding allocated under this section
10 equally among all qualified applicants. However, for funding under
11 this section toward grants under subsection (5)(b), in its
12 proration under this subsection, the department shall ensure that
13 each district is paid in an amount equal to the percentage the
14 department would have paid the district in grant funding under
15 subsection (5)(b), but for proration under this subsection, with no
16 district receiving a grant under subsection (5)(b) in an amount
17 that is greater than the district's total accrued costs under
18 subsection (5)(b).

19 (4) A district, nonpublic school, or intermediate district
20 applying for a grant under this section must submit an application
21 in a form and manner prescribed by the department. To be eligible
22 for a grant, a district, nonpublic school, or intermediate district
23 must demonstrate in its application that the district, nonpublic
24 school, or intermediate district has established a partnership for
25 the purposes of the robotics program with at least 1 sponsor,
26 business entity, higher education institution, technical school, or
27 individual, must submit a budget, and must provide a local in-kind
28 or cash match from other private or local funds of at least 25% of
29 the cost of the robotics program award.



1 (5) The department shall distribute the grant funding under
2 this section for the following purposes:

3 (a) Grants to districts, nonpublic schools, or intermediate
4 districts to pay for stipends not to exceed \$1,500.00 per building
5 for coaching.

6 (b) Grants to districts, nonpublic schools, or intermediate
7 districts for event registrations, materials, travel costs, and
8 other expenses associated with the preparation for and attendance
9 at robotics events and competitions.

10 (c) Grants to districts, nonpublic schools, or intermediate
11 districts for awards to teams that advance to the next levels of
12 competition as determined by the department. The department shall
13 determine an equal amount per team for those teams that advance.

14 (6) A nonpublic school that receives a grant under this
15 section may use the funds for either robotics or Science Olympiad
16 programs.

17 (7) To be eligible to receive funds under this section, a
18 nonpublic school must be a nonpublic school registered with the
19 department and must meet all applicable state reporting
20 requirements for nonpublic schools.

21 (8) To be eligible to receive a grant under this section, a
22 district, nonpublic school, or intermediate district must do all of
23 the following:

24 (a) If the district, nonpublic school, or intermediate
25 district is requesting funding for more than 1 team for a building,
26 meet the minimum requirements for team size as determined by the
27 approved program provider.

28 (b) Participate in at least the minimum number of competitions
29 as determined by the approved program provider.



1 (c) Participate in at least 1 in-person competition.

2 (9) For purposes of this section, an approved program or
3 vendor under this section that provides a program under this
4 section shall not work with the department to set prices or
5 policies for the program.

6 (10) As used in this section, "current fiscal year" means the
7 fiscal year for which an allocation is made under this section.

8 **Sec. 99o. (1) From the state school aid fund money**
9 **appropriated in section 11, there is allocated an amount not to**
10 **exceed \$10,000,000.00 for 2026-2027 only for grants to districts**
11 **and intermediate districts for school-based driver's training**
12 **programs.**

13 (2) Grants under this section must be used to pay for the
14 costs of implementing a driver's training program. Costs may
15 include, but are not limited to, salaries and benefits for staff,
16 vehicle purchases or leases, insurance, materials and equipment,
17 and any other costs necessary to run a program.

18 (3) To receive funding under this section, districts and
19 intermediate districts must apply in a form and manner prescribed
20 by the department. An applicant shall certify that the applicant
21 will run the program using district or intermediate district
22 employees and will not outsource any programming to an outside
23 third party.

24 (4) The maximum grant amount for an applicant is \$500,000.00.
25 The department shall prioritize applicants that received a grant
26 for the same purpose in a previous year, including awards under
27 this section, former section 99ii, and former section 99jj, as long
28 as the applicant continues the driver's training program for
29 another year. Afterwards, the department shall prioritize awards on



1 a first-come, first-served basis. No district or intermediate
2 district may receive more than 1 grant in a single fiscal year.

3 (5) The funds allocated under this section for 2026-2027 are a
4 work project appropriation, and any unexpended funds for 2026-2027
5 are carried forward into 2027-2028. The purpose of the work project
6 is to continue support for district- and intermediate-district-run
7 driver's training programs. The estimated completion date of the
8 work project is September 30, 2031.

9 (6) Notwithstanding section 17b, the department shall make
10 payments under this section on a schedule determined by the
11 department.

12 Sec. 99s. (1) From state school aid fund money appropriated
13 under section 11, there is allocated for 2026-2027 an amount not to
14 exceed \$8,000,000.00 for Michigan science, technology, engineering,
15 and mathematics programs. Programs funded under this section are
16 intended to increase the number of pupils demonstrating proficiency
17 in science and mathematics on the state assessments, to increase
18 the number of pupils who are college- and career-ready upon high
19 school graduation, and to promote certificate and degree attainment
20 in STEM fields. Notwithstanding section 17b, the department shall
21 make payments under this section on a schedule determined by the
22 department.

23 (2) The MiSTEM council annually shall review and make
24 recommendations to the governor, the legislature, and the
25 department concerning changes to the statewide strategy adopted by
26 the council for delivering STEM education-related opportunities to
27 pupils. The MiSTEM council shall use funds received under this
28 section to ensure that the MiSTEM council's members or their
29 designees are trained in a third-party evaluation system such as



1 the Change the Equation STEMworks program for the purpose of rating
2 STEM programs.

3 (3) The MiSTEM council shall make specific funding
4 recommendations for the funds allocated under subsection (4) by
5 December 15 of each fiscal year. Each specific funding
6 recommendation must be for a program or demonstration grant
7 approved by the MiSTEM council. All of the following apply:

8 (a) To be eligible for MiSTEM council approval as described in
9 this subsection, a program must satisfy all of the following:

10 (i) Align with this state's academic standards.

11 (ii) Have STEMworks or other third-party certification.

12 (iii) Provide project-based experiential learning, student
13 programming, or educator professional learning experiences.

14 (iv) Focus predominantly on classroom-based STEM experiences or
15 professional learning experiences.

16 (b) The MiSTEM council shall approve programs that represent
17 all network regions and include a diverse array of options for
18 students and educators.

19 (c) To be eligible for MiSTEM council approval as described in
20 this subsection, a demonstration grant must satisfy all of the
21 following:

22 (i) Align with this state's academic standards.

23 (ii) In collaboration with the department, scale project,
24 problem, or place-based learning in a building or district in
25 support of the statewide STEM strategy as recommended by the MiSTEM
26 council.

27 (d) The MiSTEM council is encouraged to work with the MiSTEM
28 network to develop locally and regionally developed programs,
29 demonstration grants, and professional learning experiences for the



1 programs on the list of approved programs. At the direction of the
2 MiSTEM council, funds can be used to evaluate and market regions,
3 programs, and demonstration grants.

4 (e) If the MiSTEM council is unable to make specific funding
5 recommendations by December 15 of a fiscal year, the department
6 shall award and distribute the funds allocated under subsection (4)
7 on a competitive grant basis that at least follows the statewide
8 STEM strategy plan and rating system recommended by the MiSTEM
9 council. Each grant must provide STEM education-related
10 opportunities for pupils.

11 (4) From the state school aid fund money allocated under
12 subsection (1), there is allocated for 2026-2027 an amount not to
13 exceed \$3,800,000.00 for the purpose of funding programs or
14 demonstration grants under this section for 2026-2027 as
15 recommended by the MiSTEM council.

16 (5) From the state school aid fund money allocated under
17 subsection (1), there is allocated an amount not to exceed
18 \$4,200,000.00 for 2026-2027 to support the activities and programs
19 of the MiSTEM network regions. From the funds allocated under this
20 subsection, the department shall award the fiscal agent for each
21 MiSTEM network region \$220,000.00 for the base operations of each
22 region. The department shall distribute the remaining funds to each
23 fiscal agent in an equal amount per pupil, based on the number of K
24 to 12 pupils enrolled in districts within each region in the
25 immediately preceding fiscal year.

26 (6) A MiSTEM network region shall do all of the following:

27 (a) Collaborate with the career and educational advisory
28 council that is located in the MiSTEM region and the department to
29 develop a regional strategic plan for STEM education that creates a



1 robust regional STEM culture, that empowers STEM teachers, that
2 integrates business and education into the STEM network, and that
3 ensures high-quality STEM experiences for pupils. At a minimum, a
4 regional STEM strategic plan described in this subdivision should
5 do all of the following in collaboration with the department:

6 (i) Identify regional employer need for STEM.

7 (ii) Identify processes for regional employers and educators to
8 create guided pathways for STEM careers that include internships or
9 externships, apprenticeships, and other experiential engagements
10 for pupils.

11 (iii) Identify educator professional learning opportunities,
12 including internships or externships and apprenticeships, that
13 integrate this state's science standards into high-quality STEM
14 experiences that engage pupils.

15 (b) Facilitate regional STEM events such as educator and
16 employer networking and STEM career fairs to raise STEM awareness.

17 (c) Contribute to the MiSTEM website and engage in other
18 MiSTEM network functions to further the mission of STEM in this
19 state in coordination with the MiSTEM council and the department of
20 labor and economic opportunity.

21 (d) Facilitate application and implementation of state and
22 federal funds under this subsection and any other grants or funds
23 for the MiSTEM network region.

24 (e) Work with districts to provide STEM programming and
25 professional learning.

26 (f) Coordinate recurring discussions and work with the career
27 and educational advisory council to ensure that feedback and best
28 practices are being shared, including funding, program,
29 professional learning opportunities, and regional strategic plans.



1 (g) In collaboration with the department, deploy marketing and
2 outreach efforts to publish the availability of STEM learning
3 opportunities.

4 (7) To receive funds under this section, a grant recipient
5 must allow access for the department or the department's designee
6 to audit all records related to the program for which the grant
7 recipient received those funds. The grant recipient shall reimburse
8 the state for all disallowances found in the audit.

9 (8) To receive funds under this section, a grant recipient
10 must provide at least a 10% local match from local public or
11 private resources for the funds received under this subsection.

12 (9) By not later than July 1 of each fiscal year for which
13 funding is allocated under this section, grant recipients shall
14 report to the executive director of the MiSTEM network in a form
15 and manner prescribed by the executive director on performance
16 measures developed by the MiSTEM network regions and approved by
17 the executive director. The performance measures must be designed
18 to ensure that the activities of the MiSTEM network are improving
19 student academic outcomes. The report described in this subsection
20 must be published on a publicly accessible website.

21 (10) The MiSTEM network may receive funds from private
22 sources. If the MiSTEM network receives funds from private sources,
23 the MiSTEM network shall expend those funds in alignment with the
24 statewide STEM strategy.

25 (11) Not more than 5% of funds awarded under this section may
26 be retained by a fiscal agent.

27 (12) As used in this section:

28 (a) "Career and educational advisory council" means an
29 advisory council to the local workforce development boards located



1 in a prosperity region consisting of educational, employer, labor,
2 and parent representatives.

3 (b) "Department" means the department of labor and economic
4 opportunity.

5 (c) "MiSTEM council" means the Michigan Science, Technology,
6 Engineering, and Mathematics Education Advisory Council created as
7 an advisory body within the department of labor and economic
8 opportunity by Executive Reorganization Order No. 2019-3, MCL
9 125.1998.

10 (d) "STEM" means science, technology, engineering, and
11 mathematics delivered in an integrated fashion using cross-
12 disciplinary learning experiences that can include language arts,
13 performing and fine arts, and career and technical education.

14 Sec. 101. (1) To be eligible to receive state aid under this
15 article, not later than the fifth Wednesday after the pupil
16 membership count day and not later than the fifth Wednesday after
17 the supplemental count day, each district superintendent shall
18 submit and certify to the center and the intermediate
19 superintendent, in the form and manner prescribed by the center,
20 the number of pupils enrolled and in regular daily attendance,
21 including identification of tuition-paying pupils, in the district
22 as of the pupil membership count day and as of the supplemental
23 count day, as applicable, for the current school year. In addition,
24 a district maintaining school during the entire year shall submit
25 and certify to the center and the intermediate superintendent, in
26 the form and manner prescribed by the center, the number of pupils
27 enrolled and in regular daily attendance in the district for the
28 current school year pursuant to rules promulgated by the
29 superintendent. Not later than the sixth Wednesday after the pupil



1 membership count day and not later than the sixth Wednesday after
2 the supplemental count day, the district shall resolve any pupil
3 membership conflicts with another district, correct any data
4 issues, and recertify the data in a form and manner prescribed by
5 the center and file the certified data with the intermediate
6 superintendent. If a district fails to submit and certify the
7 attendance data, as required under this subsection, the center
8 shall notify the department and the department shall withhold state
9 aid due to be distributed under this article from the defaulting
10 district immediately, beginning with the next payment after the
11 failure and continuing with each payment until the district
12 complies with this subsection. If a district does not comply with
13 this subsection by the end of the fiscal year, the district
14 forfeits the amount withheld. A person who willfully falsifies a
15 figure or statement in the certified and sworn copy of enrollment
16 is subject to penalty as prescribed by section 161.

17 (2) To be eligible to receive state aid under this article,
18 not later than the twenty-fourth Wednesday after the pupil
19 membership count day and not later than the twenty-fourth Wednesday
20 after the supplemental count day, an intermediate district shall
21 submit to the center, in a form and manner prescribed by the
22 center, the audited enrollment and attendance data as described in
23 subsection (1) for the pupils of its constituent districts and of
24 the intermediate district. If an intermediate district fails to
25 submit the audited data as required under this subsection, the
26 department shall withhold state aid due to be distributed under
27 this article from the defaulting intermediate district immediately,
28 beginning with the next payment after the failure and continuing
29 with each payment until the intermediate district complies with



1 this subsection. If an intermediate district does not comply with
2 this subsection by the end of the fiscal year, the intermediate
3 district forfeits the amount withheld.

4 (3) Except as otherwise provided in subsections (11) and (12)
5 all of the following apply to the provision of pupil instruction:

6 (a) Except as otherwise provided in this section, each
7 district shall provide at least 1,098 hours and 180 days of pupil
8 instruction. If a collective bargaining agreement that provides a
9 complete school calendar was in effect for employees of a district
10 as of June 24, 2014, and if that school calendar is not in
11 compliance with this subdivision, then this subdivision does not
12 apply to that district until after the expiration of that
13 collective bargaining agreement. A district may apply for a waiver
14 under subsection (9) or subdivision (h) from the requirements of
15 this subdivision.

16 (b) Except as otherwise provided in this article, a district
17 failing to comply with the required minimum hours and days of pupil
18 instruction under this subsection forfeits from its total state aid
19 allocation an amount determined by applying a ratio of the number
20 of hours or days the district was in noncompliance in relation to
21 the required minimum number of hours and days under this
22 subsection. Not later than the first business day in August, the
23 board of each district shall either certify to the department that
24 the district was in full compliance with this section regarding the
25 number of hours and days of pupil instruction in the previous
26 school year, or report to the department, in a form and manner
27 prescribed by the center, each instance of noncompliance. If the
28 district did not provide at least the required minimum number of
29 hours and days of pupil instruction under this subsection, the



1 department shall make the deduction of state aid in the following
2 fiscal year from the first payment of state school aid. A district
3 is not subject to forfeiture of funds under this subsection for a
4 fiscal year in which a forfeiture was already imposed under
5 subsection (6).

6 (c) Hours or days lost because of strikes or teachers'
7 conferences are not counted as hours or days of pupil instruction.

8 (d) Except as otherwise provided in ~~subdivisions (e) and (f),~~
9 **this subsection**, if a district does not have at least 75% of the
10 district's membership in attendance on any day of pupil
11 instruction, the department shall pay the district state aid in
12 that proportion of 1/180 that the actual percent of attendance
13 bears to 75%.

14 (e) If a district adds 1 or more days of pupil instruction to
15 the end of its instructional calendar for a school year to comply
16 with subdivision (a) because the district otherwise would fail to
17 provide the required minimum number of days of pupil instruction
18 even after the operation of subsection (4) due to conditions not
19 within the control of school authorities, then subdivision (d) does
20 not apply for any day of pupil instruction that is added to the end
21 of the instructional calendar. Instead, for any of those days, if
22 the district does not have at least 60% of the district's
23 membership in attendance on that day, the department shall pay the
24 district state aid in that proportion of 1/180 that the actual
25 percentage of attendance bears to 60%. For any day of pupil
26 instruction added to the instructional calendar as described in
27 this subdivision, the district shall report to the department the
28 percentage of the district's membership that is in attendance, in
29 the form and manner prescribed by the department.

1 (f) At the request of a district that operates a department-
2 approved alternative education program and that does not provide
3 instruction for pupils in all of grades K to 12, the superintendent
4 shall grant a waiver from the requirements of subdivision (d). The
5 waiver must provide that an eligible district is subject to the
6 proration provisions of subdivision (d) only if the district does
7 not have at least 50% of the district's membership in attendance on
8 any day of pupil instruction. In order to be eligible for this
9 waiver, a district must maintain records to substantiate its
10 compliance with the following requirements:

11 (i) The district offers the minimum hours of pupil instruction
12 as required under this section.

13 (ii) For each enrolled pupil, the district uses appropriate
14 academic assessments to develop an individual education plan that
15 leads to a high school diploma.

16 (iii) The district tests each pupil to determine academic
17 progress at regular intervals and records the results of those
18 tests in that pupil's individual education plan.

19 (g) All of the following apply to a waiver granted under
20 subdivision (f):

21 (i) If the waiver is for a blended model of delivery, a waiver
22 that is granted for the 2011-2012 fiscal year or a subsequent
23 fiscal year remains in effect unless it is revoked by the
24 superintendent.

25 (ii) If the waiver is for a 100% online model of delivery and
26 the educational program for which the waiver is granted makes
27 educational services available to pupils for a minimum of at least
28 1,098 hours during a school year and ensures that each pupil
29 participates in the educational program for at least 1,098 hours



1 during a school year, a waiver that is granted for the 2011-2012
 2 fiscal year or a subsequent fiscal year remains in effect unless it
 3 is revoked by the superintendent.

4 (iii) A waiver that is not a waiver described in subparagraph
 5 (i) or (ii) is valid for 3 fiscal years, unless it is revoked by the
 6 superintendent, and must be renewed at the end of the 3-year period
 7 to remain in effect.

8 ~~(h) For the 2024-2025 school year only, a district does not~~
 9 ~~need to meet the minimum number of hours and days of pupil~~
 10 ~~instruction requirement under subdivision (a) if that district~~
 11 ~~meets all of the following requirements:~~

12 ~~(i) The district is located wholly or partially in a county~~
 13 ~~that is covered by a state of emergency declared by the governor.~~

14 ~~(ii) A majority of the district board votes to exempt the~~
 15 ~~district from the minimum number of hours and days of pupil~~
 16 ~~instruction required under subdivision (a).~~

17 ~~(iii) The vote by the district board under subparagraph (ii)~~
 18 ~~exempts the district from providing only the hours and days of~~
 19 ~~pupil instruction actually missed due to the state of emergency.~~

20 ~~(iv) The vote by the district board under subparagraph (ii)~~
 21 ~~exempts the district from not more than 15 days of pupil~~
 22 ~~instruction required under subdivision (a). The amount that may be~~
 23 ~~exempted under this subdivision is in addition to any days counted~~
 24 ~~as pupil instruction under subsection (4).~~

25 **(h) Subdivision (d) does not apply to a district-operated**
 26 **special education program approved by the department if the**
 27 **district-operated special education program's instructional**
 28 **calendar exceeds 180 days of pupil instruction. For any day of**
 29 **instruction provided as part of a district-operated special**

1 education program described in this subdivision, the district-
2 operated special education program is exempt from the attendance
3 threshold established under subdivision (d), provided that the
4 district-operated special education program offers the minimum
5 hours of pupil instruction required under this section and
6 maintains documentation of the program's approved instructional
7 calendar.

8 (i) At the request of a district with fewer than 100 pupils in
9 membership as reported in the most recent fall pupil count, the
10 superintendent shall grant a waiver from the requirements of
11 subdivision (d) if the district demonstrates that the absence of a
12 single household may materially reduce the district's daily
13 attendance percentage below the threshold established in
14 subdivision (d). A waiver granted under this subdivision must
15 provide that the district is subject to the proration provisions of
16 subdivision (d) only if the district does not have at least 60% of
17 the district's membership in attendance on any day of pupil
18 instruction. The district shall maintain records necessary to
19 substantiate the district's eligibility for a waiver granted under
20 this subdivision.

21 (j) ~~(i)~~—The superintendent shall promulgate rules for the
22 implementation of this subsection.

23 (4) All of the following apply to the counting of days and
24 hours of pupil instruction under this section:

25 (a) Except as otherwise provided in this subsection, the first
26 6 days or the equivalent number of hours for which pupil
27 instruction is not provided because of conditions not within the
28 control of school authorities, such as severe storms, fires,
29 epidemics, utility power unavailability, water or sewer failure, or



1 health conditions as defined by the city, county, or state health
2 authorities, are counted as hours and days of pupil instruction.

3 (b) With the approval of the superintendent of public
4 instruction, the department shall count as hours and days of pupil
5 instruction for a fiscal year not more than 3 additional days or
6 the equivalent number of additional hours for which pupil
7 instruction is not provided in a district due to unusual and
8 extenuating occurrences resulting from conditions not within the
9 control of school authorities such as those conditions described in
10 this subsection.

11 (c) A district that counts hours or days of professional
12 development for teachers as hours or days of pupil instruction, as
13 provided under subsection (10), is eligible to have additional
14 hours or days counted as hours and days of pupil instruction as
15 provided under subdivision (b) to the same extent as a district
16 that does not count hours or days of professional development for
17 teachers as hours or days of pupil instruction.

18 (d) In deciding whether or not to approve the counting of
19 additional hours or days of pupil instruction under subdivision (b)
20 for a district, the superintendent of public instruction shall not
21 take into account whether or not the district counts hours or days
22 of professional development for teachers as hours or days of pupil
23 instruction, as provided under subsection (10).

24 (e) Subsequent hours or days beyond those described in
25 subdivisions (a) and (b) are not counted as hours or days of pupil
26 instruction.

27 (5) A district does not forfeit part of its state aid
28 appropriation because it adopts or has in existence an alternative
29 scheduling program for pupils in kindergarten if the program



1 provides at least the number of hours required under subsection (3)
2 for a full-time equated membership for a pupil in kindergarten as
3 provided under section 6(4).

4 (6) In addition to any other penalty or forfeiture under this
5 section, if at any time the department determines that 1 or more of
6 the following have occurred in a district, the district forfeits in
7 the current fiscal year beginning in the next payment to be
8 calculated by the department a proportion of the funds due to the
9 district under this article that is equal to the proportion below
10 the required minimum number of hours and days of pupil instruction
11 under subsection (3), as specified in the following:

12 (a) The district fails to operate its schools for at least the
13 required minimum number of hours and days of pupil instruction
14 under subsection (3) in a school year, including hours and days
15 counted under subsection (4).

16 (b) The board of the district takes formal action not to
17 operate its schools for at least the required minimum number of
18 hours and days of pupil instruction under subsection (3) in a
19 school year, including hours and days counted under subsection (4).

20 (7) In providing the minimum number of hours and days of pupil
21 instruction required under subsection (3), a district shall use the
22 following guidelines, and a district shall maintain records to
23 substantiate its compliance with the following guidelines:

24 (a) Except as otherwise provided in this subsection, a pupil
25 must be scheduled for at least the required minimum number of hours
26 of instruction, excluding study halls, or at least the sum of 90
27 hours plus the required minimum number of hours of instruction,
28 including up to 2 study halls.

29 (b) The time a pupil is assigned to any tutorial activity in a



1 block schedule may be considered instructional time, unless that
2 time is determined in an audit to be a study hall period.

3 (c) Except as otherwise provided in this subdivision, a pupil
4 in grades 9 to 12 for whom a reduced schedule is determined to be
5 in the individual pupil's best educational interest, or a pupil in
6 grades 6 to 8 for whom a reduced schedule is determined to be in
7 the individual pupil's best educational interest due to the pupil's
8 participation in an advanced curriculum, must be scheduled for a
9 number of hours equal to at least 80% of the required minimum
10 number of hours of pupil instruction to be considered a full-time
11 equivalent pupil. A pupil in grades 6 to 12 who is scheduled in a
12 4-block schedule may receive a reduced schedule under this
13 subsection if the pupil is scheduled for a number of hours equal to
14 at least 75% of the required minimum number of hours of pupil
15 instruction to be considered a full-time equivalent pupil.

16 (d) For a pupil in grades 9 to 12 enrolled in a cooperative
17 education program, or for a special education pupil, in determining
18 full-time equated membership for that pupil, the pupil is not
19 considered less than a full-time equated pupil solely because of
20 the effect of the pupil's enrollment in the cooperative education
21 program or special education program, including necessary travel
22 time, on the number of class hours provided by the district to the
23 pupil.

24 (e) In grades 7 through 12, instructional time that is part of
25 a Junior Reserve Officer Training Corps (JROTC) program is
26 considered to be pupil instruction time regardless of whether the
27 instructor is a certificated teacher if all of the following are
28 met:

29 (i) The instructor has met all of the requirements established



1 by the United States Department of Defense and the applicable
2 branch of the armed services for serving as an instructor in the
3 Junior Reserve Officer Training Corps program.

4 (ii) The board of the district or intermediate district
5 employing or assigning the instructor complies with the
6 requirements of sections 1230 and 1230a of the revised school code,
7 MCL 380.1230 and 380.1230a, with respect to the instructor to the
8 same extent as if employing the instructor as a regular classroom
9 teacher.

10 (8) Except as otherwise provided in subsections (11) and (12),
11 the department shall apply the guidelines under subsection (7) in
12 calculating the full-time equivalency of pupils.

13 (9) Upon application by the district for a particular fiscal
14 year, the superintendent shall waive for a district the minimum
15 number of hours and days of pupil instruction requirement of
16 subsection (3) for a department-approved alternative education
17 program or another innovative program approved by the department,
18 including a 4-day school week. If a district applies for and
19 receives a waiver under this subsection and complies with the terms
20 of the waiver, the district is not subject to forfeiture under this
21 section for the specific program covered by the waiver. If the
22 district does not comply with the terms of the waiver, the amount
23 of the forfeiture is calculated based upon a comparison of the
24 number of hours and days of pupil instruction actually provided to
25 the minimum number of hours and days of pupil instruction required
26 under subsection (3). A district shall report pupils enrolled in a
27 department-approved alternative education program under this
28 subsection to the center in a form and manner determined by the
29 center. All of the following apply to a waiver granted under this



1 subsection:

2 (a) If the waiver is for a blended model of delivery, a waiver
3 that is granted for the 2011-2012 fiscal year or a subsequent
4 fiscal year remains in effect unless it is revoked by the
5 superintendent.

6 (b) If the waiver is for a 100% online model of delivery and
7 the educational program for which the waiver is granted makes
8 educational services available to pupils for a minimum of at least
9 1,098 hours during a school year and ensures that each pupil is on
10 track for course completion at proficiency level, a waiver that is
11 granted for the 2011-2012 fiscal year or a subsequent fiscal year
12 remains in effect unless it is revoked by the superintendent.

13 (c) A waiver that is not a waiver described in subdivision (a)
14 or (b) is valid for 3 fiscal years, unless it is revoked by the
15 superintendent, and must be renewed at the end of the 3-year period
16 to remain in effect.

17 (10) A district may count up to 38 hours of professional
18 development for teachers as hours of pupil instruction. All of the
19 following apply to the counting of professional development as
20 pupil instruction under this subsection:

21 (a) If the professional development exceeds 5 hours in a
22 single day, that day may be counted as a day of pupil instruction.

23 (b) At least 8 hours of the professional development counted
24 as hours of pupil instruction under this subsection must be
25 recommended by a districtwide professional development advisory
26 committee appointed by the district board. The advisory committee
27 must be composed of teachers employed by the district who represent
28 a variety of grades and subject matter specializations, including
29 special education; nonteaching staff; parents; and administrators.



1 The majority membership of the committee must be composed of
2 teaching staff.

3 (c) Professional development provided online is allowable and
4 encouraged, as long as the instruction has been approved by the
5 district. The department shall issue a list of approved online
6 professional development providers that must include the Michigan
7 Virtual School.

8 (d) Professional development may only be counted as hours of
9 pupil instruction under this subsection for the pupils of those
10 teachers scheduled to participate in the professional development.

11 (e) The professional development must meet all of the
12 following to be counted as pupil instruction under this subsection:

13 (i) Be aligned to the school or district improvement plan for
14 the school or district in which the professional development is
15 being provided.

16 (ii) Be linked to 1 or more criteria in the evaluation tool
17 developed or adopted by the district or intermediate district under
18 section 1249 of the revised school code, MCL 380.1249.

19 (iii) Has been approved by the department as counting for state
20 continuing education clock hours. The number of hours of
21 professional development counted as hours of pupil instruction
22 under this subsection may not exceed the number of state continuing
23 education clock hours for which the professional development was
24 approved.

25 (iv) Not more than a combined total of 10 hours of the
26 professional development takes place before the first scheduled day
27 of school for the school year ending in the fiscal year and after
28 the last scheduled day of school for that school year.

29 (v) Not more than 10 hours of the professional development



1 takes place in a single month.

2 (vi) At least 75% of teachers scheduled to participate in the
3 professional development are in attendance.

4 (11) Subsections (3) and (8) do not apply to a school of
5 excellence that is a cyber school, as that term is defined in
6 section 551 of the revised school code, MCL 380.551, and is in
7 compliance with section 553a of the revised school code, MCL
8 380.553a. Beginning July 1, 2021, this subsection is subject to
9 section 8c. It is the intent of the legislature that the
10 immediately preceding sentence apply retroactively and is effective
11 July 1, 2021.

12 (12) Subsections (3) and (8) do not apply to eligible pupils
13 enrolled in a dropout recovery program that meets the requirements
14 of section 23a. As used in this subsection, "eligible pupil" means
15 that term as defined in section 23a.

16 (13) At least every 2 years the superintendent shall review
17 the waiver standards set forth in the pupil accounting and auditing
18 manuals to ensure that the waiver standards and waiver process
19 continue to be appropriate and responsive to changing trends in
20 online learning. The superintendent shall solicit and consider
21 input from stakeholders as part of this review.

22 Sec. 104. (1) To receive state aid under this article, a
23 district shall comply with sections 1249, 1278a, 1278b, 1279g, and
24 1280b of the revised school code, MCL 380.1249, 380.1278a,
25 380.1278b, 380.1279g, and 380.1280b, and 1970 PA 38, MCL 388.1081
26 to 388.1086. Subject to subsection (2), from the state school aid
27 fund money appropriated in section 11, ~~there is allocated for 2024-~~
28 ~~2025 \$39,509,400.00, and there is allocated for 2025-2026~~
29 ~~\$37,509,400.00, \$40,000,000.00, and there is allocated for 2026-~~



1 **2027 \$44,500,000.00**, for payments on behalf of districts for costs
2 associated with complying with those provisions of law. In
3 addition, from the federal funds appropriated in section 11, there
4 is allocated for 2025-2026 **and 2026-2027** an amount estimated at
5 \$8,000,000.00 funded from DED-OESE, title VI, state assessment
6 funds, and from DED-OSERS, part B of the individuals with
7 disabilities education act, 20 USC 1411 to 1419, plus any carryover
8 federal funds from previous year appropriations, for the purposes
9 of complying with the every student succeeds act, Public Law 114-
10 95.

11 (2) The results of each test administered as part of the
12 Michigan student test of educational progress (M-STEP), including
13 tests administered to high school students, must include an item
14 analysis that lists all items that are counted for individual pupil
15 scores and the percentage of pupils choosing each possible
16 response. The department shall work with the center to identify the
17 number of students enrolled at the time assessments are given by
18 each district. In calculating the percentage of pupils assessed for
19 a district's scorecard, the department shall use only the number of
20 pupils enrolled in the district at the time the district
21 administers the assessments and shall exclude pupils who enroll in
22 the district after the district administers the assessments.

23 (3) The department shall distribute federal funds allocated
24 under this section in accordance with federal law and with
25 flexibility provisions outlined in Public Law 107-116, and in the
26 education flexibility partnership act of 1999, Public Law 106-25.

27 (4) The department may recommend, but may not require,
28 districts to allow pupils to use an external keyboard with tablet
29 devices for online M-STEP testing, including, but not limited to,



1 open-ended test items such as constructed response or equation
2 builder items.

3 (5) Notwithstanding section 17b, the department shall make
4 payments on behalf of districts, intermediate districts, and other
5 eligible entities under this section on a schedule determined by
6 the department.

7 (6) From the allocation in subsection (1), there is allocated
8 \$500,000.00 for ~~2024-2025 and 2025-2026~~ **and 2026-2027** for the
9 operation of an online reporting tool to provide student-level
10 assessment data in a secure environment to educators, parents, and
11 pupils immediately after assessments are scored. The department and
12 the center shall ensure that any data collected by the online
13 reporting tool do not provide individually identifiable student
14 data to the federal government.

15 (7) As used in this section:

16 (a) "DED" means the United States Department of Education.

17 (b) "DED-OESE" means the DED Office of Elementary and
18 Secondary Education.

19 (c) "DED-OSERS" means the DED Office of Special Education and
20 Rehabilitative Services.

21 Sec. 104h. (1) From the state school aid fund money
22 appropriated under section 11, there is allocated for ~~2025-2026~~
23 **2026-2027** an amount not to exceed \$11,500,000.00 to districts to
24 implement benchmark assessments during the ~~2025-2026-2026-2027~~
25 school year. All of the following apply to the benchmark assessment
26 system described in this subsection:

27 (a) The system must provide for all of the following:

28 (i) That, within the first 9 weeks of the ~~2025-2026~~ school
29 year, the district shall administer 1 or more benchmark assessments



provided by a provider approved under subsection ~~(6)~~, **(5)**, benchmark assessments described in subdivision (b), or local benchmark assessments, or any combination thereof, to all pupils in grades K to 8 to measure proficiency in reading and mathematics.

(ii) That, in addition to the benchmark assessment or benchmark assessments administered under subparagraph (i), by not later than the last day of the ~~2025-2026~~ school year, the district shall administer the benchmark assessment or assessments administered under subparagraph (i) to all pupils in grades K to 8 to measure proficiency in reading and mathematics. To support fall to spring growth calculations, the same benchmark assessment that is administered in the fall must be administered in the ~~spring~~ **last marking period of the school year**.

(b) Except as otherwise provided in this section, a district may administer 1 or more of the following benchmark assessments toward meeting the requirements under subdivision (a):

(i) A benchmark assessment in reading for students in grades K to 9 that contains progress monitoring tools and enhanced diagnostic assessments.

(ii) A benchmark assessment in math for students in grades K to 8 that contains progress monitoring tools.

(c) The system must provide that, to the extent practicable, if a district administers a benchmark assessment or benchmark assessments under this section, the district shall administer the same benchmark assessment or benchmark assessments provided by a provider approved under subsection ~~(6)~~, **(5)**, benchmark assessment or benchmark assessments described in subdivision (b), or local benchmark assessment or local benchmark assessments that it administered to pupils in previous school years, as applicable.

1 (d) The system must provide that, if a district administers a
2 benchmark assessment or benchmark assessments under this section,
3 the district shall provide each pupil's data from the benchmark
4 assessment or benchmark assessments, as available, to the pupil's
5 parent or legal guardian within 30 days of administering the
6 benchmark assessment or benchmark assessments.

7 (e) The system must provide that, if a local benchmark
8 assessment or local benchmark assessments are administered under
9 subdivision (a), the district shall report to the department, in a
10 form and manner prescribed by the department, the local benchmark
11 assessment or local benchmark assessments that were administered
12 and how that assessment or those assessments measure changes,
13 including any losses, as applicable, in learning, and the
14 district's plan for addressing any losses in learning.

15 ~~(f) The system must provide that, by not later than 30 days~~
16 ~~after a benchmark assessment or benchmark assessments are~~
17 ~~administered under subdivision (a) (ii), or within a time frame~~
18 ~~specified by the department, the district shall send benchmark~~
19 ~~assessment data, including grade level, student demographics, and~~
20 ~~mode of instruction, to the department in a form and manner~~
21 ~~prescribed by the department, from all benchmark assessments~~
22 ~~administered in the 2025-2026 school year, excluding data from a~~
23 ~~local benchmark assessment, as applicable. If available, the data~~
24 ~~described in this subdivision must include information concerning~~
25 ~~pupil growth from fall 2025 to spring 2026.~~

26 (2) To receive funding under this section, a district must do
27 all of the following:

28 (a) Apply for the funding in a form and manner prescribed by
29 the department.



(b) Administer 1 or more of the benchmark assessments described in subsection ~~(6)~~, **(5)**, excluding the benchmark assessment described in subsection (4).

(c) Administer the same benchmark assessment or assessments in both the fall and spring, as required under this section.

(d) Meet all reporting requirements ~~pertaining to assessment and mode of instruction data outlined to~~ **parents and legal guardians as described** in this section.

(3) Subject to subsection (2), the department shall pay an equal amount per membership pupil in grades K to 8 in the district to each district that applies for funding under this section.

(4) The department shall make 1 of the benchmark assessments provided by a provider approved under subsection ~~(6)~~ **(5)** available to districts at no cost to the districts for purposes of meeting the requirements under this section. The benchmark assessment described in this subsection must meet all of the following:

(a) Be aligned to the content standards of this state.

(b) Complement ~~the~~ **this** state's summative assessment system.

(c) Be internet-delivered and include a standards-based assessment.

(d) Provide information on pupil achievement with regard to learning content required in a given year or grade span.

(e) Provide timely feedback to pupils and teachers.

(f) Be nationally normed.

(g) Provide information to educators about student growth and allow for multiple testing opportunities.

~~(5) By not later than November 15 of each year subsequent to a year in which funding is appropriated under this section, the department shall submit a report to the house and senate~~



~~appropriations committees, the house and senate appropriations subcommittees on school aid, and the house and senate fiscal agencies regarding the benchmark assessment data received under this section, disaggregated by grade level and demographic subgroup for each district. If information concerning pupil growth is included in the data described in this subsection, it must be incorporated in the report described in this subsection.~~

(h) Include a digital library of teaching resources that are tied directly to the benchmark assessment and aligned to this state's standards.

(5) ~~(6)~~—The department shall approve at least 4 but not more than 6 providers of benchmark assessments for the purposes of this section. The department shall inform districts of all of the providers approved under this subsection in an equitable manner. The benchmark assessments, with the exclusion of the benchmark assessment described in subsection (4), provided by approved providers under this subsection must meet all of the following:

(a) Be aligned to the content standards of this state.

(b) Complement the state's summative assessment system.

(c) Be internet-delivered and include a standards-based remote, in-person, or both remote and in-person assessment using a computer-adaptive model to target the instructional level of each pupil.

(d) Provide information on pupil achievement with regard to learning content required in a given year or grade span.

(e) Provide immediate feedback to pupils and teachers.

(f) Be nationally normed.

(g) Provide multiple measures of growth and provide for multiple testing opportunities.



1 Sec. 107. (1) From the state school aid fund appropriation in
2 section 11, there is allocated an amount not to exceed
3 ~~\$32,913,600.00~~ **\$42,525,000.00** for ~~2025-2026~~ **2026-2027** for adult
4 education programs authorized under this section. Except as
5 otherwise provided under subsections (14) and (15), funds allocated
6 under this section are restricted for adult education programs as
7 authorized under this section only. A recipient of funds under this
8 section shall not use those funds for any other purpose.

9 (2) To be eligible for funding under this section, an eligible
10 adult education provider shall employ certificated teachers and
11 qualified administrative staff and shall offer continuing education
12 opportunities for teachers to allow them to maintain certification.

13 (3) To be eligible to be a participant funded under this
14 section, an individual must be enrolled in an adult basic education
15 program, an adult secondary education program, an adult English as
16 a second language program, a high school equivalency test
17 preparation program, or a high school completion program, that
18 meets the requirements of this section, and for which instruction
19 is provided, and the individual must be at least 18 years of age by
20 July 1 of the program year and the individual's graduating class
21 must have graduated.

22 (4) By April 1 of each fiscal year for which funding is
23 allocated under this section, the intermediate districts within a
24 prosperity region or subregion shall determine which intermediate
25 district will serve as the prosperity region's or subregion's
26 fiscal agent for the next fiscal year and shall notify the
27 department in a form and manner determined by the department. The
28 department shall approve or disapprove of the prosperity region's
29 or subregion's selected fiscal agent. From the funds allocated



1 under subsection (1), an amount as determined under this subsection
2 is allocated to each intermediate district serving as a fiscal
3 agent for adult education programs in each of the prosperity
4 regions or subregions identified by the department. An intermediate
5 district shall not use more than 5% of the funds allocated under
6 this subsection for administration costs for serving as the fiscal
7 agent. The allocation provided to each intermediate district
8 serving as a fiscal agent must be calculated as follows:

9 (a) Sixty percent of this portion of the funding must be
10 distributed based upon the proportion of the state population of
11 individuals between the ages of 18 and 24 that are not high school
12 graduates that resides in each of the prosperity regions or
13 subregions located within the intermediate district, as reported by
14 the most recent 5-year estimates from the American Community Survey
15 (ACS) from the United States Census Bureau.

16 (b) Thirty-five percent of this portion of the funding must be
17 distributed based upon the proportion of the state population of
18 individuals age 25 or older who are not high school graduates that
19 resides in each of the prosperity regions or subregions located
20 within the intermediate district, as reported by the most recent 5-
21 year estimates from the ACS from the United States Census Bureau.

22 (c) Five percent of this portion of the funding must be
23 distributed based upon the proportion of the state population of
24 individuals age 18 or older who lack basic English language
25 proficiency that resides in each of the prosperity regions or
26 subregions located within the intermediate district, as reported by
27 the most recent 5-year estimates from the ACS from the United
28 States Census Bureau.

29 (5) To be an eligible fiscal agent, an intermediate district



1 must agree to do the following in a form and manner determined by
2 the department:

3 (a) Distribute funds to adult education programs in a
4 prosperity region or subregion as described in this section.

5 (b) Collaborate with the career and educational advisory
6 council, which is an advisory council of the workforce development
7 boards located in the prosperity region or subregion, or its
8 successor, to develop a regional strategy that aligns adult
9 education programs and services into an efficient and effective
10 delivery system for adult education learners, with special
11 consideration for providing contextualized learning and career
12 pathways and addressing barriers to education and employment.

13 (c) Collaborate with the career and educational advisory
14 council, which is an advisory council of the workforce development
15 boards located in the prosperity region or subregion, or its
16 successor, to create a local process and criteria that will
17 identify eligible adult education providers to receive funds
18 allocated under this section based on location, demand for
19 services, past performance, quality indicators as identified by the
20 department, and cost to provide instructional services. The fiscal
21 agent shall determine all local processes, criteria, and provider
22 determinations. However, the local processes, criteria, and
23 provider services must be approved by the department before funds
24 may be distributed to the fiscal agent.

25 (d) Provide oversight to its adult education providers
26 throughout the program year to ensure compliance with the
27 requirements of this section.

28 (e) Report adult education program and participant data and
29 information as prescribed by the department.



1 (6) An adult basic education program, an adult secondary
2 education program, or an adult English as a second language program
3 operated on a year-round or school year basis may be funded under
4 this section, subject to all of the following:

5 (a) The program enrolls adults who are determined by a
6 department-approved assessment, in a form and manner prescribed by
7 the department, to be below twelfth grade level in reading or
8 mathematics, or both, or to lack basic English proficiency.

9 (b) The program tests individuals for eligibility under
10 subdivision (a) before enrollment and upon completion of the
11 program in compliance with the state-approved assessment policy.

12 (c) A participant in an adult basic education program is
13 eligible for reimbursement until 1 of the following occurs:

14 (i) The participant's reading and mathematics proficiency are
15 assessed at or above the ninth grade level.

16 (ii) The participant fails to show progress on 2 successive
17 assessments after having completed at least 450 hours of
18 instruction.

19 (d) A participant in an adult secondary education program is
20 eligible for reimbursement until 1 of the following occurs:

21 (i) The participant's reading and mathematics proficiency are
22 assessed above the twelfth grade level.

23 (ii) The participant fails to show progress on 2 successive
24 assessments after having at least 450 hours of instruction.

25 (e) A funding recipient enrolling a participant in an English
26 as a second language program is eligible for funding according to
27 subsection (9) until the participant meets 1 of the following:

28 (i) The participant is assessed as having attained basic
29 English proficiency as determined by a department-approved



1 assessment.

2 (ii) The participant fails to show progress on 2 successive
3 department-approved assessments after having completed at least 450
4 hours of instruction. The department shall provide information to a
5 funding recipient regarding appropriate assessment instruments for
6 this program.

7 (7) A high school equivalency test preparation program
8 operated on a year-round or school year basis may be funded under
9 this section, subject to all of the following:

10 (a) The program enrolls adults who do not have a high school
11 diploma or a high school equivalency certificate.

12 (b) The program administers a pre-test approved by the
13 department before enrolling an individual to determine the
14 individual's literacy levels, administers a high school equivalency
15 practice test to determine the individual's potential for success
16 on the high school equivalency test, and administers a post-test
17 upon completion of the program in compliance with the state-
18 approved assessment policy.

19 (c) A funding recipient receives funding according to
20 subsection (9) for a participant, and a participant may be enrolled
21 in the program until 1 of the following occurs:

22 (i) The participant achieves a high school equivalency
23 certificate.

24 (ii) The participant fails to show progress on 2 successive
25 department-approved assessments used to determine readiness to take
26 a high school equivalency test after having completed at least 450
27 hours of instruction.

28 (8) A high school completion program operated on a year-round
29 or school year basis may be funded under this section, subject to



1 all of the following:

2 (a) The program enrolls adults who do not have a high school
3 diploma.

4 (b) The program tests participants described in subdivision
5 (a) before enrollment and upon completion of the program in
6 compliance with the state-approved assessment policy.

7 (c) A funding recipient receives funding according to
8 subsection (9) for a participant in a course offered under this
9 subsection until 1 of the following occurs:

10 (i) The participant passes the course and earns a high school
11 diploma.

12 (ii) The participant fails to earn credit in 2 successive
13 semesters or terms in which the participant is enrolled after
14 having completed at least 900 hours of instruction.

15 (9) The department shall make payments to a funding recipient
16 under this section in accordance with all of the following:

17 (a) Statewide allocation criteria, including 3-year average
18 enrollments, census data, and local needs.

19 (b) Participant completion of the adult basic education
20 objectives by achieving an educational gain as determined by the
21 national reporting system levels; for achieving basic English
22 proficiency, as determined by the department; for achieving a high
23 school equivalency certificate or passage of 1 or more individual
24 high school equivalency tests; for attainment of a high school
25 diploma or passage of a course required for a participant to attain
26 a high school diploma; for enrollment in a postsecondary
27 institution; or for entry into or retention of employment, as
28 applicable.

29 (c) Participant completion of core indicators as identified in



1 the workforce innovation and opportunity act, Public Law 113-128.

2 (d) Allowable expenditures.

3 (10) An individual who is not eligible to be a participant
4 funded under this section may receive adult education services upon
5 the payment of tuition. In addition, an individual who is not
6 eligible to be served in a program under this section due to the
7 program limitations specified in subsection (6), (7), or (8) may
8 continue to receive adult education services in that program upon
9 the payment of tuition. The local or intermediate district
10 conducting the program shall determine the tuition amount.

11 (11) An individual who is an inmate in a state correctional
12 facility is not counted as a participant under this section.

13 (12) A funding recipient shall not commingle money received
14 under this section or from another source for adult education
15 purposes with any other funds and shall establish a separate ledger
16 account for funds received under this section. This subsection does
17 not prohibit a district from using general funds of the district to
18 support an adult education or community education program.

19 (13) A funding recipient receiving funds under this section
20 may establish a sliding scale of tuition rates based upon a
21 participant's family income. A funding recipient may charge a
22 participant tuition to receive adult education services under this
23 section from that sliding scale of tuition rates on a uniform
24 basis. The amount of tuition charged per participant must not
25 exceed the actual operating cost per participant minus any funds
26 received under this section per participant. A funding recipient
27 may not charge a participant tuition under this section if the
28 participant's income is at or below 200% of the federal poverty
29 guidelines published by the United States Department of Health and



1 Human Services.

2 (14) To receive funds under this section, a funding recipient
3 shall furnish to the department, in a form and manner determined by
4 the department, all information needed to administer this program
5 and meet federal reporting requirements; shall allow the department
6 or the department's designee to review all records related to the
7 program for which it receives funds; and shall reimburse the state
8 for all disallowances found in the review, as determined by the
9 department. In addition, a funding recipient shall agree to pay to
10 a career and technical education program under section 61a the
11 amount of funding received under this section in the proportion of
12 career and technical education coursework used to satisfy adult
13 basic education programming, as billed to the funding recipient by
14 programs operating under section 61a.

15 (15) From the amount appropriated in subsection (1), an amount
16 not to exceed \$4,000,000.00 is allocated for ~~2025-2026~~**2026-2027** to
17 approved adult education programs that connect adult education
18 participants with employers as provided under this subsection. The
19 department shall determine regional planning allocations under this
20 subsection to each intermediate district serving as a fiscal agent
21 for adult education programs in each of the prosperity regions or
22 subregions identified by the department in the same proportion as
23 funding calculated and allocated under subsection (4). Funds not
24 fully utilized within a region may be transferred to other regions
25 as appropriate. To be eligible for funding under this subsection, a
26 program must provide a collaboration linking adult education
27 programs within the county, state-approved career and technical
28 education programs, and local employers. To receive funding under
29 this subsection, an eligible program must satisfy all of the



1 following:

2 (a) Connect adult education participants directly with
3 employers by linking adult education, career and technical skills,
4 and workforce development.

5 (b) Require adult education staff to work with Michigan Works!
6 agency to identify a cohort of participants who are most prepared
7 to successfully enter the workforce. Except as otherwise provided
8 under this subdivision, participants identified under this
9 subsection must be dually enrolled in adult education programming
10 and in at least 1 state-approved technical course through a career
11 and technical education program. A program that links participants
12 identified under this subsection with adult education programming
13 and commercial driver license courses does not need to enroll the
14 participants in at least 1 state-approved technical course through
15 a career and technical education program to be considered an
16 eligible program under this subsection.

17 (c) Employ an individual staffed as an adult education
18 navigator who will serve as a caseworker for each participant
19 identified under subdivision (b). The navigator shall work with
20 adult education staff and potential employers to design an
21 educational program best suited to the personal and employment
22 needs of the participant and shall work with human service agencies
23 or other entities to address any barrier in the way of participant
24 access.

25 (16) By not later than December 1 of each year, a program
26 funded under subsection (15) shall provide a report to the senate
27 and house appropriations subcommittees on school aid, to the senate
28 and house fiscal agencies, and to the state budget director
29 identifying the number of participants, graduation rates, and a



1 measure of transition to employment.

2 (17) Except as otherwise provided in this subsection,
3 participants under subsection (15) must be concurrently enrolled
4 and actively working toward obtaining a high school diploma or a
5 high school equivalency certificate. Concurrent enrollment is not
6 required under this subsection for a participant that was enrolled
7 in adult education during the same program year and obtained a high
8 school diploma or a high school equivalency certificate before
9 enrollment in an eligible career and technical skills program under
10 subsection (15). Up to 10% of adult education participants served
11 under subsection (15) may already have a high school diploma or a
12 high school equivalency certificate at the time of enrollment in an
13 eligible career and technical skills program under subsection (15)
14 and receive remediation services. It is intended that the cap
15 described in the immediately preceding sentence is continually
16 lowered on an annual basis until it eventually is 0%.

17 (18) The department shall approve at least 2 high school
18 equivalency tests and determine whether a high school equivalency
19 certificate meets the requisite standards for high school
20 equivalency in this state.

21 (19) As used in this section:

22 (a) "Career and educational advisory council" means an
23 advisory council to the local workforce development boards located
24 in a prosperity region consisting of educational, employer, labor,
25 and parent representatives.

26 (b) "Career pathway" means a combination of rigorous and high-
27 quality education, training, and other services that comply with
28 all of the following:

29 (i) Aligns with the skill needs of industries in the economy of



1 this state or in the regional economy involved.

2 (ii) Prepares an individual to be successful in any of a full
3 range of secondary or postsecondary education options, including
4 apprenticeships registered under the act of August 16, 1937,
5 commonly referred to as the national apprenticeship act, 29 USC 50
6 et seq.

7 (iii) Includes counseling to support an individual in achieving
8 the individual's education and career goals.

9 (iv) Includes, as appropriate, education offered concurrently
10 with and in the same context as workforce preparation activities
11 and training for a specific occupation or occupational cluster.

12 (v) Organizes education, training, and other services to meet
13 the particular needs of an individual in a manner that accelerates
14 the educational and career advancement of the individual to the
15 extent practicable.

16 (vi) Enables an individual to attain a secondary school diploma
17 or its recognized equivalent, and at least 1 recognized
18 postsecondary credential.

19 (vii) Helps an individual enter or advance within a specific
20 occupation or occupational cluster.

21 (c) "Department" means the department of labor and economic
22 opportunity.

23 (d) "Eligible adult education provider" means a district,
24 intermediate district, a consortium of districts, a consortium of
25 intermediate districts, or a consortium of districts and
26 intermediate districts that is identified as part of the local
27 process described in subsection (5)(c) and approved by the
28 department.

29 Sec. 147. (1) The allocation for ~~2025-2026~~**2026-2027** for the



public school employees' retirement system pursuant to the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, is made using the individual projected benefit entry age normal cost method of valuation and risk assumptions adopted by the public school employees retirement board and the department of technology, management, and budget.

(2) The annual level percentage of payroll contribution rates for the ~~2025-2026~~**2026-2027** fiscal year, as determined by the retirement system, are estimated as follows:

(a) For public school employees who first worked for a public school reporting unit before July 1, 2010 and who are enrolled in the health premium subsidy, the annual level percentage of payroll contribution rate is estimated at ~~44.93%~~**41.02%** with ~~29.91%~~**27.51%** paid directly by the employer.

(b) For public school employees who first worked for a public school reporting unit on or after July 1, 2010 and who are enrolled in the health premium subsidy, the annual level percentage of payroll contribution rate is estimated at ~~40.19%~~**36.28%** with ~~25.17%~~**22.77%** paid directly by the employer.

(c) For public school employees who first worked for a public school reporting unit on or after July 1, 2010 and who participate in the personal healthcare fund, the annual level percentage of payroll contribution rate is estimated at ~~36.36%~~**34.85%** with 21.34% paid directly by the employer.

(d) For public school employees who first worked for a public school reporting unit on or after September 4, 2012, who elect defined contribution, and who participate in the personal healthcare fund, the annual level percentage of payroll contribution rate is estimated at ~~30.23%~~**28.72%** with 15.21% paid



1 directly by the employer.

2 (e) For public school employees who first worked for a public
3 school reporting unit before July 1, 2010, who elect defined
4 contribution, and who are enrolled in the health premium subsidy,
5 the annual level percentage of payroll contribution rate is
6 estimated at ~~34.06%~~ **30.15%** with ~~19.04%~~ **16.64%** paid directly by the
7 employer.

8 (f) For public school employees who first worked for a public
9 school reporting unit before July 1, 2010, who elect defined
10 contribution, and who participate in the personal healthcare fund,
11 the annual level percentage of payroll contribution rate is
12 estimated at ~~30.23%~~ **28.72%** with 15.21% paid directly by the
13 employer.

14 (g) For public school employees who first worked for a public
15 school reporting unit before July 1, 2010 and who participate in
16 the personal healthcare fund, the annual level percentage of
17 payroll contribution rate is estimated at ~~41.10%~~ **39.59%** with 26.08%
18 paid directly by the employer.

19 (h) For public school employees who first worked for a public
20 school reporting unit after January 31, 2018 and who elect to
21 become members of the MPSERS plan, the annual level percentage of
22 payroll contribution rate is estimated at ~~36.43%~~ **34.92%** with 21.41%
23 paid directly by the employer.

24 (3) In addition to the employer payments described in
25 subsection (2), the employer shall pay the applicable contributions
26 to the Tier 2 plan, as determined by the public school employees
27 retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437.

28 (4) The contribution rates in subsection (2) reflect an
29 amortization period of ~~13~~ **12** years for ~~2024-2025.~~ **2026-2027**. The



1 public school employees' retirement system board shall notify each
 2 district and intermediate district by February 28 of each fiscal
 3 year of the estimated contribution rate for the next fiscal year.

4 Sec. 147a. ~~(1) From the state school aid fund money~~
 5 ~~appropriated in section 11, there is allocated for 2024-2025 an~~
 6 ~~amount not to exceed \$100,000,000.00 for payments to participating~~
 7 ~~districts. A participating district that receives money under this~~
 8 ~~subsection shall use that money solely for the purpose of~~
 9 ~~offsetting a portion of the retirement contributions owed by the~~
 10 ~~district for the fiscal year in which it is received. The amount~~
 11 ~~allocated to each participating district under this subsection is~~
 12 ~~based on each participating district's percentage of the total~~
 13 ~~statewide payroll for all participating districts for the~~
 14 ~~immediately preceding fiscal year. As used in this subsection,~~
 15 ~~"participating district" means a district that is a reporting unit~~
 16 ~~of the Michigan public school employees' retirement system under~~
 17 ~~the public school employees retirement act of 1979, 1980 PA 300,~~
 18 ~~MCL 38.1301 to 38.1437, and that reports employees to the Michigan~~
 19 ~~public school employees' retirement system for the applicable~~
 20 ~~fiscal year.~~

21 ~~(2) In addition to the allocation under subsection (1), from~~
 22 **From** the state school aid fund money appropriated under section 11,
 23 there is allocated ~~an amount not to exceed \$414,900,000.00 for~~
 24 ~~2024-2025 and an amount not to exceed \$336,200,000.00~~
 25 **\$361,100,000.00 for 2025-2026 and an amount not to exceed**
 26 **\$307,400,000.00 for 2026-2027** for payments to participating
 27 districts and intermediate districts and from the general fund
 28 money appropriated under section 11, there is allocated an amount
 29 not to exceed \$100,000.00 for ~~2024-2025 and 2025-2026~~ **and 2026-2027**



1 for payments to participating district libraries. The amount
 2 allocated to each participating entity under this subsection is
 3 based on each participating entity's reported quarterly payroll for
 4 members that became tier 1 before February 1, 2018 for the current
 5 fiscal year. A participating entity that receives money under this
 6 subsection shall use that money solely for the purpose of
 7 offsetting a portion of the normal cost contribution rate. As used
 8 in this ~~subsection~~**section**:

9 (a) "District library" means a district library established
 10 under the district library establishment act, 1989 PA 24, MCL
 11 397.171 to 397.196.

12 (b) "Participating entity" means a district, intermediate
 13 district, or district library that is a reporting unit of the
 14 Michigan public school employees' retirement system under the
 15 public school employees retirement act of 1979, 1980 PA 300, MCL
 16 38.1301 to 38.1437, and that reports employees to the Michigan
 17 public school employees' retirement system for the applicable
 18 fiscal year.

19 ~~(3) In addition to the allocations under subsections (1) and~~
 20 ~~(2), from the state school aid fund money appropriated in section~~
 21 ~~11, there is allocated for 2024-2025 only an amount not to exceed~~
 22 ~~\$11,939,000.00 for payments to participating intermediate districts~~
 23 ~~and participating district libraries. A participating intermediate~~
 24 ~~district or participating district library shall use that money~~
 25 ~~solely for the purpose of offsetting a portion of the retirement~~
 26 ~~contributions owed by the participating intermediate district or~~
 27 ~~participating district library for the fiscal year in which it is~~
 28 ~~received. The amount allocated to each participating intermediate~~
 29 ~~district or participating district library under this subsection is~~



1 ~~calculated as follows:~~

2 ~~(a) For each participating intermediate district,~~
 3 ~~\$11,912,000.00 multiplied by each participating intermediate~~
 4 ~~district's percentage of the total statewide payroll for all~~
 5 ~~participating intermediate districts for the immediately preceding~~
 6 ~~fiscal year.~~

7 ~~(b) For each participating district library, \$27,000.00~~
 8 ~~multiplied by each participating district library's percentage of~~
 9 ~~the total statewide payroll for all participating district~~
 10 ~~libraries for the immediately preceding fiscal year.~~

11 ~~(c) As used in this subsection:~~

12 ~~(i) "Participating district library" means a district library~~
 13 ~~that is a reporting unit of the Michigan public school employees'~~
 14 ~~retirement system under the public school employees retirement act~~
 15 ~~of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and that reports~~
 16 ~~employees to the Michigan public school employees' retirement~~
 17 ~~system for the applicable fiscal year.~~

18 ~~(ii) "Participating intermediate district" means an~~
 19 ~~intermediate district that is a reporting unit of the Michigan~~
 20 ~~public school employees' retirement system under the public school~~
 21 ~~employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to~~
 22 ~~38.1437, and that reports employees to the Michigan public school~~
 23 ~~employees' retirement system for the applicable fiscal year.~~

24 ~~(4) In addition to the allocations under subsections (1), (2),~~
 25 ~~and (3), from the state school aid fund money appropriated in~~
 26 ~~section 11, there is allocated for 2024-2025 an amount not to~~
 27 ~~exceed \$598,000,000.00 for payments to participating entities. The~~
 28 ~~amount allocated to each participating entity under this subsection~~
 29 ~~is based on each participating entity's percentage of the total~~



~~statewide payroll for all participating entities for the immediately preceding fiscal year. The amount allocated in this subsection represents an amount to effectively reduce each participating entity's unfunded actuarial accrued liability from 20.96% to an estimated 15.21% of covered payroll. It is the intent of the legislature that the allocation under this subsection be used to support student mental health, school safety, the educator workforce, and academic interventions.~~

~~(a) As used in this subsection:~~

~~(i) "District library" means a district library established under the district library establishment act, 1989 PA 24, MCL 397.171 to 397.196.~~

~~(ii) "Participating entity" means a district, intermediate district, district library, or community college that is a reporting unit of the Michigan public school employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and that reports employees to the Michigan public school employees' retirement system for the applicable fiscal year.~~

Sec. 147b. (1) The MPERS retirement obligation reform reserve fund is created as a separate account within the state school aid fund.

(2) The state treasurer may receive money or other assets from any source for deposit into the MPERS retirement obligation reform reserve fund. The state treasurer shall direct the investment of the MPERS retirement obligation reform reserve fund. The state treasurer shall credit to the MPERS retirement obligation reform reserve fund interest and earnings from the MPERS retirement obligation reform reserve fund.



(3) Money available in the MPSERS retirement obligation reform reserve fund must not be expended without a specific appropriation.

(4) Money in the MPSERS retirement obligation reform reserve fund at the close of the fiscal year ~~remains in the MPSERS retirement obligation reform reserve fund and does not lapse~~ **lapses** to the state school aid fund or to the general fund. The department of treasury is the administrator of the MPSERS retirement obligation reform reserve fund for auditing purposes.

~~(5) For 2022-2023, \$825,000,000.00 from the state school aid fund is deposited into the MPSERS retirement obligation reform reserve fund. It is the intent of the legislature that \$425,000,000.00 of the funds deposited under this subsection for 2022-2023 are used to offset costs associated with accelerating the reduction of the payroll growth assumption for reporting units that are not university reporting units until that rate is zero by October 1, 2026.~~

Sec. 147c. (1) From the state school aid fund money appropriated in section 11, there is allocated for 2025-2026 an amount not to exceed \$1,536,500,000.00 **and there is allocated for 2026-2027 an amount not to exceed \$1,454,400,000.00** for payments to districts and intermediate districts that are participating entities of the Michigan public school employees' retirement system. In addition, from the general fund money appropriated in section 11, there is allocated for 2025-2026 **and 2026-2027** an amount not to exceed \$300,000.00 for payments to district libraries that are participating entities of the Michigan public school employees' retirement system. All of the following apply to funding under this subsection:

(a) ~~Except as otherwise provided in this subdivision, for~~



1 ~~2025-2026, the~~ **The** amounts allocated under this subsection are
2 estimated to provide an average MPERS rate cap per pupil amount
3 for districts of \$1,100.00. ~~, which represents an average increase~~
4 ~~of \$362.00 per pupil compared to the immediately preceding state~~
5 ~~fiscal year.~~

6 (b) Payments made under this subsection are equal to the
7 difference between the unfunded actuarial accrued liability
8 contribution rate as calculated under section 41 of the public
9 school employees retirement act of 1979, 1980 PA 300, MCL 38.1341,
10 as calculated without taking into account the maximum employer rate
11 of ~~20.96%~~ **15.21%** included in section 41 of the public school
12 employees retirement act of 1979, 1980 PA 300, MCL 38.1341, and the
13 maximum employer rate of ~~20.96%~~ **15.21%** included in section 41 of
14 the public school employees retirement act of 1979, 1980 PA 300,
15 MCL 38.1341.

16 (c) The amount allocated to each participating entity under
17 this subsection is based on each participating entity's proportion
18 of the total covered payroll for the immediately preceding fiscal
19 year for the same type of participating entities. A participating
20 entity that receives funds under this subsection shall use the
21 funds solely for the purpose of retirement contributions as
22 specified in subdivision (d).

23 (d) Each participating entity receiving funds under this
24 subsection shall forward an amount equal to the amount allocated
25 under subdivision (c) to the retirement system in a form, manner,
26 and time frame determined by the retirement system.

27 (e) Funds allocated under this subsection should be considered
28 when comparing a district's growth in total state aid funding from
29 1 fiscal year to the next.



(f) By not later than December 20 of each fiscal year for which funding is allocated under this subsection, the department shall publish and post on its website an estimated MPSERS rate cap per pupil for each district.

(2) As used in this section:

(a) "District library" means a district library established under the district library establishment act, 1989 PA 24, MCL 397.171 to 397.196.

(b) "MPSERS rate cap per pupil" means an amount equal to the quotient of the district's payment under this section divided by the district's pupils in membership.

(c) "Participating entity" means, except as otherwise provided in this subdivision, a district, intermediate district, or district library that is a reporting unit of the Michigan public school employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and that reports employees to the Michigan public school employees' retirement system for the applicable fiscal year.

(d) "Retirement system" means the Michigan public school employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437.

Sec. 147e. (1) From the state school aid fund money appropriated in section 11, ~~there is allocated for 2024-2025 an amount not to exceed \$71,600,000.00, and there is allocated for 2025-2026 an amount not to exceed \$118,400,000.00~~ **\$116,500,000.00 and there is allocated for 2026-2027 an amount not to exceed \$136,200,000.00** for payments to participating entities.

(2) The payment to each participating entity under this section is the sum of the amounts under this subsection as follows:



1 (a) An amount equal to the contributions made by a
2 participating entity for the additional contribution made to a
3 qualified participant's Tier 2 account in an amount equal to the
4 contribution made by the qualified participant not to exceed 3% of
5 the qualified participant's compensation as provided for under
6 section 131(6) of the public school employees retirement act of
7 1979, 1980 PA 300, MCL 38.1431.

8 (b) Beginning October 1, 2017, an amount equal to the
9 contributions made by a participating entity for a qualified
10 participant who is only a Tier 2 qualified participant under
11 section 81d of the public school employees retirement act of 1979,
12 1980 PA 300, MCL 38.1381d, not to exceed 4%, and, beginning
13 February 1, 2018, not to exceed 1%, of the qualified participant's
14 compensation.

15 (c) An amount equal to the increase in employer normal cost
16 contributions under section 41b(2) of the public school employees
17 retirement act of 1979, 1980 PA 300, MCL 38.1341b, for a member
18 that was hired after February 1, 2018 and chose to participate in
19 Tier 1, compared to the employer normal cost contribution for a
20 member under section 41b(1) of the public school employees
21 retirement act of 1979, 1980 PA 300, MCL 38.1341b.

22 (3) As used in this section:

23 (a) "Member" means that term as defined under the public
24 school employees retirement act of 1979, 1980 PA 300, MCL 38.1301
25 to 38.1437.

26 (b) "Participating entity" means a district, intermediate
27 district, or community college that is a reporting unit of the
28 Michigan public school employees' retirement system under the
29 public school employees retirement act of 1979, 1980 PA 300, MCL



1 38.1301 to 38.1437, and that reports employees to the Michigan
 2 public school employees' retirement system for the applicable
 3 fiscal year.

4 (c) "Qualified participant" means that term as defined under
 5 section 124 of the public school employees retirement act of 1979,
 6 1980 PA 300, MCL 38.1424.

7 Sec. 152a. (1) As required by the court in the consolidated
 8 cases known as *Adair v State of Michigan*, 486 Mich 468 (2010), from
 9 the state school aid fund money appropriated in section 11, there
 10 is allocated for ~~2025-2026~~**2026-2027** an amount not to exceed
 11 \$41,000,500.00 to be used solely for the purpose of paying
 12 necessary costs related to the state-mandated collection,
 13 maintenance, and reporting of data to this state. From this
 14 allocation, \$3,000,000.00 is allocated for costs associated with
 15 collecting data necessary to provide reporting to tribal
 16 governments on the status of students affiliated with their
 17 particular tribe and data necessary to determine student
 18 participation in federal programs funded under 20 USC 7401 to 7546
 19 and participation in federal programs funded under the Johnson-
 20 O'Malley ~~Supplemental~~**supplemental** Indian ~~Education Program~~
 21 ~~Modernization Act,~~**education program modernization act**, Public Law
 22 115-404.

23 (2) From the allocation in subsection (1), the department
 24 shall make payments to districts and intermediate districts in an
 25 equal amount per pupil based on the total number of pupils in
 26 membership in each district and intermediate district. The
 27 department shall not make any adjustment to these payments after
 28 the final installment payment under section 17b is made.

29 Sec. 152b. (1) From the general fund money appropriated under



1 section 11, there is allocated an amount not to exceed
2 \$1,000,000.00 for ~~2025-2026~~**2026-2027** to reimburse actual costs
3 incurred by nonpublic schools in complying with a health, safety,
4 or welfare requirement mandated by a law or administrative rule of
5 this state.

6 (2) By January 1 of each applicable fiscal year, the
7 department shall publish a form for reporting actual costs incurred
8 by a nonpublic school in complying with a health, safety, or
9 welfare requirement mandated under state law containing each
10 health, safety, or welfare requirement mandated by a law or
11 administrative rule of this state applicable to a nonpublic school
12 and with a reference to each relevant provision of law or
13 administrative rule for the requirement. The form must be posted on
14 the department's website in electronic form.

15 (3) By June 30 of each applicable fiscal year, a nonpublic
16 school seeking reimbursement for actual costs incurred in complying
17 with a health, safety, or welfare requirement under a law or
18 administrative rule of this state during each applicable school
19 year must submit a completed form described in subsection (2) to
20 the department. This section does not require a nonpublic school to
21 submit a form described in subsection (2). A nonpublic school is
22 not eligible for reimbursement under this section if the nonpublic
23 school does not submit the form described in subsection (2) in a
24 timely manner.

25 (4) By August 15 of each applicable fiscal year, the
26 department shall distribute funds to each nonpublic school that
27 submits a completed form described under subsection (2) in a timely
28 manner. The superintendent shall determine the amount of funds to
29 be paid to each nonpublic school in an amount that does not exceed



1 the nonpublic school's actual costs in complying with a health,
2 safety, or welfare requirement under a law or administrative rule
3 of this state. The superintendent shall calculate a nonpublic
4 school's actual cost in accordance with this section.

5 (5) If the funds allocated under this section are insufficient
6 to fully fund payments as otherwise calculated under this section,
7 the department shall distribute funds under this section on a
8 prorated or other equitable basis as determined by the
9 superintendent.

10 (6) The department may review the records of a nonpublic
11 school submitting a form described in subsection (2) only for the
12 limited purpose of verifying the nonpublic school's compliance with
13 this section. If a nonpublic school does not allow the department
14 to review records under this subsection, the nonpublic school is
15 not eligible for reimbursement under this section.

16 (7) The funds appropriated under this section are for purposes
17 that are incidental to teaching and the provision of educational
18 services to nonpublic school students; that are noninstructional in
19 nature; that do not constitute a primary function or element
20 necessary for a nonpublic school's existence, operation, and
21 survival; that do not involve or result in excessive religious
22 entanglement; and that are intended for the public purpose of
23 ensuring the health, safety, and welfare of the children in
24 nonpublic schools and to reimburse nonpublic schools for costs
25 described in this section.

26 (8) Funds allocated under this section are not intended to aid
27 or maintain any nonpublic school, support the attendance of any
28 student at a nonpublic school, employ any person at a nonpublic
29 school, support the attendance of any student at any location where



1 instruction is offered to a nonpublic school student, or support
2 the employment of any person at any location where instruction is
3 offered to a nonpublic school student.

4 (9) For purposes of this section, "actual cost" means the
5 hourly wage for the employee or employees performing a task or
6 tasks required to comply with a health, safety, or welfare
7 requirement under a law or administrative rule of this state
8 identified by the department under subsection (2) and is to be
9 calculated in accordance with the form published by the department
10 under subsection (2), which must include a detailed itemization of
11 costs. The nonpublic school shall not charge more than the hourly
12 wage of its lowest-paid employee capable of performing a specific
13 task regardless of whether that individual is available and
14 regardless of who actually performs a specific task. Labor costs
15 under this subsection must be estimated and charged in increments
16 of 15 minutes or more, with all partial time increments rounded
17 down. When calculating costs under subsection (4), fee components
18 must be itemized in a manner that expresses both the hourly wage
19 and the number of hours charged. The nonpublic school may not
20 charge any applicable labor charge amount to cover or partially
21 cover the cost of health or fringe benefits. A nonpublic school
22 shall not charge any overtime wages in the calculation of labor
23 costs.

24 (10) Training fees, inspection fees, and criminal background
25 check fees are considered actual costs in complying with a health,
26 safety, or welfare requirement under a law or administrative rule
27 of this state.

28 (11) The funds allocated under this section for ~~2025-2026~~
29 **2026-2027** are a work project appropriation, and any unexpended



funds for ~~2025-2026-2026-2027~~ are carried forward into ~~2026-2027-~~
2027-2028. The purpose of the work project is to continue to
 reimburse nonpublic schools for actual costs incurred in complying
 with a health, safety, or welfare requirement mandated by a law or
 administrative rule of this state. The estimated completion date of
 the work project is September 30, ~~2027.~~**2028**.

(12) The department shall reimburse nonpublic schools for
 actual costs incurred in complying with health, safety, or welfare
 requirements under a law or administrative rule of this state from
 2017-2018 through 2022-2023 using work project funds or, if those
 funds are insufficient to fund reimbursements under this
 subsection, from the allocation under subsection (1).

**Sec. 152c. (1) From the state school aid fund money
 appropriated in section 11, there is allocated for 2026-2027 only
 an amount not to exceed \$5,000,000.00 to Marquette-Alger Regional
 Educational Agency to develop statewide supports for the federal
 tribal consultation requirements under the every student succeeds
 act, Public Law 114-95.**

**(2) Marquette-Alger Regional Educational Agency shall use the
 funds to support a collaboration that includes, but is not limited
 to:**

**(a) Elected tribal leadership from federally recognized tribes
 in Michigan.**

**(b) The Confederation of Michigan Tribal Education
 Departments.**

**(c) School, district, and intermediate school district
 leadership, including elected board members.**

**(d) Directors of programs impacted by the federal tribal
 consultation requirements.**



1 (e) The department's indigenous education initiative.

2 (3) The collaboration described in subsection (2) shall do
3 both of the following:

4 (a) Create, disseminate, and evaluate professional learning to
5 support the implementation of the federal tribal consultation
6 requirements.

7 (b) By not later than January 1, 2028, and January 1 of each
8 subsequent fiscal year, prepare a summary report that includes
9 measurable outcomes to evaluate the progress made in the
10 development of effective government-to-government relations. The
11 report described in this subdivision must be submitted to the house
12 and senate appropriations subcommittees on school aid, the house
13 and senate fiscal agencies, and the state budget director.

14 (4) All of the following apply to professional learning
15 described in subsection (3) (a):

16 (a) The professional learning must include at least the
17 following:

18 (i) Identification of native students, including:

19 (A) Federal identification guidelines from the federal office
20 of management and budget under statistical policy directive number
21 15 for American Indian and Alaska Native students.

22 (B) Tribal affiliation data collection guidelines under MCL
23 388.1694a.

24 (C) Program participation data collection guidelines under MCL
25 388.1694a for federal programs funded under 20 USC 7401 to 7546 and
26 the Johnson-O'Malley supplemental Indian education program
27 modernization act, Public Law 115-404.

28 (ii) Guidelines and rules related to data sharing from school
29 districts to federally recognized tribes as governed by the federal



1 education rights and privacy act, 20 USC 1232, 34 CFR Part 99; the
2 federal protection of pupil rights amendment, 20 USC 1232g, 34 CFR
3 Part 98; and section 1136 of the revised school code, MCL 380.1136.

4 (iii) The federal tribal consultation requirements under the
5 every student succeeds act, Public Law 114-95.

6 (iv) Key elements of effective tribal consultation.

7 (b) The initial professional learning must be made available
8 to all administrators, staff, and board members in each local
9 educational agency, public school academy, and intermediate school
10 district by September 30, 2027, with additional resources released
11 at least annually during the course of the work project.

12 (5) The funds allocated under this section for 2026-2027 are a
13 work project appropriation, and any unexpended funds for 2026-2027
14 are carried forward into 2027-2028. The purpose of the work project
15 is to create, disseminate, and evaluate statewide supports for
16 local education agencies, public school academies, and intermediate
17 school districts in meeting federal requirements for tribal
18 consultation. The estimated completion date of the work project is
19 September 30, 2031.

20 (6) Notwithstanding section 17b, the department shall make
21 payments under this section on a schedule determined by the
22 department.

23 Sec. 163. (1) Except as otherwise provided in the revised
24 school code, the board of a district or intermediate district shall
25 not permit any of the following:

26 (a) An individual who is not appropriately placed under a
27 valid certificate, valid substitute permit, authorization, or
28 approval issued under rules promulgated by the department to teach
29 in an elementary or secondary school.



~~(b) An individual who does not satisfy the requirements of section 1233 of the revised school code, MCL 380.1233, and rules promulgated by the department to provide school counselor services to pupils in an elementary or secondary school.~~

(b) ~~(e)~~ An individual who does not satisfy the requirements of section 1246 of the revised school code, MCL 380.1246, and rules promulgated by the department to be employed as a superintendent, principal, or assistant principal, or as an individual whose primary responsibility is to administer instructional programs in an elementary or secondary school or in a district or intermediate district, unless the individual is working under a valid substitute permit issued under rules promulgated by the department.

(2) Except as otherwise provided under subsection (4) or (5), ~~a district or intermediate district employing an individual in violation of this section must have deducted an amount equal to 50% of the amount paid to the individual for the period of employment that is in violation of this section. Except as otherwise provided under subsection (4) or (5), if a district or intermediate district is notified by the department that it is employing an individual in violation of this section and it continues to employ the individual in violation of this section 10 business days after receiving the notification, both of the following apply:~~ **if a district or intermediate district employs an individual in violation of this section, all of the following apply:**

~~(a) The district or intermediate district must have deducted an amount equal to 50% of the amount paid to the individual for the period of employment that is in violation of this section that occurs before the expiration of the 10-day period described in this subsection.~~



~~(b) The district or intermediate district must have deducted an amount equal to 100% of the amount paid to the individual for the period of employment that is in violation of this section that occurs after the 10-day period described in this subsection.~~

(a) The district or intermediate district shall, not later 10 school days after receiving notice of the violation, rectify the noncompliance.

(b) For the first violation within a 3-year period, the district or intermediate district must receive a letter from the superintendent of public instruction or superintendent of public instruction's designee regarding the violation and potential penalties as a result of further violations.

(c) For the second violation within a 3-year period, the district or intermediate district must receive a letter with the information described in subdivision (b) and must have deducted an amount equal to 25% of the amount paid to the individual for the period of employment that is in violation of this section.

(d) For the third violation within a 3-year period, the district or intermediate district must receive a letter with the information described in subdivision (b) and must have deducted an amount equal to 50% of the amount paid to the individual for the period of employment that is in violation of this section.

(3) For purposes of subsection (2), ~~if both of the following~~ apply:

(a) If a district or intermediate district on behalf of an individual or an individual successfully completes the credential application process through the department, including the submission of an appropriate application, required fees, and all required supporting documentation, the individual's employment with



1 the district or intermediate district after this completion is not
2 considered a period of employment that is in violation of this
3 section.

4 **(b) If a district or intermediate district has no violations**
5 **under this section for a period of 3 years after a violation under**
6 **subsection (1), the district or intermediate district is subject**
7 **only to the penalties described in subsection (2)(a) upon the next**
8 **violation.**

9 (4) A deduction under subsection (2) for employment in
10 violation of this section may be less than the amount required
11 under that subsection if the superintendent of public instruction
12 finds that the district or intermediate district was hindered in
13 its ability to obtain a substitute credential to enable the
14 district or intermediate district to employ the individual in
15 compliance with this section due to unusual and extenuating
16 circumstances resulting from conditions not within the control of
17 school authorities, including, but not limited to, a natural
18 disaster, death or serious illness of the individual or another
19 employee, an emergency school closure, fraud or other intentional
20 wrongdoing of the individual or another employee, or an emergency
21 health condition as defined by city, county, or state health
22 authorities.

23 ~~(5) There must be no deduction under subsection (2) for~~
24 ~~employment of an individual if there is a membership adjustment~~
25 ~~under section 15 based on the same employment.~~**This section provides**
26 **the sole and exclusive penalty for a violation of subsection (1). A**
27 **district or intermediate district must not also be subject to a**
28 **membership adjustment under section 15 for a violation of**
29 **subsection (1).**



(6) If a school official is notified by the department that the school official is employing an individual in violation of this section and knowingly continues to employ that individual **for a period longer than 10 school days**, the school official is guilty of a misdemeanor punishable by a fine of \$1,500.00 for each incident. This penalty is in addition to all other financial penalties otherwise specified in this article.

Sec. 164~~l~~. (1) Not later than 30 days after the enactment of ~~the~~**any** amendatory act ~~that added to this section, article,~~ the legislature ~~house and senate~~ shall provide to the responsible entity and the state budget director a list of legislatively directed spending items, ~~which may be referred to in this section as grants or direct appropriation grants, funded under the amendatory act that added this section consistent with house or senate rules and this section. as defined in sections 364 and 364a of the management and budget act, MCL 18.1364 and 18.1364a, that are funded by the amendatory act.~~ The list must include all information and documents pertaining to the funded items as publicly disclosed ~~in accordance with house or senate rules and this section.~~**under sections 364 and 364a of the management and budget act, MCL 18.1364 and 18.1364a.**

~~(2) Notwithstanding any other conditions or requirements for direct appropriation grants, the responsible entity shall perform, at a minimum, at least all of the following activities to administer the grants described in subsection (1):~~

~~(a) Establish a process to review, complete, and execute a grant agreement with a grant recipient. The responsible entity shall not execute a grant agreement unless all necessary documentation has been submitted and reviewed.~~



1 ~~(b) Verify to the extent possible that a grant recipient is a~~
2 ~~not-for-profit entity and will use funds as publicly disclosed and~~
3 ~~for a public purpose that serves the economic prosperity, health,~~
4 ~~safety, or general welfare of the residents of this state.~~

5 ~~(c) Review and verify all necessary information to ensure the~~
6 ~~grant recipient is reasonably able to execute the grant agreement,~~
7 ~~perform its fiduciary duty, and comply with all applicable state~~
8 ~~and federal statutes. The responsible entity may deduct the cost of~~
9 ~~background checks and any other efforts performed as part of this~~
10 ~~verification from the amount of the designated grant award.~~

11 ~~(d) Disburse the grant money per the grant disbursement~~
12 ~~schedule in the executed grant agreement on a reimbursement basis~~
13 ~~after the grantee has provided sufficient documentation, as~~
14 ~~determined by the responsible entity, to verify that expenditures~~
15 ~~were made in accordance with the project purpose.~~

16 ~~(e) If the state budget director determines that information~~
17 ~~provided by the grantee does not meet the disclosure requirements,~~
18 ~~that the grant will be used to pay a tax lien, delinquent tax, or~~
19 ~~other obligation owed to this state, or that the grant will create~~
20 ~~a conflict of interest, the responsible entity shall not release~~
21 ~~the grant money to the grantee. Money that is not released under~~
22 ~~this subdivision lapses at the end of the fiscal year. There is not~~
23 ~~a conflict of interest if the sponsoring legislator certifies that~~
24 ~~the sponsoring legislator's immediate family members, legislative~~
25 ~~staff members that have worked for the sponsoring legislator within~~
26 ~~the past 2 years, and the sponsoring legislator do not have a~~
27 ~~direct or indirect pecuniary interest in the legislatively directed~~
28 ~~spending item.~~

29 ~~(3) An executed grant agreement under this section between the~~



~~responsible entity and a grant recipient must include at least all of the following:~~

~~(a) All necessary identifying information for the grant recipient, including any tax and financial information necessary for the responsible entity to administer grant money under this section.~~

~~(b) A description of the project for which the grant money will be expended, including tentative timelines and the estimated budget. Project budget must include how all grant money will be used and must indicate if any grant money will be provided to a third party or subrecipient. The responsible entity shall not reimburse expenditures that are outside of the project purpose, as stated in the executed grant agreement, from appropriations under the amendatory act that added this section. The grantee shall return to the state treasury any interest in excess of \$1,000.00 earned on the grant money while unexpended and in possession of the grantee.~~

~~(c) Unless otherwise specified in the responsible entity's policy, a requirement that funds appropriated for the grants described in subsection (1) may be used only for expenditures that occur on or after the effective date of the amendatory act that added this section.~~

~~(d) A requirement for reporting by the grant recipient to the responsible entity and the legislative sponsor that provides the status of the project and an accounting of all money expended by the grant recipient, as determined by the responsible entity.~~

~~(e) A clawback provision that allows the department of treasury to recoup or otherwise collect any grant money that is declined, unspent, or otherwise misused.~~



~~(f) The documents publicly disclosed under subsection (1).~~

~~(4) If appropriate to improve the administration or oversight of a grant described in subsection (1), the responsible entity may adopt a memorandum of understanding with another state department to perform the required duties under this section.~~

~~(5) A grant recipient shall respond to all reasonable information requests from the responsible entity related to grant expenditures and retain grant records for not less than 7 years, and the grant may be subject to monitoring, site visits, and audit as determined by the responsible entity. The grant agreement required under this section must include signed assurance by the chief executive officer or other executive officer of the grant recipient authorized to bind the grant recipient that the requirements of this subsection will be met.~~

~~(6) The grant recipient shall expend all grant money awarded and complete all projects not later than September 30, 2030. If, at that time, any unexpended money remains, the grant recipient shall return that money to the state treasury. If a grant recipient does not provide information sufficient to execute a grant agreement not later than June 1, 2026, the responsible entity shall return money associated with the grant to the state treasury.~~

~~(7) Any grant money that is awarded to a responsible entity is appropriated in that responsible entity for the purpose of the intended grant.~~

~~(8) Except as otherwise provided in subsection (9), beginning March 15 of the current fiscal year, the responsible entity shall post a report in a publicly accessible location on its website. The report must list the grant recipient, project purpose, and location of the project for each grant described in subsection (1), the~~



~~status of money allocated and disbursed under the grant agreement, and the legislative sponsor, if applicable. The responsible entity shall update the report and post the updated report in a publicly accessible location on its website not later than June 15 of the current fiscal year and again not later than September 15 of the current fiscal year. The responsible entity shall include in the report the most comprehensive information the responsible entity has available at the time of posting for grants awarded.~~

~~(9) If the state budget office determines that it is more efficient for the state budget office to compile all affected responsible entities' information and post a report of the compiled information rather than the report required under subsection (8) being posted by individual responsible entities, the state budget office may compile that information across all affected responsible entities and other state departments and post the compiled report and any updates on the same time schedule as identified in subsection (8).~~

~~(10) If the responsible entity reasonably determines that the money allocated for an executed grant agreement under this section was misused or that use of the money was misrepresented by the grant recipient, the responsible entity shall not award any additional funds under the executed grant agreement and shall refer the grant for review following internal audit protocols, which may include referral for criminal investigation.~~

~~(11) As used in this section, "responsible entity" means the department, the department of lifelong education, advancement, and potential, a district, an intermediate district, or other person that administers a grant under this article.~~

(2) In accordance with section 364 of the management and



1 budget act, 1984 PA 431, MCL 18.1364, the department or agency
 2 administering the grant shall post a report in a publicly
 3 accessible location on its website beginning March 15 of the
 4 current fiscal year. The department or agency shall update the
 5 report and shall post an updated report not later than June 15 of
 6 the current fiscal year and again not later than September 15 of
 7 the current fiscal year. The department shall include in the report
 8 the most comprehensive information the department has available at
 9 the time of posting for grants awarded.

10 Sec. 201. (1) Subject to the conditions set forth in this
 11 article, the amounts listed in this section are appropriated for
 12 community colleges for the fiscal year ending September 30, ~~2026,~~
 13 **2027**, from the funds indicated in this section. The following is a
 14 summary of the appropriations in this section and section 201f:

15 (a) The gross appropriation is ~~\$493,032,100.00.~~
 16 **\$490,763,500.00.** After deducting total interdepartmental grants and
 17 intradepartmental transfers in the amount of \$0.00, the adjusted
 18 gross appropriation is ~~\$493,032,100.00.~~ **\$490,763,500.00.**

19 (b) The sources of the adjusted gross appropriation described
 20 in subdivision (a) are as follows:

21 (i) Total federal revenues, \$0.00.

22 (ii) Total local revenues, \$0.00.

23 (iii) Total private revenues, \$0.00.

24 (iv) Total other state restricted revenues,
 25 ~~\$493,032,100.00.~~ **\$490,763,500.00.**

26 (v) State general fund/general purpose money, \$0.00.

27 (2) Subject to subsection (3), the amount appropriated for
 28 community college operations is ~~\$363,570,600.00,~~ **\$363,594,500.00,**
 29 allocated as follows:



(a) The appropriation for Alpena Community College is ~~\$6,416,800.00, \$6,403,300.00 for operations, \$0.00 for performance funding, and \$13,500.00 for costs incurred under the North American Indian tuition waiver.~~ **\$6,431,400.00, \$6,403,300.00 for operations, \$0.00 for performance funding, and \$28,100.00 for costs incurred under the North American Indian tuition waiver.**

(b) The appropriation for Bay de Noc Community College is ~~\$6,390,000.00, \$6,298,000.00 for operations, \$0.00 for performance funding, and \$92,000.00 for costs incurred under the North American Indian tuition waiver.~~ **\$6,410,300.00, \$6,298,000.00 for operations, \$0.00 for performance funding, and \$112,300.00 for costs incurred under the North American Indian tuition waiver.**

(c) The appropriation for Delta College is ~~\$16,934,200.00, \$16,882,400.00 for operations, \$0.00 for performance funding, and \$51,800.00 for costs incurred under the North American Indian tuition waiver.~~ **\$16,928,400.00, \$16,882,400.00 for operations, \$0.00 for performance funding, and \$46,000.00 for costs incurred under the North American Indian tuition waiver.**

(d) The appropriation for Glen Oaks Community College is ~~\$2,987,000.00, \$2,984,100.00 for operations, \$0.00 for performance funding, and \$2,900.00 for costs incurred under the North American Indian tuition waiver.~~ **\$2,984,500.00, \$2,984,100.00 for operations, \$0.00 for performance funding, and \$400.00 for costs incurred under the North American Indian tuition waiver.**

(e) The appropriation for Gogebic Community College is ~~\$5,439,100.00, \$5,399,000.00 for operations, \$0.00 for performance funding, and \$40,100.00 for costs incurred under the North American Indian tuition waiver.~~ **\$5,417,900.00, \$5,399,000.00 for operations, \$0.00 for performance funding, and \$18,900.00 for costs incurred**



1 **under the North American Indian tuition waiver.**

2 (f) The appropriation for Grand Rapids Community College is
 3 ~~\$21,337,300.00, \$21,184,200.00 for operations, \$0.00 for~~
 4 ~~performance funding, and \$153,100.00 for costs incurred under the~~
 5 ~~North American Indian tuition waiver.~~**\$21,387,200.00, \$21,184,200.00**
 6 **for operations, \$0.00 for performance funding, and \$203,000.00 for**
 7 **costs incurred under the North American Indian tuition waiver.**

8 (g) The appropriation for Henry Ford College is
 9 ~~\$25,305,200.00, \$25,300,700.00 for operations, \$0.00 for~~
 10 ~~performance funding, and \$4,500.00 for costs incurred under the~~
 11 ~~North American Indian tuition waiver.~~**\$25,308,100.00, \$25,300,700.00**
 12 **for operations, \$0.00 for performance funding, and \$7,400.00 for**
 13 **costs incurred under the North American Indian tuition waiver.**

14 (h) The appropriation for Jackson College is ~~\$14,059,700.00,~~
 15 ~~\$14,032,600.00 for operations, \$0.00 for performance funding, and~~
 16 ~~\$27,100.00 for costs incurred under the North American Indian~~
 17 ~~tuition waiver.~~**\$14,054,800.00, \$14,032,600.00 for operations, \$0.00**
 18 **for performance funding, and \$22,200.00 for costs incurred under**
 19 **the North American Indian tuition waiver.**

20 (i) The appropriation for Kalamazoo Valley Community College
 21 is ~~\$14,751,300.00, \$14,704,400.00 for operations, \$0.00 for~~
 22 ~~performance funding, and \$46,900.00 for costs incurred under the~~
 23 ~~North American Indian tuition waiver.~~**\$14,744,600.00, \$14,704,400.00**
 24 **for operations, \$0.00 for performance funding, and \$40,200.00 for**
 25 **costs incurred under the North American Indian tuition waiver.**

26 (j) The appropriation for Kellogg Community College is
 27 ~~\$11,453,400.00, \$11,426,700.00 for operations, \$0.00 for~~
 28 ~~performance funding, and \$26,700.00 for costs incurred under the~~
 29 ~~North American Indian tuition waiver.~~**\$11,470,000.00, \$11,426,700.00**



1 **for operations, \$0.00 for performance funding, and \$43,300.00 for**
 2 **costs incurred under the North American Indian tuition waiver.**

3 (k) The appropriation for Kirtland Community College is
 4 ~~\$3,881,400.00, \$3,835,100.00 for operations, \$0.00 for performance~~
 5 ~~funding, and \$46,300.00 for costs incurred under the North American~~
 6 ~~Indian tuition waiver.~~**\$3,881,400.00, \$3,835,100.00 for operations,**
 7 **\$0.00 for performance funding, and \$46,300.00 for costs incurred**
 8 **under the North American Indian tuition waiver.**

9 (l) The appropriation for Lake Michigan College is
 10 ~~\$6,427,600.00, \$6,408,200.00 for operations, \$0.00 for performance~~
 11 ~~funding, and \$19,400.00 for costs incurred under the North American~~
 12 ~~Indian tuition waiver.~~**\$6,417,300.00, \$6,408,200.00 for operations,**
 13 **\$0.00 for performance funding, and \$9,100.00 for costs incurred**
 14 **under the North American Indian tuition waiver.**

15 (m) The appropriation for Lansing Community College is
 16 ~~\$36,216,500.00, \$36,134,400.00 for operations, \$0.00 for~~
 17 ~~performance funding, and \$82,100.00 for costs incurred under the~~
 18 ~~North American Indian tuition waiver.~~**\$36,206,200.00, \$36,134,400.00**
 19 **for operations, \$0.00 for performance funding, and \$71,800.00 for**
 20 **costs incurred under the North American Indian tuition waiver.**

21 (n) The appropriation for Macomb Community College is
 22 ~~\$38,251,500.00, \$38,160,600.00 for operations, \$0.00 for~~
 23 ~~performance funding, and \$90,900.00 for costs incurred under the~~
 24 ~~North American Indian tuition waiver.~~**\$38,187,600.00, \$38,160,600.00**
 25 **for operations, \$0.00 for performance funding, and \$27,000.00 for**
 26 **costs incurred under the North American Indian tuition waiver.**

27 (o) The appropriation for Mid Michigan Community College is
 28 ~~\$5,919,500.00, \$5,837,000.00 for operations, \$0.00 for performance~~
 29 ~~funding, and \$82,500.00 for costs incurred under the North American~~

~~Indian tuition waiver.~~ **\$5,921,400.00, \$5,837,000.00 for operations,**
\$0.00 for performance funding, and \$84,400.00 for costs incurred
under the North American Indian tuition waiver.

(p) The appropriation for Monroe County Community College is
~~\$5,368,900.00, \$5,368,500.00 for operations, \$0.00 for performance~~
~~funding, and \$400.00 for costs incurred under the North American~~
~~Indian tuition waiver.~~ **\$5,371,200.00, \$5,368,500.00 for operations,**
\$0.00 for performance funding, and \$2,700.00 for costs incurred
under the North American Indian tuition waiver.

(q) The appropriation for Montcalm Community College is
~~\$4,035,000.00, \$4,033,300.00 for operations, \$0.00 for performance~~
~~funding, and \$1,700.00 for costs incurred under the North American~~
~~Indian tuition waiver.~~ **\$4,042,800.00, \$4,033,300.00 for operations,**
\$0.00 for performance funding, and \$9,500.00 for costs incurred
under the North American Indian tuition waiver.

(r) The appropriation for C.S. Mott Community College is
~~\$18,028,100.00, \$18,017,800.00 for operations, \$0.00 for~~
~~performance funding, and \$10,300.00 for costs incurred under the~~
~~North American Indian tuition waiver.~~ **\$18,032,100.00, \$18,017,800.00**
for operations, \$0.00 for performance funding, and \$14,300.00 for
costs incurred under the North American Indian tuition waiver.

(s) The appropriation for Muskegon Community College is
~~\$10,403,400.00, \$10,359,900.00 for operations, \$0.00 for~~
~~performance funding, and \$43,500.00 for costs incurred under the~~
~~North American Indian tuition waiver.~~ **\$10,412,100.00, \$10,359,900.00**
for operations, \$0.00 for performance funding, and \$52,200.00 for
costs incurred under the North American Indian tuition waiver.

(t) The appropriation for North Central Michigan College is
~~\$4,110,100.00, \$3,947,700.00 for operations, \$0.00 for performance~~



1 ~~funding, and \$162,400.00 for costs incurred under the North~~
 2 ~~American Indian tuition waiver.~~ **\$4,110,600.00, \$3,947,700.00 for**
 3 **operations, \$0.00 for performance funding, and \$162,900.00 for**
 4 **costs incurred under the North American Indian tuition waiver.**

5 (u) The appropriation for Northwestern Michigan College is
 6 ~~\$10,874,500.00, \$10,619,800.00 for operations, \$0.00 for~~
 7 ~~performance funding, and \$254,700.00 for costs incurred under the~~
 8 ~~North American Indian tuition waiver.~~ **\$10,885,800.00, \$10,619,800.00**
 9 **for operations, \$0.00 for performance funding, and \$266,000.00 for**
 10 **costs incurred under the North American Indian tuition waiver.**

11 (v) The appropriation for Oakland Community College is
 12 ~~\$25,168,400.00, \$25,130,000.00 for operations, \$0.00 for~~
 13 ~~performance funding, and \$38,400.00 for costs incurred under the~~
 14 ~~North American Indian tuition waiver.~~ **\$25,166,900.00, \$25,130,000.00**
 15 **for operations, \$0.00 for performance funding, and \$36,900.00 for**
 16 **costs incurred under the North American Indian tuition waiver.**

17 (w) The appropriation for Schoolcraft College is
 18 ~~\$14,997,300.00, \$14,972,000.00 for operations, \$0.00 for~~
 19 ~~performance funding, and \$25,300.00 for costs incurred under the~~
 20 ~~North American Indian tuition waiver.~~ **\$14,989,100.00, \$14,972,000.00**
 21 **for operations, \$0.00 for performance funding, and \$17,100.00 for**
 22 **costs incurred under the North American Indian tuition waiver.**

23 (x) The appropriation for Southwestern Michigan College is
 24 ~~\$7,805,700.00, \$7,786,600.00 for operations, \$0.00 for performance~~
 25 ~~funding, and \$19,100.00 for costs incurred under the North American~~
 26 ~~Indian tuition waiver.~~ **\$7,803,100.00, \$7,786,600.00 for operations,**
 27 **\$0.00 for performance funding, and \$16,500.00 for costs incurred**
 28 **under the North American Indian tuition waiver.**

29 (y) The appropriation for St. Clair County Community College



1 is ~~\$8,355,300.00, \$8,342,000.00 for operations, \$0.00 for~~
 2 ~~performance funding, and \$13,300.00 for costs incurred under the~~
 3 ~~North American Indian tuition waiver.~~ **\$8,351,300.00, \$8,342,000.00**
 4 **for operations, \$0.00 for performance funding, and \$9,300.00 for**
 5 **costs incurred under the North American Indian tuition waiver.**

6 (z) The appropriation for Washtenaw Community College is
 7 ~~\$16,276,300.00, \$16,257,300.00 for operations, \$0.00 for~~
 8 ~~performance funding, and \$19,000.00 for costs incurred under the~~
 9 ~~North American Indian tuition waiver.~~ **\$16,289,700.00, \$16,257,300.00**
 10 **for operations, \$0.00 for performance funding, and \$32,400.00 for**
 11 **costs incurred under the North American Indian tuition waiver.**

12 (aa) The appropriation for Wayne County Community College is
 13 ~~\$19,462,800.00, \$19,460,300.00 for operations, \$0.00 for~~
 14 ~~performance funding, and \$2,500.00 for costs incurred under the~~
 15 ~~North American Indian tuition waiver.~~ **\$19,464,000.00, \$19,460,300.00**
 16 **for operations, \$0.00 for performance funding, and \$3,700.00 for**
 17 **costs incurred under the North American Indian tuition waiver.**

18 (bb) The appropriation for West Shore Community College is
 19 ~~\$2,914,300.00, \$2,896,700.00 for operations, \$0.00 for performance~~
 20 ~~funding, and \$17,600.00 for costs incurred under the North American~~
 21 ~~Indian tuition waiver.~~ **\$2,924,700.00, \$2,896,700.00 for operations,**
 22 **\$0.00 for performance funding, and \$28,000.00 for costs incurred**
 23 **under the North American Indian tuition waiver.**

24 (3) The amount appropriated in subsection (2) for community
 25 college operations is ~~\$363,570,600.00~~ **\$363,594,500.00** and is
 26 appropriated from the state school aid fund.

27 (4) From the appropriations described in subsection (1), both
 28 of the following apply:

29 (a) Subject to section 207a, the amount appropriated for



fiscal year ~~2025-2026~~**-2026-2027** to offset certain fiscal year ~~2025-~~
~~2026-2026-2027~~ retirement contributions is \$7,189,000.00,
 appropriated from the state school aid fund.

(b) For fiscal year ~~2025-2026~~**-2026-2027**, there is allocated
 an amount not to exceed ~~\$19,600,000.00~~**\$18,350,000.00** for payments
 to participating community colleges, appropriated from the state
 school aid fund. A community college that receives money under this
 subdivision shall use that money solely for the purpose of
 offsetting the normal cost contribution rate.

(5) From the appropriations described in subsection (1),
 subject to section 207b, the amount appropriated for payments to
 community colleges that are participating entities of the
 retirement system is ~~\$89,500,000.00~~**\$84,800,000.00**, appropriated
 from the state school aid fund.

(6) From the appropriations described in subsection (1),
 subject to section 207c, the amount appropriated for renaissance
 zone tax reimbursements is \$2,200,000.00, appropriated from the
 state school aid fund. Each community college receiving funds in
 this subsection shall accrue these payments to its institutional
 fiscal year ending June 30, ~~2026-2027~~.

Sec. 201f. For fiscal year ~~2025-2026~~**-2026-2027** only, from the
 appropriations described in section 201(1), ~~\$10,972,500.00~~
\$14,630,000.00 is appropriated from the state school aid fund for a
 1-time performance funding payment. Funds appropriated under this
 section, subject to conditions described in sections 217b and 230,
 must be distributed as follows:

(a) Alpena Community College, ~~\$271,100.00~~**\$233,300.00**.

(b) Bay de Noc Community College, ~~\$178,200.00~~**\$234,700.00**.

(c) Delta College, ~~\$493,300.00~~**\$644,400.00**.



1 (d) Glen Oaks Community College, ~~\$91,200.00.~~**\$132,700.00.**
 2 (e) Gogebic Community College, ~~\$139,500.00.~~**\$212,000.00.**
 3 (f) Grand Rapids Community College, ~~\$685,500.00.~~**\$902,800.00.**
 4 (g) Henry Ford College, ~~\$750,900.00.~~**\$990,300.00.**
 5 (h) Jackson College, ~~\$364,800.00.~~**\$513,000.00.**
 6 (i) Kalamazoo Valley Community College,
 7 ~~\$433,700.00.~~**\$615,100.00.**
 8 (j) Kellogg Community College, ~~\$324,400.00.~~**\$433,800.00.**
 9 (k) Kirtland Community College, ~~\$146,500.00.~~**\$212,400.00.**
 10 (l) Lake Michigan College, ~~\$192,200.00.~~**\$284,000.00.**
 11 (m) Lansing Community College, ~~\$924,700.00.~~**\$1,189,000.00.**
 12 (n) Macomb Community College, ~~\$1,090,600.00.~~**\$1,450,400.00.**
 13 (o) Mid Michigan Community College, ~~\$193,900.00.~~**\$254,500.00.**
 14 (p) Monroe County Community College, ~~\$206,600.00.~~**\$230,100.00.**
 15 (q) Montcalm Community College, ~~\$122,300.00.~~**\$162,700.00.**
 16 (r) C.S. Mott Community College, ~~\$491,700.00.~~**\$658,400.00.**
 17 (s) Muskegon Community College, ~~\$298,600.00.~~**\$394,200.00.**
 18 (t) North Central Michigan College, ~~\$144,300.00.~~**\$217,800.00.**
 19 (u) Northwestern Michigan College, ~~\$289,400.00.~~**\$387,800.00.**
 20 (v) Oakland Community College, ~~\$816,500.00.~~**\$1,146,800.00.**
 21 (w) Schoolcraft College, ~~\$503,200.00.~~**\$684,300.00.**
 22 (x) Southwestern Michigan College, ~~\$210,400.00.~~**\$276,800.00.**
 23 (y) St. Clair County Community College,
 24 ~~\$258,200.00.~~**\$360,200.00.**
 25 (z) Washtenaw Community College, ~~\$664,900.00.~~**\$881,100.00.**
 26 (aa) Wayne County Community College, ~~\$600,900.00.~~**\$792,600.00.**
 27 (bb) West Shore Community College, ~~\$85,000.00.~~**\$134,800.00.**
 28 Sec. 201i. (1) ~~Not later than~~**Within** 30 days after of the
 29 enactment of ~~the an~~ amendatory act ~~that added this section, to this~~

1 **article**, the legislature ~~house and senate~~ shall provide to the
 2 ~~responsible entity and the state budget director office~~ a **jointly**
 3 **agreed upon** list of legislatively directed spending items, which
 4 may be referred to in this section as grants or direct
 5 ~~appropriation grants, funded under the amendatory act that added~~
 6 ~~this section consistent with house or senate rules and this~~
 7 ~~section.~~ **funded by the amendatory act.** The list must include all
 8 information and documents pertaining to the funded items as
 9 publicly disclosed in accordance with ~~house or senate rules and~~
 10 ~~this section.~~ **sections 364 and 364a of the management and budget**
 11 **act, 1984 PA 431, MCL 18.1364 and 18.1364a. As used in this**
 12 **subsection, "legislatively directed spending item" means that term**
 13 **as defined in section 364 of the management and budget act, 1984 PA**
 14 **431, MCL 18.1364.**

15 ~~(2) Notwithstanding any other conditions or requirements for~~
 16 ~~direct appropriation grants, the responsible entity shall perform,~~
 17 ~~at a minimum, at least all of the following activities to~~
 18 ~~administer the grants described in subsection (1):~~

19 ~~(a) Establish a process to review, complete, and execute a~~
 20 ~~grant agreement with a grant recipient. The responsible entity~~
 21 ~~shall not execute a grant agreement unless all necessary~~
 22 ~~documentation has been submitted and reviewed.~~

23 ~~(b) Verify to the extent possible that a grant recipient is a~~
 24 ~~not for profit entity and will use funds as publicly disclosed and~~
 25 ~~for a public purpose that serves the economic prosperity, health,~~
 26 ~~safety, or general welfare of the residents of this state.~~

27 ~~(c) Review and verify all necessary information to ensure the~~
 28 ~~grant recipient is reasonably able to execute the grant agreement,~~
 29 ~~perform its fiduciary duty, and comply with all applicable state~~



1 ~~and federal statutes. The responsible entity may deduct the cost of~~
2 ~~background checks and any other efforts performed as part of this~~
3 ~~verification from the amount of the designated grant award.~~

4 ~~(d) Disburse the grant money per the grant disbursement~~
5 ~~schedule in the executed grant agreement on a reimbursement basis~~
6 ~~after the grantee has provided sufficient documentation, as~~
7 ~~determined by the responsible entity, to verify that expenditures~~
8 ~~were made in accordance with the project purpose.~~

9 ~~(e) If the state budget director determines that information~~
10 ~~provided by the grantee does not meet the disclosure requirements,~~
11 ~~that the grant will be used to pay a tax lien, delinquent tax, or~~
12 ~~other obligation owed to this state, or that the grant will create~~
13 ~~a conflict of interest, the responsible entity shall not release~~
14 ~~the grant money to the grantee. Money that is not released under~~
15 ~~this subdivision lapses at the end of the fiscal year. There is not~~
16 ~~a conflict of interest if the sponsoring legislator certifies that~~
17 ~~the sponsoring legislator's immediate family members, legislative~~
18 ~~staff members that have worked for the sponsoring legislator within~~
19 ~~the past 2 years, and the sponsoring legislator do not have a~~
20 ~~direct or indirect pecuniary interest in the legislatively directed~~
21 ~~spending item.~~

22 ~~(3) An executed grant agreement under this section between the~~
23 ~~responsible entity and a grant recipient must include at least all~~
24 ~~of the following:~~

25 ~~(a) All necessary identifying information for the grant~~
26 ~~recipient, including any tax and financial information necessary~~
27 ~~for the responsible entity to administer grant money under this~~
28 ~~section.~~

29 ~~(b) A description of the project for which the grant money~~



1 ~~will be expended, including tentative timelines and the estimated~~
2 ~~budget. Project budget must include how all grant money will be~~
3 ~~used and must indicate if any grant money will be provided to a~~
4 ~~third party or subrecipient. The responsible entity shall not~~
5 ~~reimburse expenditures that are outside of the project purpose, as~~
6 ~~stated in the executed grant agreement, from appropriations under~~
7 ~~the amendatory act that added this section. The grantee shall~~
8 ~~return to the state treasury any interest in excess of \$1,000.00~~
9 ~~earned on the grant money while unexpended and in possession of the~~
10 ~~grantee.~~

11 ~~(c) Unless otherwise specified in the responsible entity's~~
12 ~~policy, a requirement that funds appropriated for the grants~~
13 ~~described in subsection (1) may be used only for expenditures that~~
14 ~~occur on or after the effective date of the amendatory act that~~
15 ~~added this section.~~

16 ~~(d) A requirement for reporting by the grant recipient to the~~
17 ~~responsible entity and the legislative sponsor that provides the~~
18 ~~status of the project and an accounting of all money expended by~~
19 ~~the grant recipient, as determined by the responsible entity.~~

20 ~~(e) A clawback provision that allows the department of~~
21 ~~treasury to recoup or otherwise collect any grant money that is~~
22 ~~declined, unspent, or otherwise misused.~~

23 ~~(f) The documents publicly disclosed under subsection (1).~~

24 ~~(4) If appropriate to improve the administration or oversight~~
25 ~~of a grant described in subsection (1), the responsible entity may~~
26 ~~adopt a memorandum of understanding with another state department~~
27 ~~to perform the required duties under this section.~~

28 ~~(5) A grant recipient shall respond to all reasonable~~
29 ~~information requests from the responsible entity related to grant~~



~~expenditures and retain grant records for not less than 7 years, and the grant may be subject to monitoring, site visits, and audit as determined by the responsible entity. The grant agreement required under this section must include signed assurance by the chief executive officer or other executive officer of the grant recipient authorized to bind the grant recipient that the requirements of this subsection will be met.~~

~~(6) The grant recipient shall expend all grant money awarded and complete all projects not later than September 30, 2030. If at that time any unexpended money remains, the grant recipient shall return that money to the state treasury. If a grant recipient does not provide information sufficient to execute a grant agreement not later than June 1, 2026, the responsible entity shall return money associated with the grant to the state treasury.~~

~~(7) Any grant money that is awarded to a responsible entity is appropriated in that responsible entity for the purpose of the intended grant.~~

~~(2) (8) Except as otherwise provided in subsection (9), beginning March 15 of the current fiscal year, the responsible entity~~ **In accordance with section 364(4) of the management and budget act, 1984 PA 431, MCL 18.1364, the department or agency administering the grant described in subsection (1) shall post a report in a publicly accessible location on its website beginning March 15 of the current fiscal year. The report must list the grant recipient, project purpose, and location of the project for each grant described in subsection (1), the status of money allocated and disbursed under the grant agreement, and the legislative sponsor, if applicable. The responsible entity** ~~The department or agency shall update the report and shall post the~~ **an updated report**



~~in a publicly accessible location on its website not later than~~
June 15 of the current fiscal year and again not later than
September 15 of the current fiscal year. The ~~responsible entity~~
department or agency shall include in the report the most
comprehensive information the ~~responsible entity~~ **department or**
agency has available at the time of posting for grants awarded.

~~(9) If the state budget office determines that it is more~~
efficient for the state budget office to compile all affected
responsible entities' information and post a report of the compiled
information rather than the report required under subsection (8)
being posted by individual responsible entities, the state budget
office may compile that information across all affected responsible
entities and other state departments and post the compiled report
and any updates on the same time schedule as identified in
subsection (8).

~~(10) If the responsible entity reasonably determines that the~~
money allocated for an executed grant agreement under this section
was misused or that use of the money was misrepresented by the
grant recipient, the responsible entity shall not award any
additional funds under the executed grant agreement and shall refer
the grant for review following internal audit protocols, which may
include referral for criminal investigation.

~~(11) As used in this section, "responsible entity" means the~~
department of lifelong education, advancement, and potential, a
community college, or other person that administers a grant under
this article.

Sec. 206. (1) Except for the funds appropriated in section
201(4)(b), the funds appropriated in ~~section~~ **sections 201 and 201f**
are appropriated for community colleges with fiscal years ending



1 June 30, ~~2026~~**2027** and must be paid out of the state treasury and
2 distributed by the state treasurer to the respective community
3 colleges in 11 monthly installments on the sixteenth of each month,
4 or the next succeeding business day, beginning with October 16,
5 ~~2025~~**2026**. Each community college shall accrue its July and August
6 ~~2026~~**2027** payments to its institutional fiscal year ending June 30,
7 ~~2026~~**2027**.

8 (2) The funds appropriated in section 201(4) (b) are
9 appropriated for community colleges with fiscal years ending June
10 30, ~~2026~~**2027** and must be distributed to the respective community
11 colleges in quarterly installments on the sixteenth of each
12 November, February, May, and August. Each community college shall
13 accrue its August ~~2026~~**2027** payments to its institutional fiscal
14 year ending June 30, ~~2026~~**2027**.

15 Sec. 207c. All of the following apply to the allocation of the
16 appropriations described in section 201(6) to community colleges
17 described in section 12(3) of the Michigan renaissance zone act,
18 1996 PA 376, MCL 125.2692:

19 (a) The amount allocated to each community college under
20 section 201(6) for fiscal year ~~2025-2026~~**2026-2027** must be based on
21 that community college's proportion of total revenue lost by
22 community colleges as a result of the exemption of property taxes
23 levied in ~~2025~~**2026** under the Michigan renaissance zone act, 1996
24 PA 376, MCL 125.2681 to 125.2696.

25 (b) The appropriations described in section 201(6) must be
26 made to each eligible community college within 60 days after the
27 department of treasury certifies to the state budget director that
28 it has received all necessary information to properly determine the
29 amounts payable to each eligible community college under section 12



of the Michigan renaissance zone act, 1996 PA 376, MCL 125.2692.

Sec. 212. Community college districts are encouraged to evaluate and pursue efficiency and cost-containment measures that maximize state funding. Community colleges shall identify practices that increase efficiencies, including, but not limited to, establishing joint ventures, consolidating services, utilizing program collaborations, maximizing educational benefits through optimal class sizes and frequency of course offerings, **increasing web-based instruction**, eliminating low-enrollment and high-cost instructional programs, using self-insurance, practicing energy conservation, and utilizing group purchasing. Community colleges shall also review proposed capital outlay projects to increase coordination and utilization of new facilities, renovation projects, and technology improvements.

Sec. 216e. (1) Payments under section ~~201~~**201f** for **1-time** performance funding must be made only to a community college that certifies to the state budget director by the last business day of August each year that it complies with the following:

~~(a) The institutional best practice described in subdivision (c).~~

~~(b) One or more of the institutional best practices described in subdivisions (d) to (g).~~

(a) ~~(c)~~The community college accepts the Michigan Transfer Agreement, partners with the Michigan Transfer Network, and promotes clear transfer pathways for interested students by doing all of the following:

(i) Has a policy to help transfer or accept associate degrees from other accredited Michigan postsecondary education institutions.



1 (ii) Publishes the policy described in subparagraph (i) on the
2 institution's website in an easily accessible way and in admissions
3 materials.

4 (iii) Provides publicly available information on the Michigan
5 Transfer Network, applicable transfer pathways, and financial aid
6 available to transfer students, at no cost to the student.

7 (iv) Begins negotiations to increase the number of reverse
8 transfer agreements or articulation agreements and reports on the
9 progress toward completing the agreements to the state budget
10 director by the last business day in February.

11 **(b)** ~~(d)~~—The community college requires all students to receive
12 an academic degree or certificate map that outlines required course
13 sequencing, program and institution requirements, declared minor
14 program academic requirements, and a recommended timeline within
15 which courses should be taken and in which specific semester or
16 term in order to satisfy all program requirements to allow the
17 student to graduate on time.

18 **(c)** ~~(e)~~—The community college provides non-credit-bearing
19 developmental or remedial courses at a reduced cost to students.

20 **(d)** ~~(f)~~—The community college provides each degree- or
21 certificate-seeking student with a designated, trained academic
22 advisor to support student retention, persistence, and completion.
23 The community college shall require students to meet with their
24 academic advisor at least once per semester or term.

25 **(e)** ~~(g)~~—The community college provides employees during
26 business hours to assist prospective and current students in
27 completing the Free Application for Federal Student Aid.

28 **(f) The community college has adopted a corequisite model of**
29 **academic support for gateway English and mathematics courses in**



1 which a student concurrently enrolls in a developmental education
 2 course and a gateway-level course in a subject area where the
 3 student requires remediation. The community college shall ensure
 4 that not more than 10% of students assessed as being in need of
 5 developmental or remedial learning participate in a non-corequisite
 6 developmental or remedial course.

7 (g) The community college has a policy and process for
 8 assessing prior learning and knowledge that aligns with a student's
 9 academic program and other required coursework. The policy must
 10 include the opportunity for a student to earn credit toward a
 11 degree or certificate, must be available to all students at no cost
 12 to the student, and must be easily accessible on the community
 13 college's website and in admissions materials.

14 (2) The ~~state budget~~ director of the department of lifelong
 15 education, advancement, and potential, or the director's designee,
 16 shall implement uniform reporting requirements to ensure that a
 17 community college receiving a payment under section 201 for
 18 performance funding has satisfied the institutional best practices
 19 requirements of this section. The ~~state budget~~ director of the
 20 department of lifelong education, advancement, and potential, or
 21 the director's designee, has the sole authority to determine if a
 22 community college has met the requirements of this section.
 23 Information reported by a community college to the ~~state budget~~
 24 director of the department of lifelong education, advancement, and
 25 potential, or the director's designee, under this subsection must
 26 also be reported to the house and senate appropriations
 27 subcommittees on higher education and the house and senate fiscal
 28 agencies.

29 (3) If a community college fails to comply with the



1 certification requirements of this section, the state treasurer may
 2 withhold the monthly installments under section 206 to the
 3 community college until the certification is completed. If a
 4 community college does not comply with the certification
 5 requirements described in this section by the end of the fiscal
 6 year, the community college forfeits the amount withheld. Forfeited
 7 funds must lapse to the state school aid fund. The ~~state budget~~
 8 director **of the department of lifelong education, advancement, and**
 9 **potential, or the director's designee**, shall notify the chairs of
 10 the house and senate appropriations subcommittees on higher
 11 education at least 10 days before withholding funds from any
 12 community college.

13 **(4) No later than the last business day of November of each**
 14 **year, each community college that receives a payment under section**
 15 **201f shall provide a report to the director of the department of**
 16 **lifelong education, advancement, and potential, or the director's**
 17 **designee, that includes the following information for the prior**
 18 **academic year:**

19 **(a) College persistence for on-time completion, defined by 30**
 20 **credits completed for every 12 consecutive months of enrollment for**
 21 **certificate or degree-seeking students.**

22 **(b) College completion, defined by certificate or degree**
 23 **conferral.**

24 Sec. 217a. (1) Each community college that receives an
 25 appropriation in ~~section~~**sections 201 and 201f** shall submit all of
 26 the following information in the form and manner specified by the
 27 center:

28 (a) The Michigan community colleges verified data inventory
 29 data for the preceding academic year to the center by the first



1 business day of November of each year as specified in section 217.

2 (b) Tuition and mandatory fees information as specified in
3 section 217b.

4 (c) The longitudinal data set to the center as specified in
5 section 219.

6 (d) The number and type of associate degrees, baccalaureate
7 degrees, and other certificates awarded as specified in section
8 219.

9 (e) The annual independent audit as specified in section 222.

10 **(f) The community college's certification of its compliance**
11 **with the requirements described in subsections (4) to (7).**

12 (2) If the state budget director determines that a community
13 college failed to submit any of the information described in
14 subsection (1) in the form and manner specified by the center, the
15 state ~~treasurer~~**budget director** may withhold the monthly state
16 operations installments described in ~~section~~**sections 201 and 201f**
17 from that community college until those data are submitted. If a
18 community college does not submit any of the information described
19 in subsection (1) by the end of the fiscal year, the community
20 college forfeits any withheld amount. The state budget director
21 shall notify the chairs of the house and senate appropriations
22 subcommittees on community colleges at least 10 days before
23 withholding funds from any community college.

24 (3) It is intended that accountability reporting for community
25 colleges will be streamlined through the center. The state budget
26 director and the center shall work to combine the reporting
27 requirements outlined in this subsection with the existing Michigan
28 community colleges verified data inventory collection cycle. All of
29 the following must be reported to the house and senate fiscal



1 agencies and the state budget director:

2 (a) Each community college's certification of its compliance
3 with the requirements described in subsections (4) and (5).

4 (b) The reporting and certification requirements of
5 subsections (6) and (7) and section 217b.

6 (4) No later than the ~~last~~**first** business day of November of
7 each year, each community college that receives an appropriation in
8 section 201 shall make all of the information described in
9 subdivisions (a) to (g) available through a link on its website
10 homepage, subject to subdivision (h), as follows:

11 (a) The annual operating budget and subsequent budget
12 revisions.

13 (b) A link to the most recent "Michigan Community College Data
14 Inventory Report".

15 (c) General fund revenue and expenditure projections for the
16 current fiscal year and the next fiscal year.

17 (d) A listing of all debt service obligations, detailed by
18 project, anticipated payment of each project, and total outstanding
19 debt for the current fiscal year.

20 (e) Links to all of the following for the community college:

21 (i) The current collective bargaining agreement for each
22 bargaining unit.

23 (ii) Each health care benefits plan, including, but not limited
24 to, medical, dental, vision, disability, long-term care, or any
25 other type of benefits that would constitute health care services,
26 offered to any bargaining unit or employee of the community
27 college.

28 (iii) Audits and financial reports for the most recent fiscal
29 year for which they are available.



1 (iv) A copy of the board of trustees resolution regarding
2 compliance with best practices for the local strategic value
3 component described in section 230(2).

4 (f) A map that includes the boundaries of the community
5 college district.

6 (g) A prominent link to the financial aid website created
7 under section 260.

8 (h) For statewide consistency and public visibility, community
9 colleges shall use the icon badge provided by the department of
10 technology, management, and budget consistent with the icon badge
11 developed by the department of education for K-12 school districts.
12 It must appear on the front of each community college's homepage.
13 The size of the icon may be reduced to 150 x 150 pixels.

14 (i) **A list of severance payments and the amounts of those**
15 **severance payments made to former employees of the community**
16 **college.**

17 (5) No later than the ~~last~~**first** business day of November of
18 each year, each community college that receives an appropriation in
19 section 201 shall develop, maintain, and update a "campus safety
20 information and resources" link, prominently displayed on the
21 homepage of its website, that links to a section of the community
22 college's website containing, at a minimum, all of the following
23 information:

24 (a) Emergency contact numbers for police, fire, health, and
25 other services.

26 (b) Hours, locations, telephone numbers, and email contacts
27 for campus public safety offices and title IX offices.

28 (c) A list of safety and security services provided by the
29 community college, including transportation, escort services,



1 building surveillance, anonymous tip lines, and other available
2 security services.

3 (d) The community college's policies applicable to minors on
4 community college property.

5 (e) A directory of resources available at the community
6 college or in the surrounding community for students or employees
7 who are survivors of sexual assault or sexual abuse.

8 (f) An electronic copy of "A Resource Handbook for Campus
9 Sexual Assault Survivors, Friends and Family", published in 2018.

10 (g) Campus security policies and crime statistics pursuant to
11 the student right-to-know and campus security act, Public Law 101-
12 542, 104 Stat 2381. Information must include all material prepared
13 pursuant to the public information reporting requirements under the
14 crime awareness and campus security act of 1990, title II of the
15 student right-to-know and campus security act, Public Law 101-542,
16 104 Stat 2381.

17 (6) No later than the ~~last~~**first** business day of November of
18 each year, each community college that receives an appropriation in
19 section 201 shall report to the house and senate appropriations
20 subcommittees on community colleges, the house and senate fiscal
21 agencies, and the state budget director its annual title IX report,
22 also known as the student sexual misconduct report, issued by the
23 title IX coordinator, as required under the federal campus SaVE act
24 of 2013, Public Law 113-4, section 304, 127 Stat 54, 89-92 (2013).

25 (7) No later than the ~~last~~**first** business day of November of
26 each year, each community college that receives an appropriation in
27 section 201 shall certify that the community college complies with
28 federal regulations under title IX, as required by the United
29 States Department of Education, including, but not limited to, the



1 following:

2 (a) Use of medical experts that do not have an actual or
3 apparent conflict of interest.

4 (b) Issuance of title IX reports to complainants and
5 respondents that are not divergent.

6 (c) Notification of resources to each individual who reports
7 having experienced sexual assault by a member of the community
8 college.

9 Sec. 217b. (1) Each community college that receives an
10 appropriation in section 201 shall report to the center by the last
11 business day of August of each year the tuition and mandatory fees
12 paid by a full-time in-district student and a full-time out-of-
13 district student as established by the community college governing
14 board for the current academic year. This report should also
15 include the annual cost of tuition and fees based on a full-time
16 course load of 30 credits. This report must also specify the amount
17 that tuition and fees have increased for the community college from
18 the prior academic year. Each community college shall also report
19 any revisions to the reported current academic year tuition and
20 mandatory fees adopted by the community college governing board to
21 the center within 15 days of being adopted. The center shall
22 provide this information and any revisions to the house and senate
23 fiscal agencies and the state budget director.

24 (2) Each community college that receives an appropriation in
25 section 201 shall certify to the state budget director by the ~~first~~
26 **last** business day of ~~November~~ **August** of each year that its board
27 will not adopt an increase in tuition and fee rates for in-district
28 students for the academic year that is greater than the tuition
29 restraint described in this subsection. For the academic year ~~2025-~~



1 ~~2026,~~**2026-2027**, the tuition restraint level is equal to the
 2 greater of ~~4.5%-4.0%~~ or ~~\$227.00-\$199.00~~. For the academic year
 3 ~~2026-2027,~~**2027-2028**, the tuition restraint level is equal to the
 4 greater of ~~4.0%-3.5%~~ or ~~\$199.00-\$179.00~~. It is intended that in
 5 the next fiscal year, the tuition restraint rate will be adjusted
 6 only for the subsequent academic year. As used in this subsection:

7 (a) "Fee" means any board-authorized fee that will be paid by
 8 more than 1/2 of all in-district students at least once during
 9 their enrollment at a community college. A community college
 10 increasing a fee that applies to a specific subset of students or
 11 courses shall provide sufficient information to prove that the
 12 increase applied to that subset will not cause the increase in the
 13 average amount of board-authorized total tuition and fees paid by
 14 in-district students in the academic year to exceed the limit
 15 established in this section.

16 (b) "Tuition and fee rate" means the average of full-time
 17 rates paid by a majority of students in each class, based on an
 18 unweighted average of the rates authorized by the community college
 19 board and actually charged to students, deducting any uniformly
 20 rebated or refunded amounts, for the 2 semesters with the highest
 21 levels of full-time equated in-district enrollment during the
 22 academic year.

23 (3) Community colleges that exceed the tuition and fee rate
 24 cap described in subsection (2) are not eligible to receive
 25 payments under section 201f for 1-time performance funding payments
 26 for fiscal year ~~2025-2026.~~**2026-2027**. The state budget director
 27 shall implement uniform reporting requirements to ensure that a
 28 community college receiving a payment under section 201f for 1-time
 29 performance funding has satisfied the tuition restraint



1 requirements of this section. The state budget director has the
2 sole authority to determine if a community college has met the
3 requirements of this section. Information reported by a community
4 college to the state budget director under this subsection must
5 also be reported to the house and senate appropriations
6 subcommittees on community colleges and the house and senate fiscal
7 agencies.

8 (4) Notwithstanding any other provision of this act, the
9 legislature may at any time adjust appropriations for a community
10 college that adopts an increase in tuition and fee rates for in-
11 district students that exceeds the rate cap established in
12 subsection (2).

13 **Sec. 217d. (1) By December 31, 2026, each community college**
14 **that receives an appropriation under section 201 must produce a**
15 **report detailing any increases, decreases, or other substantive**
16 **changes to diversity, equity, and inclusion programs made after**
17 **January 1, 2026.**

18 (2) If the report described in subsection (1) documents a
19 change that could reduce access to a diversity, equity, or
20 inclusion program for that university's students or employees, the
21 community college shall also report other efforts, programs, or
22 resources that the community college provides that would serve to
23 mitigate any negative consequences associated with the documented
24 program reduction.

25 **Sec. 217e. Not later than December 1 of each year, each**
26 **community college that receives an appropriation in section 201**
27 **shall provide a report to the house and senate appropriations**
28 **subcommittees on higher education, the house and senate fiscal**
29 **agencies, and the state budget director providing an itemized cost**



1 of attendance for full-time students attending that community
2 college for the current and previous 2 academic years.

3 Sec. 217g. (1) Subject to subsection (2), the state treasurer
4 shall reduce payments made under section 254 for any community
5 college that is an authorizing body by an amount equal to the
6 difference between the amount reported in section 217c(1)(m)(i)
7 during the previous fiscal year and 1% times the total state school
8 aid received by all public school academies authorized by the
9 authorizing body during that fiscal year. The state treasurer may
10 coordinate with the state budget office or any other state
11 department or agency to administer this section.

12 (2) If the calculation in subsection (1) would result in a net
13 payment under section 254 that is a negative number, the payment
14 under section 254 must be \$0.00.

15 (3) As used in this section:

16 (a) "Authorizing body" means that term as defined in section
17 501 of the revised school code, 1976 PA 451, MCL 380.501.

18 (b) "Total state school aid" means that term as used in
19 section 502 of the revised school code, 1976 PA 451, MCL 380.502.

20 Sec. 223. (1) By January 15 of each year, the department of
21 lifelong education, advancement, and potential shall submit to the
22 state budget director, the house and senate appropriations
23 subcommittees on community colleges, and the house and senate
24 fiscal agencies a report on North American Indian tuition waivers
25 for the preceding academic year that includes, but is not limited
26 to, all of the following information:

27 (a) The number of waiver applications received and the number
28 of waiver applications approved.

29 (b) For each community college submitting information under



subsection (2), all of the following:

(i) The number of ~~North-Native~~ American ~~Indian~~ students enrolled each term for the previous academic year.

(ii) The number of North American Indian waivers granted each term, including continuing education students, and the monetary value of the waivers ~~for~~**granted each term of** the previous academic year.

(iii) The number of ~~North-Native~~ American ~~Indian~~ students who receive a granted waiver for the previous academic year.

(iv) The number of students attending under a North American Indian tuition waiver who withdrew from the college each term during the previous academic year. For purposes of this subparagraph, a withdrawal occurs when a student who has been awarded the waiver withdraws from the institution at any point during the term, regardless of enrollment in subsequent terms.

(v) The number of students attending under a North American Indian tuition waiver who successfully transfer to a 4-year public or private university, or complete a degree or certificate program, separated by degree or certificate level, and the graduation rate for students attending under a North American Indian tuition waiver who complete a degree or certificate within 150% of the normal time to complete, separated by the level of the degree or certificate.

(2) By January 1 of each year, a community college that receives an appropriation in section 201 or a tribal institution that receives funding for the North American Indian tuition waiver shall provide to the department of lifelong education, advancement, and potential any information necessary for preparing the report described in subsection (1), using guidelines and procedures developed by the department of lifelong education, advancement, and

1 potential.

2 (3) The department of lifelong education, advancement, and
3 potential may consolidate the report required under this section
4 with the report required under section 268, but a consolidated
5 report must separately identify data for universities and data for
6 community colleges.

7 Sec. 229a. Included in the fiscal year ~~2025-2026~~**2026-2027**
8 appropriations for the department of technology, management, and
9 budget are appropriations totaling ~~\$38,032,600.00~~**\$40,398,900.00** to
10 provide funding for the state share of costs for previously
11 constructed capital projects for community colleges. Those
12 appropriations for state building authority rent represent
13 additional state general fund support for community colleges, and
14 the following is an estimate of the amount of that support to each
15 community college:

16 (a) Alpena Community College, \$855,000.00.

17 (b) Bay de Noc Community College, \$515,000.00.

18 (c) Delta College, ~~\$2,881,100.00~~**\$2,881,000.00.**

19 (d) Glen Oaks Community College, \$380,000.00.

20 (e) Gogebic Community College, \$56,000.00.

21 (f) Grand Rapids Community College,

22 ~~\$2,346,000.00~~**\$2,430,000.00.**

23 (g) Henry Ford College, \$1,505,000.00.

24 (h) Jackson College, \$2,044,000.00.

25 (i) Kalamazoo Valley Community College,

26 ~~\$1,942,000.00~~**\$3,404,500.00.**

27 (j) Kellogg Community College, \$679,000.00.

28 (k) Kirtland Community College, \$225,000.00.

29 (l) Lake Michigan College, \$966,000.00.



1 (m) Lansing Community College, \$757,000.00.
 2 (n) Macomb Community College, \$4,682,200.00.
 3 (o) Mid Michigan Community College, \$1,615,000.00.
 4 (p) Monroe County Community College,
 5 ~~\$1,540,000.00.~~ **\$2,359,900.00.**
 6 (q) Montcalm Community College, \$446,000.00.
 7 (r) C.S. Mott Community College, \$3,103,000.00.
 8 (s) Muskegon Community College, \$982,000.00.
 9 (t) North Central Michigan College, \$646,000.00.
 10 (u) Northwestern Michigan College, \$1,787,000.00.
 11 (v) Oakland Community College, \$0.00.
 12 (w) Schoolcraft College, \$2,232,000.00.
 13 (x) Southwestern Michigan College, \$822,500.00.
 14 (y) St. Clair County Community College, \$718,000.00.
 15 (z) Washtenaw Community College, \$1,676,000.00.
 16 (aa) Wayne County Community College, \$1,895,800.00.
 17 (bb) West Shore Community College, \$736,000.00.
 18 Sec. 230. (1) Subject to subsection (4), money included in the
 19 appropriations for community college operations under section 201
 20 for performance funding and allocated under section 201f for 1-time
 21 performance funding payments is distributed based on the following
 22 formula:
 23 (a) Allocated proportionate to fiscal year ~~2024-2025~~ **2025-2026**
 24 base appropriations, 30%.
 25 (b) Based on a weighted student contact hour formula as
 26 provided for in the 2016 recommendations of the performance
 27 indicators task force, 30%.
 28 (c) Based on the performance improvement as provided for in
 29 the 2016 recommendations of the performance indicators task force

1 and based on data provided by the center, 10%.

2 (d) Based on the performance completion number as provided for
3 in the 2016 recommendations of the performance indicators task
4 force, 10%.

5 (e) Based on the performance completion rate as provided for
6 in the 2016 recommendations of the performance indicators task
7 force and based on data provided by the center, 10%.

8 (f) Based on administrative costs, 5%.

9 (g) Based on the local strategic value component, as developed
10 in cooperation with the Michigan Community College Association and
11 described in subsection (2), 5%.

12 (2) Money included in the appropriations for community college
13 operations under section 201(2) for local strategic value is
14 allocated only to each community college that certifies to the
15 state budget director, through a board of trustees resolution on or
16 before October 15, ~~2025~~, **2026**, that the college has met 4 out of 5
17 best practices listed in each category described in subsection (3).
18 The resolution must provide specifics as to how the community
19 college meets each best practice measure within each category. One-
20 third of funding available under the strategic value component is
21 allocated to each category described in subsection (3). Amounts
22 distributed under local strategic value must be on a proportionate
23 basis to each college's fiscal year ~~2024-2025~~ **2025-2026** operations
24 funding. Payments to community colleges that qualify for local
25 strategic value funding must be distributed with the November
26 installment payment described in section 206.

27 (3) For purposes of subsection (2), the following categories
28 of best practices reflect functional activities of community
29 colleges that have strategic value to the local communities and



1 regional economies:

2 (a) For Category A, economic development and business or
3 industry partnerships, the following:

4 (i) The community college has active partnerships with local
5 employers including hospitals and health care providers.

6 (ii) The community college provides customized on-site training
7 for area companies, employees, or both.

8 (iii) The community college supports entrepreneurship through a
9 small business assistance center or other training or consulting
10 activities targeted toward small businesses.

11 (iv) The community college supports technological advancement
12 through industry partnerships, incubation activities, or operation
13 of a Michigan technical education center or other advanced
14 technology center.

15 (v) The community college has active partnerships with local
16 or regional workforce and economic development agencies.

17 (b) For Category B, educational partnerships, the following:

18 (i) The community college has active partnerships with regional
19 high schools, intermediate school districts, and career-tech
20 centers to provide instruction through dual enrollment, concurrent
21 enrollment, direct credit, middle college, or academy programs.

22 (ii) The community college hosts, sponsors, or participates in
23 enrichment programs for area K-12 students, such as college days,
24 summer or after-school programming, or Science Olympiad.

25 (iii) The community college provides, supports, or participates
26 in programming to promote successful transitions to college for
27 traditional age students, including grant programs such as talent
28 search, upward bound, or other activities to promote college
29 readiness in area high schools and community centers.



1 (iv) The community college provides, supports, or participates
2 in programming to promote successful transitions to college for new
3 or reentering adult students, such as adult basic education, a high
4 school equivalency test preparation program and testing, or
5 recruiting, advising, or orientation activities specific to adults.
6 As used in this subparagraph, "high school equivalency test
7 preparation program" means that term as defined in section 4.

8 (v) The community college has active partnerships with
9 regional 4-year colleges and universities to promote successful
10 transfer, such as articulation, 2+2, or reverse transfer agreements
11 or operation of a university center.

12 (c) For Category C, community services, the following:

13 (i) The community college provides continuing education
14 programming for leisure, wellness, personal enrichment, or
15 professional development.

16 (ii) The community college operates or sponsors opportunities
17 for community members to engage in activities that promote leisure,
18 wellness, cultural or personal enrichment such as community sports
19 teams, theater or musical ensembles, or artist guilds.

20 (iii) The community college operates public facilities to
21 promote cultural, educational, or personal enrichment for community
22 members, such as libraries, computer labs, performing arts centers,
23 museums, art galleries, or television or radio stations.

24 (iv) The community college operates public facilities to
25 promote leisure or wellness activities for community members,
26 including gymnasiums, athletic fields, tennis courts, fitness
27 centers, hiking or biking trails, or natural areas.

28 (v) The community college promotes, sponsors, or hosts
29 community service activities for students, staff, or community



1 members.

2 (4) Payments for performance funding under section 201 and for
3 1-time performance funding payments under section 201f must be made
4 to a community college only if that community college actively
5 participates in the Michigan Transfer Network sponsored by the
6 Michigan Association of Collegiate Registrars and Admissions
7 Officers and submits timely updates, including updated course
8 equivalencies at least every 6 months, to the Michigan Transfer
9 Network. The state budget director shall determine if a community
10 college has not satisfied this requirement. The state budget
11 director may withhold payments for performance funding under
12 section 201 and 1-time performance funding under section 201f until
13 a community college is in compliance with this subsection.

14 Sec. 236. (1) Subject to the conditions set forth in this
15 article, the amounts listed in this section are appropriated for
16 higher education for the fiscal year ending September 30, ~~2026,~~
17 **2027**, from the funds indicated in this section. The following is a
18 summary of the appropriations in this section and sections 236d ~~r~~
19 ~~236e,~~ and 236j:

20 (a) The gross appropriation is ~~\$2,336,912,000.00.~~
21 **\$2,590,132,800.00.** After deducting total interdepartmental grants
22 and intradepartmental transfers in the amount of \$0.00, the
23 adjusted gross appropriation is ~~\$2,336,912,000.00.~~
24 **\$2,590,132,800.00.**

25 (b) The sources of the adjusted gross appropriation described
26 in subdivision (a) are as follows:

27 (i) Total federal revenues, \$3,200,000.00.

28 (ii) Total local revenues, \$0.00.

29 (iii) Total private revenues, \$0.00.



(iv) Total other state restricted revenues, ~~\$850,768,300.00.~~
\$1,171,678,600.00.

(v) State general fund/general purpose money,
~~\$1,482,943,700.00.~~ **\$1,415,254,200.00.**

(c) The totals and subtotals reflected in subdivisions (a) and (b) do not include ~~amounts appropriated under subsection (7)(d) or (8)(b)~~ **\$300,000,000.00 of the appropriation under subsection (8)(b)** to avoid duplicating totals of amounts appropriated in this section and section 236j.

(2) Amounts appropriated for public universities are as follows:

(a) The appropriation for Central Michigan University is ~~\$99,466,100.00, \$95,226,900.00~~ **\$99,759,800.00, \$97,785,700.00** for operations, \$0.00 for operations increase, ~~\$2,558,800.00 for MPSERS support payment,~~ and ~~\$1,680,400.00~~ **\$1,974,100.00** for costs incurred under the North American Indian tuition waiver.

(b) The appropriation for Eastern Michigan University is ~~\$86,649,200.00, \$83,979,800.00~~ **\$86,660,200.00, \$86,236,300.00** for operations, \$0.00 for operations increase, ~~\$2,256,500.00 for MPSERS support payment,~~ and ~~\$412,900.00~~ **\$423,900.00** for costs incurred under the North American Indian tuition waiver.

(c) The appropriation for Ferris State University is ~~\$62,221,900.00, \$59,816,300.00~~ **\$62,195,100.00, \$61,423,600.00** for operations, \$0.00 for operations increase, ~~\$1,607,300.00 for MPSERS support payment,~~ and ~~\$798,300.00~~ **\$771,500.00** for costs incurred under the North American Indian tuition waiver.

(d) The appropriation for Grand Valley State University is ~~\$98,772,000.00,~~ **\$98,788,400.00,** \$97,552,900.00 for operations, \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~



1 and ~~\$1,219,100.00~~ **\$1,235,500.00** for costs incurred under the North
 2 American Indian tuition waiver.

3 (e) The appropriation for Lake Superior State University is
 4 ~~\$16,301,400.00, \$14,465,600.00~~ **\$16,419,200.00, \$14,854,300.00** for
 5 operations, \$0.00 for operations increase, ~~\$388,700.00 for MPSERS~~
 6 ~~support payment,~~ and ~~\$1,447,100.00~~ **\$1,564,900.00** for costs incurred
 7 under the North American Indian tuition waiver.

8 (f) The appropriation for Michigan State University is
 9 ~~\$396,845,300.00, \$396,750,000.00,~~ \$321,516,900.00 for operations,
 10 \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~
 11 ~~\$2,508,800.00~~ **\$2,413,500.00** for costs incurred under the North
 12 American Indian tuition waiver, \$39,096,200.00 for MSU
 13 AgBioResearch, and \$33,723,400.00 for MSU Extension.

14 (g) The appropriation for Michigan Technological University is
 15 ~~\$56,659,000.00, \$54,463,700.00~~ **\$56,727,800.00, \$55,927,100.00** for
 16 operations, \$0.00 for operations increase, ~~\$1,463,400.00 for MPSERS~~
 17 ~~support payment,~~ and ~~\$731,900.00~~ **\$800,700.00** for costs incurred
 18 under the North American Indian tuition waiver.

19 (h) The appropriation for Northern Michigan University is
 20 ~~\$55,688,200.00, \$52,850,300.00~~ **\$55,925,000.00, \$54,270,400.00** for
 21 operations, \$0.00 for operations increase, ~~\$1,420,100.00 for MPSERS~~
 22 ~~support payment,~~ and ~~\$1,417,800.00~~ **\$1,654,600.00** for costs incurred
 23 under the North American Indian tuition waiver.

24 (i) The appropriation for Oakland University is
 25 ~~\$73,361,600.00, \$73,414,700.00,~~ \$73,036,400.00 for operations,
 26 \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~
 27 and ~~\$325,200.00~~ **\$378,300.00** for costs incurred under the North
 28 American Indian tuition waiver.

29 (j) The appropriation for Saginaw Valley State University is



1 ~~\$34,379,000.00, \$34,436,800.00~~, \$34,196,000.00 for operations,
 2 \$0.00 for operations increase, ~~\$0.00 for MPERS support payment,~~
 3 and ~~\$183,000.00 \$240,800.00~~ for costs incurred under the North
 4 American Indian tuition waiver.

5 (k) The appropriation for University of Michigan - Ann Arbor
 6 is ~~\$362,507,900.00, \$362,353,400.00~~, \$360,607,300.00 for
 7 operations, \$0.00 for operations increase, ~~\$0.00 for MPERS support~~
 8 ~~payment,~~ and ~~\$1,900,600.00 \$1,746,100.00~~ for costs incurred under
 9 the North American Indian tuition waiver.

10 (l) The appropriation for University of Michigan - Dearborn is
 11 ~~\$31,708,000.00, \$31,762,500.00~~, \$31,513,700.00 for operations,
 12 \$0.00 for operations increase, ~~\$0.00 for MPERS support payment,~~
 13 and ~~\$194,300.00 \$248,800.00~~ for costs incurred under the North
 14 American Indian tuition waiver.

15 (m) The appropriation for University of Michigan - Flint is
 16 ~~\$26,884,600.00, \$26,941,300.00~~, \$26,403,700.00 for operations,
 17 \$0.00 for operations increase, ~~\$0.00 for MPERS support payment,~~
 18 and ~~\$480,900.00 \$537,600.00~~ for costs incurred under the North
 19 American Indian tuition waiver.

20 (n) The appropriation for Wayne State University is
 21 ~~\$227,787,300.00, \$227,908,900.00~~, \$227,310,200.00 for operations,
 22 \$0.00 for operations increase, ~~\$0.00 for MPERS support payment,~~
 23 and ~~\$477,100.00 \$598,700.00~~ for costs incurred under the North
 24 American Indian tuition waiver.

25 (o) The appropriation for Western Michigan University is
 26 ~~\$125,246,700.00, \$121,231,800.00 \$125,265,800.00, \$124,489,300.00~~
 27 for operations, \$0.00 for operations increase, ~~\$3,257,500.00 for~~
 28 ~~MPERS support payment,~~ and ~~\$757,400.00 \$776,500.00~~ for costs
 29 incurred under the North American Indian tuition waiver.



(3) The amount appropriated in subsection (2) for public universities is ~~\$1,754,478,200.00,~~ **\$1,755,308,900.00**, appropriated from the following:

(a) State school aid fund, \$643,168,300.00.

(b) State general fund/general purpose money, ~~\$1,111,309,900.00,~~ **\$1,112,140,600.00.**

(4) The amount appropriated for Michigan public school employees' retirement system reimbursement is \$0.00.

(5) The amount appropriated for state and regional programs is \$322,100.00, appropriated from general fund/general purpose money and allocated as follows:

(a) Higher education database modernization and conversion, \$200,000.00.

(b) Midwestern Higher Education Compact, \$122,100.00.

(6) The amount appropriated for the Martin Luther King, Jr. - ~~Cesar Chavez~~ **Dolores Huerta - Morris Hood Jr.** - Rosa Parks program is \$2,691,500.00, appropriated from general fund/general purpose money and allocated as follows:

(a) Select student support services, \$1,956,100.00.

(b) Michigan college/university partnership program, \$586,800.00.

(c) Morris Hood, Jr. educator development program, \$148,600.00.

(7) Subject to subsection (8), the amount appropriated for grants and financial aid is ~~\$469,500,000.00,~~ **\$760,300,000.00**, allocated as follows:

(a) Tuition incentive program, ~~\$122,300,000.00,~~ **\$156,100,000.00.**

(b) Children of veterans and officer's survivor tuition grant



1 programs, \$2,000,000.00.

2 (c) Project GEAR-UP, \$3,200,000.00.

3 (d) Michigan achievement scholarships, ~~\$300,000,000.00.~~

4 **\$532,000,000.00.** From this amount, up to \$10,000,000.00 may be used
5 to award skills scholarships under section 248a.

6 (e) Michigan reconnect, ~~\$42,000,000.00.~~**\$67,000,000.00.**

7 (8) The money appropriated in subsection (7) for grants and
8 financial aid is appropriated from the following:

9 (a) Federal revenues under the United States Department of
10 Education, Office of Elementary and Secondary Education, GEAR-UP
11 program, \$3,200,000.00.

12 (b) Postsecondary scholarship fund, ~~\$300,000,000.00.~~
13 **\$532,000,000.00.**

14 **(c) School aid fund, \$25,000,000.00.**

15 **(d) ~~(e)~~ State general fund/general purpose money,**
16 **~~\$166,300,000.00.~~\$200,100,000.00.**

17 **(e) ~~(d)~~ At the close of the fiscal year, state general**
18 **fund/general purpose money appropriated in subsection (7) for**
19 **grants and scholarships that is unspent must be deposited into the**
20 **postsecondary scholarship fund created in section 236j.**

21 (9) For fiscal year ~~2025-2026~~**2026-2027** only, in addition to
22 the allocation under subsection (4), from the appropriations
23 described in subsection (1), there is allocated an amount not to
24 exceed ~~\$7,600,000.00~~**\$1,750,000.00** for payments to participating
25 public universities, appropriated from the state school aid fund. A
26 public university that receives money under this subsection shall
27 use that money solely for the purpose of offsetting the normal cost
28 contribution rate. As used in this subsection, "participating
29 public universities" means public universities that are a reporting



unit of the Michigan public school employees' retirement system under the public school employees retirement act of 1979, 1980 PA 300, MCL 38.1301 to 38.1437, and that pay contributions to the Michigan public school employees' retirement system for the state fiscal year.

(10) It is the intent of the legislature that \$43,500,000.00 of the general fund/general purpose money appropriated in subsections (7) (a) and (8) (d) for the tuition incentive program is for the fiscal year 2026-2027 only.

Sec. 236c. In addition to the funds appropriated for fiscal year ~~2025-2026~~**2026-2027** in section 236, appropriations to the department of technology, management, and budget in the act providing general appropriations for fiscal year ~~2025-2026~~**2026-2027** for state building authority rent, totaling an estimated ~~\$142,153,900.00,~~**\$153,218,900.00**, provide funding for the state share of costs for previously constructed capital projects for state universities. These appropriations for state building authority rent represent additional state general fund support provided to public universities, and the following is an estimate of the amount of that support to each public university:

(a) Central Michigan University, \$12,914,000.00.

(b) Eastern Michigan University, ~~\$6,022,000.00.~~ **\$8,272,000.00.**

(c) Ferris State University, \$9,546,000.00.

(d) Grand Valley State University, ~~\$8,614,000.00.~~

\$10,864,000.00.

(e) Lake Superior State University, \$2,229,000.00.

(f) Michigan State University, \$16,598,000.00.

(g) Michigan Technological University, \$5,521,000.00.

(h) Northern Michigan University, \$9,735,900.00.



(i) Oakland University, ~~\$11,245,000.00~~. **\$13,310,000.00.**

(j) Saginaw Valley State University, \$7,820,000.00.

(k) University of Michigan - Ann Arbor, \$14,068,000.00.

(l) University of Michigan - Dearborn, \$10,725,000.00.

(m) University of Michigan - Flint, ~~\$6,057,000.00~~.

\$8,307,000.00.

(n) Wayne State University, ~~\$10,072,000.00~~. **\$12,322,000.00.**

(o) Western Michigan University, \$10,987,000.00.

Sec. 236d. (1) In addition to the funds appropriated under section 232(2) for university operations, for fiscal year ~~2025-2026~~ **2026-2027** only, there is appropriated an amount not to exceed ~~\$50,114,100.00~~ **\$69,760,300.00** from the ~~state general fund/general purpose money~~ **school aid fund** for 1-time operations increase payments. These funds are intended to be used for the same purposes as the funds appropriated under section 236(2) for university operations.

(2) From the amount appropriated under subsection (1), **subject to sections 241a, 241b, 241c, 241e, and 244**, each university is allocated the following:

(a) Central Michigan University, ~~\$2,885,000.00~~. **\$3,920,600.00.**

(b) Eastern Michigan University, ~~\$2,544,200.00~~. **\$3,457,500.00.**

(c) Ferris State University, ~~\$1,812,200.00~~. **\$2,462,700.00.**

(d) Grand Valley State University, ~~\$2,955,400.00~~.

\$3,911,200.00.

(e) Lake Superior State University, ~~\$438,300.00~~. **\$595,600.00.**

(f) Michigan State University, ~~\$9,740,500.00~~. **\$12,890,700.00.**

(g) Michigan Technological University,

~~\$1,650,000.00~~. **\$2,242,300.00.**

(h) Northern Michigan University, ~~\$1,601,100.00~~. **\$2,175,900.00.**



(i) Oakland University, ~~\$2,212,700.00~~ **\$2,928,300.00**.

(j) Saginaw Valley State University,
~~\$1,036,000.00~~ **\$1,371,000.00**.

(k) University of Michigan - Ann Arbor,
~~\$10,924,800.00~~ **\$14,458,000.00**.

(l) University of Michigan - Dearborn,
~~\$954,700.00~~ **\$1,263,500.00**.

(m) University of Michigan - Flint, ~~\$799,900.00~~ **\$1,058,600.00**.

(n) Wayne State University, ~~\$6,886,500.00~~ **\$9,113,600.00**.

(o) Western Michigan University, ~~\$3,672,800.00~~ **\$4,991,200.00**.

(3) In addition to the funds appropriated in section 236(2) for MSU AgBioResearch, for fiscal year ~~2025-2026~~ **2026-2027** only, there is appropriated an amount not to exceed ~~\$1,184,400.00~~ **\$1,567,500.00** from the state general fund/general purpose money for MSU AgBioResearch.

(4) In addition to the funds appropriated in section 236(2) for MSU Extension, for fiscal year ~~2025-2026~~ **2026-2027** only, there is appropriated an amount not to exceed ~~\$1,021,700.00~~ **\$1,352,100.00** from the state general fund/general purpose money for MSU Extension.

Sec. 236j. (1) The postsecondary scholarship fund is created in the department of treasury for the purpose of providing scholarship awards to eligible students who attend eligible postsecondary educational institutions in this state, as provided in subsection (5).

(2) The state treasurer may receive money or other assets from any source for deposit into the postsecondary scholarship fund. The state treasurer shall direct the investment of the postsecondary scholarship fund. The state treasurer shall credit to the



1 postsecondary scholarship fund interest and earnings from
 2 postsecondary scholarship fund investments.

3 (3) Money in the postsecondary scholarship fund at the close
 4 of the fiscal year must remain in the postsecondary scholarship
 5 fund and not lapse to the general fund.

6 (4) The department of treasury is the administrator of the
 7 postsecondary scholarship fund for auditing purposes.

8 (5) Money must be expended from the postsecondary scholarship
 9 fund only for the purpose of providing Michigan achievement
 10 scholarship awards to eligible students who attend eligible
 11 postsecondary educational institutions in this state and for other
 12 purposes described in this section. ~~From~~ **Subject to section 236k,**
 13 **from** the funds appropriated in section 236(7) for the Michigan
 14 achievement scholarship, the department of lifelong education,
 15 advancement, and potential may use up to ~~\$10,000,000.00~~
 16 **\$5,000,000.00** annually for the purposes of outreach programs to
 17 raise awareness of the Michigan achievement scholarship and other
 18 state scholarship programs allocated in section 236(7). The
 19 department of lifelong education, advancement, and potential shall
 20 ensure that state scholarships are well publicized and that high
 21 school students are provided information on the availability of
 22 financial aid. The department of lifelong education, advancement,
 23 and potential may receive and expend funds received from outside
 24 sources for scholarships, marketing, or other purposes related to
 25 Michigan state scholarships. The department of lifelong education,
 26 advancement, and potential shall provide the necessary funding and
 27 staff to fully operate the programs.

28 (6) For the fiscal year ending September 30, ~~2026,~~ **2027,**
 29 ~~\$300,000,000.00~~ **\$200,000,000.00** of ongoing funding is deposited



1 into the postsecondary scholarship fund from the ~~following~~:

2 ~~(a) State~~ **state** school aid fund. , ~~\$200,000,000.00.~~

3 ~~(b) State general fund/general purpose money, \$100,000,000.00.~~

4 **(7) In addition to the deposit under subsection (6), for the**
 5 **fiscal year ending September 30, 2027 only, \$100,000,000.00 is**
 6 **deposited into the postsecondary scholarship fund from state**
 7 **general fund/general purpose money.**

8 **(8)** ~~(7)~~—It is the intent of the legislature that the
 9 postsecondary scholarship fund serves as the primary funding source
 10 of the Michigan achievement scholarship. To ensure the Michigan
 11 achievement scholarship provides ongoing supports for students, it
 12 is the intent of the legislature to increase annual deposits into
 13 the postsecondary scholarship fund until the fully implemented
 14 costs of the Michigan achievement scholarship are deposited
 15 annually into the postsecondary scholarship fund.

16 **(9)** ~~(8)~~—In addition to the appropriations in section 236, if
 17 the amount of ~~general fund money~~ **state funds** allocated in section
 18 236(7)(a), (b), (d), or (e) is not sufficient to fully fund 1 or
 19 more of those awards, there is appropriated from the postsecondary
 20 scholarship fund the amount necessary to fully fund those awards.
 21 The state budget director **must determine if money is appropriated**
 22 **from the postsecondary scholarship fund under this subsection and**
 23 shall provide written notification to the house and senate
 24 appropriations subcommittee on higher education and the house and
 25 senate fiscal agencies prior to any additional appropriation
 26 described in this subsection.

27 ~~(9) In addition to the deposit to the postsecondary~~
 28 ~~scholarship fund described in subsection (6), for the fiscal year~~
 29 ~~ending September 30, 2025 only, an amount not to exceed~~



~~\$80,000,000.00 from the unspent and unreserved state school aid fund balances appropriated under section 11, as recorded as part of the state book-closing process for the 2024-2025 fiscal year, is deposited into the postsecondary scholarship fund.~~

Sec. 236k. From the amount described under section 236j(5) for marketing of the Michigan achievement scholarship and other state scholarship programs, \$1,000,000.00 must be allocated for the FAFSA completion ticket to tuition incentive. The department of lifelong education, advancement, and potential shall use funds described under this section to run a promotional activity to promote completing the Free Application for Federal Student Aid (FAFSA) for the first time consistent with the promotional-activity exception provided for in section 372(2) of the Michigan penal code, 1931 PA 328, MCL 750.372. The promotional activity must offer prize funds that are available to a number, chosen by the department, of randomly selected Michigan residents who satisfactorily demonstrate to the department that they have completed the FAFSA for the first time.

Sec. 236s. (1) ~~Not later than~~ Within 30 days after of the enactment of the an amendatory act that added this section, to this article, the legislature house and senate shall provide to the responsible entity and the state budget director office a jointly agreed upon list of legislatively directed spending items , which may be referred to in this section as grants or direct appropriation grants, funded under the amendatory act that added this section consistent with house or senate rules and this section. funded by the amendatory act. The list must include all information and documents pertaining to the funded items as publicly disclosed in accordance with ~~house or senate rules and~~



1 ~~this section.~~ **section 364 and 364a of the management and budget**
2 **act, 1984 PA 431, MCL 18.1364 and 18.1634a. As used in this**
3 **subsection, "legislatively directed spending item" means that term**
4 **as defined in section 364 of the management and budget act, 1984 PA**
5 **431, MCL 18.1364.**

6 ~~(2) Notwithstanding any other conditions or requirements for~~
7 ~~direct appropriation grants, the responsible entity shall perform,~~
8 ~~at a minimum, at least all of the following activities to~~
9 ~~administer the grants described in subsection (1):~~

10 ~~(a) Establish a process to review, complete, and execute a~~
11 ~~grant agreement with a grant recipient. The responsible entity~~
12 ~~shall not execute a grant agreement unless all necessary~~
13 ~~documentation has been submitted and reviewed.~~

14 ~~(b) Verify to the extent possible that a grant recipient is a~~
15 ~~not-for-profit entity and will use funds as publicly disclosed and~~
16 ~~for a public purpose that serves the economic prosperity, health,~~
17 ~~safety, or general welfare of the residents of this state.~~

18 ~~(c) Review and verify all necessary information to ensure the~~
19 ~~grant recipient is reasonably able to execute the grant agreement,~~
20 ~~perform its fiduciary duty, and comply with all applicable state~~
21 ~~and federal statutes. The responsible entity may deduct the cost of~~
22 ~~background checks and any other efforts performed as part of this~~
23 ~~verification from the amount of the designated grant award.~~

24 ~~(d) Disburse the grant money per the grant disbursement~~
25 ~~schedule in the executed grant agreement on a reimbursement basis~~
26 ~~after the grantee has provided sufficient documentation, as~~
27 ~~determined by the responsible entity, to verify that expenditures~~
28 ~~were made in accordance with the project purpose.~~

29 ~~(e) If the state budget director determines that information~~



~~provided by the grantee does not meet the disclosure requirements, that the grant will be used to pay a tax lien, delinquent tax, or other obligation owed to this state, or that the grant will create a conflict of interest, the responsible entity shall not release the grant money to the grantee. Money that is not released under this subdivision lapses at the end of the fiscal year. There is not a conflict of interest if the sponsoring legislator certifies that the sponsoring legislator's immediate family members, legislative staff members that have worked for the sponsoring legislator within the past 2 years, and the sponsoring legislator do not have a direct or indirect pecuniary interest in the legislatively directed spending item.~~

~~(3) An executed grant agreement under this section between the responsible entity and a grant recipient must include at least all of the following:~~

~~(a) All necessary identifying information for the grant recipient, including any tax and financial information necessary for the responsible entity to administer grant money under this section.~~

~~(b) A description of the project for which the grant money will be expended, including tentative timelines and the estimated budget. Project budget must include how all grant money will be used and must indicate if any grant money will be provided to a third party or subrecipient. The responsible entity shall not reimburse expenditures that are outside of the project purpose, as stated in the executed grant agreement, from appropriations under the amendatory act that added this section. The grantee shall return to the state treasury any interest in excess of \$1,000.00 earned on the grant money while unexpended and in possession of the~~



1 grantee.

2 ~~(c) Unless otherwise specified in the responsible entity's~~
3 ~~policy, a requirement that funds appropriated for the grants~~
4 ~~described in subsection (1) may be used only for expenditures that~~
5 ~~occur on or after the effective date of the amendatory act that~~
6 ~~added this section.~~

7 ~~(d) A requirement for reporting by the grant recipient to the~~
8 ~~responsible entity and the legislative sponsor that provides the~~
9 ~~status of the project and an accounting of all money expended by~~
10 ~~the grant recipient, as determined by the responsible entity.~~

11 ~~(e) A clawback provision that allows the department of~~
12 ~~treasury to recoup or otherwise collect any grant money that is~~
13 ~~declined, unspent, or otherwise misused.~~

14 ~~(f) The documents publicly disclosed under subsection (1).~~

15 ~~(4) If appropriate to improve the administration or oversight~~
16 ~~of a grant described in subsection (1), the responsible entity may~~
17 ~~adopt a memorandum of understanding with another state department~~
18 ~~to perform the required duties under this section.~~

19 ~~(5) A grant recipient shall respond to all reasonable~~
20 ~~information requests from the responsible entity related to grant~~
21 ~~expenditures and retain grant records for not less than 7 years,~~
22 ~~and the grant may be subject to monitoring, site visits, and audit~~
23 ~~as determined by the responsible entity. The grant agreement~~
24 ~~required under this section must include signed assurance by the~~
25 ~~chief executive officer or other executive officer of the grant~~
26 ~~recipient authorized to bind the grant recipient that the~~
27 ~~requirements of this subsection will be met.~~

28 ~~(6) The grant recipient shall expend all grant money awarded~~
29 ~~and complete all projects not later than September 30, 2030. If at~~



~~that time any unexpended money remains, the grant recipient shall return that money to the state treasury. If a grant recipient does not provide information sufficient to execute a grant agreement not later than June 1, 2026, the responsible entity shall return money associated with the grant to the state treasury.~~

~~(7) Any grant money that is awarded to a responsible entity is appropriated in that responsible entity for the purpose of the intended grant.~~

~~(2) (8) Except as otherwise provided in subsection (9), beginning March 15 of the current fiscal year, the responsible entity~~ **In accordance with section 364(4) of the management and budget act, 1984 PA 431, MCL 18.364(4), the department or agency administering the grant shall post a report in a publicly accessible location on its website beginning March 15 of the current fiscal year.** ~~The report must list the grant recipient, project purpose, and location of the project for each grant described in subsection (1), the status of money allocated and disbursed under the grant agreement, and the legislative sponsor, if applicable. The responsible entity~~ **The department or agency shall update the report and post the an updated report in a publicly accessible location on its website not later than June 15 of the current fiscal year and again not later than September 15 of the current fiscal year. The responsible entity department or agency shall include in the report the most comprehensive information the responsible entity department or agency has available at the time of posting for grants awarded.**

~~(9) If the state budget office determines that it is more efficient for the state budget office to compile all affected responsible entities' information and post a report of the compiled~~



~~information rather than the report required under subsection (8) being posted by individual responsible entities, the state budget office may compile that information across all affected responsible entities and other state departments and post the compiled report and any updates on the same time schedule as identified in subsection (8).~~

~~(10) If the responsible entity reasonably determines that the money allocated for an executed grant agreement under this section was misused or that use of the money was misrepresented by the grant recipient, the responsible entity shall not award any additional funds under the executed grant agreement and shall refer the grant for review following internal audit protocols, which may include referral for criminal investigation.~~

~~(11) As used in this section, "responsible entity" means the department of lifelong education, advancement, and potential, a public university, or other person that administers a grant under this article.~~

Sec. 241. Subject to sections 241a, 241b, 241c, 241e, ~~241h,~~ and 244, the funds appropriated in sections 236 and 236d to public universities must be paid out of the state treasury and distributed by the state treasurer to the respective institutions in 11 equal monthly installments on the sixteenth of each month, or the next succeeding business day, beginning with October 16, ~~2025.~~ **2026.** Except for Wayne State University, each institution shall accrue its July and August ~~2026~~ **2027** payments to its institutional fiscal year ending June 30, ~~2026.~~ **2027.**

Sec. 241a. (1) All public universities shall submit higher education institutional data inventory (HEIDI) data and associated financial aid program information requested by and in a manner



prescribed by the state budget director. For public universities with fiscal years ending June 30, these data must be submitted to the state budget director by October 15 of each fiscal year. Public universities with a fiscal year ending September 30 shall submit preliminary HEIDI data by November 15 and final data by December 15.

(2) It is intended that accountability reporting for public universities will be streamlined through HEIDI. The state budget director and the center will work to combine the reporting requirements outlined in this subsection with the existing HEIDI collection cycle. All of the following must be reported to the house and senate fiscal agencies and the state budget director:

(a) Each public university's certification of its compliance with the requirements described in subsections (4), ~~and (5)~~, and **(6)**.

(b) The reporting requirements described in sections 241b and 241c.

(3) If a public university fails to submit HEIDI data and associated ~~financial aid program information~~ **reporting in sections 241a, 241b, 241c, and 244** in accordance with the required reporting schedule, the state ~~treasurer~~ **budget director** may withhold the monthly operations installments under ~~section~~ **sections 236 and 236d** to the public university until those ~~data~~ **reports** are submitted. If a public university does not comply with all of the requirements described in ~~subsections (4) and (5)~~ **sections 241a, 241b, 241c, and 244** by the end of the fiscal year, the public university forfeits the amount withheld. The state budget director shall notify the chairs of the house and senate appropriations subcommittees on higher education at least 10 days before withholding funds from any



1 public university.

2 (4) No later than **the first business day of** November ~~1~~**of** each
3 year, a public university shall maintain a public transparency
4 website available through a link on its website homepage. The
5 website must include all of the following concerning the public
6 university:

7 (a) The annual operating budget and subsequent budget
8 revisions.

9 (b) A summary of current expenditures for the most recent
10 fiscal year for which they are available, expressed as pie charts
11 in the following 2 categories:

12 (i) A chart of personnel expenditures, broken into the
13 following subcategories:

14 (A) Earnings and wages.

15 (B) Employee benefit costs, including, but not limited to,
16 medical, dental, vision, life, disability, and long-term care
17 benefits.

18 (C) Retirement benefit costs.

19 (D) All other personnel costs.

20 (ii) A chart of all current expenditures the public university
21 reported as part of its higher education institutional data
22 inventory data under subsection (1), broken into the same
23 subcategories in which it reported those data.

24 (c) Links to all of the following for the public university:

25 (i) The current collective bargaining agreement for each
26 bargaining unit.

27 (ii) Each health care benefits plan, including, but not limited
28 to, medical, dental, vision, disability, long-term care, or any
29 other type of benefits that would constitute health care services,



1 offered to any bargaining unit or employee of the public
2 university.

3 (iii) Audits and financial reports for the most recent fiscal
4 year for which they are available.

5 (d) General fund revenue and expenditure projections for the
6 current fiscal year and the next fiscal year.

7 (e) A listing of all debt service obligations, detailed by
8 project, anticipated fiscal year payment for each project, and
9 total outstanding debt for the current fiscal year.

10 (f) The institution's policy regarding the transferability of
11 core college courses between community colleges and the public
12 university.

13 (g) A listing of all community colleges that have entered into
14 reverse transfer agreements with the public university.

15 (h) A dashboard or report card demonstrating the public
16 university's performance in several "best practice" measures. The
17 dashboard or report card must include at least all of the following
18 for the 3 most recent academic years for which the data are
19 available:

20 (i) Enrollment.

21 (ii) Student retention rate.

22 (iii) Six-year graduation rates.

23 (iv) Number of Pell grant recipients and graduating Pell grant
24 recipients.

25 (v) Geographic origination of students, categorized as in-
26 state, out-of-state, and international.

27 (vi) Faculty to student ratios and total public university
28 employee to student ratios.

29 (vii) Teaching load by faculty classification.



(viii) Graduation outcome rates, including employment and continuing education.

(i) An icon badge that provides statewide consistency and public visibility. For this purpose, public universities shall use the icon badge provided by the department of technology, management, and budget consistent with the icon badge developed by the department of education for K-12 school districts. It must appear on the front of each public university's homepage. The size of the icon may be reduced to 150 x 150 pixels. The font size and style for this reporting must be consistent with other documents on each public university's website.

(j) A collection and report of the number and percentage of all enrolled students who complete the Free Application for Federal Student Aid, broken out by undergraduate and graduate/professional classifications, reported to the center and posted on its website under the budget transparency icon badge.

(k) The name of the current president, the names of the city and state where the president currently resides, and the president's annual salary.

(l) A list of severance payments and the amounts of those payments made to former employees of the university.

(5) No later than **the first business day of** November ~~1~~**of** each year, a public university shall develop, maintain, and update a "campus safety information and resources" link, prominently displayed on the homepage of its website, to a section of its website containing, at a minimum, all of the following information:

(a) Emergency contact numbers for police, fire, health, and other services.

(b) Hours, locations, telephone numbers, and email contacts



1 for campus public safety offices and title IX offices.

2 (c) A list of safety and security services provided by the
3 public university, including transportation, escort services,
4 building surveillance, anonymous tip lines, and other available
5 security services.

6 (d) The public university's policies applicable to minors on
7 university property.

8 (e) A directory of resources available at the public
9 university or surrounding community for students or employees who
10 are survivors of sexual assault or sexual abuse.

11 (f) An electronic copy of "A Resource Handbook for Campus
12 Sexual Assault Survivors, Friends and Family", published in 2018.

13 (g) Campus security policies and crime statistics pursuant to
14 the student right-to-know and campus security act, Public Law 101-
15 542, 104 Stat 2381. Information must include all material prepared
16 pursuant to the public information reporting requirements under the
17 crime awareness and campus security act of 1990, title II of the
18 student right-to-know and campus security act, Public Law 101-542,
19 104 Stat 2381.

20 **(6) Each public university shall certify to the state budget**
21 **director by the first business day of November of each year that it**
22 **complies with all of the following requirements:**

23 **(a) The public university participates in reverse transfer**
24 **agreements described in section 286 with at least 3 community**
25 **colleges in this state.**

26 **(b) The public university does not and will not apply any of**
27 **the following criteria when determining whether credits earned**
28 **outside the public university by a student count toward a degree or**
29 **certificate program offered by the public university:**



1 (i) Whether the credits were earned in a dual enrollment
 2 program that counted the credits toward high school graduation
 3 requirements.

4 (ii) Whether the credits were earned in a course that was
 5 delivered in a high school classroom, community college classroom
 6 or campus, or another location.

7 (iii) Whether the credits were earned in a course that was
 8 delivered online, in person, or hybrid.

9 (iv) Whether other students enrolled in the course in which the
 10 credits were earned were enrolled in high school or counted the
 11 course toward high school graduation requirements.

12 (c) The public university actively participates in and submits
 13 timely updates to the Michigan Transfer Network created as part of
 14 the Michigan Association of Collegiate Registrars and Admissions
 15 Officers transfer agreement.

16 Sec. 241b. (1) No later than **the first business day of**
 17 November ~~1~~**of** each year, each public university that receives an
 18 appropriation in section 236 shall report its annual security
 19 report, also known as the Clery Act Report, as required under 20
 20 USC 1092(f). Each public university shall include a title IX
 21 summary report that includes all of the following information:

22 (a) The amounts and descriptions of all fees incurred in title
 23 IX-related civil and criminal litigation.

24 (b) The number of title IX complaints.

25 (c) The average length of time for investigation and
 26 resolution of title IX complaints.

27 (d) The aggregate number of title IX cases, investigations,
 28 and complaints for each of the categories described in
 29 subparagraphs (i) to (v), subject to subparagraph (vi), as follows:



1 (i) Cases investigated for less than 15 days.

2 (ii) Cases investigated for at least 15 days and less than 30
3 days.

4 (iii) Cases investigated for at least 30 days and less than 60
5 days.

6 (iv) Cases investigated for at least 60 days and less than 90
7 days.

8 (v) Cases investigated for 90 days or more.

9 (vi) If, for any category of cases under subparagraphs (i) to
10 (v), there is an aggregate of fewer than 5 cases investigated, the
11 public university shall not report the aggregate number of cases
12 and instead shall report that fewer than 5 cases were investigated.

13 (e) The number of title IX appeals and the resolutions of
14 those appeals.

15 (f) The number of title IX-related complaints filed by the
16 public university with law enforcement agencies.

17 (2) No later than **the first business day of** November ~~1~~**of** each
18 year, each public university that receives an appropriation in
19 section 236 shall certify all of the following:

20 (a) The public university complies with federal regulations
21 under title IX, as required by the United States Department of
22 Education, including, but not limited to, the following:

23 (i) Use of medical experts that do not have an actual or
24 apparent conflict of interest.

25 (ii) Issuance of title IX reports to complainants and
26 respondents that are not divergent.

27 (iii) Notification of resources to each individual who reports
28 having experienced sexual assault by a public university member.

29 (iv) Consistent annual training for title IX staff and law



1 enforcement.

2 (b) The public university provides both of the following:

3 (i) An in-person sexual misconduct prevention presentation or
4 course for all freshman and incoming transfer students, which must
5 include contact information for the title IX office of the public
6 university. For a student who does not have any in-person credit
7 hours on campus, the university may provide the presentation or
8 course electronically.

9 (ii) An online or electronic sexual misconduct prevention
10 presentation or course for all students not considered freshmen or
11 incoming transfer students.

12 (c) The public university had a third party review its title
13 IX compliance office and related policies and procedures by the end
14 of the 2018-2019 academic year. A copy of the third-party review
15 must be transmitted to the state budget director, the house and
16 senate appropriations subcommittees on higher education, and the
17 house and senate fiscal agencies. Each public university shall have
18 a third-party review once every 4 years and a copy of the third-
19 party review must be transmitted to the state budget director, the
20 house and senate appropriations subcommittees on higher education,
21 and the house and senate fiscal agencies.

22 (d) The public university requires that the governing board
23 and the president or chancellor of the public university receive
24 quarterly reports from their title IX coordinator or title IX
25 office. The report must contain aggregated data of the number of
26 sexual misconduct reports that the office received for the academic
27 year, the types of reports received, including reports received
28 against employees, and a summary of the general outcomes of the
29 reports and investigations. A member of the governing board may



1 request to review a title IX investigation report involving a
 2 complaint against an employee, and the public university shall
 3 provide the report in a manner it considers appropriate. The public
 4 university shall protect the complainant's anonymity, and the
 5 report must not contain specific identifying information.

6 (e) If allegations against an employee are made in more than 1
 7 title IX complaint that resulted in the public university finding
 8 that no misconduct occurred, the public university requires that
 9 the title IX officer promptly notify the president or chancellor
 10 and a member of the public university's governing board in writing
 11 and take all appropriate steps to ensure that the matter is being
 12 investigated thoroughly, including hiring an outside investigator
 13 for future cases involving that employee. A third-party title IX
 14 investigation under this subdivision does not prohibit the public
 15 university from simultaneously conducting its own title IX
 16 investigation through its own title IX coordinator.

17 (f) The public university's president or chancellor and a
 18 member of its governing board has reviewed all title IX reports
 19 involving the alleged sexual misconduct of an employee of the
 20 public university.

21 (3) As used in this section, "sexual misconduct" includes, but
 22 is not limited to, intimate partner violence, nonconsensual sexual
 23 conduct, sexual assault, sexual exploitation, sexual harassment,
 24 and stalking.

25 Sec. 241c. (1) No later than the ~~first~~**last** business day of
 26 ~~November~~**August** of each year, each public university that receives
 27 an appropriation in section 236 shall submit the amount of tuition
 28 and fees actually charged to a full-time resident undergraduate
 29 student for academic year ~~2025-2026~~**2026-2027** as part of the public



1 university's higher education institutional data inventory (HEIDI)
 2 data. A public university shall report any revisions for any
 3 semester of the reported academic year to HEIDI within 15 days of
 4 being adopted.

5 (2) Payments under section 236d must be made only to a public
 6 university that ~~certifies~~ **provides the following certifications** to
 7 the state budget director by the ~~first~~ **last** business day of
 8 ~~November~~ **August of** each year: ~~that its board did not adopt an~~
 9 ~~increase in tuition and fee rates for resident undergraduate~~
 10 ~~students after September 1, 2024 for the 2024-2025 academic year~~
 11 ~~and that its board will not adopt an increase in tuition and fee~~
 12 ~~rates for resident undergraduate students for the 2025-2026~~
 13 ~~academic year that is greater than 4.5% or \$735.00, whichever is~~
 14 ~~greater. For the academic year 2026-2027, the tuition and fee~~
 15 ~~restraint rate for resident undergraduate students is an increase~~
 16 ~~of not greater than 4.0% or \$651.00, whichever is greater. It is~~
 17 ~~the intent of the legislature that in the next fiscal year, the~~
 18 ~~tuition and fee restraint rate will be adjusted only for the~~
 19 ~~subsequent academic year. As used in this subsection:~~

20 (a) ~~"Fee" means any board-authorized fee that will be paid by~~
 21 ~~more than 1/2 of all resident undergraduate students at least once~~
 22 ~~during their enrollment at a public university, as described in the~~
 23 ~~higher education institutional data inventory (HEIDI) user manual.~~
 24 ~~A public university increasing a fee that applies to a specific~~
 25 ~~subset of students or courses shall provide sufficient information~~
 26 ~~to prove that the increase applied to that subset will not cause~~
 27 ~~the increase in the average amount of board-authorized total~~
 28 ~~tuition and fees paid by resident undergraduate students in the~~
 29 ~~academic year to exceed the limit established in this subsection.~~



~~(b) "Tuition and fee rate" means the average of full-time rates paid by a majority of students in each undergraduate class, based on an unweighted average of the rates authorized by the public university board and actually charged to students, deducting any uniformly rebated or refunded amounts, for the 2 semesters with the highest levels of full-time equated resident undergraduate enrollment during the academic year, as described in the higher education institutional data inventory (HEIDI) user manual.~~

~~(3) Each public university shall certify to the state budget director by the first business day of November each year that it complies with all of the following requirements:~~

~~(a) The public university participates in reverse transfer agreements described in section 286 with at least 3 community colleges in this state.~~

~~(b) The public university does not and will not apply any of the following criteria when determining whether credits earned outside the public university by a student count toward a degree or certificate program offered by the public university:~~

~~(i) Whether the credits were earned in a dual enrollment program that counted the credits toward high school graduation requirements.~~

~~(ii) Whether the credits were earned in a course that was delivered in a high school classroom, community college classroom or campus, or another location.~~

~~(iii) Whether the credits were earned in a course that was delivered online, in person, or hybrid.~~

~~(iv) Whether other students enrolled in the course in which the credits were earned were enrolled in high school or counted the course toward high school graduation requirements.~~



1 ~~(c) The public university actively participates in and submits~~
2 ~~timely updates to the Michigan Transfer Network created as part of~~
3 ~~the Michigan Association of Collegiate Registrars and Admissions~~
4 ~~Officers transfer agreement.~~

5 **(a) That the university's board did not adopt an increase in**
6 **tuition and fee rates for resident undergraduate students after**
7 **September 1, 2025 for the 2025-2026 academic year and that its**
8 **board will not adopt an increase in tuition and fee rates for**
9 **resident undergraduate students for the 2026-2027 academic year**
10 **that is greater than 4.0% or \$651.00, whichever is greater. For the**
11 **academic year 2027-2028, the tuition and fee restraint rate for**
12 **resident undergraduate students is an increase of not greater than**
13 **3.5% or \$599.00, whichever is greater.**

14 **(b) For academic year 2027-2028, either of the following:**

15 **(i) That the university does not have a mandatory on-campus**
16 **housing policy reportable under section 275m.**

17 **(ii) That the university does have a mandatory on-campus**
18 **housing policy reportable under section 275m, and that it will not**
19 **adopt an increase in room and board charges that would cause the**
20 **average charge for academic year 2027-2028 relative to academic**
21 **year 2027-2028 reported under section 275m to increase by an amount**
22 **exceeding 3.5% or \$446.00, whichever is greater.**

23 **(3) ~~(4)~~ The state budget director shall implement uniform**
24 **reporting requirements to ensure that a public university receiving**
25 **a payment under section 236d has satisfied the tuition restraint**
26 **requirements of this section. The state budget director has the**
27 **sole authority to determine if a public university has met the**
28 **requirements of this section. Information reported by a public**
29 **university to the state budget director under this subsection must**



1 also be reported to the house and senate appropriations
2 subcommittees on higher education and the house and senate fiscal
3 agencies.

4 **(4) As used in this section:**

5 **(a) "Fee" means any public university board-authorized fee**
6 **that will be paid by more than 1/2 of all resident undergraduate**
7 **students at least once during their enrollment at the public**
8 **university, as described in the higher education institutional data**
9 **inventory (HEIDI) user manual. A public university increasing a fee**
10 **that applies to a specific subset of students or courses shall**
11 **provide sufficient information to prove that the increase applied**
12 **to that subset will not cause the increase in the average amount of**
13 **board-authorized total tuition and fees paid by resident**
14 **undergraduate students in the academic year to exceed the limit**
15 **established in this subsection.**

16 **(b) "Room and board charges" means 1 or more accommodations**
17 **and meal plans used by a public university to calculate the average**
18 **charge reported under section 275m(1)(c).**

19 **(c) "Tuition and fee rate" means the average of full-time**
20 **rates paid by a majority of students in each undergraduate class,**
21 **based on an unweighted average of the rates authorized by the**
22 **public university board and actually charged to students, deducting**
23 **any uniformly rebated or refunded amounts, for the 2 semesters with**
24 **the highest levels of full-time equated resident undergraduate**
25 **enrollment during the academic year, as described in the higher**
26 **education institutional data inventory (HEIDI) user manual.**

27 Sec. 241e. (1) Payments under section ~~236 for operations~~
28 ~~increase-236d~~ must be made only to a public university that
29 certifies to the ~~state budget director~~ **of the department of**



1 **lifelong education, advancement, and potential, or the director's**
 2 **designee,** by the last business day of August **of** each year that it
 3 complies with the following:

4 ~~(a) The institutional best practice described in subdivision~~
 5 ~~(e).~~

6 ~~(b) One or more of the institutional best practices described~~
 7 ~~in subdivisions (d) to (g).~~

8 **(a)** ~~(e)~~ The public university accepts the Michigan Transfer
 9 Agreement, partners with the Michigan Transfer Network, and
 10 promotes clear transfer pathways for interested students by doing
 11 all of the following:

12 (i) Has a policy to help transfer or accept associate degrees
 13 from other accredited Michigan postsecondary education
 14 institutions.

15 (ii) Publishes the policy described in subparagraph (i) on the
 16 institution's website in an easily accessible way and in admissions
 17 materials.

18 (iii) Provides publicly available information on the Michigan
 19 Transfer Network, applicable transfer pathways, and financial aid
 20 available to transfer students, at no cost to the student.

21 (iv) Begins negotiations to increase the number of reverse
 22 transfer agreements or articulation agreements and reports on the
 23 progress toward completing the agreements to the state budget
 24 director by the last business day in February.

25 **(b)** ~~(d)~~ The public university requires all students to receive
 26 an academic degree or certificate map that outlines required course
 27 sequencing, program and institution requirements, declared minor
 28 program academic requirements, and a recommended timeline within
 29 which courses should be taken and in which specific semester or

1 term in order to satisfy all program requirements to allow the
2 student to graduate on time.

3 **(c)** ~~(e)~~—The public university provides non-credit-bearing
4 developmental or remedial courses at a reduced cost to students.

5 **(d)** ~~(f)~~—The public university provides each degree- or
6 certificate-seeking student with a designated, trained academic
7 advisor to support student retention, persistence, and completion.
8 The public university shall require students to meet with their
9 academic advisor at least once per semester or term.

10 **(e)** ~~(g)~~—The public university provides employees during
11 business hours to assist prospective and current students complete
12 the Free Application for Federal Student Aid.

13 **(f)** The public university has adopted a corequisite model of
14 academic support for gateway English and mathematics courses in
15 which a student concurrently enrolls in a developmental education
16 course and a gateway-level course in a subject area where the
17 student requires remediation. The public university must ensure
18 that not more than 10% of students assessed as being in need of
19 developmental or remedial learning participate in a non-co-
20 requisite developmental or remedial course.

21 **(g)** The public university has a policy and process for
22 assessing prior learning and knowledge that aligns with a student's
23 academic program and other required coursework. The policy must
24 include the opportunity for a student to earn credit toward a
25 degree or certificate, must be available to all students at no cost
26 to the student, and must be easily accessible on the public
27 university's website and in admissions materials.

28 **(2)** The ~~state budget~~ director of the department of lifelong
29 education, advancement, and potential, or the director's designee,



1 shall implement uniform reporting requirements to ensure that a
 2 public university receiving a payment under section ~~236~~ for
 3 ~~operations increase~~ **236d** has satisfied the institutional best
 4 practices requirements of this section. The ~~state budget~~ director
 5 **of the department of lifelong education, advancement, and**
 6 **potential, or the director's designee**, has the sole authority to
 7 determine if a public university has met the requirements of this
 8 section. Information reported by a public university to the ~~state~~
 9 ~~budget~~ director **of the department of lifelong education,**
 10 **advancement, and potential, or the director's designee**, under this
 11 subsection must also be reported to the house and senate
 12 appropriations subcommittees on higher education and the house and
 13 senate fiscal agencies.

14 (3) If a public university fails to comply with the
 15 certification requirements of this section, the state treasurer may
 16 withhold the monthly installments under section 241 to the public
 17 university until the report is submitted. If a public university
 18 does not comply with the certification requirements described in
 19 this section by the end of the fiscal year, the public university
 20 forfeits the amount withheld. Forfeited funds must lapse to the
 21 fund from which the funds were appropriated. The ~~state budget~~
 22 director **of the department of lifelong education, advancement, and**
 23 **potential, or the director's designee**, shall notify the chairs of
 24 the house and senate appropriations subcommittees on higher
 25 education at least 10 days before withholding funds from any public
 26 university.

27 (4) **No later than the last business day of November of each**
 28 **year, each public university that receives a payment under section**
 29 **236d must provide a report to the director of the department of**



lifelong education, advancement, and potential, or the director's designee, that includes the following information for the prior academic year:

(a) College persistence for on-time completion defined by 30 credits completed for every 12 consecutive months of enrollment for certificate- or degree-seeking students.

(b) College completion defined by certificate or degree conferral.

Sec. 247. (1) The funds appropriated in section 236 for Michigan reconnect must be distributed and administered by the department of lifelong education, advancement, and potential pursuant to the Michigan reconnect grant act, 2020 PA 84, MCL 390.1701 to 390.1709, the Michigan reconnect grant recipient act, 2020 PA 68, MCL 390.1711 to 390.1723, and the department's administrative procedures for Michigan reconnect.

(2) For fiscal year ~~2025-2026~~**2026-2027** only, the department of lifelong education, advancement, and potential may use the funds appropriated in section 236 for Michigan reconnect to support students who are receiving awards under the temporary "ARP - Michigan reconnect expansion to 21" program described in 2023 PA 119.

Sec. 248. (1) The funds appropriated in section 236 for Michigan achievement scholarships must be distributed as provided in this section and section 248a, pursuant to the administrative procedures for Michigan achievement scholarships of the department.

(2) As used in this section:

(a) "Cost of attendance" means expenses for a student's tuition, mandatory fees, and contact hours for the student's actual program of study; books, supplies, and equipment required for



1 courses of instruction; housing and food costs; transportation
2 expenses; federal student loan fees; miscellaneous expenses,
3 including a reasonable amount for the documented cost of a personal
4 computer, allowance for child care, or allowance for other
5 dependent care; costs related to a disability; costs of obtaining a
6 license, certification, or first professional credential; and
7 reasonable costs for study abroad programs.

8 (b) "Department" means the department of lifelong education,
9 advancement, and potential.

10 (c) "Eligible institution" means a public university that
11 receives an appropriation in section 236, a community college that
12 receives an appropriation in section 201, a federally recognized
13 tribal college in this state, or an independent nonprofit college
14 or university in this state as described in section 1 of 1966 PA
15 313, MCL 390.991.

16 (d) "Gift aid" includes federal Pell grants under 20 USC
17 1070a, tuition incentive program benefits under section 256, state
18 tuition grants under section 252, awards received for minimum
19 payments awarded in subsection (4), higher education expenses paid
20 under the Michigan promise zone authority act, 2008 PA 549, MCL
21 390.1661 to 390.1679, and all other federal, state, local, or
22 institutional aid in the form of grants, scholarships, or discounts
23 applied toward tuition and mandatory fees. Gift aid does not
24 include student loans, work-study awards, qualified withdrawals
25 made from education savings accounts to pay higher education
26 expenses pursuant to the Michigan education savings program act,
27 2000 PA 161, MCL 390.1471 to 390.1486, or higher education expenses
28 paid under the Michigan education trust program pursuant to the
29 Michigan education trust act, 1986 PA 316, MCL 390.1421 to



1 390.1442.

2 (e) "High school equivalency certificate" means that term as
3 defined in section 4.

4 (f) "Last-dollar payment amount" means 1 of the following:

5 (i) For a student attending a community college or federally
6 recognized tribal college, an amount equal to the student's
7 tuition, mandatory fees, and contact hours for the student's actual
8 program of study, minus all gift aid received by the student.

9 (ii) For a student attending a public university or an
10 independent nonprofit college or university, or for a student
11 enrolled in a baccalaureate degree program described in section 121
12 of the community college act of 1966, 1966 PA 331, MCL 389.121, an
13 amount equal to the student's individual cost of attendance, minus
14 all gift aid received by the student.

15 (g) "Minimum payment" means a payment for any eligible cost
16 within the student's individual cost of attendance. The minimum
17 payment must be awarded as a separate payment not included in the
18 student's need-based financial aid. The minimum payment must not be
19 reduced.

20 (h) "SAI eligible student" means a student who has completed
21 the Free Application for Federal Student Aid and meets at least 1
22 of the following:

23 (i) For awards made during academic year 2023-2024, has an
24 expected family contribution of \$25,000.00 or less. An individual
25 is considered to have met the requirements of subsection (4) if the
26 individual received the Michigan achievement scholarship in
27 academic year 2023-2024, was determined to have an expected family
28 contribution of \$25,000.00 or less in academic year 2023-2024, and
29 has completed the Free Application for Federal Student Aid for the



1 subsequent award cycles.

2 (ii) For awards made during academic year 2024-2025 or a
3 subsequent academic year, has completed the Free Application for
4 Federal Student Aid and has a student aid index number of 1 of the
5 following, as applicable:

6 (A) For a student indicating on the student's Free Application
7 for Federal Student Aid that the student is the only member of the
8 student's household or the student's parents' household attending a
9 postsecondary institution during that academic year, \$30,000.00 or
10 less.

11 (B) For a student indicating on the student's Free Application
12 for Federal Student Aid that the student is not the only member of
13 the student's household or the student's parents' household
14 attending a postsecondary institution during that academic year,
15 the greater of the number described in sub-subparagraph (A) or
16 guidance determined by the department. For the purposes of this
17 sub-subparagraph, the department, in collaboration with the state
18 budget office and the house and senate fiscal agencies, may
19 calculate a student aid index number or may issue administrative
20 guidance for the student aid index eligibility of students with
21 more than 1 member of the student's household or the student's
22 parents' household attending a postsecondary institution during
23 that academic year. It is intended that the utilization of a
24 student aid index instead of expected family contribution does not
25 adversely impact the eligibility of students with multiple members
26 of the student's household or student's parents' household
27 attending postsecondary institutions. It is further intended that
28 the legislature and executive branch work collaboratively to use
29 Michigan achievement scholarship uptake and other relevant data to



1 establish a more permanent measure of financial need for the
2 Michigan achievement scholarship for subsequent academic years.

3 (3) An individual must meet all of the following criteria each
4 year to be eligible for a Michigan achievement scholarship awarded
5 under this section:

6 (a) Maintain residency in this state, as determined for
7 purposes of the Free Application for Federal Student Aid.

8 (b) Have graduated from high school in this state with a
9 diploma or certificate of completion or achieved a high school
10 equivalency certificate in 2023 or after.

11 (c) Be a full-time undergraduate student at an eligible
12 institution, as defined by that eligible institution, and be a
13 first-time enrollee in an eligible institution during the 2023-2024
14 academic year, or a subsequent academic year, within ~~15~~**24** months
15 after high school graduation or attainment of a high school
16 equivalency certificate or have received a Michigan achievement
17 scholarship in a previous academic year. For the purposes of this
18 subdivision, participation in a dual enrollment, early college, or
19 other similar program while attending high school does not
20 disqualify a student from being considered a first-time enrollee.

21 (d) Maintain satisfactory academic progress, as defined by the
22 eligible institution in which the student is enrolled.

23 (e) Not be in default on a federal student loan.

24 (f) Apply for all available gift aid for each academic year in
25 which the individual applies for a Michigan achievement
26 scholarship.

27 (g) For a student who is enrolled at an eligible institution
28 that is a public university or an independent nonprofit college or
29 university, or who is enrolled in a baccalaureate degree program



1 described in section 121 of the community college act of 1966, 1966
2 PA 331, MCL 389.121, at an eligible institution, be an SAI eligible
3 student.

4 (4) The amount awarded to an eligible student at an eligible
5 institution must equal 1 of the following, as applicable:

6 (a) The amount awarded to an eligible student who is enrolled
7 at an eligible institution that is a community college or federally
8 recognized tribal college where the student is eligible for that
9 institution's in-district tuition rate must be equal to the sum of
10 the last-dollar payment amount. The amount awarded to an eligible
11 student who is eligible for a federal Pell grant under 20 USC 1070a
12 must include an additional amount of \$1,000.00.

13 (b) The amount awarded to an eligible student who is enrolled
14 at an eligible institution that is a community college or federally
15 recognized tribal college where the student is not eligible for
16 that institution's in-district tuition rate must be the lesser of
17 the last-dollar payment amount, or the in-district tuition rate.
18 The amount awarded to an eligible student who is eligible for a
19 federal Pell grant under 20 USC 1070a must include an additional
20 amount of \$1,000.00.

21 (c) The amount awarded to an eligible student who is enrolled
22 at an eligible institution that is a public university or is
23 enrolled in a baccalaureate degree program described in section 121
24 of the community college act of 1966, 1966 PA 331, MCL 389.121, at
25 an eligible institution must equal the sum of following:

26 (i) A minimum payment of \$2,500.00.

27 (ii) The lesser of \$3,000.00 or the student's last-dollar
28 payment amount.

29 (d) The amount awarded to an eligible student at an eligible



1 institution that is an independent nonprofit college or university
2 must equal the sum of the following:

3 (i) A minimum payment of \$2,500.00.

4 (ii) The lesser of \$3,000.00 or the student's last-dollar
5 payment amount.

6 (e) Money awarded under this subsection for a Michigan
7 achievement scholarship must be paid to the eligible institution
8 for credit to the student's account.

9 (5) Subject to section 248a(3)(f)(i), an eligible student may
10 receive a Michigan achievement scholarship award under this section
11 or section 248a for a maximum of 5 academic years, not more than 3
12 of which may be for attending eligible institutions that are
13 community colleges or federally recognized tribal colleges unless
14 the student is enrolled in a baccalaureate degree program described
15 in section 121 of the community college act of 1966, 1966 PA 331,
16 MCL 389.121. A student may not receive an award under this section
17 and section 248a(3)(f)(i) during the same academic year.

18 (6) The department shall work closely with participating
19 institutions to provide the highest level of participation and
20 ensure that all requirements of the program are met.

21 ~~(7) From the funds appropriated in section 236(7) for the~~
22 ~~Michigan achievement scholarships, the department may not use more~~
23 ~~than \$10,000,000.00 for the purposes of outreach programs to raise~~
24 ~~awareness of the Michigan achievement scholarship described in this~~
25 ~~section and section 248a and shall ensure that Michigan achievement~~
26 ~~scholarships are well publicized and that high school students are~~
27 ~~provided information on the program. The department may receive and~~
28 ~~expend funds received from outside sources for scholarships,~~
29 ~~marketing, or other purposes related to the Michigan achievement~~



~~scholarship. The department shall provide the necessary funding and staff to fully operate the program.~~

(7) ~~(8)~~ The department shall convene a workgroup to consider and advise the department on implementing policies for administering the Michigan achievement scholarship. The workgroup shall include participation from the Michigan Association of State Universities and its institutional members, the Michigan College Access Network, the Michigan Community College Association and its institutional members, the Michigan Independent Colleges and Universities and its institutional members, and any other interested stakeholders and offices as determined by the department. The workgroup shall make recommendations on packaging order, packaging structure, definitions of terms not otherwise defined in statute, and other administrative regulatory requirements as necessary to implement the Michigan achievement scholarship.

(8) ~~(9)~~ The following reporting obligations apply to the Michigan achievement scholarship program:

(a) By February 15 of each year, the department shall provide a written report, organized by eligible institution, to the house and senate appropriations subcommittees on higher education, the house and senate fiscal agencies, and the state budget director that includes the following information for the previous academic year:

(i) The number of students who qualified for a Michigan achievement scholarship.

(ii) The number of students who received a Michigan achievement scholarship.

(iii) The average number of credits earned by students who



1 received a Michigan achievement scholarship.

2 (iv) The number of Michigan achievement scholarships that were
3 canceled due to failure to maintain satisfactory academic progress
4 as described in subsection (3)(d).

5 (v) The number of Michigan achievement scholarships that were
6 canceled due to a student ceasing attendance at an eligible
7 institution. The number must not include any known transfers to
8 another eligible institution.

9 (vi) The number of Michigan achievement scholarships that were
10 canceled due to a student's failure to maintain full-time status.

11 (vii) The average Michigan achievement scholarship award per
12 student, delineated by sector, including community colleges, tribal
13 colleges, public universities, independent colleges and
14 universities, and training institutions. As used in this
15 subparagraph, "training institutions" means training institutions
16 accepted to participate in the Michigan achievement scholarship
17 program under section 248a.

18 (b) Each eligible institution whose students receive awards
19 under this section shall cooperate with the department in a timely
20 manner to facilitate the creation of the report under subdivision
21 (a).

22 **(9)** ~~(10)~~ By April 1 of each year, each eligible institution
23 shall submit a report to the department, the state budget office,
24 and the house and senate fiscal agencies providing information as
25 to the average amount of institutional grant aid awarded to full-
26 time first-time undergraduate students for the immediately
27 preceding 2 institution fiscal years. If the average amount of
28 institutional grant aid awarded to full-time first-time
29 undergraduate students in fiscal year ~~2024-2025~~ **2025-2026** is less



1 than the average amount of institutional grant aid awarded to full-
2 time first-time undergraduate students in fiscal year ~~2023-2024,~~
3 **2024-2025**, the institution shall include in the report a
4 description of any changes to the institutional financial aid
5 during the 2 immediately preceding fiscal years. An institution's
6 report of the average amount of institutional grant aid awarded to
7 full-time first-time undergraduate students pursuant to this
8 subsection must be consistent with data most recently reported to
9 the Integrated Postsecondary Education Data System.

10 **(10)** ~~(11)~~ For each fiscal year, an eligible institution shall
11 maintain and report its compliance with the following tuition
12 restraint requirements, as applicable:

13 (a) For an eligible institution that is a community college,
14 the tuition restraint described in section 217b.

15 (b) For an eligible institution that is a public university or
16 independent nonprofit college or university, the tuition restraint
17 described in section 241c.

18 **(11)** ~~(12)~~ The state budget director shall implement reporting
19 requirements to ensure that an eligible institution has satisfied
20 the tuition restraint requirements of this section. The state
21 budget director has the sole authority to determine if an eligible
22 institution has met the requirements of this section.

23 **(12)** ~~(13)~~ If an eligible institution exceeds the applicable
24 tuition restraint level for 2 consecutive years, the state budget
25 director may consider the institution ineligible for funding under
26 this section in the subsequent academic year.

27 **(13)** ~~(14)~~ If an institution is considered ineligible for
28 funding under this section, the state budget director shall
29 reevaluate the status of the ineligible institution after 1



1 academic year.

2 **(14)** ~~(15)~~ It is the intent of the legislature that an eligible
3 institution will not make reductive changes to scholarship or
4 financial aid programs offered by that eligible institution that
5 have the goal or net effect of shifting the cost burden of those
6 programs to the program described in this section.

7 Sec. 254. ~~The~~ **Subject to sections 217g and 275l,** the sums
8 appropriated in sections 236 and 236e for the state competitive
9 scholarship, tuition incentive, tuition grant, Michigan reconnect,
10 and Michigan achievement scholarship programs must be paid out of
11 the state treasury and must be distributed to the respective
12 institutions under a quarterly payment system as follows:

13 (a) For the state competitive scholarship and tuition grant
14 programs, 50% must be paid at the beginning of the state's first
15 fiscal quarter, 30% during the state's second fiscal quarter, 10%
16 during the state's third fiscal quarter, and 10% during the state's
17 fourth fiscal quarter.

18 (b) For the tuition incentive program, Michigan reconnect, and
19 Michigan achievement scholarship, 65% must be paid at the beginning
20 of the state's first fiscal quarter, and 35% during the state's
21 second fiscal quarter.

22 Sec. 256. (1) The funds appropriated in section 236 for the
23 tuition incentive program must be distributed as provided in this
24 section and pursuant to the administrative procedures for the
25 tuition incentive program of the department of lifelong education,
26 advancement, and potential.

27 (2) As used in this section:

28 (a) "Phase I" means the first part of the tuition incentive
29 program defined as the academic period of 80 semester or 120 term



1 credits, or less, leading to an associate degree or certificate.
2 Students must be enrolled in a certificate or associate degree
3 program and taking classes within the program of study for a
4 certificate or associate degree. Tuition will not be covered for
5 courses outside of a certificate or associate degree program.

6 (b) "Phase II" means the second part of the tuition incentive
7 program that provides assistance in the third and fourth year of 4-
8 year degree programs.

9 (c) "Department" means the department of lifelong education,
10 advancement, and potential.

11 (d) "High school equivalency certificate" means that term as
12 defined in section 4.

13 (3) An individual must meet the following basic criteria and
14 financial thresholds to be eligible for tuition incentive program
15 benefits:

16 (a) To be eligible for phase I, an individual must meet all of
17 the following criteria:

18 (i) Be less than 20 years of age at the time the individual
19 graduates from high school with a diploma or certificate of
20 completion or achieves a high school equivalency certificate or,
21 for students attending a 5-year middle college approved by the
22 Michigan department of education, be less than 21 years of age when
23 the individual graduates from high school, **or be considered a**
24 **special education pupil at the time the individual graduated from**
25 **high school as described in section 6(4) (l) (i) .**

26 (ii) Be a United States citizen and maintain residency in this
27 state, as determined for purposes of the Free Application for
28 Federal Student Aid.

29 (iii) Be at least a half-time student, earning less than 80



1 semester or 120 term credits at a participating educational
2 institution within 4 years of high school graduation or achievement
3 of a high school equivalency certificate. All program eligibility
4 expires 10 years after initial enrollment at a participating
5 educational institution.

6 (iv) Meet the satisfactory academic progress policy of the
7 educational institution attended by the individual.

8 (b) To be eligible for phase II, an individual must meet
9 either of the following criteria in addition to the criteria in
10 subdivision (a):

11 (i) Complete at least 56 transferable semester or 84
12 transferable term credits.

13 (ii) Obtain an associate degree or certificate at a
14 participating institution.

15 (c) To be eligible for phase I or phase II, an individual must
16 be financially eligible as determined by the department. An
17 individual is financially eligible for the tuition incentive
18 program if the individual was eligible for Medicaid from this state
19 for 24 months within any 36 months prior to completion of high
20 school or achievement of a high school equivalency certificate. The
21 department shall accept certification of Medicaid eligibility only
22 from the department of health and human services for the purposes
23 of verifying if a person is Medicaid eligible for 24 months within
24 any 36 months prior to completion of high school or achievement of
25 a high school equivalency certificate. Certification of eligibility
26 may begin in the sixth grade.

27 (4) For phase I, the department shall provide payment on
28 behalf of a person eligible under subsection (3). The department
29 shall only accept standard per-credit hour tuition billings and



1 shall reject billings that are excessive or outside the guidelines
2 for the type of educational institution.

3 (5) For phase I, all of the following apply:

4 (a) Payments for associate degree or certificate programs must
5 not be made for more than 80 semester or 120 term credits for any
6 individual student at any participating institution. The department
7 shall not do either of the following:

8 (i) Adopt or apply any total semester-credit or term-credit
9 maximum that is less than the 80 semester-credit or 120 term-credit
10 maximum provided in this subdivision.

11 (ii) Adopt or apply any per-semester or per-term credit maximum
12 for a student whose semester-credit or term-credit load will not
13 result in exceeding the total 80 semester-credit or 120 term-credit
14 maximum provided in this subdivision.

15 (b) For persons enrolled at a Michigan community college, the
16 department shall pay the current in-district tuition and mandatory
17 fees. For persons residing in an area that is not included in any
18 community college district, the out-of-district tuition rate may be
19 authorized.

20 (c) For persons enrolled at a Michigan public university, the
21 department shall pay ~~lower division resident tuition and mandatory~~
22 ~~fees for the current year.~~ **1 of the following, as applicable:**

23 **(i) For awards made during academic year 2026-2027, or a prior**
24 **academic year, lower division resident tuition and mandatory fees**
25 **for the current year.**

26 **(ii) For awards made during academic year 2027-2028 or a**
27 **subsequent academic year, mandatory fees for the current year and a**
28 **per-credit payment that does not exceed 2.5 times the average**
29 **community college in-district per-credit tuition rate as reported**



1 **by the last business day of August for the immediately preceding**
2 **academic year.**

3 (d) For persons enrolled at a Michigan independent, nonprofit
4 degree-granting college or university or a Michigan federal
5 tribally controlled community college, the department shall pay
6 mandatory fees for the current year and a per-credit payment that
7 does not exceed the average community college in-district per-
8 credit tuition rate as reported by the last business day of August
9 for the immediately preceding academic year.

10 (6) A person participating in phase II may be eligible for
11 additional funds not to exceed \$500.00 per semester or \$400.00 per
12 term up to a maximum of \$2,000.00 subject to the following
13 conditions:

14 (a) Credits are earned in a 4-year program at a Michigan
15 degree-granting 4-year college or university.

16 (b) The tuition reimbursement is for coursework completed
17 within 30 months of completion of the phase I requirements.

18 (7) The department shall work closely with participating
19 institutions to provide the highest level of participation and
20 ensure that all requirements of the program are met.

21 (8) The department shall notify students in an age-appropriate
22 manner of their financial eligibility for the program any time
23 after the student begins sixth grade.

24 (9) Except as otherwise provided in sections 13(c) and 17 of
25 the Michigan reconnect grant recipient act, 2020 PA 68, MCL
26 390.1713 and 390.1717, each institution shall ensure that all known
27 available restricted grants for tuition and fees are used before
28 billing the tuition incentive program for any portion of a
29 student's tuition and fees.



1 (10) The department shall ensure that the tuition incentive
2 program is well publicized and that eligible Medicaid clients are
3 provided information on the program. The department shall provide
4 the necessary funding and staff to fully operate the program.

5 (11) The department shall collaborate with the center to use
6 the P-20 longitudinal data system to report the following
7 information for each qualified postsecondary institution:

8 (a) The number of phase I students in the most recently
9 completed academic year who in any academic year received a tuition
10 incentive program award and who successfully completed a degree or
11 certificate program. Cohort graduation rates for phase I students
12 must be calculated using the established success rate methodology
13 developed by the center in collaboration with the postsecondary
14 institutions.

15 (b) The number of students in the most recently completed
16 academic year who in any academic year received a Pell grant at the
17 reporting institution and who successfully completed a degree or
18 certificate program. Cohort graduation rates for students who
19 received Pell grants must be calculated using the established
20 success rate methodology developed by the center in collaboration
21 with the postsecondary institutions.

22 (12) If a qualified postsecondary institution does not report
23 the data necessary to complete the reporting in subsection (11) to
24 the P-20 longitudinal data system by October 15 for the prior
25 academic year, the department shall not award phase I tuition
26 incentive program funding to otherwise eligible students enrolled
27 in that institution until the data are submitted.

28 Sec. 263. (1) Included in the appropriation in section 236 for
29 fiscal year ~~2025-2026~~**2026-2027** for MSU AgBioResearch is



\$2,982,900.00 and included in the appropriation in section 236 for MSU Extension is \$2,645,200.00 for Project GREEN. Project GREEN is intended to address critical regulatory, food safety, economic, and environmental problems faced by this state's plant-based agriculture, forestry, and processing industries. "GREEN" is an acronym for Generating Research and Extension to Meet Environmental and Economic Needs.

(2) The department of agriculture and rural development and Michigan State University, in consultation with agricultural commodity groups and other interested parties, shall develop Project GREEN and its program priorities.

Sec. 263b. Included in the appropriation in section 236 for fiscal year ~~2025-2026~~**2026-2027** for MSU AgBioResearch and MSU Extension is funding for the Agricultural Climate Resiliency Program. The Agricultural Climate Resiliency Program is intended to address environmental sustainability of Michigan agriculture and promote the protection and efficient use of Michigan's water resources.

Sec. 264. Included in the appropriation in section 236 for fiscal year ~~2025-2026~~**2026-2027** for Michigan State University is \$80,000.00 for the Michigan Future Farmers of America Association. This \$80,000.00 allocation must not supplant any existing support that Michigan State University provides to the Michigan Future Farmers of America Association.

Sec. 268. (1) For the fiscal year ending September 30, ~~2026~~**2027**, it is the intent of the legislature that funds be allocated for unfunded North American Indian tuition waiver costs incurred by public universities under 1976 PA 174, MCL 390.1251 to 390.1253, from the general fund.



(2) By January 15 of each year, the department of lifelong education, advancement, and potential shall annually submit to the state budget director, the house and senate appropriations subcommittees on higher education, and the house and senate fiscal agencies a report on North American Indian tuition waivers for the preceding academic year that includes, but is not limited to, all of the following information:

(a) The number of waiver applications received and the number of waiver applications approved.

(b) For each public university submitting information under subsection (3), all of the following:

(i) The number of graduate and undergraduate ~~North American Indian~~ **Native American** students enrolled each term for the previous academic year.

(ii) The number of North American Indian waivers granted each term, including to continuing education students, and the monetary value of the waivers ~~for~~ **granted each term of** the previous academic year.

(iii) The number of ~~North American Indian~~ **Native American** students who receive a granted waiver for the previous academic year.

(iv) The number of graduate and undergraduate students attending under a North American Indian tuition waiver who withdrew from the public university each term during the previous academic year. For purposes of this subparagraph, a withdrawal occurs when a student who has been awarded the waiver withdraws from the institution at any point during the term, regardless of enrollment in subsequent terms.

(v) The number of graduate and undergraduate students



1 attending under a North American Indian tuition waiver who
 2 successfully transfer to a 4-year public or private university, or
 3 complete a degree or certificate program, separated by degree or
 4 certificate level, and the graduation rate for graduate and
 5 undergraduate students attending under a North American Indian
 6 tuition waiver who complete a degree or certificate within 150% of
 7 the normal time to complete, separated by the level of the degree
 8 or certificate.

9 (3) By January 1 of each year, a public university that
 10 receives an appropriation in section 236, or a tribal college
 11 receiving pass-through funds under section 269, 270, or 270c, shall
 12 provide to the department of lifelong education, advancement, and
 13 potential any information necessary for preparing the report
 14 detailed in subsection (2), using guidelines and procedures
 15 developed by the department of lifelong education, advancement, and
 16 potential.

17 (4) The department of lifelong education, advancement, and
 18 potential may consolidate the report required under this section
 19 with the report required under section 223, but a consolidated
 20 report must separately identify data for public universities and
 21 data for community colleges.

22 Sec. 269. For fiscal year ~~2025-2026~~, **2026-2027**, from the
 23 amount appropriated in section 236 to Central Michigan University
 24 for costs incurred under the North American Indian tuition waiver,
 25 ~~\$80,800.00~~ **\$96,700.00** must be paid to Saginaw Chippewa Tribal
 26 College for the costs of waiving tuition for North American Indians
 27 under 1976 PA 174, MCL 390.1251 to 390.1253. It is the intent of
 28 the legislature that Saginaw Chippewa Tribal College provide the
 29 department of lifelong education, advancement, and potential the



1 necessary information for the college to be included in the report
2 required under section 268.

3 Sec. 270. For fiscal year ~~2025-2026~~, **2026-2027**, from the
4 amount appropriated in section 236 to Lake Superior State
5 University for costs incurred under the North American Indian
6 tuition waiver, ~~\$498,800.00~~ **\$465,000.00** must be paid to Bay Mills
7 Community College for the costs of waiving tuition for North
8 American Indians under 1976 PA 174, MCL 390.1251 to 390.1253. It is
9 the intent of the legislature that Bay Mills Community College
10 provide the department of lifelong education, advancement, and
11 potential the necessary information for the college to be included
12 in the report required under section 268.

13 Sec. 270c. For fiscal year ~~2025-2026~~, **2026-2027**, from the
14 amount appropriated in section 236 to Northern Michigan University
15 for costs incurred under the North American Indian tuition waiver,
16 ~~\$105,700.00~~ **\$112,200.00** is to be paid to Keweenaw Bay Ojibwa
17 Community College for the costs of waiving tuition for North
18 American Indians under 1976 PA 174, MCL 390.1251 to 390.1253. It is
19 the intent of the legislature that Keweenaw Bay Ojibwa Community
20 College provide the department of lifelong education, advancement,
21 and potential the necessary information for the community college
22 to be included in the report required under section 268.

23 **Sec. 275/. (1) Subject to subsection (2), the state treasurer**
24 **shall reduce payments made under section 254 for any public**
25 **university that is an authorizing body by an amount equal to the**
26 **difference between the amount reported under section 275k(1) (m) (i)**
27 **during the previous fiscal year and 1% times the total state school**
28 **aid received by all public school academies authorized by the**
29 **authorizing body during that fiscal year. The state treasurer may**



1 coordinate with the state budget office or any other state
2 department or agency to administer this section.

3 (2) If the calculation under subsection (1) would result in a
4 net payment under section 254 that is a negative number, the
5 payment under section 254 must be \$0.00.

6 (3) As used in this section:

7 (a) "Authorizing body" means that term as defined in section
8 501 of the revised school code, 1976 PA 451, MCL 380.501.

9 (b) "Total state school aid" means that term as used in
10 section 502 of the revised school code, 1976 PA 451, MCL 380.502.

11 Sec. 275n. A student may not receive an award under a
12 scholarship program receiving an appropriation under section 236(7)
13 under either of the following conditions:

14 (a) The student is enrolled in a program of study leading to a
15 degree in theology, divinity, or religious education.

16 (b) The student is enrolled at a college or university that
17 does not have a board-approved policy of inclusion and
18 nondiscrimination that includes race, ethnicity, citizenship,
19 color, religion, gender and gender identity, sexual orientation,
20 national origin, veteran status, ability status, or any other
21 characteristic protected under the Elliott-Larsen civil rights act,
22 1976 PA 453, MCL 37.2101 to 37.2804.

23 Sec. 275o. (1) By December 31, 2026, each public university
24 that receives an appropriation under section 236 shall produce a
25 report detailing any increases, decreases, or other substantive
26 changes to diversity, equity, and inclusion programs made after
27 January 1, 2026.

28 (2) If the report described in subsection (1) documents a
29 change that could reduce access to a diversity, equity, or

1 inclusion program for that university's students or employees, the
2 university shall also report other efforts, programs, or resources
3 that the university provides that would serve to mitigate any
4 negative consequences associated with the documented program
5 reduction.

6 Sec. 276. (1) Included in the appropriation for fiscal year
7 ~~2025-2026~~**2026-2027** for each public university in section 236 is
8 funding for the Martin Luther King, Jr. - ~~Cesar Chavez~~**Dolores**
9 **Huerta - Morris Hood Jr.** - Rosa Parks future faculty fellowship
10 program that is intended to increase the pool of academically or
11 economically disadvantaged candidates pursuing faculty or
12 administration careers in postsecondary education in this state.
13 Preference may not be given to applicants on the basis of race,
14 color, ethnicity, gender, or national origin. Institutions should
15 encourage applications from applicants who would otherwise not
16 adequately be represented in the graduate student, faculty, or
17 administration populations. Each public university shall apply the
18 percentage change applicable to every public university in the
19 calculation of appropriations in section 236 to the amount of funds
20 allocated to the future faculty fellowship program.

21 (2) Each public university shall administer the program in a
22 manner prescribed by the department of labor and economic
23 opportunity. The department of labor and economic opportunity shall
24 use a good-faith effort standard to evaluate whether a fellowship
25 is in default. All of the following apply to the program:

26 (a) By June 15 of each year, public universities shall report
27 any anticipated unexpended or unencumbered program funds to the
28 department of labor and economic opportunity. Encumbered funds are
29 those funds that were committed by a fellowship agreement that is



1 signed during the current fiscal year or administrative expenses
 2 that have been approved by the department of labor and economic
 3 opportunity.

4 (b) Before September 1 of each year, unexpended or
 5 unencumbered funds may be transferred, under the direction of the
 6 department of labor and economic opportunity, to a future faculty
 7 fellowship program at another public university to be awarded to an
 8 eligible candidate at that public university.

9 (c) Program allocations not expended or encumbered by
 10 September 30, ~~2027~~**2028** must be returned to the department of labor
 11 and economic opportunity so that those funds may lapse to the state
 12 general fund.

13 (d) Not more than 5% of each public university's allocation
 14 for the program may be used for administration of the program.

15 (e) In addition to the appropriation for fiscal year ~~2025-~~
 16 ~~2026, 2026-2027~~, any revenue received during prior fiscal years by
 17 the department of labor and economic opportunity from defaulted
 18 fellowship agreements is appropriated for the purposes originally
 19 intended.

20 Sec. 277. (1) Included in the appropriation for fiscal year
 21 ~~2025-2026~~**2026-2027** for each public university in section 236 is
 22 funding for the Martin Luther King, Jr. - ~~Cesar Chavez~~**Dolores**
 23 **Huerta - Morris Hood Jr.** - Rosa Parks college day program that is
 24 intended to introduce academically or economically disadvantaged
 25 schoolchildren to the potential of a college education in this
 26 state. Preference may not be given to participants on the basis of
 27 race, color, ethnicity, gender, or national origin. Public
 28 universities should encourage participation from those who would
 29 otherwise not adequately be represented in the student population.



(2) Individual program plans of each public university must include a budget of equal contributions from this program, the participating public university, the participating school district, and the participating independent degree-granting college. College day funds must not be expended to cover indirect costs. Not more than 20% of the university match may be attributable to indirect costs. Each public university shall apply the percentage change applicable to every public university in the calculation of appropriations in section 236 to the amount of funds allocated to the college day program.

(3) Each public university shall administer the program described in this section in a manner prescribed by the department of labor and economic opportunity.

Sec. 278. (1) Included in the appropriation for fiscal year ~~2025-2026~~**2026-2027** for each public university in section 236 is funding for the Martin Luther King, Jr. - ~~Cesar Chavez~~**Dolores Huerta - Morris Hood Jr.** - Rosa Parks select student support services program for developing academically or economically disadvantaged student retention programs for 4-year public and independent educational institutions in this state. Preference may not be given to participants on the basis of race, color, ethnicity, gender, or national origin. Institutions should encourage participation from those who would otherwise not adequately be represented in the student population.

(2) An award made under this program to any 1 institution must not be greater than \$150,000.00, must have an award period of no more than 2 years, and must be matched on a 70% state, 30% college or university basis.

(3) The department of labor and economic opportunity shall



1 administer the program described in this section.

2 Sec. 279. (1) Included in the appropriation for fiscal year
3 ~~2025-2026-2026-2027~~ for each public university in section 236 is
4 funding for the Martin Luther King, Jr. - ~~Cesar Chavez-Dolores~~
5 **Huerta - Morris Hood Jr.** - Rosa Parks college/university
6 partnership program between 4-year public and independent colleges
7 and universities and public community colleges, which is intended
8 to increase the number of academically or economically
9 disadvantaged students who transfer from community colleges into
10 baccalaureate programs in this state. Preference may not be given
11 to participants on the basis of race, color, ethnicity, gender, or
12 national origin. Institutions should encourage participation from
13 those who would otherwise not adequately be represented in the
14 transfer student population.

15 (2) The grants must be made under the program described in
16 this section to Michigan public and independent colleges and
17 universities. An award to any 1 institution must not be greater
18 than \$150,000.00, must have an award period of no more than 2
19 years, and must be matched on a 70% state, 30% college or
20 university basis.

21 (3) The department of labor and economic opportunity shall
22 administer the program described in this section.

23 Sec. 280. (1) Included in the appropriation for fiscal year
24 ~~2025-2026-2026-2027~~ for each public university in section 236 is
25 funding for the Martin Luther King, Jr. - ~~Cesar Chavez-Dolores~~
26 **Huerta - Morris Hood Jr.** - Rosa Parks visiting professors program,
27 which is intended to increase the number of instructors in the
28 classroom to provide role models for academically or economically
29 disadvantaged students. Preference may not be given to participants



on the basis of race, color, ethnicity, gender, or national origin. Public universities should encourage participation from those who would otherwise not adequately be represented in the student population.

(2) The department of labor and economic opportunity shall administer the program described in this section.

(3) The amount allocated to each public university is \$11,184.00 and is subject to an award period of no more than 2 years. Each public university receiving funds for fiscal year ~~2025-2026~~**2026-2027** under this section shall report to the department of labor and economic opportunity by April 15, ~~2026~~**2027** the amount of its unobligated and unexpended funds as of March 31, ~~2026~~**2027** and a plan to expend the remaining funds by the end of the fiscal year. The amount of funding reported as not being expended may be transferred, under the direction of the department, to another public university for use under this section.

Sec. 281. (1) Included in the appropriation for fiscal year ~~2025-2026~~**2026-2027** for each public university in section 236 is funding under the Martin Luther King, Jr. - ~~Cesar Chavez~~**Dolores Huerta - Morris Hood Jr.** - Rosa Parks initiative for the Morris Hood, Jr. educator development program, which is intended to increase the number of academically or economically disadvantaged students who enroll in and complete K-12 teacher education programs at the baccalaureate level and teach in this state. Preference may not be given to participants on the basis of race, color, ethnicity, gender, or national origin. Institutions should encourage participation from those who would otherwise not adequately be represented in the teacher education student population.



(2) The program described in this section must be administered by each state-approved teacher education institution in a manner prescribed by the department of labor and economic opportunity.

(3) Approved teacher education institutions may and are encouraged to use select student support services funding in coordination with the Morris Hood, Jr. funding to achieve the goals of the program described in this section.

Sec. 282. (1) Each institution receiving funds for fiscal year ~~2025-2026~~ **2026-2027** under section 278, 279, or 281 shall provide to the department of labor and economic opportunity by April 15, ~~2026~~ **2027** the unobligated and unexpended funds as of March 31, ~~2026-2027~~ and a plan to expend the remaining funds by the end of the fiscal year. Notwithstanding the award limitations in sections 278 and 279, the amount of funding reported as not being expended will be reallocated to the institutions that intend to expend all funding received under section 278, 279, or 281.

(2) Funds received for the purpose of administering programs under sections 278, 279, and 281 must not be used for direct financial aid or indirect financial aid. However, a public university may provide academic incentives to motivate participating students as approved by the department. As used in this subsection:

(a) "Direct financial aid" includes, but is not limited to, scholarships, payment of tuition, stipends, and work-studies.

(b) "Indirect financial aid" includes, but is not limited to, transportation, textbook allowances, child care support, and assistance with medical premiums or expenses.

Sec. 287. Not later than December 1 of each year, each public university that receives an appropriation in section 236 shall



1 **provide a report to the house and senate appropriations**
2 **subcommittees on higher education, the house and senate fiscal**
3 **agencies, and the state budget director providing an itemized cost**
4 **of attendance for full-time students attending that public**
5 **university for the current and previous 2 academic years.**

6 Enacting section 1. (1) In accordance with section 30 of
7 article IX of the state constitution of 1963, total state spending
8 on school aid under article I of the state school aid act of 1979,
9 1979 PA 94, MCL 388.1601 to 388.1772, as amended by 2025 PA 15 and
10 this amendatory act, from state sources for fiscal year 2025-2026
11 is estimated at \$18,704,213,800.00 and state appropriations for
12 school aid to be paid to local units of government for fiscal year
13 2025-2026 are estimated at \$17,433,304,100.00. In accordance with
14 section 30 of article IX of the state constitution of 1963, total
15 state spending on school aid under article I of the state school
16 aid act of 1979, 1979 PA 94, MCL 388.1601 to 388.1772, as amended
17 by this amendatory act, from state sources for fiscal year 2026-
18 2027 is estimated at \$19,617,320,800.00 and state appropriations
19 for school aid to be paid to local units of government for fiscal
20 year 2026-2027 are estimated at \$18,113,118,900.00.

21 (2) In accordance with section 30 of article IX of the state
22 constitution of 1963, total state spending from state sources for
23 community colleges for fiscal year 2026-2027 under article II of
24 the state school aid act of 1979, 1979 PA 94, MCL 388.1801 to
25 388.1830, as amended by this amendatory act, is estimated at
26 \$490,763,500.00 and the amount of that state spending from state
27 sources to be paid to local units of government for fiscal year
28 2026-2027 is estimated at \$490,763,500.00.

29 (3) In accordance with section 30 of article IX of the state



1 constitution of 1963, total state spending from state sources for
2 higher education for fiscal year 2026-2027 under article III of the
3 state school aid act of 1979, 1979 PA 94, MCL 388.1836 to 388.1891,
4 as amended by this amendatory act, is estimated at
5 \$2,586,932,800.00 and the amount of that state spending from state
6 sources to be paid to local units of government for fiscal year
7 2026-2027 is estimated at \$0.00.

8 Enacting section 2. Sections 11y, 11bb, 25g, 27k, 41, 41b, 55,
9 61d, 97k, 99aa, 99ee, 99mm, 107a, 147g, 164k, 217f, and 241h of the
10 state school aid act of 1979, 1979 PA 94, MCL 388.1611y,
11 388.1611bb, 388.1625g, 388.1627k, 388.1641, 388.1641b, 388.1655,
12 388.1661d, 388.1697k, 388.1699aa, 388.1699ee, 388.1699mm,
13 388.1707a, 388.1747g, 388.1764k, 388.1817f, and 388.1841h, are
14 repealed.

15 Enacting section 3. (1) Sections 11, 22a, 22b, 26a, 26d, 27b,
16 51a, 51c, 51e, 56, 62, 104, 147a, and 147e of the state school aid
17 act of 1979, 1979 PA 94, MCL 388.1611, 388.1622a, 388.1622b,
18 388.1626a, 388.1626d, 388.1627b, 388.1651a, 388.1651c, 388.1651e,
19 388.1656, 388.1662, 388.1704, 388.1747a, and 388.1747e, as amended
20 by this amendatory act, if granted immediate effect pursuant to
21 section 27 of article IV of the state constitution of 1963, take
22 effect on enactment of this amendatory act.

23 (2) Except as otherwise provided for those sections listed in
24 subsection (1), the remaining sections of this amendatory act take
25 effect October 1, 2026.

26 Enacting section 4. This amendatory act does not take effect
27 unless Senate Bill No. 903 of the 103rd Legislature is enacted into
28 law.

